Route Mobile (ROUTE)

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Call: Aug 2022

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CIN No: L72900MH2004PLC146323
Ref. No.: RML/2022-23/265
Date: August 3, 2022
To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter ended June 30,2022
We are enclosing herewith copy of the transcript of the Company's Q1 FY23 earnings conference call dated Friday, July 29, 2022.
The transcript is also available on the Company's website under the Investors section ie.
https://routemobile.com/wp-content/uploads/2022/08/Earning-Conference-Call-Transcript-Q1-FY23-July.pdf.
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.
You are requested to take the above information on record.
Thanking you,
Yours Faithfully,
For Route Mobile Limited

Rathindra Das
Group Head-Legal, Company Secretary & Compliance Officer

routemobile
communication simplified
Route Mobile Limited
Q1FY23 Earnings Conference Call
July 29%, 2022
Management
1. Mr. Rajdipkumar Gupta, Managing Director and Group CEO
2. Mr. Suresh Jankar, Chief Financial Officer
3. Mr.Gautam Badalia, Group Chief Strategy Officer & Chief Investor Relations Officer

Moderator:
Rajdipkumar Gupta: Ladies and gentlemen, good day and welcome to the Conference Call off Route Mobile Limited arranged by Concept Investor Relations to discuss its Q1 FY23 Results.
We have with us today Mr. Rajdipkumar Gupta, Managing Director and Group CEO, Mr. Gautam Badalia, Group Chief Strategy Officer & Chief Investor Relations Officer, Mr. Suresh Jankar, Chief Financial Officer. At this moment, all participants are in listen only mode. Later, we will conduct a question-and-answer session at this time if you have a question, please press “*” and “1” on your telephone keypad. Please note that this conference is being recorded. Before we begin, I would like to remind you that some of the statements made in today’s earning call may be forward looking in nature and may involve certain risks and uncertainties. Kindly refer to slide number #2 for the presentation for the disclaimer. I now hand the call over to Mr. Rajdip Gupta, Managing Director and Group CEO. Thank you and over to you, sir.
Thank you. Good evening everyone, wishing all of you good health and prosperity. Despite global headwinds, and the geopolitical situation we had an excellent start of Financial Year’23 with 93% year-on-year growth and 16% sequential growth. Our structure approach diversified global scale of operation and clinical execution capabilities have been the bedrock for such consistent performance. We are well on track to achieve our 40% revenue growth guidance for FY23. In fact, looking at the current growth momentum, we are striving to achieve over 50% year-on-year growth in FY23.
The following are some of the key highlights of the quarter gone by. We continue to gain

significant market share in India and some of the last BFSI clients that we had won in the last financial year are slated to go live towards the tail end of FY23. The deep integration required for such clients take approximately four to six months, which is why there is a lag. However, once completed this relationship become a very sticky proposition. We are in the process of integrating all platforms that we had acquired during the last financial year. And we should see the synergy benefit of these integration paying out for the next few quarter onwards in fact.
As a part of our rapid initiative, we have opened a center of ex

cellence in Bengaluru for
our research and development initiative. In terms of conversational commerce, we are witnessing good traction from enterprises in digitizing their customer transaction experience our business messaging platforms such as WhatsApp, Viber and Facebook. We

Gautam Badalia: onboard clients like Coca Cola in UAE where they have digitized the customer transaction experience over WhatsApp business messaging. During the quarter gone by, we have added 76 employees and 66 employee resigned in Q1 FY23. We believe that the attrition level will normalize to historical level in couple of quarters. In Latam, as highlighted during the last quarter earnings call. We are expanding in Chile, Mexico and Ecuador. Further the technology team at Masivian is building an omni channel platform that will be orchestrated the personalized communication through AI&ML and have customer data platform capability embedded into it. This development cost of about INR 59 million is being capitalized in Q1 FY23.
Further in terms of our capital allocation strategy, we have done well with our geographical expansion strategy through organic and inorganic initiatives. Currently, our immediate priority in terms of our inorganic strategy is to augment our existing product portfolio with a few cutting edge futuristic technologies. Some of these proposed acquisition may not warrant significant capital to be deployed. Hence, considering the current capital commitments plus the proposed acquisition we may have surplus cash from the next two years roadmap perspective, which are returning to our shareholder through open market buyback program of up to 1200 million that was launched earlier this month. In addition to buyback, we intend to increase the dividend payout ratio as part of our stated dividend policy and link the dividend payout ratio up to 40% of the free cash generated over FY23 to FY25.
Last but not the least, it gives me immense pleasure to highlight that Route Mobile is again listed as tier one position in both M&O and enterprise edition of P2P messaging vendor benchmarking report by ROCCO. With this, I will now turn it over to Gautam to take us through the financials. Thank you for your time.
Thank you, Rajdip. Good evening everyone, hope you and your family are safe and fine. We have already uploaded our quarterly earnings presentation on our website as well as on the stock exchanges. Hope you had a chance to go through the presentation, I'll quickly summarize our financial and operating performance during Q1 FY23, before opening the floor for Q&A. The key takeaway from our financial performance in Q1 FY23 has been the strong revenue growth momentum, revenue growth up to 93% on Y-o-Y basis on 16% on a sequential basis, coupled with significant expansion of margins, adjusted PAT grew by 131% on a Y-o-Y basis and 38% on a sequential basis. As highlighted earlier, Q1 is traditionally not our strongest quarter and yet we have delivered an industry leading growth. In Volume terms, we have processed over 24.8 billion transactions in Q1 as against 52 billion billable transactions in FY22, which is again the highest quarterly billable volumes processed by us till date. Such exemplary financial performance in Q1

Moderator: FY23 has laid a very strong foundation for our superlative FY23 full year financial performance.
With this backdrop let me walk you through our financial performance. Revenue from operations grew by 93% from Rs.3,775 million in Q1 FY22 to Rs.7,290 million in Q1 FY23. There was a sequential growth of 16%. In terms of certain KPIs billable transactions increased from 7 billion in Q1 FY22 and 18 billion in Q4 FY22 to 25 billion in Q1 FY23. These realization per billable transaction reduced to 29.4 paisa that are compared to 35 paisa last quarter, going to lower average

realization per billable transaction in Masivian,
Increase in domestic enterprise business in India, and lower average email realization.
We had a net revenue retention of 125% you may refer to slide #17 of the earnings

presentation for the same. We added over 200 new customers in Q1 FY23 across all products. Gross profit margin expanded from 20.4% in Q1 FY22 and 21.1% in Q4 FY22 to 22.4% in Q1 FY23. In terms of operating overheads, employee benefit expenses decreased by 2.8% from INR 398 million in Q4 FY22 to INR 387.3 million in Q1 FY23. The decrease was on account of capitalization of salary cost, amounting to INR 59 million. This pertain to the costincurred by the R&D team at Masivian. Masivian is augmenting the capabilities of their omni channel platform by adding layers like AI/ML and customer data platform capabilities.

In addition to that, we have also completed our annual increments in the quarter gone by and in terms of ESOPs, there was a non-cash charge of INR 72 million owing to grant of 7,36,000 stock options to eligible employees of Route Mobile and its subsidiaries under the RML ESOP 2021 Scheme, 65,000 ESOPs were cancelled during this same period owing to nonperformance / exit of the employees. 76 new employees were on boarded in Q1 FY22-23, while 66 employees resigned during the same period. Adjusted for the same EBITDA grew by 75% on a Y-o-Y basis from 491 million in Q1 FY22 to 860 million in Q1 FY23. Sequentially, EBITDA grew by 23% from 697 million in Q4 FY22 to 860 million in Q1 FY23. EBITDA margin stood at 11.8% in Q1 FY23 as compared to 11.1% in Q4 FY22. Amortization related to intangibles identified on account of acquisitions stood at INR 148 million, finance cost relating to unwinding cost on account of acquisitions stood at INR 34 million. Effective tax rate for the quarter was 14%, we had a deferred tax credit of INR 57 million. Adjusted profit for tax grew by 131% Y-o-Y from INR 377 million in Q1 FY22 to 872 million in Q1 FY23 as compared to Rs.634 million in Q4 FY22. Adjusted PAT margin was 12% in Q1 FY23 as against 10% in Q1 FY22 and 10.1% in Q4 FY22. With this we open the floor for Q&A.

Thank you. We will now begin the question-and-answer session. First question is from the line of Keval Shah from Banyan Tree Advisors. Please go ahead.

Keval Shah:
Gautam Badalia:
Keval Shah:
Rajdipkumar Gupta:
Gautam Badalia:
Keval Shah:
Gautam Badalia:
Moderator:
Abhishek Bhandari:

Rajdipkumar Gupta: So, I have two questions. First, I'm looking the number of billable transaction. So what states the number and second is on RCS, in the last year we started monetizing RCS. So what was the current contribution, and the revenue, and howare the margin profile here?

Keval can you repeat your second query?

So, I wanted to know what is the current contribution of RCS to the overall revenue and margin profile there?

I will just start with the second question, Rajdip here. Right now in India, Google has just pulled out the RCS from last two months, so probably there is hardly any revenue last quarter coming from RCS maybe in few lakhs only because it was only live for a month.

And in terms of the billable transactions 24.8 billion transactions were billed during the quarter.

So, what was the reason of, it was close to 50% of FY24 what boosted the number, if you see the revenue per transaction it is much lower?

No, so the revenue per transaction, on the unit economics spaces because of, I didn't mention it during the commentary that because of the increase in volumes in Masivian and increase in volumes owing to our increased business in India domestic business, that have dropped and since these are low price market volume tends to be very high and hence that led to significant ramp up of volumes.

Thank you. Next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Rajdip, I just had o

ne very basic industry level question you might have seen one of your big competitors recently spoke about, one of the telecom companies taking over one of their clients by offering a very low pricing. Now, I was just curious to know from you whether you see this as an industry trend or do you think it's one off and what kind of services do you think in your portfolio are at more risk for such kind of things to happen?

Abhishek, to be honest even the operator who has taken that contract maybe just one kind of a strategic call they have taken and post that RFP, I don't see any of other RFP gone that low. So, there might be some strategic call coming either from us or from them, like this one time. And as far as if you see the risks, probably I see there is a different use cases are increasing day-by-day in entire CPaaS communication channels, and we see it volume growth as well as not only in messaging piece, but there is different channel of communication whether it's Viber or WhatsApp, or RCS or email as well. So, I don't see

Abhishek Bhandari:
Rajdipkumar Gupta:
Abhishek Bhandari:
Rajdipkumar Gupta:
Moderator:
Dipesh Mehta: there is a risk but I feel more use cases are going to be adopt by enterprises in coming years down the line and we may have a different shift from messaging to another channel, but different channels may be used and different use cases will evolve.

So, just to clarify, do you mean to say SMS part of the business is at risk, if the telecom companies want to go aggressive here?

It is not at risk at all, because the SMS volume is increasing every quarter-on-quarter as an entire market, because there are so many used cases are being utilized for SMSs also, even for WhatsApp messaging or Viber, or voice or email, that volume is also increasing every quarter. That's a trend we see.

Okay, thank you. Rajdip my second question is, when we look at all the public statement by the telecom companies, the largest one is speaking very aggressive, having very aggressive plans on CPaaS business as such, and frankly speaking if you look at it, the size of the industry is not really very large that it can accommodate multiple players, do you think the kind of areas where the telecom companies are going to focus on will be significantly different on the places where we are focusing?

Definitely, see if you see global market, there are only eight or 10 large global players who are driving most of the volume, like including Route Mobile, if you talk with the tier one global CPaaS player, so there might be some operators they have their aspiration to become a CPaasS player, but definitely CPaaS player requires lots of groundwork in terms of support, in terms of turnaround time. So, operators coming to this space, maybe it will not serve the enterprise customer the way we are serving right now as an aggregator or as a CPaaS player. And that's why if you see the trend all across the globe, there are hardly one or two operators who have ever launched this kind of services out of +900 operators, because they always believe that working with the CPaaS player is more sensible for them because we can commit revenue, we can get the revenue, and we can take care of all the other parts of the logistics at our end, we are only focused to provide the connectivity and we bring everything to them. And that is a very simple trend from last 20 years which I have seen none of the operators globally have ever tried to get into this space by themselves.

Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

A couple of questions starting with the macro question. Now we are seeing, let's say significant macros uncertainty, plus startup ecosystem is also seeing some implication because of that, do you think this environment will pose some challenges to volume

Gautam Badalia:
Dipesh Mehta:
Gautam Badalia: growth for us. India as well as outside of India, because now we are global and expanding our presence outside India. So some of those geographies facing more challenge than India, so if you can provide some perspective about anticipated volume growth, now versus let's say the beginning of quarter, any changes you are seeing. Second question is about the margin outlook. If you can help us what kind of margin one should expect for FY23, you are getting indicated about revenue outflow. But if you can provide some sense on margin, last question is, if you can share some OCF data so operating cash flow generated during the quarter, thank you.

So, Dipesh in terms of macro uncertainty, definitely when you started, the headwinds were there globally, that therefore all companies across, but within that we've been able to win a lot of market share from competition. And from our perspective, a lot of communication that goes to our platform, our critical communication, so to say, and hence, we don't see that being affected significantly, from a volume that we process

perspective, but definitely some amount of promotional or discretionary spend, that would kind of come down. But that we are kind of increasingly also seeing that being offset by clients around the travel hospitality where we see increased traction is coming. So, at the time of COVID some of these industries were affected, but there were industries who were contributing more than their share and we believe some of that, will come back to the other industries like travel, hospitality, retail and stuff. So, there may be some impact, but at this point in time, the momentum and the kind of run rate that they we are clocking even for the current month, we are not witnessing any effect so to say in terms of slowdown or our volumes getting impacted.
In terms of margin outlook, we had articulated in our previous earnings call that for this financial year, we're looking at an expansion of 100 to 150 basis points on our adjusted Q4 EBITDA. On a reported basis we are kind of guiding an EBITDA of about 11.5% to 12% between that range for the full year. Sorry, Dipesh what was your third query I just missed that.
Operating cash flow generated during the quarter?
So, Dipesh I just want to highlight here, operating cash flow was positive, but it was to some extent impacted because of potential price hike that was kind of planned in India the ILDO pricing had increased. So, there were a few large customers where we had the POs which had to be renewed because of the price hike which was slated to happen from 3rd of July. And, hence some of those large customers they are having some impact on the receivable side. So receivable side, so days sales outstanding have increased marginally which was kind of hidden into the operating cash flow. But having said that, some of those receivables are from the largest of clients and some of these POs have already been

Moderator:
Anil Nahata:
Rajdipkumar Gupta:
Anil Nahata:
Rajdipkumar Gupta:
Anil Nahata:
Rajdipkumar Gupta:
Anil Nahata:
Rajdipkumar Gupta: renewed and the payments have also been processed by some of those large entities. So, from an OCF perspective as guided earlier, we are guiding an OCF on a full year basis of about 70%-75% OCF cash conversion.
Thank you. Next question is from the line of Anil Nahata an Individual Investor. Please go ahead.
The first question is around the large bank deal that we won and that was reported by HDFC Securities in the report as well as other places, what kind of gross margins are there, is its gross margin negative level or it is an EBITDA negative level?
Okay. Anil let me answer your question. And thanks for asking this question. Because there is already a lot of misleading information is being shared in the market or the media, so I want to make sure I cl

arify all this first of all, we are the L2 for that particular project and L1 is one large operator and there is another vendor which is L3. So, for that particular bank L1 gets 60% of the traffic, L2 gets 30% of the traffic and L3 gets 10% of the traffic. We took a strategic call to have this account and plus all the PSU banks, there is no DLT charges applies. So, by default exempted from the DLT charges, we as a company have hosted SMSC with two operator where we get revenue share also for every single SMSs we terminate over there. So combined, if you see overall, we always have the upper hand to make sure to take some strategic call, if required in coming year or in past and to have certain customer like this. Just to share with you all, we were serving this customer from last three years. We were already on boarded as an impaneled vendor with this customer for last three years, we were serving only for the promotional traffic, and it took almost eight months for us to integrate with that particular bank. So, this has not happened overnight and we were very clear that what all we are taking because the traffic is only going to be 30% and if there is going to any margin impact we will handle that but if you see now, overall combined margins for India is over 23%.
So, the Indian markets are at 23% is what you said overall?
Overall combined margin whatever we do now.
So that is NLD plus ILD?
Combined, intra traffic.
And that includes the SMSC kind of revenues, also the platform revenue?
Everything is a combined.

Anil Nahata:
Rajdipkumar Gupta:
Anil Nahata:
Rajdipkumar Gupta:
Moderator:
Ashish Chopra:
Rajdipkumar Gupta: Okay. So, Gautam my request is going forward, if you kindly consider to give a couple of breakups in your quarterly reports, one is on the breakup between the platform and revenues and margins versus the messaging one.

So, Anil we will not like to talk about the platform play, we are a CPaaS player, and we are very proud to known as a CPaaS player. Because we already have a platform, which is operator driven, which we have our firewall deployed with 10 operators, we know overseas platform but we want to be known as a CPaaS player is more important than segregating our revenue platform, because if you see our 365square is a complete platform, which is firewall solution. But, we are following a particular protocol from last so many quarters, we will continue to do this way.

Fair enough. I appreciate that point of view, the only other question I have on the gross margin is, would it be possible to sort of India termination accounts for nearly 45% of the termination, and the rest of the world is another 50%, would it be possible to share the kind of just like you said right now the Indian gross margin at 23% on this quarterly presentation, if you can break that out, that will be very helpful. That's all from my end.

Definitely take your advice and thank you for sharing that and we will collective take a call on that. Thank you, we will think over it. Thank you.

Thank you. The next question is from the line of Ashish Chopra from GSAM. Please go ahead.

Firstly, my question was Rajdip or Gautam, the gross margin that expanded this quarter by almost 150 basis points. Could you just maybe help us through, what are factors that drove that and especially in the wake of, for the fact that realizations had gone down so was this entirely MRM or was there any other factor also that drove the same?

Ashish good question, it's a combination of MRM, Route Mobile and Masivian. We have taken a collective call last quarter that we will make sure we will increase pricing for ILD customers because most of the ILD customers stick with us because of our quality of services. And there are many customer who end up paying higher price and they are still using our services and putting down the large OTT player, instead of getting 20 mill

ion
traffic from there every day, we are happy to get 10 million at higher price. And there was another reason, this ILD also impacted in our gross margin. And we are going to take this call in coming quarters also, we will try to focus more on a margin based scenario rather than just a volume based, in spite of that where volume is also increasing because | think now OTT player or the large ILD customers, they are definitely looking out for a quality of services. And our area focus is going to be on that side rather than more on volume for

Gautam Badalia:
Rajdipkumar Gupta:
Ashish Chopra:
Rajdipkumar Gupta:
Ashish Chopra:
Gautam Badalia: those. And yes, there is definitely MRM and Masivian get added. Gautam, if you want to add on this?

Yes, sure. So Ashish, the reason for margin expansion is as you highlighted, Masivian definitely has led to the expansion of margin. Plus we've seen very strong growth in sorry, Masivian and Messaging both have contributed to the expansion of margin. In addition to that we have now our domestic enterprise business in India has increased quite a bit. And the domestic enterprise business is a very high margin business. So, these were some of the factors that led to significant, the kind of expansion that we've seen on the gross margin.

Ashish just to add there are few banks we have integrated in last quarter and now as we start getting traffic on that it is not the SBI but I'm talking about Bank of India and Bank of Baroda and IDBI Bank. So those are few customers.

Understood. So how should we think about maybe the gross margin trajectory going forward as you may be reprise some of your OTT or ILD customers and as the India

enterprise business increases, so is there a target margin at the gross level that you believe you will be able to get to once you are maybe through the bulk of this exercise or do you think that this is a very defensible margin going forward as you grow volume?
Ashish we always have aspiration to grow our margin up to 30%, because we believe that margin or WhatsApp or emails are much higher than SMS. So, right now we are focusing about between 21% to 25% is what, in next one year down the line but we always has a vision to achieve for 30% margin in coming few years.
Understood. And just in terms of the employee expenses this quarter. So, based on the discussion last quarter you had mentioned that the 38 - 39 crores of employee expenses, there was a residual five crore to come from MRM acquisition and three to four crores from the salary revisions. So we were expecting to go up to 47 - 48. But, even after adjusting for the R&D team of Masivian the adjustment that you took there, it's around 40 to 43 crores this quarter. So, where did the savings come from, was it simply the fact that the 66 exits were higher than you anticipated and this goes back up or is there something wrong?
Ashish, the thing is last quarter there were certain one offs that we had incurred in that quarter in terms of staff welfare and stuff that is not there in this quarter and that has actually led to the buildup.

Ashish Chopra:
Gautam Badalia:
Ashish Chopra:
Rajdipkumar Gupta:
Gautam Badalia:
Ashish Chopra:
Gautam Badalia:
Ashish Chopra:
Gautam Badalia:
Moderator: Okay. And Gautam, you also last quarter had shared a bridge in terms of the contribution from the acquired entities, could you just help us with the same for this quarter as well?
In terms of revenue, I'll give you the numbers. So, Call2Connect did a revenue of INR 8.34 crores, 365square did about €1.5mn, MR Messaging did about INR 1,670 million in terms of revenue. And Masivian did about INR 470 million in terms of revenue.
Okay, that's very helpful. And in the new products, you have unlisted quite a lot of them right in terms of email, voice, RCS, WhatsApp, FB Messenger. RCS ob

viously was marginal
this time, but currently in your base of revenue, some new products are there any one or two of these which are dominating the bulk of the share or is it spread across all of these other products except RCS?
No, Ashish, if you see WhatsApp and Viber is also contributing well, because our Viber product in Bangladesh is really doing well over there and WhatsApp is definitely one product, email is also adding lots of revenue. So, it's combined.
So Ashish it's spread across all product. But IP messaging, is something where we see very high attraction from enterprises.
Understood. And one last question for me. Could you just elaborate a little bit more on the adjustment around Masivian | couldn't fully understand the non-cash intangible assets under development that that you took of 59 million this quarter?
Sure. So, Ashish, we are trying to develop a platform and Masivian, largely to start with it will be for the Latam market, which platform will be able to orchestrate a lot of capabilities around AI/ML and CDP. So, Masivian team has already taken the initiative of developing that product for which we've identified a dedicated R&D team. And that amount of 59 million that's been capitalized and essentially the cost that is attributable to the development of that in the quarter gone by. And as per the project report that we have this product or this platform should be up and running. The kind of R&D expense that we're looking at for this should be within the $2 million.
Okay. So, this is a cost which will be incurred in the future quarters as well, considering that this is work in progress, but you will call it out separately over and above the employee costs?
That's correct.
Thank you. Next question is from the line of Manik Taneja from JM Financial. Please go ahead.

Manik Taneja:
Rajdipkumar Gupta:
Manik Taneja:
Rajdipkumar Gupta :
Rajdipkumar Gupta:
Manik Taneja:
Rajdipkumar Gupta: Just wanted to understand from you as to how are you seeing the adoption of WhatsApp and other channels, given the increase in pricing by WhatsApp. And secondly, also wanted to understand from you given some of your large OTT or digitally native customers are trying to convince the government on the changes to ILD pricing. So, if you could help us understand on that front, thank you.
Manik whatis your first question?
My first question was in regards to the increase in pricing for WhatsApp. How has that impacted, and impact in terms of numbers this quarter, and how is that impacting adoption by customers?
So, not exactly Manik. There are lots of POCs being done as we speak and probably we will see more WhatsApp accounts in this particular quarter. In spite of price increase, there are different use cases, it all depends, and the digital adoption is more about what these cases and what kind of user engagement the enterprises are looking at. And based on different use cases, WhatsApp can be a best customer support, scenario where customer support can we move to entirely on WhatsApp for business. So there are many customers who are paying a higher price because they see value in WhatsApp, because there lots of problem is being solved. So it depends on case to case basis we don’t see any kind of changes, and we do see adoption ratio is increasing day by day, for WhatsApp.
Some of our large OTT players talking about price decrease or something like that right, about in app?
Yes, both in app and the fact that in their case, a lot of their volumes are considered as ILD volumes. So they’ve been trying to petition the government in terms of considering their business as or their volumes as NLD volume.
That’s a good question Manik. There are almost 60 to 74 brands right now who’s been treated as an ILDO, like for international and this discussion is happening from last two years in fact, and it is up to the TRAI and the operat

or to take a call on it. Logically, there are lots of requirements government has for them, because they need to host their servers within India and they need to have a user agreement within India entity. So there are lots of legal aspect, which somehow they need to comply with, were they still struggling to do that. So, I don’t think there is any challenge because it is not going to happen because they’re talking about this from last so many years. As far as in-app is concerned definitely in app is always there in almost all the app like whether it’s any shopping app, or like Amazon or Flipkart. In app notification options are always available. But the criteria for user experience, or the customer trust is always SMS, SMS is treated as a more on a trust

Moderator:
Parab Sidhwani:
Gautam Badalia:
Parab Sidhwani:
Gautam Badalia:
Parab Sidhwani:
Gautam Badalia:
Parab Sidhwani:
Gautam Badalia:
Rajdipkumar Gupta: factor, because I really want to wait, if] use my credit card, I want to receive SMS, and it is quick and secure. It doesn’t require data, it goes over GSM band, there are so many points in fact people having, this app already having in-app option, they still prefer to use SMS because the conversion ratio is much higher over SMS as compared to the in-app. And there are multiple ways of authentication is still available as we speak, whether it’s a mobile entity or a flash call, you name it or Google Authenticator. They are all n number of options that are still available in the market from last so many years. But the question is adoption, most of the enterprise believes that SMS is a faster and ubiquitous way to deliver and receive message and it can have a better conversion ratio through SMS.
Thank you. Next question is from the line of Parab Sidhwani from Sahasrar Capital. Please go ahead.
I have just a few very basic questions. First of all, what is the effective tax rate that we should assume?

So, the effective tax rate should be between 15% to 18% depending on and so we are working out on multiple geographies and different geographies have different tax regimes. So it's difficult to kind of pinpoint at a particular tax rate but, you can take it as a higher side at 18%.
Okay and do you mean by net revenue retention exactly?
Net revenue retention is the customers, the existing customers in the prior period how they fared in the existing period.
Okay. So if it goes 120, it goes beyond 100% that means they have increased their.
That's correct.
Okay. And is there a relation between mobile network operators and the headcount, in the presentation slides there was different geographies that number of MNOs and the employees?
So that essentially, we're trying to highlight our global playbook strategy. So we sit in between an operator or the infrastructure provider, and the enterprise. So we tried to just kind of highlight the global diaspora and how we are spread across and the kind of relationship that we share with operators.
Within that particular slide, there is a number of firewall deployment, we did in different parts of the world.

Parab Sidhwani:
Rajdipkumar Gupta:
Moderator:
Chirag Kachhadiya:
Rajdipkumar Gupta: And just this one last question, most of the newer companies are trying to move their communications to WhatsApp. And I just want to understand what is the barrier to entry for communications on WhatsApp for other players in the market and what is our competitive advantage for the same?
See, there are multiple CPaaS player in India and abroad also, we are a partner of Facebook and we are authorized partner of Facebook, Meta actually. So, if you talk about you cannot just go and get a license with Meta that you can build WhatsApp, you need to go and project yourself that you can handle customer, you have a decent amount of customer, you have a dece

nt amount of base, so there are only few number of people in India who got that VSP license, which is like authorized Meta partners. So, that is one thing as far as the new age companies moving to WhatsApp, it all depends how much they want to spend, WhatsApp is Rs.0.55 as compared to Rs.0.10 SMS. So, again as I said, it all depends on use case to use case. If there is a use case which required customer support and WhatsApp for that customer WhatsApp is the best option to go for, if it is OTP authentications then SMS is the best option to go for. If it's an alert, its SMS if you don't want to send alert at Rs.0.55 otherwise you can send it Rs.0.10 or Rs.0.12. So that is the whole idea, it all depends on the enterprise to select how best they want to engage with their customer and how much they wantto spend. We as a company are providing channel of communication we have all the channels available within our portfolio, let the customer decide how they want to communicate. So our role is very simple. We provide channels, it is up to the customer to select which channel they want to communicate with. More they use WhatsApp more revenue we will generate to be honest.
Thank you. Next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.
I have few question with respect to your business. What are the other growing area for us other than this SMS, WhatsApp and this alert services?
So, there are lots of channels which we already have as a part of our offering email is also one of that and we do see good traction over email business. They are also now working in different areas something like especially into UCaaS, which is more than a voice solution. And we want to focus more on mobile identity because we believe that the authentication in coming years down the line for banking segment requires better way to authenticate and seamless authentication and probably mobile identity can add lots of value during that time. And keeping that in mind we want to add true portfolio enhancement within our product, especially one in voice and one in a mobile identity.

Chirag Kachhadiya:
Rajdipkumar Gupta:
Chirag Kachhadiya:

Rajdipkumar Gupta: Okay. And like Facebook gradually acquiring their ecosystem related to their business line. So they acquired Instagram and WhatsApp and all. So, such a large M&A which change the industry structure entirely of communication, does it make any impact on our business model, because they do backward integration continuously so?
It's good for us, it's a single vendor agreement and if it's a Facebook, Meta, I have a market agreement with Meta, whatever they acquired by default we start serving those customers, it's advantageous for us. You really don't need to go and sign an agreement with WhatsApp or Instagram separately, rather than just one agreement with Meta is enough to serve them.
Okay, sir. And sir who are other players in India and globally similar to what service you provide?
We are very clear from day one, I just wanted to make this thing again, I want to clarify why we are different, there is a one blog I've also written today that what is the difference between global CPaaS player and domestic CPaaS player. When we talk about single, let's take a simple example just for knowledge I'm sharing this to everyone out here. If I onboard one OTT player, whether it's a Facebook, Google or anybody, they are not using my connectivity only for India, they use my connectivity for more than 30, 40 countries, which means that I get additional 40 opportunity with the same customer to serve them in various parts of the world and we generate revenue not just from one country but from multiple country. Tomorrow, if anything happened to that customer or there's some regulation change in particular country, it is not going to impact me completely just one country will go aw

ay. But apart from that, we have another 35 countries or 36 countries, almost all the global player when you talk about Sinch, Twilio, MessageBird, Route Mobile, Infobib we are well placed in terms of our connectivity, we have a platform which is connected with almost +900 operators globally, any enterprise coming and using our platform they don't need to go and try to a tie up with domestic partners, to have a domestic commission, one connectivity can give them 100% coverage is what the global enterprise are looking at right now, we compete with all these names, which I mentioned as a global partner, a global concept. Every market we go we will definitely get a domestic player if I operate from 20 countries which means that every country we operate from there must be one domestic competitor we are going to have, whether it's UAE, Colombia or in Nigeria or in UK, we will have some domestic player and we do compete with some domestic player based out of India and we have seen that growth in our market share in Indian market from last two years or three years down the line. We believe that what we offer to our customers is not just one connectivity, but global connectivity and that is a unique thing we have as a company, why we are different than other, there are so many questions keeps on coming about platform play and others. I have a platform, I have an

Moderator:
Dev:
Rajdipkumar Gupta:
Moderator:
Mohana Kumar: operator driven solution which is SMSC we acquired through TeleDNA we got a firewall, complete SMSC of ideas is being handled by TeleDNA, we have deployed our SMSC with Ericsson with Nokia and they are my customers through TeleDNA. We have deployed our firewall in 10 countries. And one of the Indian operator also is my customer using my firewall. So, capability of a platform play we already have, very have in a very large scale, we understand there is a separate team who are driving my entire operator business we are not merging along with a Route Mobile, there is 365square, their KRA and KPIs are very simple, you go and flow only operator driven requirements, the n number of RFP coming every single quarter where we are participating to support operators who have the requirement either on firewall or on SMSC or on DND, database kind of solutions. So that's what the whole idea, if you talk about email as a stack, probably we have our own email stack through Sendclean acquisition. There are many people they use our platform, whether it's abank or enterprise customers so that is another platform we have in-house, entire platform for WhatsApp, RCS or even for Viber has been built in-house. We don't want to just say okay, we are there. We are happy what we're doing but there is lots of things we are doing asa company where we believe that in coming year combined synergy of all the products coming together will add lots of value and that's why we are very bullish to give even 40%, 50% kind of guidance to the market because we believe our strength and what exactly we are building for the future.
Thank you. Next question is from the line of Dev from Invest Yadnya. Please go ahead.
I wanted to ask one question. So, how are we looking at the acquisition part? So, in this

year and going forwards also?
Dev it's a good question, definitely as a company, as a CEO of this company, I definitely want to do some kind of tucking acquisition, which will add to my product offering, I will definitely look into something in mobile identity or voice are the two areas which we are working right now. And we have shared this information last quarter also we are in process of doing some due diligence and probably very soon once the due diligence is done probably we will announce something in this space.
Thank you. Next question is from the line of Mohana Kumar, an Individual Investor. Please go ahead.
I have one quick question around the whole

ideology behind the share buybacks that has been done and even the thoughts around increasing the dividends per share. So you had raised a lot of capital earlier in the year for the purpose of acquisition. So was the buyback done because the share price had pulled back and saw that as an attractive opportunity to buy some shares at a much lower price than you had raised the equity earlier, or was

Gautam Badalia:
Mohana Kumar:
Gautam Badalia: there some other thoughts around it and what is the ideology behind even the dividend in returning cash to shareholders via dividends?
So, we articulated that earlier in the call as part of a capital allocation perspective, we raised money through QIP, and thereafter we've done a few acquisitions and we have done fair bit of geographical expansion. Now, we are fairly comfortable in terms of the geographical expansion that we have done and we are now looking at integrating the platforms, creating a unified platform across all the entities that we have acquired. So that is akind of, as we see that worked out integration is kind of going on, there are a few tuck-in acquisitions that we're looking at. So in terms of the capital commitments that we have for some of the acquisitions that we have done. And that potential acquisitions that we're looking at, we realized that we have some surplus cash, and hence the buyback was kind of conceptualized it was through an open market route. And the total maximum size of the buyback is about 120 odd crores. On top of that the business also generates a lot of free cash. And considering the next one, one and a half, two years we're looking at integrating various platforms, we're looking at doing few tuck-in acquisitions and making that as part of our unified platform play. We don't envisage the use of that excess cash at this point in time, and hence we are looking at this buyback program that we're doing plus the dividend payout, which will be a percentage of the free cash that's been generated over the next couple of years.
Got it, thank you. And just another question, follow up around the Masivian, there's been a lot of discussions around that. But, I know you had clarified this to some extent during the last call too. But just a quick question around the billable amount per transaction is much lower at Masivian, but the margins are higher, could throw some light on that. And also, just as a follow up on that, you have a pretty big sales team based out of the US. Is there an opportunity for cross sell to the Spanish speaking within US also leveraging Masivian base?
Yes, so when we're talking about the Americas, essentially a large part of that sales team is in and around Colombia, Peru in the Spanish regions itself. And that's the reason why we have the kind of expanded into some of the adjoining Spanish markets. So definitely, we'll be leveraging the existing sales arm of Masivian to expand into some of the newer markets. And we have done few a bit of hiring in some of those new markets as well. Coming to your first query around the margins, so if you look at Masivian, Masivian is out and out deep enterprise play wherever they are deeply penetrated with who's who in terms of enterprise, they have close to 55%-60% market share in markets like Colombia, they would be second largest player in Peru. And they have kind of built a very robust tech stack, which they are offering it to enterprises, and enterprises are using Masivian platform across various channels, like from SMS, voice, email, and even the in-app

Moderator:
Rajdipkumar Gupta:
Moderator: notification. So, because of that superior tech stack and a very robust team, both in terms of sales, in terms of the account management team, they are able to command really high margins from enterprises. And enterprise is across the world and even in marke

ts like
India tends to be higher gross margins, so they are able to command that kind of gross margins, just that there is some amount of seasonality that is there. Where Q1 and Q2 calendar year for them tends to be relatively weaker and Q3, Q4 happens to be their best quarters. And again taking it back to the last quarter and even in this quarter there is some degree of impact in terms of EBITDA because of that seasonality, but heading into Q3, Q4 we believe Masivian will be firing from all cylinders.
Thank you. We have come to the end of question-and-answer session. I would now like to hand the conference over to Mr. Rajdipkumar Gupta for closing comments.
Thank you, everyone for joining our earning call, if you have any question you can reach out to our investor relationship team. We are happy to answer all your questions. Thanks once again and have a nice evening. Take care.
Thank you, for attending the conference call. If you have any further queries, please send an email to investors@routemobile.com or salman@conceptpr.com. Have a great day, goodbye.

Call: Oct 2022

Ref No: RML/2022-23/313
Date: October 28, 2022

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 NSE Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter ended September 30,2022
We are enclosing herewith copy of the transcript of the Company's Q2 FY23 earnings conference call dated Friday, October 21, 2022.

The transcript is also available on the Company's website under the Investors section ie https://routemobile.com/wp-content/uploads/2022/10/Earn ing-Conference-Call-Transcript-Q2-FY23-october.pdf

Further, please note that no unpublished price sens itive information was shared /discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours faithfully,
For Route Mobile Limited

____
Rathindra Das
Group Head■Legal, Company Secretary & Compliance Officer

Encl: as above

"Route Mobile Limited
Q2 FY 23 Earnings Conference Call"
October 21, 2022

M
ANAGEMENT : MR. RAJDIPKUMAR GUPTA – MANAGING DIRECTOR AND GROUP CEO – ROUTE MOBILE LIMITED
MR. GAUTAM BADALIA ■ GROUP CHIEF STRATEGY OFFICER & CHIEF INVESTOR RELATIONS OFFICER – ROUTE MOBILE LIMITED
MR. SURESH JANKAR – CHIEF FINANCIAL OFFICER – ROUTE MOBILE LIMITED

MODERATOR : MR. ANIKET PANDE – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the conference call of Route Mobile Limited arranged by ICICI Securiti es and Concept Investor Relations, to discuss its Q2 FY '23 results. At this moment, all participants are in the listen only mode. Later, we will conduct a question-a nd-answer session. At that time, if you have a question please press star and one on your telephone keypad. Please note that this conference is being recorded. Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward-looking in nature and may involve certain risks and uncertainties. Kindly refer to Slide number 2 of the presentation for the disclaimer.

I now hand the conference over to Mr. Aniket Pande, Lead Technology Analyst at ICICI Securities. Thank you and over to you, sir.

Aniket Pande: Thank you. Hello, everyone. Wishin g everyone Happy Diwali and a happy weekend ahead. Thank you to the management of Route Mobile for giving us the opportunity to host you for your Q2 FY '2 3 earnings call. We have with us today, Mr. Rajdipkumar Gupta, Managing Director and Group CEO; Mr. Gautam Badalia Chief Strategy Officer and Ch ief Investor Relations Officer; and Mr. Suresh Jankar Chief Financial Officer. I now hand over the call to Mr. Rajdip Gupta. Thank you, and over to you, sir.

Rajdipkumar Gupta: Thanks, Aniket. Good evening, everyone. On behalf of entire RML team, I would like to wish you all a very happy Diwali in advance. I'm happy to announce that with another solid quarterly performance in Q2 FY '23, we marked six consecutive quarters of sequential revenue and adjusted PAT growth. This is despite the geopolitical tensions massive volatility across various currencies and various other uncertainties that we all are grappling with. The underlying strength in the business continues to be robust, and we are optimistic of inching close to 60% Y-o-Y revenue growth in FY '23. Fueled by our resilient platform, deep domain expertise and highly capable Route Mobile team spread across 20 global locations, we are winning quality deals worldwide.

The quarter gone by was in fact, our

best quarterly revenue and operating profit to date. Some of our key business highlights of Q2 FY '23 are as follows: RML secured a preferential partnership deal with Telenor Group for five countries, which is Finland, Malaysia, Thailand, Pakistan and Myanmar. We were again C>

recognized as a representative vendor in the latest Gartner report. As part of our capital allocation strategy, we completed INR 120 crores buyback through the open market route in Q2 FY '23. Further based on our superlative performance in H1 FY '23. I'm pleased to inform you that our Board of Directors has approved an interim dividend of 30%, that is INR 3 per share. Regarding our organic strategy, we continue to focus on key markets like India, GCC, LATAM and Afri ca. We have already started getting the benefit of our investment in LATAM, an d early trend looks very promising. In terms of our inorganic strategy, -- the team is focused on integrating all the acquisitions we have done and derived synergies. We may look at a few tuck-in investments in coming days, and we'll tr y to complete all these acquisitions, which we have done recently. With this, Gautam will walk you through our financial highlights in detail. Over to you, Gautam.

Gautam Badalia: Thank you, Rajdip. Good evening, everyone. Wishing all of you a very happy and prosperous Dipawali. We have already uploaded our quarterly earnings presentation on our website as well as at the Stock Exchange website. Hope you

had a chance to go through the presentation. I'll quickly summarize our financial
and operating performance du ring the Q2 FY '23 and H1 FY '23 before opening
the floor for Q&A. As Rajdip highlighted, the quarter gone by has been an outstanding quarter, considering the seasonality of our business.
Further, our business has yet again demonstrated strong resilience despite global
headwinds, inflationary pressure, geopolitical turmoil, energy crises and rising
interest rates. The strong foundation, coupled with multiple engines of growth
has been our secret sauce for demonstrating six consecutive quarters of sequential revenue and adjusted profit growth, as highlighted in Slide 19 of the
presentation.
In volume terms, we have processed around 27 billion transactions in Q2 FY '23,
which is again the highest quarterly billable volumes processed by year till date.
In terms of geograph y, India continues to be on e of our largest markets by
termination, accounting for 47% of our re venue by termination. You may refer to
Slide 6 for the same. We continue to increase our market share in India and are on track to surpass our guidance of $ 175 million revenue coming from India in
FY '23. C>

In terms of our investments in Masivian over the last few quarters. the early
trends as Rajdip highlig hted, looks very promisin g. Masivian clocked 21%
sequential revenue growth in Q2 FY '23, coupled with margin expansion. We
continue to witness very strong momentum on the next-generation products, Y-
o-Y growth of 116%, One may refer to Slide 21 of the presentation. In terms of cash conversion, the cash conversion for this period was slightly muted, largely
because of three factors:
A large PSU bank mandated the collection of our overdue receivables through the
Government e-Marketplace portal, which is called the GeM portal. The integration
process with GeM portal led to overdues receivable remaining outstanding as on
September 30, 2022. Further, some of our large global CPaaS customers have
been taking slightly longer than this stipulated payment cycle, owing to the
headwinds mentioned above. In terms of payables, there was a slight reduction
in terms of the days payables because we settled an outstanding invoice with a
large MNO in view of so

me additional discount.
With this backdrop, let me walk you through our financial performance. In terms
of Q2 FY '23 performance, revenue from operations grew by 94% from INR 4,357 million in Q2 FY '22 to INR 8,458 million in Q2 FY '23. There was a sequential
growth of 16%, billable transactions increased from the 10.8 billion in Q2 FY '22
to around 24.8 billion in Q1 FY '23 to 26.9 billion in Q2 FY '23. Average realization per billable transaction increased from 0.294 paisa in Q1 FY '23 to 0.314 in Q2 FY
'23. Gross profit margin expanded from 21.2% in Q2 FY '22 to 22.3% in Q2 FY '23.
EBITDA grew by 77% from INR 617 million in Q2 FY '22 to INR 1,094 million in Q2 FY '23. There was a sequential growth of 27% in EBITDA as well.
Effective tax rate for the quarter was 11.7 % going to some deferred tax credit that
we had. EBITDA margin expanded from 11.8% in Q1 FY '23 to 12.9% in Q2 FY '23.
Adjusted profit for tax grew by 103% from INR 454 million in Q2 FY '22 to INR 921 million in Q2 FY '23. as compared to INR 872 million in Q1 FY '23. Adjusted
PAT margin was 10.9% in Q2 FY '23.
For H1 FY '23, revenue from operations grew by 94% from INR 8,132 million in
H1 FY '22 to INR 15,749 million in H1 FY '23. In terms of certain KPI, billable
transactions increased from 18 billion in H1 FY '22 to 52 billion in H1 FY '23. We
had staggering net revenue retention of 128%. You may refer to Slide 17 of the C>

earnings presentation. We added over 350 new customers in the six months

across all products.
Gross profit margin expanded from 20.8% in H1 FY '22 to 22.4% in H1 FY '23.
EBITDA grew by 76% from INR 1,108 million in H1 FY '22 to INR 1,954 million in
H1 FY '23. In terms of operating leverage, EBITDA as a percentage of gross profit stood at 56% for the 6-month period.
EBITDA margin contracted from 13.6% in
H1 FY '22 to 12.4% in H1 FY '23.
Adjusted profit for tax grew by 116% from INR 831 million in H1 FY'22 to INR
1,793 million in H1 FY '23. Adjusted PAT margin improved from 10.2% to 11.4% for the same period. Net cash as on Se ptember 30, 2022, was INR 8,062 million.
Average receivable days increased from 57 days in FY '22 to 65 days in H1 FY '23, and average payable days decreased from 86 days in FY '22 to 68 days in H1 FY '23, going to reasons mentioned or highlighted above.
Cash flow from operations was INR 240 million in H1 FY '22. Cash outflow relating
to investing activities was INR 410 million towards the payment of purchase consideration of INR 118 million. And the split of that amount was especially
deferred payout for the email platform and advance to Teledger, and there was a
CapEx of INR 333 million.
Cash outflow from financing activities was INR 1,604 million, primarily due to
buyback of INR 1,492 million, which includes tax. We on boarded 142 new
employees during the six months period and 146 employees resigned during the same period. With this, we open the floor for Q&A.
Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-
and-answer session. Anyone who wishes to ask may ask a question may enter star
and one on the touchtone telephone. If you wish to remove yourself from the
question queue you may press star and two. Participants are requested to use
handset while asking a question. Anyone who has a question may enter star and
one. Ladies and gentlemen, we will wait for a moment while the question queue
assembles. Our first question is from the line of Aniket Pande from ICICI
Securities.
Aniket Pande: Thank you. Congrats to the Route management team on a great performance on
all metrics. I just had a couple of question s. First, I wanted to understand what led C>

to such a strong revenue growth in this quarter? And how your guidance of

60%
looks quite modest? Any specific macro reason for that?
Rajdipkumar Gupta: Aniket hi Rajdip here. I think I've already mentioned in the past also, Route Mobile
is a global company operating from 20 different global destination, and we have
termination all across the globe. We have signed a few large OTT players in last few quarters. In fact, we are working very closely with them to increase their
termination in various other countries.
Initially, when we on boarded those customers, they were using one or two
countries now these customers are using more than 13 to 14 countries. And that is the kind of potential we carry with every single customer, which we onboard
on our portfolio that we can at least offe r them more than 200 countries if they
want to terminate messages through us.
And I think one of the reasons our reve nue and I think volume is increasing
because based on our close working with the OTT players as well as some of the
large banking customers started sending traf fic with us in last quarter. And the
same trend is going to continue for the coming quarters as well.
Aniket Pande: And my second question on your EBITDA margin has expanded quite massively
in this quarter. If you could walk us through the headwinds and tailwinds on the
margins and also your margin aspiration in coming years?
Rajdipkumar Gupta: Aniket, we have always talked about ou r aspiration to increase our margin in
coming quarters because we believe that the omni channel adoption is going to
increase in more and more in coming quarters or years to come. We are at very early stage of adoption all across the globe, not only in India.
A s w e s p e a k , i f y o u s e e o u r n e w r e v e n u e c o m i n g f r o m n e w t e c h n o l o g i e s i s
increasing per quarter around 15% to 16% and we, at the current run rate, almost
about INR 36 crores. If we just do on an annual basis, we are already there with INR 150 crores run rate. So I think as and when this new line of communication,
the new channels will get adopted more by our customers, our revenue sorry, the

margin guidance will definitely increase more and more and we believe that I think all this channel of communication has a much higher gross margin as
compared to messaging, and that is exactly where we as a company focus and, there is one slide we have also presented in our presentation. I think the kind of

customers we are onboarding not just from India various part of the work on our new channel of communication. Gautam, if yo u just want to add anything to this?

Gautam Badalia: Yes. So Aniket, I mean just to address, both the points, right? So I think besides what Rajdip just highlighted, there was an ILD price increase that has happened, which was always, I mean, that is very po sitive. I mean, whenever there is a price increase by Telco because ours is pass through. The other thing is, besides the new product contribution, that's definitely continuing to show good momentum. I think some of our acquired entities like Masivian, they have started to now do really well. I mean we had invested over the last few quarters to expand their teams. And they have some seasonality aspects. And now know, I think they are getting into the phase of the year, which are the best for them, and we have seen tremendous improvement in their margins as well. So going forward, I think we have already called out, we are talking about 100 to 150 basis points improvement in our EBITDA margin for the year.

Moderator: Our next question is from the line of Pranav Kshatriya from Nuvama. Please go ahead.

Pranav Kshatriya: Thanks for the opportunity and congratulati ons on a good set of numbers. My first question is, again, a bit on the margin. You talked about around 11.5% EBITDA margin, which is 150 basis points higher than what was

the Q4 margin. But if I
l o o k a t y o u r H 1 p e r f o r m a n c e , i t i s c l o s e r t o 1 2 % . S o w h a t i s m a k i n g y o u
conservative in terms of the margin guidance? Or you're just keeping it conservative, and if there is a possibility that you might overachieve|?

Rajdipkumar Gupta: Pranav It’s better to be conservative an d overachieve. That's what I believe.

Pranav Kshatriya: Got you. But I mean, technically, we shou ld not be seeing any headwinds on the cost side for the next? I mean, are there an ything which you want to call out that in the next quarters, maybe because what I was expecting is -- it's not that the gross margin led expansion is there. This margin expansion is because of the operating leverage coming through? And in the coming quarters, because those are H2 seasonally stronger, we should see even more operating at or are you to expect some more investment?

Rajdipkumar Gupta: Pranav, I think, I as a CEO of a compan y would love to have more visibility of company in various global market where we are operating now. And I think if you see from last one or two quarters, we ha ve been very aggressive on attending a lot of conferences. I think that we need to spend some kind of marketing stuff as well because I think marketing is also one area for spend, where we have capped our marketing budget, but definitely, there will be a cost in the coming quarters, especially on marketing side.

Pranav Kshatriya: Sure, and in terms of the revenue, you ta lked about scaling up of the certain OTT. But can you give a little more granular color? If I look at the spurt in the revenue compared to Q1, what is contributing? Is the stand-alone Route mobile growth is what is contributing. Bulk of Mr. Messaging is contributing, Masivian is contributing? What exactly is driving growth?

Rajdipkumar Gupta: So I think we have the numbers. I request Gautam to just share the number if you can, if you have the numbers.

Gautam Badalia: Sure. Hi Pranav, actually the growth has been there across all the entities. In terms of organic growth, I think we have demonstrated over 20% growth on a sequential basis and as I said, Masivian also had to get demonstrated that kind of growth. So we've seen it across the board. And I think we are now entering into supposedly one of our best quarters at historically Q3.

So hopefully, I think that operating leverage will definitely play out. Plus, there is some degree of optionality. I'm just trying to call that out as well, which may kind of lead to further surprises in terms of ma rgin expansion. Essentially, a lot of the cost, we've been very conservative in terms of front loading it.
So some of that, I think, in due course, wo rked out favorably for us. So we will just wait and watch some of those aspects, but there is some degree of optionality also there into the margin expansion.
Pranav Kshatriya: Sure. Sir, just one last question from my side. There seems to be a fair bit of investment on the working capital side. Should we expect this to reverse? Or how should we see this or this investment will continue since you're going so fast in the second half of the year? C>

Gautam Badalia: Yes. So I think we're growing at breakneck speed. So it will definitely warrant some amount of working capital. But having said that, there were a few cases. So I just had called it out that I think this GeM portal thing it was something which caught us on the wrong foot and hence, some amount of working capital got blocked there. Now those things are all streamlined. So hopefully, going forward will not have issues with any working capital issues with respect to the GeM portal staff. And for some additional pr ice discount,

we also settled one of the large M&O outstanding. So some of these things, are more tactical, more statistical moves that we've taken. And that will ogle well for us , in terms of the overall margin expansion.
Pranav Kshatriya: Sure. Thank you, Gautam, Rajdip and the entire Route Mobile team. Wish you very, very happy Dipawali.
Moderator: Before I take the next question, we'd like to request participants to please limit the questions to two per participant. Time permitting; you may come back in the queue for a follow-up question. Our next question is from the line of Pritesh Chedda from Lucky Investment Managers. Please go ahead.
Pritesh Chedda: Sir, I have one question. In your cash fl ow, there is INR 83 crores being deployed in other financial assets and other assets, that's before operating cash flow. So what is this INR 83 crores?
Gautam Badalia: No. So a large part of that, so about INR 64 crores out of that is the unbilled revenue. Essentially, the service is being rendered but we were not able to invoice it. So that is a part of the receivables. So that should be construed as part of the accounts receivables.
Pritesh Chedda: And in your balance sheet, so there are two areas, right? So there is an area which is more longer-term financial assets, other financial assets where there is an increase and there is a part in the current asset. So I can understand the unbillable part in in the current asset? Or is there a unbelievable part even in the longer-term financial assets?
Gautam Badalia: No, unbilled revenue.
Pritesh Chedda: W i l l b e a p a r t o f y o u r c u r r e n t a s s e t s . Unbilled revenue is part of the financial assets. C>

Gautam Badalia: Yes. There are two financial items. Okay. There are two financials. One is long term in nature. One is short-term in nature in your balance sheet? One is a part of your current asset. Within current assets, we have other financial assets. And then there are longer assets were also you ha ve a financial asset. Do you have your balance sheet infront of you?
Gautam Badalia: So the other non-current financial assets, last part of that essentially is the fixed deposits having a maturity of more than 12 months.
Pritesh Chedda: That is the other financial assets.
Gautam Badalia: Other non current financial assets.

Pritesh Chedda: Other noncurrent financial assets. Perfect. So which means that this INR 50 crores
is cash generation in case whereas around INR 40 crores have gone because of unbilled revenue
Gautam Badalia: That's right.
Moderator: Thank you. Next question is from the line of Abhishek Bh andari from Nomura.
Please go ahead.
Abhishek Bhandari: Rajdip and Gautam, I just have one simple question. Longer term in a business
like yours, what should be the CFO to EBITDA ratio. I was under the impression
that the kind of business what we have, typically a working capital cycle should be very small. So is the business. -- is the industry undergoing through a change?
And what is the sustainable number here from a medium-term perspective?
Gautam Badalia: So I think on a sustainable basis, I think we should be able to achieve a 50% to
75% conversion. And as part of our guidance, we have called that out as well.
There were certain certain one-offs in this, hopefully, I think that should get
course corrected once you report the full year number.
Abhishek Bhandari: So you mean to say there's no change in the billing record or the payment terms
from the clients?
Gautam Badalia: No, change in the billing record, per se. C>

Moderator: Thank you. Our next question is from the line of Manik Taneja from JM Financial.
Please go ahead.
Manik Taneja: I just wanted to understand

, given the increasing share of our global business and
some of these acquired businesses are have higher margin profile, why are we not
seeing an impact in in terms of gross margin expansion? And secondly, just to crawl you a little bit further on the ca sh generation. If you could help us
understand as to government movement and yes.
Rajdipkumar Gupta: So Manik, let me get in and then the Ga utam you can add. So Manik, can you also
understand the various geographic presence we have, like if you go to Africa, there would be a very different gross margin game. And then if you go to Asia, or
will go to Latin America, is truly different market. So I think the overall, when we
console our balance sheet, I think what -- that's exactly what we're presenting. Gautam, you can just answer this
Gautam Badalia: So Manik, honestly, I think there was some issue with the voice quality. If you can
just repeat your queries, I just missed some leg part.
Manik Taneja: So the first question was with regards to the gross margin performance. While we
are continuing to derive a higher share of revenues from international and from
acquired business and some of the acquired businesses have higher gross margin
profile as for the difference we have provided?
Gautam Badalia: So yes, so I'll address this first. I think Rajdip highlighted the key aspect. I'll just
add to what he said. So some of the large OTT players, right? Because of the size
and scale and the rate at which they grow, there are some volume based discounts, which essentially leads to a drag on the overall portfolio gross margin,
but that is then adequately compensated by the new products and some of the
acquisitions that we have done, which are at higher gross margins. So that's the
way to look at it.
And from our perspective, if you were to l ook at it, some of these large OTT, if you
are able to service them in multiple geographies. The serviceability of some of
these accounts doesn't warrant significant operating cost. So there is tremendous
operating leverage that kicks in, and hence, it leads to higher ROCE C>

Manik Taneja: Sure. And the second question was with regards to the cash generation. If you
could help us understand what's changed with regards to the government
procurement?
Gautam Badalia: Yes. So I think for this one of these large PSU bank that we were providing the
services. at the very last moment, I mean, we were told that the entire billing has

to be routed through the Government e-Marketplace portal, which is the GeM
portal. So we had to get ourself integrated. That process is again a process which
warrants a little bit of time because we we re doing it for the first time. So some
part of that bank's quarterly revenue, a large part of that was stuck as it had to be
settled through the GeM portal. But now those things have been streamlined. We
are already integrated. We have already re ceived the payments for this particular
bank in the subsequently.
Manik Taneja: So should we expect an improvement in cash flow in 3Q itself?
Gautam Badalia: Yes.
Manik Taneja: And one last one from my end. Basically, the industry as a whole has seen
significant increase in ILD pricing over the course of last 24 months, how are we seeing both the pricing, both on NLD and ILD volumes, if I have to think about the
next 12 months?
Rajdipkumar Gupta: Manik hi, Rajidip here. So for us, it is pa ss-through prices, right? So definitely, we
did see some kind of a volume dip. But based on the price increase, I think it is just a pass-through for us. And I don't see there is any impact going to -- in fact,
we're going to gain more out of that rather than any impact.
Manik Taneja: Sure, but, do you think we could probably see that situation where ILD price will
increases?
Rajdipkumar Gupta: It all depends on operator Man

ik because I deal with some thousands of operators
and there are different operators have di fferent aspiration, like and they I think
definitely, most of the operators believ e that SMS one of the like big thing for
them. And I think most of them are trying to increase prices all across the globe. You never know, but I can't comment on there. We have what probably they may
be. C>

Moderator: Thank you. Our next question is from the line of Dipesh from Emkay Global. Please
go ahead.
Dipesh: A couple of questions on. First about the data-related questions, Yes, can you help
me with the acquired entity performance th is quarter, if you can give revenue run
rate of Masivian, MRM. Second questi on is about EBITDA margin expansion
optionality.
I think Gautam earlier alluded to I was a bit not sure what he is referring to. If you
can provide some more detail what he tried to convey. And last question is about
ILD price hike and rupee depreciation. Both of these sectors are positive for our revenue growth this quarter. So can you provide some quantification of those
benefit versus normal business growth?
Gautam Badalia: Sure. So Dipesh, Masivian revenue for Q2 FY '23 is about INR 562 million.
Dipesh: Sorry, I missed the number, Gautam.
Gautam Badalia: 562 million in INR terms. For Mr. Messaging, it's INR 1,720 million. Is that
sufficient or you want further entities
Dipesh: No, that’s fine
Gautam Badalia: Okay. Fair enough. So yes, so your seco nd query was on the optionality that we
were talking about, right? So what is happening is, I think in terms of the ESOP
cost, right, the first year, th e impact of the ESOP cost is the maximum. I think we
are now past the 12 months. So going forward, from the next quarter onwards,
there would be a drastic reduction in the ESOP cost because it will reduce 48% to
almost 28% for the full year. So that is the extent of the reduction that we'll kind
of pay out. Sorry, what was the third qu ery? I hope that addresses your query
Dipesh, what was the third point?
Dipesh: Third question was about ILD tariff and rupee depreciation some benefit, if you
can quantify those benefit versus usual business growth?
Gautam Badalia: No. So ILD because of the price increase, definitely, there was benefit in terms of
realization. C>

Rajdipkumar Gupta: I think, Dipesh we also buy in dollars and my customer also pays in dollar. So I
hope you're aware of this for ILD.
Dipesh: That’s fine. But when you
Gautam Badalia: Sorry to intervene. So Dipesh, so about 35% of our revenue is in dollars, 35% of
the revenue is in euro. So in a way, those things have settled off -- in terms of the
capital commitment that we have in terms of euros for Mr. Messaging will tend to benefit because of further depreciation of euro, but some amount of it will be
offset by what we have to pay to Masivian in dollars.
So net-net, if you look in terms of the capital commitment between Mr Messaging
and Masivian. we have a net euro exposure. So in a way, we'll benefit in terms of
the capital commitment.
Moderator: Thank you. Our next question is from the line of Moez Chandani from Centrum
Broking. Please go ahead.
Moez Chandani: My first question is on your revenue guidance of 60% revenue growth year-on-
year we're looking at H1, we've already grown at 94%. So in that sense, are we being a little conservative w i t h o u r r e v e n u e g u i d a n c e o f 6 0 % ? O r a r e y o u
expecting to see some slowdown over the next couple of quarters? Because even
if our Q-o-Q growth is flat, we should be able to comfortably exceed that guidance.
So I just want to
Gautam Badalia: 60% is definitely a very good guidance, like so I think we want to stick with 60%,
and w

e are definitely have that -- like we as a team are looking forward to achieve
over 60% also. But as far as the guidance is concerned, I think we want to stick
with 60%.
Moez Chandani: Okay. Understood. My second question was on the two acquisitions, the two small
tuck-in acquisitions that we are being planne d. So could you give us a time line on
when we expect those acquisitions to be completed?
Rajdipkumar Gupta: I think both the acquisition, we're still going through the due diligence process.
And right now, it's under the process only. So as soon as we have the outcome of
the diligence, I think then we can definitely share some data. But as of now, it may
take some time. That's what we can tell you. C>

Moderator: Thank you. Our next question is from the line of Vivek Sethia from HDFC
Securities. Please go ahead. Mr. Vivek Sethia, please unmute the line and go ahead
with the question.
Vivek Sethia: Sure. So my question -- and I had a question I just wanted to understand the
breakup of the acquisition Masivian Intertelco and MRM. And just a follow-up on
that, since your target is to achieve that 50% revenue growth. So could you break
that up in terms of how much would be organic and how much would be from the
acquisitions
Rajdipkumar Gupta: Yes, so I think from an or ganic growth standpoint, I th ink we should be able to
achieve a 25% to 30% growth rate and ba lance, we're looking at contribution
from the acquired entities.
Moderator: Our next question is from the line of Ajaypal Singh from Asian Paints Limited.
Please go ahead.
Ajaypal Singh: Congratulations for the good set of numbers. My question is with respect to the
revenue growth. We have been achieved 94% of the revenue for the Y-o-Y quarter
Q2 growth. As I have seen, there's a number of MRM Masiv have been added, which is of INR 236 crores. What is the other aspect which has led to the increase
in revenue? And any major customer wh ich we have added in the quarter and
generated the revenue will it be one-off or it will be continuous continuation?
Rajdipkumar Gupta: It will be continuous. We have added a few banks. We on boarded a few banks and
those traffic started coming from last quarter. As I said earlier also, there's a large
OTT player we have signed, and we have now started servicing these customers for 13 countries. We are also very working very closely with some of the large
CPaaS players that volume is also increasing.
So there are multiple reasons like where because of which our volumes are
increasing. And it's a properly strategy, we defined that we want to work with

everyone, especially with the CPaaS players also and we want to support them
than competing with them in various markets. So apart from that, I think, banking
customer and OTT player has contributed a lot, along with our Masivian and Mr.
Messaging. For the incoming quarters as well. C>

Ajaypal Singh: I'm hoping with the best results. One more thing, if I explain the 94% of the
growth rate, how much has been coming fr om the acquired entities growth rate
and how much is the normal business growth rate?
Gautam Badalia: Yes. So organic growth rate on a sequential basis was 20.6%. Balance is
attributable to some of the acquisitions that we've done.
Ajaypal Singh: Okay. So 95% has been to pass 20.6% is our organic and the remaining 70%,
which is on Y-o-Y, which are not in by
Gautam Badalia: We are talking about quarter-on -quarter sequential growth.
Ajaypal Singh: No, Y-o-Y I'm talking about.
Gautam Badalia: Y-o-Y, just give me a second. Yes, 40% is the Y-o-Y organic growth rate.
Moderator: Thank you. Our next question is from the line of Saurav Kataruka. Please go ahead.
Saurav Kataruka: Yes right. First

of all, very happy Diwali to the entire Route Mobile team. Sir, I have
two main questions. You talked about increase margin improvement, in future
new age technologies whatapp, Viber, RCS gets more adoption, and that is something which we have been hearing fo r many quarters now. Based on your
client interactions, what do you think is the reason for the slow adoption in these? And then second is, this is a request ra ther, can you present this breakup of new
edge technologies versus SMS growth or revenue split in the investor
presentation from next time maybe just li ke some of the software services firms
report that digital growth.
Rajdipkumar Gupta: Sorry, we, already have the one in the presentation.
Gautam Badalia: Yes, it's on Slide 21, if you may refer to it.
Saurav Kataruka: Okay. I might have missed it. And just another one. The second question is about
Call 2 Connect. in Q2 FY '22, you had told about 1,000 seater facility addition. And
I see the employee count in your investor presentation is 724. Does that include the Call 2 Connect employee count? And even statistics, what is the current
utilization of the 1,000 seat capacity -- and the last small one, it is about the
Click2Pay service, which you had launched sometime around Q3 last year. Any traction in that? C>

Rajdipkumar Gupta: Yes.
Saurav Kataruka: Thanks, those are the ones
Rajdipkumar Gupta: 700-plus employees completely for Route Mobile and I think on Call 2 Connect,
we have a separate set of employees. -- that number is Gautam has, you can share
Gautam Badalia: Yes, around 200, 200 orders
Rajdipkumar Gupta: No, no, Call 2 Connect.
Gautam Badalia: Rest around contracts. On payroll, it 's about 200-odd employees for Call to
Connect.
Rajdipkumar Gupta: And overall, it would be more than INR 1,500 if I'm not wrong.
Gautam Badalia: That's right. And in terms of the utilization at this point in time, it's running at
50% utilization. So, we were running at 300 seats, and we've just got additional
order of 200 seats right now. And there are some active pipelines that we have.
Some of this, I think, should fructify in this quarter.
Saurav Kataruka: And on Click2Pay there any traction in anything you would like to add?
Gautam Badalia: Yes. So Click2Pay, I think definitely, th ere is some amount of traction. In fact, I
think we've just deployed a conversational commerce platform with Coca-Cola in
UAE where they tried, tested our Click2Pay, but they had their own propriety payment solution, which they integrated it. So we are taking it to clients at this
point in time, nothing which warrants highlighting it at this point in time. But

we're seeing good traction on that as well, from a 360-degree conversational
commerce experience.
Moderator: Our next question is from the line of Rohan Bopani Retail Investor.
Rohan Bopani : First of all, thank you for the opportuni ty and congratulations for the great set of
number. I have a couple of questions. First is, has seen lately that people are using
Google Authenticator and other apps to basically authenticate the program. And
compared to the traditional SMS-based authentication, so what's your view on the impact of this on our business? C>

Rajdipkumar Gupta: So not at all, Rohan. It is all about different use cases are arising based on the
current requirement, okay? SMS is still there, WhatsApp is still there -- most of the WhatsApp used cases are customer support as of now, it cannot be taken over
by SMS. So I think because of the digital adoption ratio increasi ng day by day, the
various number of use cases are also rising. So Click2Pay or Google thing is it all
new channel of communication, which has a different use cases. And we don

't see
that as a competition to message, SMS, but that will have a different use case and
different customer set for that.
Rohan Bopani : So will we adapt to that style of authentication?
Rajdipkumar Gupta: It's a customer choice, base d on their customers, use ca se and choice, right? Same
customer is using for channel of communic ation, including voice, SMS, e-mail and
they may use Google Authenticator also, th at is available since very long time.
Rohan Bopani : Okay. Second question is regarding the buyback. Sorry if I'm wrong, I'm seeing
that in the investor presentation, it has been clear that promoters have not
participated in the buyback, right? But on the screener, I have seen that your stake has been increased a bit. So can you just clarify on this?
Gautam Badalia: Can you please repeat your query?
Rohan Bopani : I'm saying that in the buybacks, prom oters have not participated right?
Gautam Badalia: Yes, they are into the open market. That’s right.
Rohan Bopani : Yes. But and I see the, shareholding pattern I can see that promoters have
i n c r e a s e d t h e i r s h a r e h o l d i n g i n t h i s q u a r t e r . S o t h a t ' s w h a t I w a n t e d t o
understand.
Gautam Badalia: No, pursuant to the buyback, the shareholding of the promoters had increased.
But thereafter, there was a small block that was offered to a marquee investor. So
that resulted in the resultant shareholding of the promoters marginally falling
below their March shareholding.
Rohan Bopani : Okay. And I just have a last question on what's your view on macro environment?
And how do you see that the recession and other issues will impact our business C>

Gautam Badalia: Sure. So I think till now, I think we are largely present in emerging markets. We
haven't seen too much of headwinds in terms of what is today happening in the
developed markets, plus what is happening, especially in markets like India
because of digitization, because of the initiatives by the government to digitize
the economy.
We've seen the micro transactions increase multifold times. And as CPaaS
partners to enterprises, we tend to benefit out of the increased number of
transactions. So per se, we haven't faced the hit that the developed markets are
facing at this point in time. And yes, so I think that is where we are right now. and
for a lot of large OTT players from the US and even companies like Alibaba,
TikTok, you name it, most of these compan ies so largely from the US OTT players,
they are looking at their gr owth coming from emerging markets, and hence, we
tend to be a big beneficiary.
Moderator: Thank you. Our next question is from the line of Mohan Kumar , an individual
investor. Please go ahead.
Mohan Kumar : That’s another great set of numbers. Just a quick question regarding the cost of

message I see that message cost was [up by around 20% this quarter, which is much higher than the rest of the expenses that you guys are seeing. So any particular reason why that number is a little higher?
Gautam Badalia: Sorry, which number, can you just repeat?
Mohan Kumar : Purchase of messaging services, it's up to about 657 versus 565 last quarters. So that’s grown littler higher.
Gautam Badalia: It’s function of the increase in revenue as well, right? Revenue increased from INR 730 odd crores to INR 850 crores.
Mohan Kumar : A little more than the revenues. So I just want to know
Gautam Badalia: No, so, gross profit margin, if you were to plot it for both the quarters, it's around 22.4 and 22.3 -- so pretty much, I me an, it has been at same levels.
Mohan Kumar : Got it. And just a second question regarding the -- and I know that you've mentioned that you're probab ly conservative, but if you just look at the basic run rate from current levels, yo u're looking at like second half

a much stronger for

you guys than it just looking at the current run rate, keeping this here, we are looking at around 70% growth. So would I be wrong if I'm morphing in close to 75% or 80% Y-o-Y growth?
Gautam Badalia: So a small kind of a caveat there. I think definitely, Diwali also actually has happened and there are some obvious festivities have actually happened in Q2 this time. So there is some amount of that has already played out in Q2. Notwithstanding that, we definitely believe Q3 and Q4 will be good. But I think we have already given a guidance of 60%. We would want to stick to it and ensure that we kind of outperformed that number.
Mohan Kumar : Just a follow-up on that, you mentioned the Diwali aspect has already kicked in. So what do you mean by that since there's still like almost a couple of weeks away like Diwali is next week just trying to un derstand how has that laid out in the last quarter?
Rajdipkumar Gupta: There are lots of sale has been already, I think it was there in last month, if you see, like whether it's Amazon or sale for Flipkart and other like so that's what Gautam was trying to mention.
Mohan Kumar : Got it. Sounds good. Thank you very mu ch. I hope you guys have even more successful next couple of quarters. Happy Diwali and all the best
Moderator: Thank you. Our next question is from the line of Aditya Yadav from Transient Capital. Please go ahead.
Aditya Yadav: Apologies if the question is a bit repetitive because I joined the call a bit late. Sir, as you've been guiding previously that we are trying for like 100, 200 basis point margin expansion every year, and that is the vision for the company. And although the revenue growth has been super and blockbuster to say, but on the margin front, even if you look at year-on-year, the margins have been flat to a bit negative at the operating level?
Gautam Badalia: Yes. I think we discussed this point earlier. So essentially, what is happening is there are some large clients, right, where the revenues grow in multiples, and we service them across multiple geographies. And they happen to be million-dollar clients.

So over a period of time, as we deepen our relationship with them, there are volume-based discounts, which essentiall y tends to have a drag on the overall portfolio margin. But the newer products, so me of the acquisitions that we have done, which are doing tremendously higher gross margin, they tend to offset it.
And hence, while the gross profit margin has remained at 21%, 22%. But in terms of the operating leverage that flows in, in terms of the EBITDA margin expansion that actually should -- and from our perspective, we look at it from a return on capital employed perspective.
So for servicing some of these large multimillion dollar clients we don't tend to incur too much of operating overheads. So whatever we are able to generate in

terms of gross profit flows directly to the EBITDA and hence leads to higher ROCE.
Aditya Yadav: No, if it closed down to the EBITDA, th en obviously, the margin should expand now? And as you are saying, okay, sometimes you have with certain clients with larger clients, there's a bit of..
Gautam Badalia: So some amount of cost impact on the EBITDA margin has been because of the front loading of the ESOP cost
Aditya Yadav: What I'm saying over a year on year, these things would normalize a bit and you should see some kind of expansion in the margin
Rajdipkumar Gupta: So Aditya, exactly what we are trying to say from last one hour that new product is something what we all are focusing righ t now. As on when the adoption of new channel will happen and more customers w

i ll be on boarded for the new channel, our margin will expand for sure. And the kind of guidance we have given in the market that we have the aspiration to grow our GP in the range of 25%, 30%, and we are working towards that
Aditya Yadav: And the short-term goals al so which you discussed the 120 basis point expansion every year.
Gautam Badalia: Yes, we've already called out, I think, as part of our guidance, 100 to 150 basis points improvement in our EBITDA margin.
Gautam Badalia: Yes, that should play out. C>

Moderator: Thank you. Our next question is from the line of Anil Nahata, an individual investor. Please go ahead.
Anil Nahata : My question is that these lead channels like WhatsApp and all, have they been able to make significant volumes to reach a couple of percentage of the overall revenue so far?
Rajdipkumar Gupta: Yes, indeed, I agree, because we are already onboarding lots of customer on WhatsApp as we speak, not only on WhatsApp, but on Viber as well as on other channels.
Anil Nahata : Hello, I lost you
Rajdipkumar Gupta: I think I answered you, but if you..
Anil Nahata : I'm sorry, maybe I'm having an issue at my end. I will go through the transcript.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference back to the management for closing comments.
Rajdipkumar Gupta: Thank you, everyone, and wish you al l a very happy Diwali and prospers New year as well. Thank you once again.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us. An d you may now disconnect your lines C>

Call: Jan 2023

Re
f No: RML/2022-23/333
Date: January 30, 2023
To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 NSE Symbol: ROUTE
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter and nine months ended
December 31, 2022
We are enclosing herewith copy of the transcript of the Company's Q3 FY23 earnings conference call dated
Monday, January 23, 2023.
The transcript is also available on the Company's website under the Investors section at:
https://routemobile.com/wp ■content/uploads/2023/01/Earning ■Conference ■Call■Transcript■ Q3■FY23■January.pdf
Further, please note that no unpublished price sensitive information was shared/discussed by the
Company during the said earnings call.
You are requested to take the above information on record.
Thanking You
Yours truly,
For Route Mobile Limited

Rathindra Das
Group Head■Legal, Company Secretary & Compliance Officer
Membership No: A24421
Encl: as above

Management:

1. Mr. Rajdipkumar Gupta, Managing Director & Group CEO
2. Mr. Gautam Badalia: Group Chief Strategy Officer & Chief Investor Relations Officer
3. Mr. Suresh Jankar: Chief Financial Officer

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Moderator: Good evening Ladies and Gentlemen. I'm, Tanvi, moderator for this conference. Welcome to the Conference call of Route Mobile Limited arranged by Concept Investor Relations to discuss its Q3 & 9MFY23 results. We have with us today Mr. Rajdipkumar Gupta, Managing Director & Group CEO, Mr. Gautam Badalia: Group Chief Stra tegy Officer & Chief Investor Relations Officer and Mr. Suresh Jankar: Chief Financial Officer. At this moment, all participants are in listen■only mode. Later, we will conduct a question■and■answer session. At that time, if you have a question please press * and 1 on your telephone keypad. Be fore we begin, I would like to remind you that some of the statements made in today's earning call may be forward looking in nature and may involve certain risks and uncertainties. Kindly refer to slide no. 2 of the presentation for the detailed disclaimer. Please note this conference is being reco rded. I now hand the conference over to Mr. RajdipKumar Gupta from Route Mobile Limited. Thank you and over to you Sir.

RajdipKumar Gupta: Thanks, Tanvi. Good evening everyone and wish you all a very happy New Year. I want to thank the entire RML team for delivering a staggering per formance quarter after quarter. We have yet again exceeded our expectation in in the quarter gone by. It gives me great pride to highlight that we have surpassed our pre IPO FY2020 audited revenue of INR 9,563 million and adjusted PAT of INR 843 million in just this quarter of Q3 FY 2023. By clocking our best quarterly revenue of INR 9,857 million and adjusted pad of INR 1,010 million, This is despite the recent COVID issues, the Russia ■ Ukraine war supply side issues and current headwinds in various market. Our focus approach, deep domain expertise, and most importantly, our modular approach of cre ating multiple levers of growth across multiple geographies have been the bedrock of our success. We continue to progress significant growth and quality deals wins all across the globe including India. Some of the key highlights since Q2 FY23, are as follows.

We won a couple of exclusive end to en d deal with mobile network operators. RML is now exclusive partner for international A2P messaging for leading MNO in Sri Lanka as well as for Uganda Telecom Corporation in Ug

anda. While there is a lots of discussion about mobile network operators stepping into our domain, this deal will justify why Ro ute mobile is an indispensable partner to the MNO. Further, there are various other unique opportunities with MNO that we are working on and I'm confident that there will be more such partnerships that we will announce in days to come. In terms of our geographical expansion, the Route mobile standing is p resent in GCC region with entry to the Kingdom of Saudi Arabia with CITIC license.

When we formed a step down subsidiary in Mexico as a part of our LATAM expansion strategy and step down subsidiary in UK to focus on mobile identity and other products.

Route mobile has awarded the best governed company enlisting segment emerging category at 22nd ICSI National Award for excellence in corporate governance. Enterprise are increasing their adoption of new products and we continue to witness strong momentum. The worldwide growth of digital transactions carries a substantial increase in digital fraud, which presents a critical challenge for all these stakeholders. To address this issue, we are launching a mobile identity management products that will help enterprise to gain actionable insights and curb digital fraud and provide a simple at more practical solutions such as password less authentication. Our solution is already live in Colombia and Peru and is being used by Marquee Enterprise, including bank.

For our e■mail business we have upgraded our e■mail infrastructure which was delayed but due to the hardware supply challenges this new setup will enable us. To build large enterprises for e■mail businesses that includes bank, we are indeed very optimistic about our e■mail. Our senior management team has been doing a fantastic job during Route mobiles, superlative performance across multiple geographies. Accelerate our next phase of growth and profitability to maintain our razor sharp focus. There will be some realignment at the senior management level, including hiring a few seasoned industry professionals to drive dedicated SBU. We shall make relevant disclosures concerning these at the appropriate time. Last but not the least, the board has decided to meet on January 26 to discuss the proposed interim dividend considering the superlative performance of the company in Q3 FY23 with this Gautam will walk you through our financial highlights in more details. Thank you. Over to you Gautam

Gautam Badalia: Thank you, thank you Rajdip. Good evening everyone wishing all a very happy New Year 2023. We've already uploaded our quarterly earnings presentation on our website. As well as on the Stock Exchange websites. Hope you had a chance to go through the presentation. I'll quickly summarize our financial and operating performance during Q3 FY23 and nine months FY23, before opening the floor for Q&A. At the backdrop of our best quarterly performance till date, we have indeed demonstrated that we are one of the largest CPaaS companies and one of the most diversified players in the emerging markets, if not the largest.

Further, the undercurrents in the business continues to be very robust despite the recessionary headwinds. We will definitely surpass our FY23 revenue guidance of 60% by a margin. The key takeaways from our financial performance in Q3 FY23 is the superlative growth we demonstrated YOY Revenue growth of 75% and QOQ revenue growth of 17% with focus on improving profitability. We have done fairly well on both counts as highlighted in slide 18 of the presentation. In fact, as Rajdip highlighted, we have surpassed our pre IPO FY20 revenue and adjusted PAT in a single quarter that is Q3 FY23. In volume terms we processed 27.7 billion transactions, which is the highest quarterly billable volumes pr ocessed by us till date.

In terms of geography, India continues to be our largest market by termination accounting for over 45% of our revenue by termination. You may refer to slide 6 and we are on track to surpass our guidance of U.S. dollar $175 million revenue from India in FY23. We continue to witness very strong momentum on the next generation products across multiple geographies. We have demonstrated YOY growth, I mean for the new products of 53% and QOQ growth of 19%. You may refer to slide. 19 of the presentation. With respect to certain one off cost bad debt amounting to INR 58.4 million were written off in Q3 FY23. It relates to Mr. Messaging's pre acquisition period. The same amounts will be adjusted while computing the EBITDA for Mr. Messaging for the purposes of calculating the deferred payouts for the shareholders of Mr. Messaging. There was also a reversal of ESOP of expense to the tune of INR 82.5 million owing to resignation of some employees.

With this backdrop, let me walk you through the financial performance. In terms of Q3, FY23 performance revenue from operations grew by 75% from INR 5,628 million in Q3 FY22 to INR 9,857 million in Q3 FY23. There was a sequential growth of 16%, rounded up to 17%. Route mobiles, organic revenue growth excluding revenue from entities acquired during FY22 was 34% on a YOY basis and 17.2% on a sequential basis. Billable transactions increased from 16.3 billion in Q3 FY22 and 26.9 billion in Q2 FY23, to 27.7 billion in Q3 FY23. Average realization per billable transactions increased from 31 paisa in Q2 FY23 to 36 paisa in Q3 FY23. Gross profit margin expanded from 21.1% in Q3 FY22 and 22.3% in Q2 FY23 to 22.4% in Q3 FY23. Adjusted EBITDA grew by 66% yoy. EBITDA grew by 17% sequentially from 1,094 million in Q2 FY23 to 1,283 million in Q3 FY23. EBITDA margin was 13% in Q3 FY23 as compared to 12.9% in Q2 FY23. The effective tax rate for the quarter was 17%. Adjusted Profit after tax grew 63% on a YOY basis and 10% on a sequential basis. Adjusted tax margin was at 10.2%.

For nine months FY23 revenue from operations grew by 86% from INR 13,760 million in nine months FY22 to INR 25,606 million in nine months FY23. In terms of certain KPIs for nine months, Route mobiles organic revenue growth excluding revenue from entities acquired during FY22 was 36% on a YOY basis.

Billable transactions increased from 34 billion to 79 billion from nine months FY22 to nine months FY 23. Average realization per billable transaction was 32 paisa for nine month FY23. We had a net revenue retention of 125%. You may refer to slide 16 of the earnings presentation. We added over 700 new customers in the nine months FY 23 across all products. Gross profit margin expanded from 20.9% in nine months FY22 to 22.4% in nine months FY23. EBITDA grew by 72% from INR 1,879 million in nine months FY22 to INR 3,237 million in nine months FY23. In terms of operating leverage, EBITDA as a percentage of gross profits stood at 57%.

EBITDA margin was at 12.6% in nine months for 9MFY23. Effective tax rate was 12.3% for 9MFY23. Adjusted profit per tax grew by 93% from INR 1,450 million in 9MFY22 to INR 2,803 million in 9MFY23. There was an improvement in adjusted profit margin to 10.9% in 9M23. We

on boarded 66 new employees during Q3 FY23 and 61 employees left during the year. Net cash as on December 31st 2022 was INR 7482 million. Operating cash flows for three months FY23 (erred as nine months FY23 during the call) was marginally negative owing to some strategic business initiatives towards large firewall contract and discharge of a prior GST liability under reverse charge mechanism. We believe the EBITDA to OCF conversion will start to trend 50% and above from Q1FY24 onwards. With this we open the floors for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: So I just wanted to get your views on the growth outlook for the industry in medium term as well as the competitive intensity as some of your peers have been reporting fairly weakish revenue growth. Though the volume growth is still on the 15% to 20% range, so maybe around the pricing are you seeing a stabilization and also what do you think could be a medium term growth outlook? And also to that what do you think is the competitive part, especially from some of your peers in the CPaaS itself like video as well as the telecom companies who are trying to enter into this space.

RajdipKumar Gupta: I think first of all I just want to verify again our entire growth is not just coming from 1 market. Our growth is coming from various different market and I think on a competitive side. I think there are four or five large CPaasS there all across the globe and we are one of the top Tier 1 aggregators as per the Rooco report. I think our growth is coming from Latin America, Europe, Asia and other markets and Middle East as well. So, for me I think competition is definitely there in global market also, but we are fairly balanced in Africa, Latam and Asia and Middle East and I think almost all the top aggregator of the world they use our connectivity in this market and that is the reason we can see there is a huge growth at quarter on quarter from

last seven quarters which we have reported. Gautam if you want to add this to this?
Gautam Badalia: Yeah, sure, so from a growth perspective I think I mean the good thing is the organic revenue growth, we've surpassed the portfolio growth rate, that speaks volumes about our execution and from the robustness of the business at this point in time from I mean the month, till date, the revenue run rate that you're clocking. I mean we have not been kind of witnessing any slowdown whatsoever, and even for next year we have good amount of visibility in terms of deals that we have won the new volumes that will start to kind of kick. And as Rajdip highlighted, we have multiple engines of growth, multiple levers of growth across multiple geographies. We're very bullish about LATAM and we believe the LATAM growth trajectory will be very strong in days to come and very investing in the right markets over there. From a GCC standpoint we've kind of now deeply entrenched into a lot of adjoining markets besides UAE, and we believe a lot of growth will start to come from some of those markets like Saudi, Kuwait. India, we definitely as we've always been highlighting that we have been late in terms of our India domestic entry strategy. But now we are kind of making our presence felt and definitely taking a lot of market share from competition.

RajdipKumar Gupta: Just to add Abhishek. I think firewall product at the kind of deployment we are doing right now with various operators. There's one slide also showing that I think that particular division is doing really good and we are in talks with multiple operators as we speak, and very soon we will announce some more exclusive partnership.
Abhishek Bhandari: Got it, Sir, thank you and Sir, you mentioned at the start some kind of leadership changes with new growth plan. If you could elaborate a bit more. I don't want specific names or something, but what is the use of structure you're thinking about? Or is there any different go to market. You will be thinking about from a new growth paradigm. Because it looks like the growth is now more focused on outside India, so maybe you could elaborate on that.
RajdipKumar Gupta: So Route mobile is always I just mentioned right India is just one of market for us. We operate from 22 markets and every market where we have been operating and we see a very solid
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rowth over there in terms of the leadership change, I think we're hiring some top management, especially to take care of our mobile identity division. We are launching a product in Barcelona probably, which will be a very unique solutions to mitigate the risk of digital fraud, and that is exactly what I think most of the Fintech company, most of the banks are facing right now. So probably you can say by launching their first fintech solution in the month of February. And to lead that, we are definitely hiring somebody from industry who has multiple years of experience to lead this product.
Moderator: Thank you, the next question is from the line of Manik Taneja from Axis Capital. Please go ahead. We have lost the connection for Mr. Manik Taneja. We'll move to the next question from the line of Mohit Motwani from Nuvama. Please go ahead.
Mohit Motwani: I wanted to ask a couple of questions, so first question was around the volumes which was flattish, quarter and quarter. So there would have been some impact on some of the geographies. So do you want to call out any geographies where there were some more impact in the other geographies in terms of volumes?
RajdipKumar Gupta: I think you need to also understand. Let me just give you a small example. One single international SMS terminating in Bangladesh being charged 12 cent and same in Pakistan 14 cents. Where when you talk about India ILDO messages is 4 cent. So I think it's a combination of geography mix like each month we have a higher traffic and what price, so one should not look at my numbers without this volume. Based on the realization per transaction, as we speak. I think we are working very closely with another Sri Lankan operator where each SMS is going to be around 10 cent.
Mohit Motwani: Sure, that's helpful. And can you add to what just Ashish said, right?
Gautam Badalia: So I mean, just to kind of give you a sense on volume side, so I mean, we'll also need to account for I mean Diwali while Diwali was in early October, but a lot of the promotional spend,

including some of the sale by large e■commerce companies happened in Q2, which traditionally happens in Q3, so to that extent I mean if you were to normalize it. I mean there was volume growth that was there and there was also a large ILD price increase that had happened in Q2 and some of that volume also had kind of shrunk because of I mean whatever was non■critical had shrunk going to that but I think the large impact was because of Diwali being in early October and hence a lot of volumes were there in Q2 which needs to be normalized.
Mohit Motwani: That's helpful, can you provide us the revenue for Masivian and Mr. Messaging for the quarter?
RajdipKumar Gupta: So for Masivian the revenue was about 601 million in INR terms and for Mr. Messaging it was 2,031 million in INR terms.
Mohit Motwani: Sure, thank you, and for messaging, considering I understand that Massivian one of the strongest quarters with Q4 of the calendar year. So how was the year on year performance

that?
Gautam Badalia: So on a year on year basis, I think we are looking at over a 20% growth.
Mohit Motwani: OK, and just the last one from my side. Can you give us some color on the contribution of WhatsApp in the new your new product revenue? Not maybe a specific number, but some color on the contribution from WhatsApp.
Gautam Badalia: We do report our new products revenue and it is a mix of I mean not only WhatsApp, Viber various other new products. So I mean we don't call out in each of these products separately.
Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Thanks for the opportunity couple of questions. First about the some of the industries which we report. If one do calculation. BFSI seems to be showing

some muteness on quarter on quarter revenue perspective, so if you can provide some sense about industry specific commentary about how you see demand trend. And obviously, growth is materially moderated in BFSI compared to your YOY trend in H1 compared to Q3, what we see. So if you can give some sense. Second question is about the exclusive arrangement or deal which we announced for SMS firewall solution with Sri Lanka telco. Whether the gross margin would be very different than our enterprise business, where we get roughly around 20% gross margin considering it is firewall deal. Or it could be largely operating like enterprise business. If you can give some sense on it. And last question is about cash generation. I think partly earlier Gautam alluded at about weak cash generation. I am not clear about the negative or muted cash generation which he said is for Q3 or for nine months. If you can clarify and how you expect it to play out for next few quarters, thanks.

RajdipKumar Gupta: So I'll address the second question about the firewall. I think most of the firewall solutions are like SaaS solution and then we became a gateway for those operators. It's about 30% to 35% margin. It is definitely a much higher than the traditional margin.
Gautam Badalia: So Dipesh your query around the cash flows in my commentary it was for Q3 FY23 (erred as 9MFY 23 during the call) and this year essentially Q3 and Q4 will have some degree of impact because of the strategic business initiative for a couple of firewall deals. But from FY24 onwards it will result in high free cash conversion. So just wanted to kind of update you about it coming to your query, your first query was around the BFSI right.
Dipesh Mehta: Right the volume, so BFSI revenue growth seems to be muted if I do the way you give nine months cumulative number.
RajdipKumar Gupta: So I think Gautam we need to just make it clear we didn't see any kind of growth in the BFSI, like volume Gautam, if you can just answer.
Gautam Badalia: So I think in terms of financial services you are right. If you're comparing this with. So Dipesh if you can just help me understand are you comparing it on quarter on quarter basis or on YoY basis?
Dipesh Mehta: So I'm comparing both way QoQ. It is muted so flat and YOY also if I look your H1 growth and now Q3 YOY growth H1, your growth used to be 75 percentage plus. Almost 80% is close kind of number. Now it is less than half of it, so I just want to get some sense.
Gautam Badalia: Yeah, so as I said, I think some degree of this growth was also attributable to Diwali being early in the previous month. And we serve a lot of critical traffic from our perspective, so we are not seeing significant drop. I think in terms of the transactional messages from BFSI stand point.
RajdipKumar Gupta: So I think we need to also understand when we onboard a new customer all of a sudden that volume will be added for that particular quarter, but after that that volume will be become a stable for the next quarter or next month. So there were certain banks we have added in last few quarters. Those volume has been added to last year, maybe last quarter so, but the same volume is going to be continue with this quarter also, but there won't be that kind of a jump which has been in the previous quarter.
Dipesh Mehta: So broadly, you're not seeing any demand pattern change across industries because your retail. If I look at it, retail is showing significant weakness even on telecom and allied services. The way we report is showing some different trend compared to let's say earlier trend. So but broadly you are indicating we are not seeing any pocket of weakness, particularly on industry side. Ecom also showing if you one look at QOQ. It is double digit down even YOY it is down now. So I just want to get that sense key across industries anything w

hich you want to highlight.

RajdipKumar Gupta: I don't see any, We always believe that we see lots of digital adoption happening all across the globe in all the market where we operate and we operate maximum in emerging markets where we see the littler adoption ratio is increasing day by day and we believe that this transaction is going to increase multifold in coming days. And we are very bullish about our growth in the coming days. Yes, based on certain the firewall deal, we may send just 10 million traffic and we make $1 million revenue. So instead of sending 100 million and making $1 million revenue, so it all depends on market mix. Also we need to consider that way.

Gautam Badalia: So Dipesh we also process a lot of ILD traffic. I mean when it comes to financial services as well and because of the price increase as I said the non■critical components of the communication, I mean that definitely had impact because the price increase was significant. So it's not only related to domestic NLD traffic. It's a mix of NLD and ILD. And on ILD front definitely there was some volume dip which had happened and that's largely because of the price increase.

Dipesh Mehta: Last question in other industries, any industries which is doing exceptionally well for us. If you can call it out.

Gautam Badalia: So we have that already laid out in the presentation, so digital native continues to be strong and we are kind of deepening our wallet share with most of these digital native companies.

Dipesh Mehta: Gautam, I'm referring to the industries which you highlighted the six industries outside of those industries is doing very well, so if you can try prefer to highlight anything which is doing well. Outer side of 6 industries you put in presentation.

Gautam Badalia: No, no. So as I said, digital native industry, I mean that that continues to be as robust. I mean, even at other size and scale that we're talking about.

RajdipKumar Gupta: So Dipesh just let me give you a perspective out here, like to ask you a question as I said if I'm serving Google for India, I'm not serving Google just for one country. I have a potential for serving Google for more than 100 country. If I onboard one single OTT player as a customer, it is very simple for us to just provide a connectivity for the global market. OK, so OTT player and digital native customers when they onboarded on our platform we are serving from multiple countries and that is the growth we see from last few quarters.

Moderator: Thank you, the next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I had a few questions. First of all, with regards to the CFO to EBITDA conversion that Gautam alluded to at the start of his opening remarks. What you've seen is that our cash flow conversion has suffered materially over the course of last three years and so essentially, how should we be thinking about cash flow going forward? Is there a structural reset in terms of the cash flow profile? That's question no 1. The second question was with regards to the

competitive intensity. In the last six months we've seen Telecom service provider becoming much more aggressive, especially when it came to some of the one of the large contracts. So what are you seeing on the ground now? And the third question was with regards to any potential price increase, either on the NLD or the ILD side. Over the last couple of years we've seen ILD pricing go up. In the past you were added to even seeing a similar phenomena happen on the left side. If you could help us understand what are you seeing on the ground, thank you.

Gautam Badalia: So Manik just to kind of give you a perspective in terms of the cash conversion. So over the last three years, we've seen structural changes in the industry. So in the midst of COVID, all the traditio

nal regional companies, the business, was massively impacted and it was only the digital savvy businesses which continued to thrive. And for all these large digital technology companies our receivable cycle happens to be well within 30 days. I mean so 30 days is the credit period. When the economy started to open up and all the regional traditional companies started to kind of come back to normalcy. That's when the working capital cycle started to prolong a little bit because most of these regional companies are payment cycles are a little longer than most of the other digital native companies or large technology giant companies. So that actually led to some amount of free cash getting stuck in terms of increased receivables as we are kind of inching now towards a more stable environment where the change in the working capital will get normalized as we move forward, it will lead to higher cash conversion going forward, but the only caveat in this is this quarter and the next quarter we have two large strategic business initiative deals from a firewall standpoint which may warrant some working capital getting stuck. But from the FY24 onwards, the cash conversion will be far higher and should that will trend towards northwards of 50% from a conversion standpoint.

RajdipKumar Gupta: Sure, so from your question of competitive like the landscape. As I said for me we compete in the global market and I think opportunity for me is very high when we talk about emerging market or developed market. I think we are operating and we are serving customers. The markets, so there are very few people. Few companies who are in this space where you can say top five CPaaS player probably there and I think we are a champion of emerging country and as I said most of this CPaaS players they use Route Mobile as the connectivity partner and we see also, growth coming from them to Route mobile so I don't see there is any change in on because it's more about the partnership model. We work with them rather than competing with them. Yeah, but there are certain market certain domestic players where we go. We do compete with them in certain markets. According to me, I think we are fairly well placed and we don't see much of competition in global market or the market where we operate.

Manik Taneja: So my question was more around the domestic market because over there we had seen one of the large operator get aggressive with one of the PSU.

RajdipKumar Gupta: No, in my first address I've already clearly mentioned that we work very closely with operators, and one operator coming and trying to disrupt the market is not going to work at all. It's a very large market and I think India’s digital adoption and transactions are increasing day by day.

There is a huge market and there's a. Market for everyone. We will treat them as a competition and the competition. If there are 10 competition in Indian market, we will take them as a 11th one, but the question is again, you should have a DNA of CPaaS player to serve the customer. Onboarding a banking customer takes almost 6 to 8 months and that is something the DNA which we have built in or some of the CPaaS player has built over 7■8 years or 10 years kind of thing for them somebody like to have a multiple backup connectivity is also required. There are so many things required in your platform to serve a large banking customer, and I think probably they can win one or two banks or customer. But going and serving ‘n’ number of customers on that scale is impossible for them honestly, but again, if there is a competition, we are happy to compete with them. And I don't think they are going to sustain with those pricing even they go and close multiple deals.

Moderator: Thank you, the next question is from the line of Moez Chandani from Centrum Broking, please go ahead.

Moez Chandani: M

y first question was on the revenue per transaction that's gone up significantly this quarter, so is there anything specific driving that? Or is it just because of a geographical mix change that's happened this quarter?

Gautam Badalia: Yeah, it's high, so it is largely due to the geographical mix, so rest of the world we've seen significant increase and ILD price was also increased for the Indian markets.

Moez Chandani: OK, sure understood and also secondly, on your ESOP program. So I understood that there was some reversal of charges this time around, but with your new employees coming in, do you expect higher than expected costs in your ESOP program going forward? Or do you think that the current levels would sustain?

Gautam Badalia: So in terms of the ESOP cost, yeah, so I think I already kind of given that there were some rollbacks and whenever a new employees will join, ESOP’s will definitely be an employee engagement program, from our perspective. It is there to attract good employees so it will be there but the scale and proportion of that may not be as high as what it was last year.

Moez Chandani: And lastly, on your cash flow, operating cash flow. So I understand that from FY 24 you will be at 50% plus operating cash flow, but could you give some indication of what your OCF to EBITDA number will be for FY23? What sort of OCF to EBITDA percentage are we looking at? You know at the end of this year?

Gautam Badalia: The endeavor will definitely be to kind of inch closer to 50%.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: So my question is on the partnerships that we have announced. So in terms of the two partnerships and the network firewall partnership that we have announced, So what is the timelines in terms of revenue that we can expect and what is the revenue potential from these partnership and deals, and also in terms of the acquisitions that we have done. If you can provide some more color in terms of the performance of these individual entities. So how they have been performing?

RajdipKumar Gupta: So revenue from this partnership will take about 10 weeks to deploy the entire firewall for this Srilankan operator, and we're looking forward to have this revenue to be part of our overall performance from April onwards.

Amit Chandra: OK, and the earlier announcements that we made regarding the Uganda Telecom and the firewall deal there.

RajdipKumar Gupta: So Uganda is already live and we already serving them now. So I think that is live.

Amit Chandra: OK, and on the acquisition search, so if you can provide some color on how the individual acquisitions are doing.

Gautam Badalia: So I think good thing is both Masivian and Mr. Messaging are doing really well. When we onboarded Mr. messaging it was at a run rate of €5.5 million a month. I mean that has already trended up to almost €7.2■€7.3 million. In fact in December they've even outperformed that. But December being kind of a seasonal month. So we fairly confident that I think that's already the business is already tending at €7.2■€7.4 million a month. And in terms of Masivian, I think we've done few investments last year in terms of expanding the teams and even from a product line expansion standpoint we were looking at creating a new product out of that team in partnership with the Indian technology folks. So at this point in time, I think we see Masivian continues to kind of drive almost a 20% growth rate and won a large $5 million deal which is a multi■geography deal and that was courtesy Our presence across multiple geographies so that is on their revenue scale on a significant contributor, and we're reasonably confident. Masvian this year also I mean in FY 24. Also, we'll be able to kind of clock growth rates northwar

ds of
20%.
Amit Chandra: OK, and in terms of the acquisition strategy, since we have been aggressive on the acquisition side. So how do we see in terms of deployment of the cash that we're having? So are we planning somewhere acquisitions in some strategic areas or we are planning to grow the business alternately from Europe.
RajdipKumar Gupta: Like as I said that we are launching few product very soon and I think this is in house built and probably in terms of acquisition we're not looking out to acquire any large companies or invest heavily on that side. Right now we are focusing more on how to integrate and create upsell and cross sell opportunity within all the companies we acquired and that is our focus for next few

quarters and I think we want to make sure all the integration and possible opportunity to be created well and which we have seen a very good traction between all this company where we started using each other's product fairly well. As I said, the mobile identity product which we are launching is a brainchild of Masivian and we both team from Bangalore, the Route Lab and the team from Colombia are working together to build this product which is a very unique product and probably a product for the fintech market, to be launched in India very soon.
Amit Chandra: Ok so I have one last question so we have seen that there has been multiple price hikes on the ILD side. OK, So what is the thought process behind this massive price hikes by telcos? And is it indication of the fall in volumes, so they are increasing the prices to offset the fall in volumes that we are seeing.
RajdipKumar Gupta: So Amit, I think if you see global market I think that's a trend going on all across the globe. Now any international OTT brands committing all across the globe are paying higher price. And that is a very common trend. And India is still a very low price as if you say four cents as compared to 12 cents or 13 cents in Bangladesh or Pakistan. But I think yes, it's a completely, prerogative of operator to decide, for us it's just a pass through. And operators really need to think logically before they increased pricing, because if they really want to increase price, they may lose some traffic. But I don't think operators are going to increase price in India for next at least for few years, one year for sure because they have seen certain degrowth in traffic, which somehow there are little bit careful. This is my understanding. I might be wrong also. But on the domestic side, there are some discussion people are talking about to increase pricing. I have no idea. We have not got any update from operator as we speak and probably I don't think because enterprises are definitely spending a lot of money on this kind of communication and probably increasing price at this point of time won't work for operators, so I don't think there's any price going to happen in next one year for sure. But I might be wrong also. Even if it happened. For me it is just a pass through.
Moderator: Thank you. The next question is from the line of Ashish Chopra from Goldman Sachs Asset Management. Please go ahead.
Ashish Chopra: My first question was actually on the cost side. If you could just explain the cost below the purchase of SMSs. I think the employee costs this quarter 3ent up from INR 39 crores to INR 47 crores. While there hasn't been any material change in the total number of employees, and even the other operating expenses, which even after excluding that provision of six crores, I think that's gone up from INR 38■39 crores to the similar number of INR 46■47 crores as well, if you could just clarify that jump in these two expenses.
Gautam Badalia: Sure, so essentially the employee benefit costs, so I think in this financial release the ESOP expenses was clubbed with the employee benefit expense and hence that cost is

seemingly
higher. Earlier it was a separate line item. Hope that clarifies or you have something specific on that.

Ashish Chopra: I was actually talking about the employee expenses excluding the ESOP charges, which could have been INR 39 crores last quarter and is INR 47 crores this quarter.
Gautam Badalia: So if you adjust the ESOP cost. I think the ESOP cost has not been adjusted. So if you adjust the ESOP cost for both the periods, the cost has actually reduced.
Ashish Chopra: OK, could you just share the employee expenses excluding the ESOP charges?
Gautam Badalia: We can share it with you and your second query was on other expenses, so other expenses if you adjust for the bad debts with respect to Mr. Messaging. there was increase in the data center cost because of the increase of our global scale of operations plus there were some employees where there was a commission structure, so there was increase in commission with

respect to the performance of some of the employees.
Ashish Chopra: OK, so would the second element be the non■recurring one among the two and the data center costs continue going forward would that be the right way of looking there.
Gautam Badalia: Data Center cost will continue going forward and the other one will kind of be a function of performance.
Ashish Chopra: OK, and the other question I had was. So I think in terms of seasonality. How should we think about transitioning from Q3 to Q4 we've seen last time around when there was a sharp drop and that was on the back of maybe most of your businesses? Especially the overseas ones having a fairly strong finish to the calendar year, but is there a certain kind of defensible level of volumes below which you don't expect it to decline in the fourth quarter? Particularly also considering the fact that the seasonality in the domestic side at least has been a little bit more muted this time around, since some part of it already came in Q2.
Gautam Badalia: Ashish if I can understand your query directly, are you kind of looking at what is the Q4 expected sort of a run rate.
Ashish Chopra: Yeah, just in terms of if I were to compare the Q4 for this year versus the last year, I wanted to understand should the seasonality be lesser of a factor considering that we've already not seen as stronger seasonality in December quarter this time around in terms of volumes growth as you mentioned that some part of it had come in Q2 itself.
Gautam Badalia: That's correct, but having said that, so Q4 will be slightly muted than Q3. And that has actually been the trend historically as well. If you look at the Q4. Had one month of I think Mr. Messaging's revenue if you adjust for that it was slightly muted to Q3 so it will continue to be a little muted and there was a specific operator deal that we had for that quarter for the last quarter, which was about 5■7 million Dollars and that contract is due for bidding this month,

this quarter, rather so adjusted for that it will be slightly muted, but I mean from a full year perspective the guidance will be northwards of 70%.
Ashish Chopra: OK understood, that's helpful and in terms of just the attrition number. So I think you mentioned around 61 employees leaving and 65 joining the organization this quarter. So which I guess on your base is almost like 8.5%■9% for the quarter, or on an annualized basis, more like 35%■36%. Is that normal? I mean is that par for the course with respect to the business or much higher that something that is much higher than your comfort levels? Where should we think the comfort levels on attrition to be for your company?
Gautam Badalia: So it is a mix of two things. It is definitely mid■sized IT companies. I mean they're also witnessing same kind of attrition trajectory. But in our case there was a certain other aspects. So Masivian, we were k

ind of looking at building a lot of this product side so they have taken it to a level at the end at a point in time. We realize that we have to bring that and globalize it from a global launch of that product. So that's where we had some amount of attrition at Masivian and then we were able to kind of add it to Bangalore, the Center of Excellence. So the intent was to kind of create a team and create a kind of working technology relationship between Masivian and the India team so that we could kind of look at launching the product at a global scale. So a lot of Masivian's product stack is likely in Spanish and the intent is when we're looking at launching it across various markets, the intent is to kind of globalize it and have it more in terms of English. So that's where we've kind of done a little bit of chop and change between the two entities, so that's also a large part of this increase, and then we were higher with high things here.
Ashish Chopra: Understood thanks and one last bookkeeping one for me. Could you share the operating cash flow number for the third quarter?
Gautam Badalia: For the nine months it's about six crore positive.
Ashish Chopra: OK and you mentioned that this may soften up in the fourth quarter with given the firewall products.
Gautam Badalia: That's correct.
Moderator: Thank you, the next question is from the Line of Mohan Kumar individual investor. Please go ahead.
Mohan Kumar: Most of my questions have been answered, but if I may ask something a little out■of■the■box. So when you're speaking to other funds around you, what is the biggest pushback you're getting with respect to what investors want to see or what the funds want to see with respect to company performance. Because if I look at last year quarters, the companies consistently performed really well when it comes to whether it's the top line or bottom line. But the stocks

not done that great, so I'm just trying to understand if there is something that you're hearing from investors that probably is facing a few flags here or there.
RajdipKumar Gupta: I think it's a two way to answer. I think Gautam let me answer it and then probably you can answer. So honestly, we really have great support from our investors and I think we are getting the support in terms of their inputs on different products which we want. We always discuss

with them also but I think how the market is behaving is something Gautam can answer your question. But definitely we want to focus more on developing new products and we have the capability and the team now and our focus is definitely going to be build something in house. And for a global market, which is exactly what we're building right now, and most of the investors they always try to see the new things to build, which we are doing. And definitely they want to grow. They want to see the growth from where we are going to which market we're going to focus on, and how we're going to define the strategy for those market and what is our growth plan for those markets. And these are the few things which we keep on talking with them, and we're getting great support from all our investors as of now.

Gautam Badalia: Thanks for asking this query. Honestly speaking, we've been really, really happy with the way we've been performing not only in last three quarters, but since IPO and even before IPO, I mean we were doing really exceptionally well and we continue to take that path honestly. It's more than micro it's got more to do with macro. There are challenges in terms of what's happening globally in terms of the tech space there are some funds where there are write downs because of their tech exposure and other things. So that's leading to some amount of realignment in terms of their portfolio. So some of these things have definitely been impacted them in terms of little bit of supply and other things, bu

t hopefully with things kind of moving from a macro standpoint towards normalcy, we should definitely start to get rewarded in terms of the way we have been performing our aspiration is to kind of reach a billion dollar revenue, and we're working in that path at this point in time. And from our run rate perspective also we should be very close to half a billion dollar run rate by next year and we're also kind of now contemplating few other strategic moves which will help us accelerate our journey to a billion dollar revenue and with fingers crossed hopefully the street should start rewarding in our performance.

Moderator: Thank you. We'll move to the next question, which is from the line of Swapnil Potdukhe from JM Financial Limited. Please go ahead.

Swapnil Potdukhe: So my question is regarding the new product sales. So if I see your numbers for the last three quarters, the growth rates have come down significantly. If I were to compare that with the last year. Now the question is like despite this low base of revenue, why aren't we been able to increase that growth run rate. I mean we are at 19% previous quarter we were 8%. Is there a possibility we can see some improvement going ahead here.

RajdipKumar Gupta: Definitely yes Swapnil we do have an internal target for our sales people to focus more on the product in global market. We are onboarding customer on WhatsApp not only in India. in Indonesia, in Middle East and in Africa also. So in coming quarters we will see the impact of growth in all these new products. Including the some of the products we are building.

Swapnil Potdukhe: Can we expect that to go beyond this 15%■20% that we're going right now?

RajdipKumar Gupta: Definitely yes.

Gautam Badalia: In fact, just to add to Rajdip's point, the modus operandi for us going forward is to create strategic business units and the UK entity that we've formed. The intent will be for various other such new products to create dedicated teams to drive the core business and we believe I think in days to come, the growth rates will only accelerate at the beginning of last year we had guided almost doubling our revenue from $10 million of revenue. We are on track to achieve it. And now with this e■mail I'm in the platform upgrade. The e■mail trajectory also should start to kind of show good traction.

Swapnil Potdukhe: OK and second question is with the gross margins. Now, given the new deal wins and expansion in some of the geographies increase in ILD messaging how should we start looking at your gross margins in the near term?

RajdipKumar Gupta: So see I keep on telling you all my previous call also that we are definitely looking out to add new product revenue to our portfolio and in coming days we have the aspiration to increase our GP from 25% to 30% and we are working towards that in coming quarters. We will definitely try to achieve those numbers. We are in very early stage and if I say the Omni channel adoption or this new channel of communication adoption ratio is very slow. And the way it is growing, and I think we are onboarding multiple customer every single quarter on different product and we do see a lot of traction happening on it and we do have internal targets for ourselves that to how to increase our GP in coming quarters on the line and we are working towards that and we will definitely see increase in GP in coming quarters.

Swapnil Potdukhe: Will it be possible to quantify in some sense?

RajdipKumar Gupta: You need to also understand we are working in different geographies. We work in Africa geography, which are definitely very low, in terms GP, but if you go to Latin America that is more than 35% GP. We work in certain market GP is almost say 14%■ 15%. So we are not just based on one country and one set of customers where you can actually give a guidance for a GP. What

we're trying to say out here is like we're definitely working on the product mix. So
which will increase our GP in the coming quarters on the line?
Swapnil Potdukhe: OK, sure, and just one last follow■up question. How should we think about the organic growth trends? If I were to exclude your firewall deals there have been some of these sectors or

competitors who have started calling out our recessionary pressures. So in that sense, would
we be able to continue to grow at around 30% that we have been growing right now or we
should start looking at some differing of it.
RajdipKumar Gupta: So if you go through last five years, we always grew by 30% and we will try to grow at that rate.
And again, the question is the product mix or other things and I think organically if you see
there is a growth also which Gautam has already mentioned and we are still doing some of the
integration with some of the large Indian banks, which is happening as we speak. Probably that
traffic may come this quarter or next quarter. Probably we see growth on those as well.
Moderator: Thank you. That was the last question for today. I now had the conference over to Mr.
RajdipKumar Gupta for closing comments.
RajdipKumar Gupta: Just want to say thank you everyone. Thanks for your time and have a very good evening take care, thank you.
Moderator: Thank you on behalf of Route Mobile Limited that concludes this conference. Thank you for
joining us and you may now disconnect your lines.

Call: May 2023

Ref No: RML/2023-24/365

Date: May 26, 2023

To, BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 NSE Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2023
We are enclosing herewith copy of the transcript of the Company's Q4 FY23 earnings conference call dated Friday, May 19, 2023.

The transcript is also available on the Company's website under the Investors section at:
https://routemobile.com/wp-content/uploads/2023/05/Earning-Conference-Call-Transcript-Q4-FY23-May.pdf
Further, please note that no unpublished price sensitiv e information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly,
For Route Mobile Limited

____
Rathindra Das
Group Head■Legal, Company Secretary & Compliance Officer
Membership No: A24421

Encl: as above

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CIN No: L72900MH2004PLC146323

Route Mobile Limited
Q4 & FY23 Earnings Conference Call
May 19th, 2023

Management:

1. Mr. Rajdip Kumar Gupta – Managing Director & Group CEO

2. Mr. Gautam Badalia – Group Chief Strategy Officer & Chief Investor Relations Officer

3. Mr. Suresh Jankar – Chief Financial Officer

Moderator: Ladies and gentlemen, I'm Vikram moderator for this conference today. Welcome to the Conference call of Route Mobile Limited arranged by Concept Investor Relations to discuss its Q4 & FY23 Results.
We have with us today Mr. Rajdipkumar Gupta – Managing Director & Group CEO, Mr. Gautam Badalia – Group Chief Strategy Officer & Chief Investor Relations Officer and Mr. Suresh Jankar – Ch
ief Financial Officer.
At this moment, all participants are in a listen■only mode. Later, we will conduct a question■and■answer session. At that time, if you have a question please press '*' and '1' on your telephone keypad. Before we begin, I would like to remind you that some of th e statements made in today's earning call may be forward looking in nature and may involve certain risks and uncertainties.
Kindly refer to Slide #2 of the presentation for the detailed disclaimer. Please note this conference call is being recorded.
I now hand the conference over to Mr. Ra jdip Gupta. Thank you and over to you sir.
Rajdip Kumar Gupta: Thank you. Good evening, everyone, I want to start by wishing all of you good health and prosperity.
As we close out FY23 it is my pleasure to share that Route Mobile has reached a significant milestone achieving an annual ru n rate of $0.5 billion in revenue. Our ambition does not stop here, as we aspire to become a billion■dollar revenue company over the next three to four years with a strategic blend of organic and inorganic growth. Our impressive performance in Q4 FY23 has helped us and the year end with a hi gh note. With a quarter revenue being the highest we have ever achieved for eight consecutive quarter we have delivered increased revenue and Adjusted Profit after tax. Despite geopolitical challenges, and other headwinds I'm delighted to share that we have surpassed most of the guidance we se t for FY23. Whether it's revenue growt

h, margin improvement, or payout ratio to our respected shareholder. Our performance in terms of revenue growth has exceeded expectation, with industry leading growth rate of 78% in FY23. Even after accounting for acquisition, our organic revenue has seen a year■on■year gr owth of 41%.
As we move on, FY24 our strong growth momentum give us the confidence to project at least 20% year■on■year growth hence on. With overall reported EBITDA margin expected to be in the range of 12.5% to 13%. In light of the robust traction, our new product has been gaining, we have es
tablished dedicated SBU for each unit, which includes TruSense. TruSense , this strategic division headquartered in UK is dedicated to addressing mobile identity and digital fraud. In era where digital threats, such as sim swap and sim phishing are increasingly disturbing the digital landscape, TruSense steps up to the ch allenge. Our intent is to offer enterprise and mobile network operator crucial, actionable insight through and sophisticated AI/ML framework this will enable them to proactively mitigate the digital fraud. Further, we are pioneering efforts in password less authentication, another way key focus on this vertical and in the new level of se curity and convenience. Apart from TruSense, we have established dedicated SBU for email and conversational bot framework. For FY24 we plan to establish a dedicated SBU for voice and a virtual contact center and we have already on boarded senior resources to spearhead this initiative.

Key highlights from the last qu arter includes, we secured three new firewall contracts since Q3 FY23, with several other significant deals in pipeline. Additionally, we deployed our first UCaaS solution for Robi Axiata to cater to the need of enterprise customers supporting their customer care, and marketing operations.
I'd like to take a moment to ac knowledge the contribution of our esteemed colleague, John Owen, after a successful tenure of two years with Route Mobile, John has decided to move on. During his time with us, he played a pivotal role in the integration of two strategic acquisition Masivian, and Mr Messaging. These entities became integral to our va lue proposition in the CPaaS marketplace. In terms of recognition, we are proud to share that Route Mobile was awarded "Best Use of Cloud Services by a Telecom Company" and "Best Enterprise Cloud Offering" (IT Sector) at the ET Ascent Business Leader of the Year Awards 2023.. In conclusion, in re
cognition of our commendable performance of FY22■ 23 the Board of Director has put forward a recommendation for a final dividend of Rs.2 per share.
I will now turn it over to Gautam to take us through the financial. Thank you for your continued faith in our vision and strategy an d here’s to an even more successful FY24. Over to you Gautam Badalia. Gautam Badalia Thank you Rajdip. Good evening, everyone. Hope you and your family are safe and fine. We have already uploaded our quarterly earnings presentation on our website, as well as on the Stock Exchange website. Hope you ha d a chance to go through the presentation.
I'll quickly summarize our financial and operating performance during Q4 FY23. And for the full year FY23 before opening the floor for Q&A.
The key takeaways from our “Financial Performance” in Q4 FY23 has been the staller revenue growth. We recorded Y■o■Y rev enue growth of 61% and Q■o■Q revenue growth of 2.3%. Q4 is t>

historically slightly muted to Q3, going to seasonality and two lesser days in the JFM Quarter. Yet we have surpassed our Q3 FY23 revenue in Q4 FY23. We believe that we have demonstrated industry leading growth coupled with expansion of operating margins during the quarter g

one by. With such a superlative perfo rmance we believe we are today’s one of the largest and the most diversified global CPaaS player focused on emerging markets, if not the largest emerging market focus.
In Volume terms, we registered over 107 billion transactions in FY23 a growth of over 106% on a Y■o■Y basis. In FY 23 our revenue from termination in India which is a key focus market for us, including both domestic and international termination into India stood at US $207 million, which translates to INR 1,638 crore value. Besides India, we believe some of the other key growth focus market for us in FY24 will be GC C countries, LATAM and Indian subcontinent. For the full year FY23 our operating revenue increased by 78%, out of which organic revenue grew by around 41%. During the year, we have returned more than 50% of our reported PAT through dividends and buybacks to our shareholders. One area where we as a manage ment team continue to focus on is improvement in the operating cash flow of the company. In FY23 our normalized CFO to EBITDA conversion was 45% slightly below our 50% baseline guidance, which we have given at the beginning of FY23. You may refer to slide #2 1 of the earnings presentation, we have demonstrated significant improvement in the normalized operating cash flow generation during H2 FY23.
As, the enterprise business continues to grow it will definitely have some impact in terms of working capital. However, most of these enterprises are large enterprises with very strong rating credentials. And if ne ed be, we can always get these quality revenues or quality receivables, factored without recourse to demonstrate better operating cash flow generation of the business. Further the receivables and the payables cycles have stabled to a large extent and hence we believe that normalized operating cash flow of the com pany should improve considerably going forward. Now, withstanding the above, we continue to remain committed to deliver normalized CFO to EBITDA conversion in the range of 50% to 75% in FY24. The normalization will largely pertain to the security deposit given by us for any large strategic firewall deal, which ac cording to us should be construed at capital employed. Typically, such strategic deals yield ROCE in the range of 25% to 50% basis some of our past such firewall deal experience.
With this backdrop, let me walk you through our “Financial Performance” in terms of Q4 FY23 performance:
Q4 revenue from op erations grew by 61.1% on a Y■o■Y basis, and 2.3% sequentially to Rs. 1887 million. Billable transaction stood at over 27.4 billion in Q4 FY23 as compared to 27.7 billion in Q3 FY23 and 18 billion in Q4 FY22. Average realization per billable transaction improved to Rs.0.37 as co mpared to Rs.0.36 in Q3 FY23. Gross profit margin stood at 21.3% as compared to t>

22.4% in Q3 FY23 and 21.1% in Q4 FY22. The slight contraction in gross margin is attributable to the seasonality in the business of Masivian and certain markets for Mr Messaging, for MR Messaging being affected due to geopolitical issues. Adjusted for their Gross margins, Route Mobile gross margins expanded during th e quarter gone by. JFM that's January, February, March is seasonally the weakest quarter for Masivian. And as we head into the subsequent quarters, this will improve significantly. EBITDA for Q4 increased by 91% Y■o■Y and 4% Q■o■Q, EBITDA margin improved from 13% in Q3 FY23 to 13. 2% in the quarter gone by. Effective tax rate for the quarter was 14%.

Adjusted profit for tax grew by 90% Y■o■Y and 19% sequentially. PAT margins improved from 10.2% in Q3 FY23 to 11.9% in Q4 FY24. For the full year, revenue from operations grew by 78% from R
s.20,020 million to Rs.35,692 million in FY23. In terms of certain KPIs,

billable
transactions increased 107 billion transactions, as compared to 52 billion in FY22. Average realization per billable transaction was Rs.0.33 as against Rs.0.39 in FY22. We had a net revenue retention of 124%, you may refer to slide #1 2 for the KPIs. Gross profit margin expanded to 22% vis■à■vis 21% in the previous year. EBITDA non■GAAP grew by 77% to Rs.4,566 million in FY23. EBITDA margin stood at 12.8% in the year gone by. In terms of operating leverage, EBITDA as a percentage of gross prof it was at 58% in FY23. Effective tax rate for the full year was around 13%. Adjusted profit for tax grew by 92% on a Y■o■Y basis to Rs. 4,007 million in FY23. PAT margin improved to 11.2%. Net cash was Rs.7,737 million as on March 31st, 2023 average re
ceivable and payable days were around 62 days in the year gone by. With this, we open the floor for Q&A.

Moderator: Thank you very much, sir. Ladies and Gentlemen we will now begin the question■and■answer session. We take our first question from the line of Anil Nahata an In vestor. Please go ahead.

Anil Nahata: I wanted to ask the question regarding the area that has opened up in terms of the AI filtering and the other security related platforms that you are developing. So just wanted some color as to what is the kind of market size that you se e in India for this kind of products in the coming year or two and also abroad, so that is the first question that I have.

Rajdip Kumar Gupta: Hi, Rajdip here. Anil, still the entire product itself it's very early stage. Honestly, if we talk about market size, wh at is the current market size India or abroad. It's a very early stage of POC with multiple operators what we are doing, we cannot, we may not able to give you any kind of a market sizing at this point of time, but probably by next quarter, our next call we can give you so
me kind of numbers for sure.

Anil Nahata: Will be the kind of business model that you will follow, this is something like, you will deploy a telco and bill to telco and you will be going directly to enterprises for a mix of those?

RajdipKumar Gu pta: So, if you see our entire security product, Route Mobile already has a company called as 365squared. They have specialized themselves for firewall solution. And with this current t>

deployment solution, which we built for anti■phishing is something for an operator as well as for enterprise. So, our focus is definitely going to be both the side of the business. So just to answer your question it’s operator as well as enterprise.

Anil Nahata: Okay, Rajdip I will look forward to some more de tails in the next quarter or the quarter after when we have a better opportunity to explore the market. The other question I have is in terms of a request that, going forward start putting your market share numbers for the Indian market particularly in terms of wh at is your market share for the domestic as well as the international kind of business that will be a very good parameter to judge how Route is going vis■à■vis the competition. And if you can give some numbers around that it will be great right now.

Management: So , India itself is a very fragmented market. Tier■1, Tier■2, and then there are lots of small cities and there is also lots of double counting happens within because some reseller using another reseller. So, to be honest with you, it is impossible to give some kind of market sh are. But yes, we believe ourselves within our total market share for India domestic traffic is about 20% as of now.

Moderator: Thank you. We take the next question from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: First question from me is, I want a bit of understanding on what led to such a strong revenue growth in this quarter despite of seasonality. So just want to unde

rstand what were the triggers
and with such a strong exit rate co ming in FY23 what kind of revenue growth do you expect in
FY24?
Rajdip Kumar Gupta: Let me just start with the question. We have already given guidance of 20% growth for the next
year. And in last quarter, as we were already talking about onboarding few large banks, and all
those bank
s are already on boarded not only in India but in Ghana, and Nigeria also, we on
boarded two large banks as a customer. Apart from that, there is a lot of traction we have seen
in US market and LATAM market as well. So, it's an overall combined gr owth in all the market
where we operate and the bank has contributed a lot in last quarter, especially four banks.
Nikhil Choudhary: Thanks, Rajdip, just one more. Can you give us some color on the geopolitical impact on
Masivian what basically happening there and when you believe that could get re solved. Thank
you.
Rajdip Kumar Gupta: It was not Masivian, Gautam it is?
Gautam Badalia: MR Messaging.
Rajdip Kumar Gupta: Yes, Gautam if you can just. t>

Gautam Badalia: Yes, so for MR Messaging, they traditionally happened terminating quite a bit of their
communication messages into Russia. So that has got impacted quite a bit in the last quarter.
And again, so things to go normal we'll have to just wait it out but for the current month, fo r
the month of April we have insights into MR Messaging number, and things are coming back
to normalcy. The growth coming from some other markets while Russia is still impacted, but
some of the other markets have started to pick up for them.
Moderator: Thank you. We take the next que stion from the line of Dipesh Mehta from Emkay Global. Please
go ahead.
Dipesh Mehta: Couple of questions, first of all just want to get sense about new product revenue growth. We
have said total number but can you say what would be the organic revenue growth for the year
in new pro
duct. If I do some working about sequential revenue growth, it seems to be muted
on quarter■on■quarter or rather it is quarter■on■quarter decline seems to be the case. So, just
want to get a sense on from you about new product perspective, because earlier we in dicated
new product likely to be higher share of revenue. So far it remained in single digit kind of
number, low single digit kind of percentage mix. So, if we can give some sense how it is likely
to play out for us and if you can break up it furth er across products, how the growth is playing
out. Second question is about price hike. Can you provide some sense about NLD, ILD as well
as international market, how the pricing is behaving, if you can give some sense or any changes
in pricing playing out for us and last question is abo ut gross margin. Earlier we indicated about
over next couple of years our gross margin should expand, and we give aspirational target of a
billion■dollar revenue. So, if you can provide some sense once we hit let's say billion■dollar
mark, what kind of gross margin one should ex pect. Thanks.
Rajdip Kumar Gupta: Dipesh hi, let me start with second question first and then Gautam can add. So Dipesh, honestly
as you see the digital adoption and penetration is increasing day by day. But any new product
has its own lifecycle and it take really two to three months ev ery four months also for one
deployment. And we have seen a very good traction in last financial year where we grew, the
overall volume on WhatsApp, RCS, email has grown multi fold. But if you compared the same
time or revenue for SMS also grew multi fold as well. So if you talk about if we hit 1 b illion,
what would be my rough margin, but honestly we have aspiration to hit above +25%, maybe
be more than 25% that's what I can tell you right now. But it's three years horizon which may
change the product mix a lot,

it ca n be over 30% also. And what was your first question, about
NLD price right?
Dipesh Mehta: Yes, ILD and NLD price.
Rajdip Kumar Gupta: So, ILD price yes, there is a price increase in India which has happened on the month of 22nd
April onwards, but again how much is go ing to impact the revenue of overall in coming quarters
we have no idea because mainly we have seen if there is a price increase in market there is
definitely dip in the volume. So, we want to just wait and see how this quarter goes. But as per t>

the last one month we have seen, we have not lost a single customer because of price hike, but
we are able to maintain our revenue run rate.
Dipesh Mehta: And any changes in international market because we operate in multiple markets, India is
roughly 40%?

RajdipKumar Gupta: Yes, there is de finitely our firewall is going live in Sri Lanka from 21st of May and there is a price increase is going to happen. We are increasing price to almost $0.15. So that is one thing. Apart from that, various other market where there is a firewall is getting deployed, prices are ge tting increased. But we have seen most of the OTT players and opting these prices and they are happy to pay and we are still serving them as a customer. So we don't see any impact, but there are few countries where we have exclusive firewall deal. One of them is in Sr i Lanka which is going live on 21st of May.

Moderator: Thank you. We take the next question from the line of Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani: Just had two questions, one on what was Masivian in MR Messaging revenue for the quarter and how mu ch of performance link payout is pending and what were the quantum in FY24 and FY25 that we are expecting. Thank you.

Gautam Badalia: So, the revenue of MR Messaging for the quarter right?

Mohit Motwani: Yes, for the quarter.

Gautam Badalia: I have it in, Rs.147 crores was the rev enue of MR Messaging.

Mohit Motwani: And Masivian?

Gautam Badalia: Masivian was Rs.50 crores.

Mohit Motwani: And how much of the payout for the acquisition that you have made there was some performance link payout. So how much of that would be coming and kicking in FY24 and FY25?

Gautam Badalia: So , for this current year, we have a payout of about 6 million to Masivian in this month. And from the earnout it's about $2.36 million that we have to pay to Masivian at the end of this month. And the subsequent month we have a payout to MR Messaging of aro und €6 million.

Mohit Motwani: Any color on what we will end it in FY24 for the whole year, any color on that?

Gautam Badalia: So, for the full year the Masivian's balance payout of 6 million will be done in November. There is no other payout that is due in the financ ial year FY24.

Moderator: Thank you. We take the next question from the line of Moez Chandani from Centrum Broking, please go ahead.

Moez Chandani: My first question was that, I noticed that you've done some borrowings of about Rs.100 crores this FY, so can I understand what this is for and what how you plan to utilize that debt?

Gautam Badalia: These borrowings are more from a treasury management standpoint. So, it's backed by cash collateral so to say, and the borrowing has been done in the UK entity. And against the cash collateral that we have as deposits. So, this would be positive transac tions from our perspective.

Moez Chandani: Alright, understood and also, I noticed that you have called out a few about six industries, in your revenue contribution from Select industries. So those six come to about 63%, can I understand what constitutes the other 37% and how you see those industry mix moving in FY24, any particular industry that you want to call out?

Rajdip Kumar Gupta: So from our perspective, we have a very long tail and when we do this analysis only for the top 150 clients and within that we call out the key sectors so to say and, at th is point in time, considering the new products and the strategic business units that we have created for some of these new products like TruSense, we believe that BFSI and Fintech will be a very key industry verticals that we will be focusing on in a big way along wi th E■commerce.

Moderator: Thank you. Take our next question from the line of Yash Tiwari from Verticam. Please go ahead.

Yash Tiwari: Congratulations on the good set of numbers. The journey from $2,000 to $0.5 billion is really phenomenal. I have two questions. As much as we have got to se e Mr. Gupta, follow Mr. Gupta on different interviews. You have emphasized on firewall product. I believe we don't talk much about it so; how much do you expect the potential is, unrealized potential. And secondly, in terms of the South American market, there have been quite a number of a cquisitions in your setup SKS subsidiary as well. So, do you see a significant upside from there on the activity happening in South American market?

Rajdip Kumar Gupta: Yes, first of all thank you very much. Definitely, yes, your question was very correct. Our firewall solution is another very unique solution which we have bu ilt from last so many years, and is deployed in multiple operators globally. And somehow, I don't want to talk about my product but indirectly, it is definitely adding lots of value to our overall growth as a company. And this particular year, we as a team ha ve taken a target to close at least eight operators, that's the only thing I can tell you. But there are already deal which is getting closed in next one or two weeks, we are already in the process of that and maybe we I can just give a guidance of abo ut six to eight operators to be closed this year globally on our firewall side. Indirectly, all these firewall deals are linked with Route Mobile revenue also because if 365square put their firewall and they become the exclusive gateway, which means that every single SMS has to flow t>

through Route Mobile's platform. In that case, we have an advantage of setting the price for
the market, since we work very closely with all the OTT player, I really don't need to go in
market to search for customers, because the customers are already there as a part of Route
M
obile customer. What we need is just open a gateway for them, moment we have exclusive
partnership with this kind of operators. And this year is definitely the year for us which is where
I am going to close at least eight operators for sure. And with that's when we talk ab out my
roadmap for a billion■dollar revenue, the firewall deals will definitely contribute a lot in next
three years down the line in our journey. That's the thing I can share right now with you. And
in terms of our strategy in Latin America, we have recently acquired a license in C hile with that
we have access of all the operators as a direct connectivity, now we can start selling that
connectivity to OTT players all across the globe along with the domestic customer base out of
Chile. We already set up our sales team in Peru and in Mexico now , we believe in next three
years down the line contribution coming from Latin America is also going to be substantial in
terms of what it is today. I hope I'm able to answer your question.
Moderator: Thank you. We'll take our next question from the line of Vivek N, an Inves tor. Please go ahead.
Vivek N: What is the comparable companies in the Indian and international landscape against which
Route competes. Thank you.
Rajdip Kumar Gupta: It's a good question. Honestly like for us we compete with ourselves every si

ngle day. There is
a huge market over $60 billion and ev eryone has defined this market as a company we don't
want to get compared with anyone, we want to focus more on our roadmap which we have
defined and if we talk about comparisons, there are definitely companies available in India for
a domestic market. But again, as I said Ro ute Mobile is a global company, we build the entire
platform to serve the global customer and we all connect with over 1000 operators, which
means that there are only few sets of Tier■1 aggregator in the world who have this kind of
connectivity, and we are one of them. And every si ngle market if I go there will be some kind
of a competition. So, we operate from 22 countries and each country we may have three, four
domestics competitors where in the same time we have in India as well and you must be
knowing all the names.
Mod
erator: Thank you. Take our next question from the line of Abhishek Sharda from Hem Securities.
Please go ahead.
Abhishek Sharda: Sir my first question is regarding your guidance that you mentioned that FY24 we will be able
to achieve at least 20% growth, so is it fair to understand that this 20% is or ganic growth, or it
is a mix of both organic and inorganic growth?
Rajdip Kumar Gupta: That is completely organic growth.
Abhishek Sharda: Okay. And we have plans for acquisitions also, right? t>

Rajdip Kumar Gupta: Let me just answer this question. So, Route Mobile has always believed that like if you want to
grow multi country, and you need to set up teams all across the globe, acquisition could be, it
is always a good option right, but right now we are in pr ocess of integrating all the acquisition
which we have done in past. And integration is also very key for Route Mobile to make sure all
the companies which we acquired are well integrated and we are fairly successful in those
integration as of now. But yes, you are right we are definit ely looking out for certain acquisition
and maybe we cannot give any kind of a timeline. It may happen in six months also or it may
happen in one year also or maybe three months also. But as a company, we always believe that
we can grow multi fold if we reall y want to be global by acquiring certain local companies. And
we don't want to shy away with that but right now we don't have anything in our plate to look
for, but yes in coming quarters or years we will definitely look into that for sure.
Abhishek Sharda: Understood. And si r secondly, I just want to understand about the hiring plans, what are your
hiring plans and what is the current attrition rate?
Rajdip Kumar Gupta: Our attrition rate is already mentioned in that presentation like as a company we are definitely
looking out to build some product company and as a no rmal company requirement against the
attrition we keep on hiring and we are looking to add more people. But how many people
probably I cannot answer that right now, but we do have a plan to hire. In fact, we are already
hiring people as of now also but ho w many we need, I cannot quantify as of this moment.
Moderator: Thank you. We take the next question from the line of Keval Shah from Banyan Tree Advisors.

Please go ahead.
Keval Shah: So, I have two, three questions. Could you share what was the organic and inorganic r evenue for the Q4 FY23?
Gautam Badalia: So organic revenue growth was 53% and the rest was inorganic.
Keval Shah: Okay. And you just mentioned there was a hike in ILD prices. So, could you quantify the amount like, percentage wise what was the hike in April?
Rajdip Kumar Gupta: I can te ll you about India, it is increased by 25%.
Moderator: Thank you. We'll take the next question from the line of Vivek Sethia from HDFC Securities. Please go ahead.
Vivek Sethia: So, I had a couple of questions before

those couple of questions just wanted to continue on the pre vious question about the NLD, ILD pricing. So, if you could just highlight, what has been the, when was the last hike taken in NLD, ILD. And going forward, how do you expect the rates to move, if you could answer that then maybe I'll move forward to my next two qu estions? t>

Rajdip Kumar Gupta: Sure, honestly it is all dependent operator. We have nothing to increase or decrease price because for us, it's a pass on. So, pass through price, like the last price increase happened one year back and exactly after one year the operator in India they have increased by 25% becau se that's the only thing and we are no way we do an influence operator to increase or decrease. But it is completely depended on the operator’s side.
Vivek Sethia: This last price increase which you are talking about is just NLD or is it for ILD also?
Rajdip Kumar Gupta: IL D. Whatever price increase I am talking about right now is only ILD, NLD I have no idea because there was some kind of discussion but nothing happened. So, I'm looking forward for it, because as of today we have no intimation from operator to increase the NLD price as we sp
eak but on ILD it is definitely increased in month of April.
Vivek Sethia: Okay. So the 25% increase you spoke about was for ILD okay?
RajdipKumar Gupta: Yes, it was for ILD only just sorry, if I am not able to mention correctly, but it is just only for IL D.
Vivek Sethia: Okay. So, coming to my next question, just wanted to understand, like any particular reason for the decline in new product sales and going forward, how do you see that pan out and also, if you could provide me with the number for the new customers on bo arded, I couldn’t find it in the PPT?
Gautam Badalia: So, 135 new customers were on boarded in the quarter gone by.
Vivek Sethia: Any particular reason for the decline in new product sales during the quarter?
Gautam Badalia: No, it’s more to do with seasonality, Q3 happens to be ou r best quarter. And Q4 is a seasonality impact that is there on a Y■o■Y basis, the 24% growth in new products in the quarter gone by.
Vivek Sethia: Okay. And you spoke about Masivian and MRM having some issues with regard due to which, we see gross marg in under pressure like and how do you see that panning out going forward, is it something long term or like it was just a one off for this quarter?
Gautam Badalia: No, it’s a seasonality for Masivian itself seasonally weak quarter, even the last year so calendar year for JFM ■ January, February, March, typically is the weakest quarter for Masivian and as the year kind of progresses into the subsequent quarters, their revenues and margins profiling improves dramatically. And we've seen that trend for the last two years as well from a calendar year standpoint. So, it is not a surpri se from a Masivian standpoint, the numbers for MR Messaging, the impact was largely more to do with their traffic's getting impacted into the Russian, for termination into Russia. Other than that, the business continues to be as robust and under April kind of run date things are again back to no rmal. So that seasonality aspect has to be kind of accounted for every year for Masivian at least. t>

Vivek Sethia: So, for MRM you are saying that the political issue is resolve, now there's no such issue as existing as of now?
Gautam Badalia: Russia continues to be very low in terms of revenue contribution, it is the other markets that have picked up well for them.
Moderator: Thank you, we ta ke the next question from line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Just one data point related question. Can you share revenue from firewall business and Call 2 Co

nnect for the year or quarter whichever you can share?
Rajdip Kumar Gupta: Dipesh, Gautam can se nd you offline is it okay?

Dipesh Mehta: No issues. Thank you.
Moderator: Thank you. We have next question from the line of Aditya Johar, an Investor. Please go ahead.
Aditya Johar: I was asking that, being a product■based company and with the IT in the industry, why are the ca
sh flows at 40% or 50% or 70% odd here, could you explain about that and how can we improve going forward, that’s my doubt.
Gautam Badalia: So, I did talk about it during my commentary about the initiatives, top management will be taking, there is definitely an increased focus to imp rove the operating cash of the company. There were certain prior period payments that we've done in the year gone by that had in some years, historically we have also delivered over 100% EBITDA to carry conversion. So, there are some strategic investments that we're making in terms of so me of these firewall deals which warrants security deposits to be given. Now, from our perspective as I said, we construe that as capital employed with return on such capital employed potential being as high as 25% to 50%. And as a business, the business is also kind of growing at a sup erlative growth rate and some of the enterprise business in India Middle East has working capital requirements. But again, as I said, most of these clients are and some of these large clients even have sovereign grade rating. So, we can always get this factored and realize better operating cash fl ows. So, it is just that the business is self■sustaining, and we've been able to kind of meet our working capital requirements through the regular monthly cash flows that we are able to generate and hence there was no reason for us to get into such factoring arrangement. In ou r case, unlike most of the other IT companies, significant part of our cost of goods sold is paid to the operators whereas in most of IT, IT companies we have to look at it is only the human capital cost that is kind of there. So, that is a de gree of difference between IT company versus how a CPaaS company should be looked at. Happy to kind of also maybe circle back offline to kind of give you more color. t>

Aditya Johar: Yes, I will connect with you offline, and another question I have sir regarding the product revenue. We have been maintaining a growth rate like Rs.30 odd crores for the quarter and Rs.40 odd crores. Then at which point of time can we see a jump here that is kin d of like any product■ based company, a huge revenue growth here. I am asking about any two or three years?
Rajdip Kumar Gupta: Definitely as I said, it all depends upon the adoption ratio and most of the adoption ratios is happening now, most of the enterprise customer are now ge tting well educated to understand the advantage of using this digital platform. We are talking about new product. So, we see a lot of traction happening right now, we are doing lots of POC with the customers, large banks, large enterprise customer, those POCs are still going on as we sp eak and probably in coming quarters you will see the growth, but see at the same time we also need to understand adoption of SMS itself is so high right now even in India, even this classic example of your Google Pay, people are paying Rs.5 using Google Pay nowadays, which me ans that in that transaction SMS is also going to grow multi fold. Even if we do say that a billion■dollar revenue in next three years down the line and out of that probably you will see Rs.7000 crore coming from SMS only. So, we cannot just avoid SMS si de of business which is growing simultaneously along with the digital new channels of communication. What we are very confident of like what we have built as a product, as a portfo

lio as the entire stack which has email, SMS, voice, RCS
you name it. Now every single product which we will have a live custo mer and paid customer and we are very happy to say that every single channel which we have built in■house are generating revenue for us and which also has a great pipeline for their coming quarters to come.
Aditya Johar: Okay. So, firewall business also co mes in inside this product revenue or?
Rajdip Kumar Gupta: No, that is separate.
Aditya Johar: Okay. And the last question I have regarding the next year guidance. So, how much we can expect from the organic because I see this year, we have done pretty good in the organic side an
d the inorganic quarter we have done pretty good, but then next year you are giving guidance of 20%. So, majority the high risk?
Rajdip Kumar Gupta: The idea is very simple. Even I have given 70% growth last year and we did 78%. It is always good to be conservativ e and then aggressive and then over achieve so based on the current 3,570 crore you get 20% growth is definitely a good growth guidance to the market, but we have always overachieved our guidance in past so many years and we will try to do the same thing this year al so.
Aditya Johar: It will be from the organic or more from inorganic?
RajdipKumar Gupta: Organic, completely organic. t>

Moderator: Thank you. We take the next question from the line of Mohit Motwani from Nuvama. Please go ahead.
Mohit Motwani: Just wanted to get your thoughts on the acquisitions that you spoke about you will be evaluating. So just wanted to understand these will be more buy■out kind of tr ansactions where you will look at some players like Masivian, MR Messaging, or more like bolt■on acquisitions, and any amount that you will earmark for these, any sense you can give on that will be helpful. Thank you.
Gautam Badalia: So, at this point in time, there are certain product c apabilities that we have been kind of scouting for some time. So, we can continue to kind of look for quality asset on virtual contact center with a strong voice start. So that is one area, which is kind of a whitespace and which definitely look at opportunities, if that co mes up in that space. Besides that, we have aspirations to get into US. But again, it's at a drawing board stage right now. So, nothing has kind of reached a stage where we can kind of come and give you some sense of how things are shaping up from an ino rganic acquisition standpoint. At this point in time, on the organic front itself there are a lot of opportunities that are coming up not only from an enterprise CPaaS stand point but also from a lot of those firewall deals that are kind of there and they are big opportunities fr om a size and scheme standpoint. So, the focus right now is to focus on some of these organic opportunities in a big way. And some of the new strategic business units that we have created for product specific approach essentially TruSense. We are very, very bullish on TruSense and at th is point in time, we are building a very strong foundation for that product and the intent is at this point in time to do a lot of POCs with as many enterprises as possible, and take it live in some of these large or densely populated countries like India an d some of their adjoining markets. The product is already live, tested in Colombia with a lot of marquee enterprises, including the largest banks in those countries. So, we see a lot of potential for such products, especially into Fintech, BFSI and E■commerce domain. So, a significant chunk of our en
ergy today is now focused on some of these organic initiatives and for the inorganic opportunities we will see if there are quality assets that come by, we will not shy away from evaluating and consummating in that sense.
Moderator: Thank

you. We take our next question from the line of Su resh Kumar, an Investor. Please go ahead.
Suresh Kumar: I have two questions, regarding this acquisition side anything is planned in this financial year, particularly in next quarter or so, how many companies are being planned for acquisition and what will be the growth expected from those companies. The second qu estion is regarding your market share in India.
Rajdip Kumar Gupta: Can you just repeat the question please? t>

Suresh Kumar: Sir, in the inorganic growth you will be acquiring companies for this Financial Year ‘23■24 how much new acquisitions or how much is planned for this financial year and what is the growth expected out of those acquisitions?
Rajdip Kumar Gupta: So, let me just answer this question. As I said before al so we are not right now looking out for any acquisition, but as I said we will look for it if there is a great company which we want to, which matches with our DNA, right now there is no plan of acquisition as we speak, but we ar e definitely looking out, it may take two year, it may take one year but I cannot quantify what kind of revenue and what kind of margin right now, you can just take it as a statement, and we are not looking for an acquisition, we are integrating and we are build ing product in■house and we are on a right track of doing that thing right now.
Suresh Kumar: Okay. My second question sir, in the inorganic growth what is the guidance sir, any growth for this financial year?
Rajdip Kumar Gupta: So, we are given the overall growth guid ance of 20% as a company.
Suresh Kumar: Yes, sir that was told for organic growth for this inorganic around 30% is contributed from these acquisition part, any growth they have for this financial year only for growth sir?
Gautam Badalia: So, everything will become organic from 1st of April be cause all the companies that we have acquired was fully integrated for the last year. So, everything is organic and this 20% organic growth rate that we have kind of given guidance includes all the companies including the companies that we had acquired in the past.
Suresh Kumar: Okay, sir my la st question, regarding in the Indian market you said your market share is around 20%, any plan of increasing that or how you are planning to increase the market share?

Rajdip Kumar Gupta: Yes, it's a good question, my market share India is over 20% now, as we speak. Yes, defini tely as I said there are few numbers of large banks where we are already doing a POC and we are in talks with them. There are large enterprise customers, e■commerce customer where our team is focused working with them. So, we are looking forward to increase our market share to 25 % this financial year, that is something which we as a company have taken a target internally. And we want to make sure that our market share to grow by almost 25% in this year in India.

Moderator: Thank you. We take our next question from the line of Vive k Sethia from HDFC Securities. Please go ahead.

Vivek Sethia: I just have one question on the borrowings part, if you could please repeat what are the Rs.100 crore borrowings pertaining to as it was zero in FY22. Now I see it’s Rs.100 crores both short term and long term. So, if you co uld through some or share some light on it? t>

Gautam Badalia: No, so as I said we have net cash of Rs.737 odd crores and some of these borrowings are essentially more treasury management, wherein we are getting positive carry. So, these are backed by cash collaterals.

Vivek Sethia: And just to confirm, on the ILD side which you said, this was don e last year April?

Gautam Badalia: No, this April.

Vivek Sethia: April 2023, so a month back you are saying?

Gautam Bad

alia: That’s right.

Rajdip Kumar Gupta: And just to add this last April 2022 was also the same time when they increase the pricing.

Moderator: Thank you. Ladies and ge ntlemen that was the last question. I now hand the conference over to the management for closing comments. Over to you gentlemen.

Rajdip Kumar Gupta: Thank you, everyone. Have a great evening, take care, bye.

Moderator: Thank you sir. Ladies and gentlemen, on behalf of the Route Mobile Limited, that conclude s this conference. Thank you for joining us. You may now disconnect your lines. t>

Call: Aug 2023

Ref No: RML/2023-24/390
Date: August 3, 2023

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 NSE Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2023
We are enclosing herewith copy of the transcript of the Company's Q1 FY24 earnings conference call dated Friday, July 28, 2023.

The transcript is also available on the Company's website under the Investors section at:
https://routemobile.com/compl iance/2023/Route-Mobile-Ltd-Q1-FY24-Earnings-Call.pdf
Further, please note that no unpublished price sensitiv e information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly,
For Route Mobile Limited

Rathindra Das
Group Head■Legal, Company Secretary & Compliance Officer
M. No. F12663

Encl: as above

Route Mobile Limited
Q1 FY24 Earnings Concall
28th July 2023

Management

1. Mr. Rajdipkumar Gupta ■■ Managing Director and Group CEO

2. Mr. Gautam Badalia, Group Chief Strategy Officer & Chief Investor Relations Officer

3. Mr. Suresh Jankar, Chief Financial officer

Moderator: Good evening, ladies and gentlemen. I'm Yashashree, the moderator for this conference. Welcome to the conference call of Route Mobile Limited, arranged by Concept Investor Relations to discuss its Q1 and FY24 Results.
We have with us today Mr. Rajdipkumar Gupta ■■ Managing Director and Group CEO, Mr. Gautam Badalia, Group Chief Strategy Officer & Chief Investor Relations Officer and Mr. Suresh Jankar, Chief Financial officer.
At this moment, all participants are in a listen■only mode. Later, we will conduct a question■and■answer session. At that time, if you have a question, please press * and 1 on your telephone keypad.
Before we begin, I would like to remind you that some of the statements made in today's earning call may be forward■looking in nature and may involve certain risks and uncertainties. Kindly refer to slide number 2 of the presentation for the detailed disclaimer. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajdipkumar Gupta, Managing Director and group CEO from Route Mobile. Thank you and over to you sir.
Rajdipkumar Gupta: Thank you, Moderator. Good evening, everyone. Wishing all of you good health and prosperity.
Despite Q1 being a seasonally weak quarter, we had an excellent start of financial year FY24 with an exceptional 33% YoY growth in Q1 FY24. We are well on track to achieve our revenue growth guidance for year '24.
The following are some of the key highlights of the quarter gone by: We have signed a direct contract with one of the world's largest e■commerce and cloud computing companies for offering CPaaS services across 10 countries, including India. We are in advanced discussion for a few large firewall contracts and shall update during this quarter once such contracts are executed.
We continue to gain significant market share in India and our NLD volumes have picked up significantly during the quarter gone by. The proposed NLD price increase from 1st August should result well for us.

We have yet again been ranked as Tier 1 Vendor in ROCCO'S A2P Market Impact Report '23 for MNO and Enterprise Categories.
In terms of recent development, the promoters and member of promoters group of Route Mobile Limited have entered into a share purchase agreement dated July 17, 2023, with Proximus Opal and Proximus SA. Pursuant to which, Proximus will acquire the entire promoter and promoter group shareholding in the company representing 57.56% of the expanded voting share capital.
The consummate of SPA would result in Proximus Opal acquiring control over the company and shall attract an obligation on Proximus Opal to make an open offer as required under SEBI regulation. The acquisition of this majority stake in Route Mobile and the mandatory offer will be followed by a reinvestment of €299.6 million by some of the founding shareholders of Route Mobile for up to 14.5% of the share of Proximus Opal. This reinvestment implicitly values Telesign at €1.4 billion. Proximus is a major mobile network operator based out of Belgium and owns 100% of Telesign (a leading CPaaS company based in USA) and BICS (based in Belgium) ..
I know you may have several questions on the Proximus news. So, let me deep dive right away with the strategic rationale. When Proximus expressed their interest in acquiring a majority 58.75 stake in the Route Mobile, a mandatory requirement for their investment, I affirm our confidence in Route Mobile's immense growth potential, especially in high opportunity emerging market. While I was reluctant for giving the majority control, we negotiated an optimal deal structure wherein €299.6 million of the promoter cash consideration will be reinvested into the parent Proximus Opal entity, enabling the Route

Mobile founding family to
hold 14.5% share in Proximus Opal with Proximus holding the remaining 85.5%. This aligns interest and allows us to participate in the value creation upside through minority stake while maintaining operational control of Route Mobile to pursue our global growth vision. I'm pleased we could agree on the constructive structures that balances both parties' objectivity.
I'm thrilled to detail how the Proximus partnerships strategically positions Route Mobile for

immense growth across multiple high potential market. Firstly, it provides instant access to top enterprise in the US market through Telesign bluechip customer base which has been challenging for us to penetrate alone in that market. Telesign strong relationship with these customers are the perfect synergy to unlock this opportunity. These clients generate significant ILDO traffic in India and this ILDO business currently amount around Rs.3,000 crores. With the recent price increase in India for India termination, together we can attract substantial new messaging traffic by cross selling our omni channel and identity verification capabilities through their customer base, particularly in IDLO market side.
Secondly, Route provides unparalleled direct connection with over 280 operators across high growth regions such as Asia, Middle East, Africa and Latin America, gives Telesign a new opportunities to expand their services into the market. Our emerging market footprint

amplifies their reach and serves the same to top customer in other markets. Additionally, by collaborating closely on new products like Route products like Trusense, digital fraud platform and Telesign's identity solution, we benefit immensely from shared innovation to build market leading capabilities faster. This product addresses the significant issues of digital fraud in emerging markets.
Route Mobile has developed strong in■house capability across omnichannel messaging with conversational API for emerging channels like RCS, WhatsApp business and Viber. Our partnership provides Telesign's immense access to onboard their US enterprise customer onto Route Mobile rich communication stack. This presents a sizable US revenue opportunity for Route Mobile by leveraging Telesign customer relationship.
Additionally, our recent acquisition of SendClean e■mail delivery capability complements Telesign's proof portfolio nicely. It allows them to expand their product scope to e■mail services for their US customer on top of existing text messaging and identity verification offering. The large US e■mail solution market presents another avenue for revenue growth through this partnership.
In summary, this partnership strategically align with Route Mobile's vision to become a leading international CPaaS player. By combining complementary strength, we can scale faster, enter high potential new market together and build better product through collaboration. I'm optimistic that this transformational union will unlock immense shareholder value as we embark on the next stage of our hyper growth journey. Thank you once again for your faith in Route Mobile.
Finally, based on our good performance in Q1 FY24, the board of directors has recommended an interim dividend of INR 3 per share.
With this, I will now turn it over to Gautam to take us through the financial. Thank you for your time.
Gautam Badalia: Thank you, Rajdip. Good evening, everyone. We have already uploaded our quarterly earnings presentation on our website as well as on the stock exchanges website. Hope you had a chance to go through the presentation.
I'll quickly summarize our financial and operating performance during the quarter gone by and the recent development thereafter before opening the floor for Q&A. The key take away from our financial performance in Q1 FY24 has been the str

ong revenue growth momentum,
revenue growth of 33% and EBITDA grew by 43.8% on a YoY basis, coupled with expansion of margins. EBITDA margin expanded by 100 basis points on a YoY basis. As highlighted earlier. Q1 is traditionally not our strongest quarter and yet we have delivered industry■leading growth.

In volume terms, we processed over 29.5 billion transactions in Q1, which is again the highest quarterly billable volumes processed by us till date. Exemplary financial performance in Q1 FY24, a large global deal win across 10 geographies and a few large firewall deals in the pipeline saves a very strong foundation for the superlative FY24.
With the recent announcement regarding Proximus, I want to highlight few key aspects besides what Rajdip just spoke about. This transaction is intended to create value for both Route Mobile and Telesign and for all stakeholders be it existing and future shareholders of Route Mobile as well as for Proximus shareholders. Synergies will be derived from both revenue based on expanding geographical footprint and complementary product capabilities and cost… by cost, I'm alluding to direct cost and the operating cost as well.
The transaction will allow Route Mobile to have access to markets outside of its current main geographical footprint and to benefit from the digital identity expertise of Telesign. Rajdip will run the overarching CPaaS business on a large scale with the scale benefits coming along with it.
As we speak, we are already working out the synergy blueprint with the transition team made of representatives of Telesign, Route Mobile and Proximus Group along with an esteemed

global consulting firm.
With respect to geographical alignment between Route Mobile and Telesign, the transaction has just been announced and we are already working through in terms of the GTM. However, we expect both companies to operate in the global marketplace and further capitalize on the growing CPaaS and digital identity markets. However, we expect there to be meaningful synergies on both revenue and cost. We do not have an exact view of what revenues will flow through which platforms, but plan to take advantage of the complementary geographies, capabilities and unique platforms of both companies, which will allow us to deliver accelerated top line growth across both businesses.
With respect to the cost synergies, it was announced that approximately 75% of synergies will come from reducing cost. This will be achieved by optimizing the joint cost base of both companies, including taking advantage of scale cost benefits as well as geographical labor consolidation. These synergies are an estimate based on our preliminary assessment performed during the due diligence phase conducted by both the parties and we will further elaborate the exact nature in due course.
With respect to the commercial licensing agreements for digital identity and CPaaS products, we expect to take advantage of the unique platforms that Route Mobile and Telesign have to deliver on a global growth strategy. But at this point in time, we have not reached that point of our level of planning, but again, we'll elaborate in due course. In the event that commercial agreements or licensing agreements would be put in place, this will be done at arm's length

and we will aim at optimizing the cross selling of DI, which is Digital Identity and CPaaS solutions in their respective geographies where each company has a leading footprint.
With this backdrop, let me walk you through our financial performance. In terms of Q1 FY24 performance, revenue from operations grew by 33% on a YoY basis. There was a sequential growth of 4%, largely accountable due to sharp devaluation of Naira as a currency in Nigeria and decline in traffic of few CPaaS players which were acquired during the last

quarter.
In terms of certain KPIs, billable transactions increased from 24.8 billion in Q1 FY23 and 27.4 billion in Q4 FY23 to 29.5 billion in Q1 FY24. This increase in billable transactions was largely on account of our increased penetration in the domestic market in India. Our domestic volumes in India witnessed a double■digit growth on a sequential basis. Average realization per billable transaction reduced to 33 paisa compared to 37 paisa last quarter, again, owing to increase in domestic enterprise business, which is apparently at a much lower realization. We had a net revenue retention of 122%. We added over 100 new customers in Q1 FY24 across all products.
Gross profit margin expanded marginally from 21.3% in Q4 FY23 to 21.4% in Q1 FY24. EBITDA for the quarter increased by 44% YoY to INR 1,237 million. EBITDA margin improved from 11.8% in Q1 FY23 to 12.8% in Q1 FY24. Effective tax rate for the quarter was 16.82%. Adjusted profit before tax grew by 23% on a YoY basis and PAT margins stood at 11.1%.
So, with this we open the floor for Q&A.
Moderator: We will now begin the question■and■answer session. We'll take our first question from the line of Vikas Jain from Financial Quotient. Please go ahead.
Vikas Jain: I have two questions. One in relation to our upcoming merger with Telesign. So, what kind of margin profile would Route Mobile shareholders will have post■merger with Telesign?
Currently, we are in kind of 12■13%. How does that impact our operating profit margins once the financials get merged along with?
Rajdipkumar Gupta: So, I think in terms of a presentation that was already uploaded post the signing of the deal. The aspiration is to have an EBITDA margin profile of between 13% to 15%.
Vikas Jain: How about the revenue sharing that we have with Telesign, does Telesign overpower the Route Mobile financials or we are neck■to■neck with them?
Rajdipkumar Gupta: So, as I said, I think some of these fine prints are I think being worked upon through our transition team and once we have more clarity in terms of the entire work stream, I think we'll be able to kind of give you a more clearer perspective on this. But, as I said, I think both businesses will tend to benefit because of the complementarity in terms of geography and the product capability.

Vikas Jain: I just have one feedback. You know, as a shareholder of Route Mobile, I would and I think other shareholders would expect the same, for Route mobile to be a little more proactive in terms of communication. I think we as shareholders got an update and more insights from Proximus to you before my management team could have responded. And in today's media and social platform era, I don't think that reaching out to shareholders is that difficult. It just brings in more confidence and transparency in the management and shareholder relationship.
Moderator: We have a next question from the line of Sanjay Pranesh from Banyan Tree Advisors Private Limited. Please go ahead.

Sanjay Pranesh: I wanted to understand by when would we see the synergy start flowing in into Route Mobile from the transaction itself?

Gautam Badalia: As I said, I think we already have a transition team working on this closely. Some of these things we'll be able to kind of give you a clearer picture once we have a little more in■depth review of the work stream. But just to share from a conservative standpoint, I mean from the time of closing, I think we would be in an action mode where a lot of these synergies will start to flow immediately from closing and that would be six to nine months.

Sanjay Pranesh: In your transaction with Proximus Opal, are there any conditions on which you may have to sell your stake back to Proximus or Proximus may have a right to buy your stake once the second stage of the transaction is done, are there any put options or call options that are there?

Gautam Badalia: Sanjay, the way I think the way the deal structure as Rajdip said, he wants to be associated with this business and drive the CPaaS leg of the business. So, he is committed to this business for five years. So, there is a contractual lock in of the shares for up to four years. And at only at the end of fifth year, either the shares are kind of swapped back into Route Mobile or swapped into Proximus or they are kind of cast out at the fair market value then. So, the fair market value would be completed at the end of the fifth year and basis that it could be either of the three options, or a mix and match of the three.

Rajdipkumar Gupta: Sanjay, just to add another point out here, like I'm also going to head the combined CPaaS business of both the companies. My experience of last 20 years in this domain and I think for next five years what I'm going to build as the two companies one large force together and the potential of the emerging market which I see in CPaaS is going to grow multiple in next five years for sure. And that is the reason I think I want to highlight out clear about why I wanted to have this deal, because the potential what Telesign can bring or Proximus group can bring to Route Mobile is immense, and end of the day I believe that it will create more value for Route Mobile shareholders.

Moderator: We have our next question from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: This is the question for Rajdip. So, Rajdip, while I understand the logic of Telesign or Proximus in acquiring Route Mobile, we are fast growing company in a developing economy which itself is growing very fast, also, one of the most profitable companies in CPaaS in the US. I want to understand what was your thinking in selling the stake in Route Mobile, even though you will be investing half of the proceeds in the combined holding company, but ultimately the diluted holding in Route Mobile will be a fraction of what you had in terms of your current ownership, so just wanted to understand what was your thinking behind it?

Rajdipkumar Gupta: Any CPaaS company in this current scenario want to grow bigger and over the next five years, they should have the US market as their one of the large markets. In last so many years, I have tried to establish a base in US, almost six years, we had multiple people, we had all operated in those markets last six years. We failed miserably in like every single attempt we tried to. Because that is a market where once you are already having enterprise customers, somebody coming from out is very tough to crack those kind of customer, right. And for my future growth of Route Mobile, I need to have some partner who has that base of enterprise customer in that market. That was the one trigger point which was very critical for me if I really want to be a large global cheapest player and US is not being a part of my Portfolio, I'm not going to grow as the market is going to grow, especially the US based companies in CPaaS, I really need to be neck■to■neck with those companies and to bring Route Mobile on a global map. That was the main trigger point for me to have the thing.

Nikhil Choudhary: Second thing about the valuation of Telesign which you mentioned is the €1.4 billion. So, sir, if you do a simple math in terms of valuation based on price to sales, it is valued more than three times of last year sales, which is even higher than three■year higher than Route mobile, right? They try to list about 1.5 years back through NSCC, right. At that time they were valued 1.3 billion, that was at the height of where the valuation of most of the CPaaS companies were much higher. So, what was the logic of giving much higher valuation to Telesign compared to this?

Rajdipkumar Gupta: Yes, Nikhil. I think honestly there are two ways to see it right. First of all, I always knew they're going to demand high valuation based on their sticky customer base, especially large OTT players and Telesign is completely enterprise ■focused company. They don't work like other CPaaS player in the market where they do trading between each other. I think Telesign is the only CPaaS company in entire world who just work with enterprise and they don't buy from aggregator like a trader. First point I think they definitely would have asked for a higher valuation which I agreed to for a betterment of Route Mobile because of the future growth. See, that is one answer I can give which I thought about. I may not have any rational of giving that valuation maybe. Maybe, my only option is to like I need to have this partnership and they demanded higher valuation and we agreed to that.

Nikhil Choudhary: Gautam, just the deal which you signed with Amazon or the largest e■commerce or database provider company, just want to understand what would be the dynamic change in dynamics

impact on our financial and is the overall volume will start to flow right away or will it take a quarter or so?

Rajdipkumar Gupta: You can expect this revenue in this quarter. That's what I can say. So, we are at the stage of integration as of now and we hope to start getting volume and revenue from month of August.

Moderator: We have our next question from the line of Swapnil Potdhuke from JM Financial. Please go ahead.

Swapnil Potdhuke: Just pushing you on the previous participant's question, the compulsion that you had to get into this deal, the way I look at it is like the potential in India is significantly high growth opportunity, you are growing at a significantly higher rate, gaining market share, your operating performance has been robust in the past, stock valuations are also decent. What I'm trying to say, what was the compelling reason end of the day?

Rajdipkumar Gupta: I'm here for next, I need to build a story of vision for Route Mobile for next 5 to 10 years. Let's talk about market like India or let's talk about market Africa. We are very well established in this market. If I really want to give a guidance to my shareholders for next five years that I will grow by 25% or 20% year■on■year basis and I can be a billion dollar revenue as a standalone, that is one reason you cannot achieve in this market because the margin mix is also very critical for us because US■based CPaaS has a higher margin as compared to emerging country markets. So, these I think I can answer you with this only because this is the only trigger point I had in my mind. I need to make Route Mobile ready for the future by increasing the guidance which I have given to my shareholders and to make sure I create higher EBITDA margin along with the GP margin and there is a lot of cross sell upsell opportunity within both the organization and which will create value for both the shareholders of Route Mobile.

Swapnil Potdhuke: In the press release of Telesign, there was a quote from you saying that Route will become a billion dollar revenue company in an accelerated mode versus your previous guidance following this deal. Can you elaborate more on that like what would be the levers for that acceleration?

Rajdipkumar Gupta: So, some of the deals I just share with you, right, talking about India market growth around domestic ■

Swapnil Potdhuke: Can you please quantify in some form?

Rajdipkumar Gupta: I mean, how will I quantify it? I can only share with some of the contracts I can win. I'm talking about large firewall deals in some markets, which is more than $100 million kind of a deal. But I cannot quantify in this call, probably as and when it comes in, I definitely be the first person to announce in public domain.

Gautam Badalia: So, I can just add here. So, I think the way to look at Telesign is,

the quality of revenue that they do, right, it comes from all large US or large enterprises where we believe, I mean, most of those enterprises are hyper scalers. And if they were to kind of scale that businesses into emerging markets, Route Mobile should become the de facto or the preferred partner. So, we believe I think from that perspective, if a lot of those customers were to use Telesign where Route Mobile is not directly kind of partnered with such enterprises, Route Mobile will be the support arm for Telesign for all that traffic that will terminate into emerging markets. That is what will accelerate the growth for Route Mobile and hence that statement of achieving that billion dollar revenue, I mean, sooner than what we had guided earlier.

Swapnil Potdhuke: Is there a possibility that there will be some shift in some of your business to the competition because of the hangover of the deal that is there could be a period of uncertainty in between.

Gautam Badalia: Most of our agreements are service level agreements. As long as the customers are not impacted because of the service quality, I don't think there would be because of deal overhang or switch from one service provider to another.

Rajdipkumar Gupta: In fact, we have seen a higher volume from our customer post this deal.

Swapnil Potdhuke: You did allude to the fact that because of some M&As in this space you had in this particular quarter or opportunity loss. Will it be the same for your competition going ahead once this deal is concluded?

Rajdipkumar Gupta: Indeed, yes. It should be 100%.

Moderator: We have our next question from the line of Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani: Two questions from my end. One is, can you talk about the growth that you're seeing in your top client base, has there been any slowness because the top client revenue growth seems to be tapering down. As you can see the contribution has come down, so is it because India volumes have increased or there is some reduced spending by the top clients, can you give some color on that?

Gautam Badalia: The way to look at this business, I mean, so I think there is some seasonality to the business as well, right? So, on QoQ basis, if you were to compare it, I think Q4 versus Q1 may not necessarily reflect the kind of throughput from clients, right, I mean, that is not apples■to■ apples comparison so to say. And if you look at it on a YoY basis, I think we have demonstrated a 33% growth and that I think should be the right way. And here again, I mean we're talking apples■to■apples because all the acquisitions were accounted for in Q1 FY23 as well. So, on that front, I think we're pretty comfortable with the way each of our clients are ramping up. There was some impact because as I said, some of the acquisitions have played out in this space.

Some CPaaS clients were impacted, but other than that I don't think there is any cause for concern for any of our large clients, I mean, in terms of the volume that's being serviced by us.
Mohit Motwani: Exactly. Actually, I was pointing out that only. So, have you seen any wallet share loss in our top client accounts, that's what I just wanted to understand?
Rajdipkumar Gupta: Nothing, I mean, that warrants kind of any attention. As I said, we are comfortable with the way each of our clients are shaping up and earlier some of these clients or rather one of our large clients we were servicing indirectly, but now we have contracts across 10 countries. So, we believe the throughput and the margins should improve for that particular client.
Mohit Motwani: Can you let us know what was the contribution of messaging and MR Messaging for the quarter?
Rajdipkumar Gupta: So, in INR terms, it was about Rs.57 odd crores for the quarter and MR Messaging was about Rs. 146 odd crores for the quarter. So, one of t

he CPaaS clients that got impacted was a client of MR Messaging.
Moderator: We have our next question from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: My question is on how the whole scheme will work post the merger with Telesign also? If you can throw some light in terms of how the revenue is structured for Telesign in terms of around 500 million revenue that they have, how much is CPaaS and how much is products? And how the revenue flow will happen from Telesign to Route because these two will be like separate companies, right, like they will operate as a separate company, but in terms of the terminations, what like Telesign is giving to other players, those terminations will shift from other players to Route Mobile. So, is it how it's going to work and how fast this can happen, or it will happen immediately or post the merger is complete?
Gautam Badalia: So, Amit, at this point in time, I think some of these things are being worked upon. I think as I said, I mean there is already a transition team already working on this along with various team, the large global consulting firm. So, some of these things, I think once we have a little more color, once things are kind of formalized, we will definitely come back and give you a comprehensive perspective of how things will pan out. But having said that, from whatever I think we've kind of discussed in■principle between all the parties, everything will happen at arm's length, and to that extent, I think both companies should benefit by buying this construct while they are separate legal entities.
Amit Chandra: So, what I'm trying to understand is that as you mentioned that the CPaaS business of both Telesign and Route will be looked by a single CEO. So, how is that function, so is he going to be

CEO for both the companies or is the CPaaS business will be carved out from Telesign and merged to Route Mobile or something of that?
Rajdipkumar Gupta: This is premature for us to comment at this point in time. But we kind of have made a note of this and we'll definitely come back to you once we have a concrete answer on this.
Gautam Badalia: So, Amit, just to add out here, I think the combined revenue of CPaaS business between Telesign and Route Mobile is about $950 million, and I think about $50 million comes from the DI business, which is Digital Identity if I'm not wrong.
Amit Chandra: Also, the whole premise last two years for Route Mobile, obviously the organic growth has been there, but also we have been aggressive on acquisitions, and we have been seeing a lot of consolidation happening in the CPaaS space. So, how do we see the acquisition strategy panning out post the whole changed structure ■■ so is going to be more organic growth from here on or is it is ■?
Rajdipkumar Gupta: See, there is no change in DNA, right, and I'm going to be the CEO of Route Mobile. So, my vision and road map is the same. As I said, we will look for the company for tuck■in investment, and as we speak, we might have some companies to acquire in some products space, but there's nothing change from our vision and the DNA space.
Amit Chandra: Last clarification is that last year we have been aggressive on the India strategy and we have been focusing a lot on the ILD and NLD business in India, also, we have done some acquisitions to expand our global reach, but now it seems that we are focusing more on the international part of the business rather than India. So, is that the correct ■?

Rajdipkumar Gupta: Not at all, Amit. Our India focus is definitely going to be more aggressive and more focused. As I said, last quarter our volume and revenue increased in India market and there are some announcements which we are going to make very soon. You probably will come to know our focus in India market and emerging markets are going to be the same, and

we believe that emerging markets and especially India market has a huge potential and we are definitely going to define a strategy to make sure our international growth along with India's growth goes hand■on■hand.
Amit Chandra: Also, in terms of the India market, the NLD business, so we have seen price hikes have been there in ILD, and also there has been a lot of talks about the anti■phishing platform. So, how do you view that? So, we have also launched a platform for anti■phishing. So, what is the progress on that part, competitors ■?
Rajdipkumar Gupta: Only thing I can share with you right now, we are on track, we are in talks with operator. As soon as there is some kind of material information we agree from operator, we will definitely

share in public domain. But yes, we are working with some operators and I think very soon we might announce something on that.
Moderator: We have our next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: A couple of questions. First about FY24 outlook. I think if you can give what now we are expecting for full year considering we are now having benefits from ■?
Rajdipkumar Gupta: Your voice is not very clear.
Dipesh Mehta: I just want to get update about FY24 outlook considering 2■3 things; first, about the NLD rate hike which is imminent, second thing is potential synergy benefits from the relationship or partnership with Proximus Group now. If you can provide how we expect FY24 to play out? Second question is about the contract which we suggested with the leading ecommerce company about 10 countries kind of presence. So, where we are today and how this is incremental, if you can give some sense, because I think that is yet not clear? Third thing is about the new product. If I look like the last 2■3 years change listing, new product was one of the key things which we always used to highlight and we expected it to be let's say 10 percentage of revenue and significant faster growth. But if one look at last few quarters, it is growing slower than company, even this quarter their growth is 20% versus company which is 30 percentage plus. If you can provide some sense what is hindering the growth? And last is OCF, if you can provide operating cash generated during the quarter?
Rajdipkumar Gupta: I think the deal closer is about 8 to 9 months long, right? And what I can tell you, whatever guidance we have given at the beginning of the year, I think we want to stick with the same thing. I think the 20% growth guidance, what we have given already, we want to stick with the same thing. With the certain deals which we are going to sign… I think in past also I have revised my guidance two times last year and probably this year also we might revise our guidance based on the certain deal wins which is materialized. But as of now, we want to stick with 20% growth guidance what we have already given to the market, but I can assure my shareholder, this is definitely going to be revised based on certain deals which we have signed and some of the deals which we are signing very soon. On the contracts with 10 countries presence, I've already shared but we are at the last stage of integration and we are hoping to start receiving volume on these countries from the month of August.
Dipesh Mehta: No, the question is, right now we are in how many countries, whether we are in one country, six countries, we do not know.
Rajdipkumar Gupta: Right now, we are in only for India through a third partner. And with these nine countries, it's a totally new addition to our portfolio.

Dipesh Mehta: Can you give some sense about what will be the potential revenue maybe in 2■3 year time period?
Rajdipkumar Gupta: Probably in next quarter I can give you that. Let the integration to be done and let the volume to flow through our platform becaus

e it takes one or two months' time of testing like so it is not that I will start getting the entire traffic on day one, probably the end of this quarter or next earning call I might give you some brief on that.
Gautam Badalia: On new products, I think we are making some progress. I mean if you look at the entire IP messaging construct, right, which is generative AI, a lot of things are now getting revolutionized and some of those workstream are being worked upon, and I believe once those things are formalized, made more enterprise ready, we will be able to kind of garner good, good traction, we've already deployed our Rubot, which is a conversational bot platform with some element of generative AI with whatever client, and now we're doing that with a lot of other clients. So, we believe I think the traction will pick up there. I agree with your point, I think the portfolio

growth rate has kind of been muted then. But we are fairly confident I think and this year as I said, I think in the previous call as well, I think will be the inflection point where I think some of these new products will achieve scale and that will necessarily take us towards that 10% revenue contribution. I think this year will be a very important year from the new product standpoint. And there are incentive schemes rolled out to the employees to harp and focus on this new product workstream. So, I think the impetus on the management continues to be very high on new products and I think this year definitely we'll have some degree of traction I think we should be able to demonstrate towards the end of the year.

Rajdipkumar Gupta: Just to add, we have onboarded some of large customers whose integration on this new channel are finished now and probably we can start seeing traffic from those customers very soon. So, maybe where we can see some kind of jump in our revenue in this new channel of communication probably in this quarter.

Moderator: We have our next question from the line of Kshitij Saraf from Tusk Investments. Please go ahead.

Kshitij Saraf: I wanted to know after the merger with Telesign, how are Route Mobile and Telesign combined thinking about new product offering? So, we have CPaaS and we have digital identity, and there have been mentions of moving up the value chain in terms of focusing more on the services side of things. So, could you share some light on how you plan to share these responsibilities where the R&D engine would be across the two companies, and are you thinking about any other service lines apart from digital identity and CPaaS so to say?

Rajdipkumar Gupta: I think probably we will try to focus most of the R&D from India probably from Bangalore and Mumbai. And there are certainly definitely some of the products which we are working right now on customer experience platform which we are launching on 9th of August in Mumbai.

So, I think as a Route Mobile we are working towards to give a better insight to our customer using our platform and I think the customer experience platform which we're building, which directly going to help Telesign also to give more insight about the different channels they use. Probably on 9th August, we can share more detail about this product, but on 9th of August, we are launching this product in Mumbai. And what was your second question?

Kshitij Saraf: Yes, I think broadly this was it in terms of new products, basically whatever you could share?

Rajdipkumar Gupta: So, on R&D side I just mentioned, I think probably R&D will be completely focused from Bangalore and Mumbai.

Moderator: We have our next question from the line of Rajeev Malhotra from HPCL Parts Co. Please go ahead.

Rajeev Malhotra: I'm a new investor, but there is one question, the question is everybody on the call is terming the transaction as a merger. What we understand is, it is buy ou

t, right. The question which arises is the Route Mobile going to stay in a listed company in India?

Rajdipkumar Gupta: Yes.

Rajeev Malhotra: Now, what's going to happen is based on the acquisition of the shares of the promoters and the open offer, a technical situation will arise where the acquirer will most probably cross 75%. So, are they wanting to delist or sell back or ■?

Gautam Badalia: So, at this point in time, I think the DPS is already out. The intent is not to delist. So, if in an eventual scenario where the open offer is completely subscribed, the shareholding will, as you rightly said, will surpass the minimum public shareholding threshold, and I think then the regulation warrants that we have to reduce it back to the minimum public shareholding threshold within a year's timeframe. So, that is what I think will be complied with if we happen to get a complete subscription in the open offer.

Rajeev Malhotra: That's the first thought. The thought is that within a year you will stay listed, so that's the other side.

Rajdipkumar Gupta: That's correct.

Rajeev Malhotra: And secondly, my observation about why is everybody calling this a merger?

Gautam Badalia: You're right. I mean the optics of this will look like a merger, but it's not an essentially a merger, it's a buyout and then an investment into the holding company of Telesign and Route Mobile by some of the founding members of Route Mobile.

Moderator: We have our next question from the line of Anil Nahata, an individual investor. Please go ahead.

Anil Nahata: Hello, Rajdip. A very bold move, if I may say so. Most of our shareholders are probably not able to grasp why Route did in the 1st place. Your explanation of being present in the US market makes a lot of sense to me. Definitely, that is the largest market by far. China market is not accessible to most. So, if you leave out the China market, US is the biggest market and probably accounts for as much as many, many markets put together. So, that makes a lot of sense to me. However, my question is, how does Route at the group level definitely you will have a play in the US market, but Route as an entity, how does this US presence now help Route, be able to give some platform by giving your platform. But otherwise, how does it help you?

Rajdipkumar Gupta: Good question and let me just answer this question. As I mentioned in my commentary also let's talk about India as a market, especially ILDO, most of the ILDO traffic is originating from companies based out of US and a company like Telesign has a direct access of all those customer base of US. So, that routing directly coming to our platform from Telesign to Route Mobile will directly benefit the Route Mobile. Apart from that, if you see, most of the tech giants based out of US, their main market is emerging countries, whether it's Africa, India or Asia or the Middle East, including LATAM, right. So, we are a champion of emerging market where we already established a direct partnership with operators and this connectivity can be directly used by Telesign and whatever… right now it just says they were using third aggregator, maybe some base in India, some based out of India or in US, that whole traffic can be routed through Route one platform because we are very much aligned with having the connectivity all across the globe now. So, indirectly that routing will directly move to Route Mobile and the Route Mobile will directly get benefit of that. So, that is what I can answer.

Anil Nahata: So, that makes a lot of sense, Rajdip. In fact, because it increases the profile of Route without having to go out ■

Moderator: Sorry, sir, voice is breaking.

Anil Nahata: I'm sorry. What is the typical culmination that is available in the marketplace?

Rajdipkumar Gupta: I'll just give you a simple example of India, like India stands f

or ILDO traffic. And there are various market in emerging countries like Bangladesh, where termination cost is about 16 cents, countries like Indonesia 23 cents, countries like Sri Lanka now 23 cents. So, it's a very high margin market.

Anil Nahata: My question is this margin higher than 15% on this ■?

Rajdipkumar Gupta: Indeed, yes, there are higher margin customer base in the US and the combined, as Gautam has already mentioned, I can give a guidance of EBITDA margin around 13% to 15% in coming years down the line and that is the kind of thing we believe. As far as the US customer is

concerned, I think the gross profit on the US customer base is around 25% to 35% range as compared to the emerging markets where it is between 18% and 22% market.

Anil Nahata: My next question is we have been reading commentaries across all players market reports that Indian market is going to go at a CAGR of 30%, 35% something. But somehow over the past couple of years, I see somehow that at the industry level that growth is not met. What is your view that how will India achieve this 30% kind of a CAGR?

Rajdipkumar Gupta: So, India is definitely a very large market and I just give you classic example of UPI usage, right. Even as of today people pay Rs.5 also using the UPI wallet, whether it's Google Pay or Amazon Pay or you name it. That transaction is growing multiple every single quarter, right? So, I think the potential of India in coming days, the moment this kind of channel is available for Tier 3, Tier 4 cities, you will see more traction and more volume generation on these kind of applications. And based on that, because of internet quality is getting better in India, thanks to operator like Jio, we can have more access of digital platform in remote Tier 3, Tier 4 cities which led to more transaction over digital platform and I believe in next two to three■year down the line, India is a very large market in CPaaS channel to be used.

Gautam Badalia: Just to add, with this consolidation that's playing out I think in the industry right now, a lot of traffic will move from the unsegmented or segmented players to now evolve players and that's where all the large players will benefit.

Moderator: We have our next question from the line of Mohana Kumar, an investor. Please go ahead.

Mohana Kumar: So, the first question was with one of the public interviews that the Proximus CEO had done, he mentioned that there is a possibility that he might delist Route after the ■

Rajdipkumar Gupta: No, no, I think you just need to go through that interview once again. It is very clear that he has no intent of delisting.

Mohana Kumar: The second question was with respect to again the tender price. Tender price about 1600■ish and you're expecting the deal to close nine months down the line? Are there any odds of that number getting revised given that it's still very far away from that and there's a good chance that the share price may not be anywhere close to that number when the deal closes?

Rajdipkumar Gupta: No, so the MTO price is Rs.1,626 and that's again governed by the SEBI regulations. So, at this point in time that stays put, and the six■to■nine■month timeframe is largely because of some of these regulatory approvals that are warranted for this transaction. And once those regulatory approvals are in place it can be sooner than six to nine months as well. Once they are in place, I think the MTO should go through and we should be able to achieve our closure of the transaction.

Mohana Kumar: The non■deal related question that I have is this time the revenues were less softened, you've addressed to a large extent during the opening remarks itself. I'm just trying to get a sense of, are we expecting a lot of this to throw back in the next quarter or is it something that's going to take a little longer to kind of co

me through with the new deals that you have acquired?

Gautam Badalia: From our perspective, we're not changing our guidance one bit. I think, as Rajdip said, we are reasonably confident of 20% and maybe at a point in time we may come and revise the guidance upwards. So, I think there is nothing I mean which is making us nervous right now, and so I think we're fairly confident of meeting our revenue guidance and maybe at a point in time, subject to some of these deals that Rajdip talked about if they were to fructify, we'll definitely come and upward the guidance.

Mohana Kumar: Is the guidance the 20% if you just maintain the Q4 revenue given that Q1 and Q2 numbers are pretty soft, without any effort you kind of get that 20% right, so I'm just trying to figure out is there any quarterly cadence that we can expect because 20% seems like really low, if you just maintain the Q4 numbers given Q1 last year was soft, you hit that without any quarterly growth?

Rajdipkumar Gupta: But I think you have to also see our last year guidance like we started 40% and we end up with 70%. So, you need to just believe in us and I think we are very much committed, and as I said, happy to come again and revise our guidance upwards.

Mohana Kumar: And as you mentioned earlier, you would be giving probably more clarity regarding how the structure of the new company and how things are likely to flow once the deal has been out, right?

Rajdipkumar Gupta: Right.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Gautam Badalia for closing comments. Over to you.

Gautam Badalia: Thank you, everyone for joining the call. Please feel free to reach out to us for any further information/clarification. We'll be more than happy to answer your questions. Thank you.

Rajdipkumar Gupta: Thank you.

Moderator: On behalf of Route Mobile Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

Ref N
o: RML/2023-24/ 421
Date: November 2, 2023
To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 NSE Symbol: ROUTE
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2023
We are enclosing herewith copy of the transcript of the Company's Q 2 FY2 4 earnings conference call dated Friday , October 27, 2023.
The transcript is also available on the Company's website under the Investors section at:
https://routemobile.com/compliance/2023/Route -Mobile -Ltd-Q2- FY24 -Earnings -Call.pdf
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.
You are requested to take the above information on record.
Thanking You
Yours truly ,
For Route Mobile Limited
____

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Q2 FY24 Earnings Concall
27th October 2023
Management
1.Mr. Rajdipkumar Gupta, Managing Director and Group CEO
2.Mr. Gautam Badalia, Group Chief Strategy Officer & Chief Investor Relations Officer
3.Mr. Suresh Jankar, Chief Financial Officer

Moderator: Good evening, ladies and gentlemen. I'm Yousef, the moderator for this conference. Welcome to the conference call of Route Mobile Limited, arranged by Concept Investor Relations to discuss its Q2 FY '24 results.
We have with us today, Mr. Rajdipkumar Gupta - Managing Director and Group CEO; Mr. Gautam Badalia, Group Chief Strategy Officer and Chief Investor Relations Officer; and Mr. Suresh Jankar, Chief Financial officer.
At this moment, all participants are in a listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, you may press * and 1 on your telephone keypad.
Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward-looking in nature and may involve certain risks and uncertainties. Kindly refer to slide number 2 of the presentation for the detailed disclaimer. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajdip Gupta, Managing Director and Group CEO, Route Mobile Limited. Thank you, and over to you, sir.
Rajdipkumar Gupta: Thank you, Yousef. Good evening everyone. I hope this finds all of you in good spirit as we near the festive season.
I have some exciting news to share tonight. Even though the month of July and August typically see downturn for us, given the holidays and a usual dip in global volume, Route Mobile has not just preserved the volume but also sold and registering our highest ever revenue, in fact, even amidst of the global challenges, our year-on-year growth in both revenue and PAT in H1 FY '24 has exceeded over 25%.

This past quarter has been pivotal for us marked by securing several significant deals that promises to propel our growth trajectory. Here are some of the standout agreement we have clinched.

Page 3 of 18 First off, collaboration with VI India this quarter. It's a major International A2P termination and firewall management services deal and one we are particularly proud of. Our history with Idea and now our re-engagement with the merged entity Vodafone Idea underscores our platform robustness. This association alone has the potential to bring around US$100 million in revenue. We are gearing up and in the process of deploying a firewall which will go live very soon.

In Southeast Asia, we clinched another major International A2P termination and firewall management service deal, and it's already live and running.

Finally, there is a global e-commerce giant we partner with. In Q1 FY '24, they are onboarded and live with us now. In fact, now we are expecting to gain more traffic from international destinations including India.

These big wins make me confident in saying we are on track for our annual revenue growth of 20% to 25%, and frankly, we might just hit that top mark. Additionally, since Q1 FY '24, we all hit several milestones. Some of them are, we got a nod as a major provider in Gartner CPaaS Magic Quadrant for 23 and were featured in four Gartner Hyper Cycle report this year.

We have forged a significant partnership in Bangladesh with Robi Axiata Limited focusing on RCS business messaging. We successfully launched Route Amplify, our flagship event. It was a melting pot of industry leaders where we shared and gained insight into key areas like customer engagement and digital identity.

Our new product revenue has shot up by staggering 64%. Our collaboration like the one enabling WhatsApp-based ticketing system for Delhi Metro only goes on to prove our innovative product development.

Now, for our deal with Proximus Group, everything is on track. They are eyeing to wrap up by quarter Q4 of '24. We have even set up an Integration Governance Committee pulling in senior leaders from Proximus, Route Mobile, and Telesign, all working together to ensure smooth s

ailing. And every step we have taken so far is just reinforces our confidence in the partnership.

I am personally thrilled about what lies ahead, especially leading the CPaaS division post deal.

Last but not the least, based on our sterling performance this quarter, the Board has approved an interim dividend of Rs. 3 per share. Big thank you to all involved.

Now, I will hand over to Gautam who will share more about our financial highlights. Over to you, Gautam.

Gautam Badalia: Thank you, Rajdip. Good evening, everyone. Season's greetings to all of you. We have already uploaded our quarterly earnings presentation on our website as well as the stock exchange websites. Hope you had a chance to go through the presentation.

Page 4 of 18 I will quickly summarize our financial and operating performance before opening the floor for Q&A. The quarter gone by has yet again been an outstanding quarter considering the seasonality of the business.

The key highlight for the quarter gone by has been the large deals that we have won as highlighted by Rajdip earlier. The throughput from some of these large deals should start to reflect from Q4 onwards. Hence, we believe that we will be closer to the upper end of our revenue guidance band of 20%, 25%.

More importantly, FY '25 looks very promising on the back of full-year effect of these large deals, plus the benefits of synergies that should start to flow to Route Mobile from the Proximus deal.

In terms of the update on the Proximus transaction, as Rajdip highlighted, the regulatory filings are well on track, and it seems that the transaction including the mandatory tender offer should close during Q4 FY '24.

In terms of the synergy that was called out at the time of signing, we have been able to further validate the same based upon the interim work done so far. Based on the exhaustive work done over the past six weeks by the integration governance team, we reconfirm that the overall Euro 90 million or US$ 100 million EBITDA synergy stands completely justified. Out of these, some of the synergy buckets where Route Mobile will stand to benefit are as follows.

In terms of bucket one, which is the revenue and cross selling synergies, Route Mobile will leverage the digital identity platform of Telesign in emerging markets. Digital identity as a product is a very unique SaaS offering which is used to curb digital frauds and entail gross margins which are northwards of 80%. Route Mobile will also be making inroads into untapped large global accounts through Telesign to service their requirements in emerging markets.

In terms of the synergy bucket 2, which is OpEx savings and synergy, create a state-of-the-art product innovation lab in India to focus on new product initiatives, automation and AI/ML capabilities; drive economies of scale by consolidating the cloud infra, software licenses and vendors across the group, and work towards a low-cost operating model through the shared service center construct and leverage the capabilities of our BPO arm which is Call2Connect.

In terms of synergy bucket three, direct cost synergies, drive better efficiencies owing to higher economies of scale and deepen as well as expand our exclusive MNO connect. These initiatives will definitely accelerate our journey towards a billion-dollar revenue with 15% EBITDA margin target by 2027.

Just to further reinstate, this deal will pave the way for Route Mobile to be a global CPaaS player in true sense, with an unparalleled reach and a very comprehensive product stack of its own products coupled with licensed products from the group. By virtue of this deal, we should be able to demonstrate, “cost leadership at scale with industry leading growth rates”. As I said, this is only an interim update and will be fine-tuned further. As and when these are further crystallized into the final operating model, we shall update you on the same.

Highlig

hting some of the key business metrics for the quarter and the half yearly numbers gone by, in volume terms, we processed over 31 billion transactions in Q2 FY '24, which is again the highest quarterly volume, billable volumes processed by us till date. Billable transactions increased from 26.9 billion in Q2 FY '23 and 29.5 billion in Q1 FY '24 to 31.3 billion in Q2 FY '24. Average realization per billable transaction marginally decreased from 32.8 paisa in Q1 FY '24 to 32.4 paisa in Q2 FY '24 owing to increase in domestic volumes in India.

In terms of geography, India continues to be our largest market by termination accounting for 47% of our revenue by termination. You may refer to slide 20 of the presentation. Domestic volumes in India witnessed a double digit growth despite the NLD price increase.

We continue to witness very strong momentum on our next generation products. New product revenues grew by 64% on a Y-o-Y basis and 53% on a Q-o-Q basis in Q2 FY '24.

In terms of operating overheads, in Q2 FY '24, employee benefit expenses decreased primarily due to roll back of performance-based stock options and cancellation of ESOPs owing to resignation by few employees. The increase in other expenses was primarily due to foreign currency translation loss of INR 91 million, an increase in travel and business promotion expenses, both totaling to an increase of INR 30 million. The business promotion expenses was largely related to our flagship Route Amplify event, which was held in Mumbai.

In terms of EBITDA, EBITDA grew by 16% Y-o-Y from 1,094 million in Q2 FY '23 to 1,268 million in Q2 FY '24. There was a sequential growth of 2.5%. From a balance sheet standpoint, average receivable days stood at 73 days, and average payable days stood at 64 days. Normalized cash flow conversion in H1 FY '24 was very strong at 77%. You may refer to slide 16 for the same.

With this, we open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, you may press * and 1 on your telephone keypad. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies & Gentlemen, we will wait for a moment while the question queue assembles. First question is from the line of Ronak Chheda from Awriga Capital. Please go ahead.

Ronak Chheda: Congratulations on the result first of all. I have two questions. First question is on the e-commerce giant’s business, right. We have done a multi-geographic deal. So, can you just explain on this further and how much of this business would broadly split into India and the other emerging geographies? How should one think of the deal itself? That's the first question.

Rajdipkumar Gupta: Let me just answer this question. So, Ronak, I think India is going to be at least about 50% of the revenue and remaining 50% will come from international. We have signed a contract with this E-com giant for 10 countries and including UK and some of the Asian countries as well. And I think the connectivity and the binding is already done, and the testing is also done, and we already started getting traffic for India. So, we believe by next quarter, maybe by this quarter, we can see more traffic, but in terms of split, I think 50% revenue will be India and remaining 50% will be for international.

Ronak Chheda: That was helpful. My second question is on, you actually touched upon in the opening remarks on the synergies which could flow from the merger process and some business coming from Telesign. I mean, how soon can we start looking at that in the results itself? Will we wait for the deal to be completed and then this will flow, or we should start seeing it from this quarter itself?

Gautam Badalia: So, see, I think we are kind of at this point in time working on wireframes, but even before

the

deal, Telesign was a partner with Route Mobile, and we used to help them for some part of their termination into emerging markets. That continues as is. In fact, the throughput on that has increased to some extent, but I think lion share of synergies will start to flow post-closing.

Ronak Chheda: And just last bookkeeping question on your working capital. I see the receivable days have gone up. Should we read too much into it or this is just a quarterly phenomenon?

Gautam Badalia: Yes. I mean, you shouldn't read too much into it. In fact, a few days post the closure of the quarter, we received one of the payments from a large OTT player. So, we also have to account for July, August, and even September to an extent. These are typical holiday seasons I think in most of these places. So, I think that you shouldn't read too much into it. I think from a free

cash or our operating cash generation standpoint, I think probably we have done fairly well.
Moderator: Thank you. Next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.
Nikhil Choudhary: First question is regarding Vodafone Idea deal. I hope you understand that given the
contradictory filing by, you know, both the companies when they are also contracting you, we
just want to understand how basically you accounted for USD 100 million in revenue potential?
And any rough timeline in terms of when you will be able to materialize it? That's my first
question. I have a follow-up.
Rajdipkumar Gupta: So, Nikhil, I think, as I said already that the deployment of our firewall is already in process and
based on the timeline which we have given to Vodafone Idea, we are looking out to go live by
 December. So, that's the current timeline we have. And what was your other question? How
we quantify $100 million?
Nikhil Choudhary: Yes. And timeline of that recognition.
Rajdipkumar Gupta: So, very simple math, right? If you see the number of subscriber what Vodafone Idea has about
200 million and you multiply by particular SMS, you know, and then you say 5 cents per SMS
cost. I think that is a kind of math we have done at our end while giving this number to the
market, and we believe that the number may be more than $100 million, but we are little bit
conservative giving that $100 million number.
Gautam Badalia: Just to add, this entire revenue because of our exclusivity will flow through Route Mobile. So,
this revenue, I mean, whosoever gets the pie of it will have to necessarily terminate through
Route Mobile. So, we get 100% pie of this revenue to Route Mobile.
Nikhil Choudhary: So, is it fair to assume that, Gautam, that this 100 million will start flowing from quarter four
of '24 and next 12 month we can see it flowing through our P&L?
Rajdipkumar Gupta: We can consider quarter 4, yes. You are right.
Nikhil Choudhary: Second question is in terms of ILD revenue. This quarter while NLD has done quite well, which
you have highlighted, ILD we have seen a decline. I think it's maybe due to volume decline. Can
you please help us understand what led to that?
Rajdipkumar Gupta: So, I think, as I say, seasonality, right? We always need to understand the H1 is 45% of our
revenue and H2 is almost 55%. Now Diwali and all the other festive season is going to be start
in the month of this quarter especially. So, we will see the growth, and I think there is nothing,
the dip is basically based on the seasonality and nothing to worry about. And we have seen the
growth in this particular, in fact, October month, and we see the growth going to come in
November and December as well on ILD business.
Nikhil Choudhary: So, just last question from my side. You know that you have highlighted in your cash flow
statement about 297 crores basically deposited for firewall deal. Based on the filing by your
competitor, 57 crores are the revenue basically just from the firewall deal, and you have
highlighted earli

er, we generally deposit, you know, three to six month of payment to telecom
operator. So, just want to understand how big is maybe the other contract or what kind of ROI
we are looking, if my calculation is right maybe?
Gautam Badalia: So, we have given these INR 297crs to two operators and for one operator, a partial payment
was made last quarter. The final payment will be done once we are close to going live.
Nikhil Choudhary: Gautam, what I want to understand is the quantum of Vodafone firewall deal based on
disclosure by the competitor who lost the contract was about 57 crores for annual, right? So,
 just want to understand and given it was one of the biggest firewall deals, what basically led to
deposit of 300 crores which is, you know, much larger for us?
Rajdipkumar Gupta: No, let me just correct you. I got your question. So, there is two streams of revenue. Okay. First
is the firewall revenue which is the firewall deployed by 365squared at Route Mobile company,
and there is a revenue share between 365squared and Vodafone. Okay. That is a separate deal.
Then when all the traffic which flows through Route Mobile platform to Vodafone Idea, that's
additional revenue we generate.
So, I think if you are talking about one firewall revenue which is separate, I think that number
comes to the number which you are talking about, then there is additional revenue potential
and margin which Route Mobile generates traffic directly with working OTT players. So, you
have to consider in that way.
And that is the potential we have seen in this overall deal, and we believe that the platform is
going to play a very critical role to mitigate or to at least mitigate the risk of the grey routes
which was still there on their network, and we identified certain grey routes which has been
used, and with our firewall we believe that we will mitigate those risk of grey route, and we
will definitely deliver the commitment which we already made to Vodafone Idea.
Gautam Badalia: Also, Nikhil, the deal, I mean, from when it works with the erstwhile partner and it's moved to
us, I think the price has also moved quite a bit. So, the deal value per se I think would have
more than doubled, right. So, it was not an apple to apples comparison from that perspective.
So, I think we also have to kind of take that into our account.
Moderator: Thank you. Next question is from the line of Sarvesh Gupta from Maximal Capital. Please go
ahead.
Sarvesh Gupta: Sir, just on the realization piece, so I think we were expecting some increase in the realization,

but because of the mix it has come down a bit, but net of the mix impact is there. What has been the realization increase for this quarter like to like?

Gautam Badalia: Yes, if we adjust for the sharp increase in our domestic India volumes, the average realization would have marginally gone up.

Sarvesh Gupta: And we understand the seasonality, but I think the Y-o-Y growth has sort of come down a bit in this quarter. So, any particular color that you can provide there?

Gautam Badalia: No, so the base has also kind of increased quite a bit and Y-o-Y, I mean, we demonstrated, you are talking about it from a H1 standpoint or quarterly standpoint?

Sarvesh Gupta: No, Q2 Y-o-Y versus Q1 Y-o-Y I was alluding to.

 Gautam Badalia: Sequential?

Sarvesh Gupta: Stronger, no, no, sir. Not Q2 over Q1. I was saying Q2 versus last year Q2, and Q1 versus last year Q1. So, this Q2 versus last year Q2, growth rate has sort of come down a bit compared to what we saw in Q1.

Gautam Badalia: No, sir, last year I think there were a few acquisitions also that got baked in and now everything has been kind of consolidated with a larger base. I think you are talking about for this year growing from a 20% to 25% on a Y-o-Y basis, and within that I think basis some of these deal wins we are talking about hitting the top end of that band.

Sarvesh Gupt

a: And finally, sir, you mentioned about some resignation wise some employees etc. So, this is like, you know, some course resignations or these are, you know, some of the efforts towards the rationalization….

Gautam Badalia: No, no, it's not towards rationalization. So, what had happened is and this I think we have called it out multiple times in previous calls also, a lot of the cost I think that was there in terms of the employee benefit expense was attributable to the ESOP cost wherein a lot of that cost was front loaded rather. And in the past, I think when we had issued this or granted this ESOP under the ESOP 2021 scheme, a lot of these ESOPs were rolled out to employees and there were performance criteria.

So, wherever, I mean, employees have not been able to perform, those ESOPs have kind of been relinquished. On top of that, there are some cases where employees have resigned and hence, some of those ESOPs have been kind of rolled back. So, it's completely and purely on performance and owing to resignation of few employees.

Sarvesh Gupta: Understood Sir. Is there a way to quantify the deal with the large e-commerce companies, you know, sort of a number are we looking at?

Rajdipkumar Gupta: So, Sarvesh, we are at very early stage of our live traffic. Probably, we can quantify this in more detail by next quarter, by this quarter end and once we have the next quarter earning call.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Couple of questions. First of all, just want to understand, I think you partly alluded about the guidance kind of thing. Now even for lower end, I think you indicated about last time at least 20 percentage and in the earlier prepaid remark, you said 20 to 25 percentage and high chances of hitting upper end, so which is roughly let's say 25%, which require very significant acceleration in H2. Even to reach 20 percentages, you require 15, 16 percentage growth over H1. And other way to put is 9%, 10% CAGR to hit lower end. So, can you help us understand? I

 understand about seasonality in December quarter, but it is materially higher even including Vodafone deal.

Rajdipkumar Gupta: So, Dipesh, I think you need to also consider the e-commerce client which has gone live now and that effect is going to be in this quarter and next quarter plus the Vodafone deal. We are also working on certain more firewall deal which we will announce very soon. So, keeping all this in mind, I think we are very much sure that we will achieve our guidance which we have given to the market.

Dipesh Mehta: So, more like 25% you are confident.

Rajdipkumar Gupta: Yes.

Gautam Badalia: Yes, it will be closer to 25% than 20%.

Dipesh Mehta: So, second question is about the security deposit. I think we mentioned to MNO for the roughly around 300 crores kind of number. Whether any payment is related to Vodafone also covered here?

Gautam Badalia: Yes, part of it.

Dipesh Mehta: And in H2, you expect any material number or these number will taper off materially in H2?

Gautam Badalia: No, H2 also I think there will be some bit of that will come through plus one other deal that I think Rajdip talked about, if that happens.

Dipesh Mehta: In that case, your reported OCF might be still very muted, right way to understand it?

Gautam Badalia: No, that's correct, but I think we have always been kind of very, very particular that some of these are a CAPEX kind of investments where we are investing this for two years with two years payback where the ROCE tends to be northwards of 25%. So, I think once we are done with this additional, this new deal as well, I think our plates will be completely full, and for the next two years I think you will be able to see meaningful improvement in OCF, not only normalized OCF, but even the reported OCF.

Dipesh Mehta: FY25 will be much better here from re

ported OCF also.
Gautam Badalia: That's correct.
Dipesh Mehta: And last question from my side is about new product. I think very strong growth. So, just want to understand what explains this and how we expect that trend to continue?
 Rajdipkumar Gupta: So, Dipesh, I think we are investing heavily, and I think our focus is always on new product along
with the messaging and the kind of pipeline we have as of now and we believe that growth is going to be significant in coming quarters.
Dipesh Mehta: Is it single product driving it in terms of WhatsApp or?
Rajdipkumar Gupta: No, it's a mix of product which we have as a omni channel stack which we have. So, it's a mix of all products.
Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: So, my first question is on the volume growth. So, obviously we have seen both NLD and ILD price hikes, and we have seen some volume drops because of the increase in price. So, how do we see the volumes from here on in terms of like the NLD volumes can also come down because there has been a price hike, and if I am not wrong the volumes are down in this quarter, so you treat it as an aberration or is it going through something that they are finding some other alternatives?
Rajdipkumar Gupta: So, Amit, Rajdip here. Our volume on NLD has grown. It has not gone down.
Gautam Badalia: We had double digit growth.
Amit Chandra: No, but overall at industry level I am just talking about.
Rajdipkumar Gupta: I cannot comment on industry level based on the customer base we have, based on the customer we onboarded in last few quarters. We see a significant growth in those customers and due to which our volume has increased in spite of the price increase at NLD level.
Amit Chandra: And in terms of the firewall deals that we are taking up, obviously, these deals are based on upfront commitments in terms of volumes to the operator. So, what confidence level we have or what kind of growth we are assuming in terms of the existing volume that we are having in terms of committing these higher numbers because you are saying that…. Yes. So, it's around 300 crores for our 800 crores kind of annual revenue, and if I am not wrong this number was much lower in the earlier version.
Rajdipkumar Gupta: No, no. Amit, I got your question. The earlier version was the price was half the current price. Okay. It was about 2 cents or 3 cents. Now price is 5 cents. So, you need to consider that. Apart from how confident we are, our firewall is deployed in 16 countries. We are doing this job in multiple countries, and we have the insight, and we have so much confidence about our product that deploying this product with VI will definitely generate more revenue for VI and for Route Mobile. And based on the insight we have got from our platform for various other country, I think that is the confidence which gives us to make sure that we can achieve our
 numbers. So, it is all about our product. We have always believed that is one of the best in the market as of now.
Gautam Badalia: And just adding to what Rajdip said, it is because of the robustness of the product, we had been servicing Idea for some time, I think for the longest period of time on the firewall. We were the first ones to kind of get this product kind of initiated and approved by an operator in India, right? So, it was only after the merger that this switched to another partner, but within a year's time they realized the robustness of our platform and switched it back to us. So, it's not just merely on the commitment. I think commitment was not the factor to kind of get this swung in our favor. It was the robustness of our platform, the capabilities that we have and the reach that we have with the global audience that helped us garner this kind of revenues for an operator.
Rajdipkumar Gupta: So, another thi

ng, Amit, just to give more clarity out here, we work almost with all the OTT players globally now, including you name it everyone. And India as a market, we always, I think we have our firewall deployed with the BSNL. Based on the data points which we have received from BSNL firewall, we are 100% confident that what kind of volume Vodafone Idea should have on their network, and based on that calculation what we have got from BSNL, we give this kind of commitment. And we are very much sure that we will achieve that. So, as an India market understanding, we have very clear understanding with our current firewall with BSNL right now.
Amit Chandra: And so these commitments are like for every year. So, every year we will have to put in this kind of money or?
Rajdipkumar Gupta: Not exactly. It's just one security deposit we have to pay and based on a month-on-month basis, we have committed to the volume, which we are sure that we will achieve that.
Gautam Badalia: And Amit, just to kind of revalidate that 297 crores is not purely for Vodafone. It's for two, two mobile network operators just to kind of lay the math number correct on that.

Amit Chandra: Yes, I am aware of that.
Moderator: Thank you. Next question is from the line of Swapnil Potdukhe from JM Financial Limited. Please go ahead.
Swapnil Potdukhe: So, I have a couple of questions. The first one is on your deal with Telesign. And last quarter I remember you mentioned that there were some monthly revenues that you were supposed to get from Telesign, and over a period of time that revenue was supposed to increase. So, I just want to understand like what's the update on that? Where were we at the end of last quarter and the current quarter? And how long will it take for the entire potential revenues from Telesign to flow in through Route Mobile? That's question number one.
 Gautam Badalia: So, Swapnil, I think even prior to the deal, I think Telesign and Route Mobile were partners. We were working together, but as I said, since the deal, we have been working closely on various integration frameworks. So, the throughput has increased. Definitely it has increased, and we have been adding more value into Telesign because of our strong entrenchment into the emerging markets. So, that continues as it, and it's still working as partners.
But the day we are able to close this deal, we believe we will be able to get significantly more traffic from Telesign to Route Mobile. I think that is because today, I mean, because of certain competition sensitivity and certain legal guardrails , we are not able to kind of completely be as transparent as what we can be subsequent to the deal and once the deal closes, definitely, I think we believe there will be a significant increase in the throughput.
Swapnil Potdukhe: Any numbers you can share?
Gautam Badalia: I mean, it's too early for us to say. As I said, I mean, we have done some interim work on this. Let us come to the final leg of that work, the wireframe. At that point in time, we will definitely come and give you more crystallized framework of how things will pan out.
Swapnil Potdukhe: The other way to look at this is like I was looking at your tier one CPaaS revenue share. Now that has been declining, you know, quite a bit. So, I just wanted to understand, is this the impact of value first acquisition by one of the competition or?
Gautam Badalia: Partly yes. Partly yes.
Swapnil Potdukhe: And as and when Telesign revenues ramp up, we will see some increase in the revenue share from this particular metrics?
Gautam Badalia: Possibly yes, yes.
Swapnil Potdukhe: And just on the balance sheet side, so I see that your borrowings seem to have increased. I mean, if I were to add up your long-term and short-term borrowings, that add up to around 150 crores. Now we do have a decent amount of cash as well. My question is as to what is the reason that we are seeing

this increase in our borrowings number on a Q-on-Q basis?
Gautam Badalia: No, some part of that, Swapnil, is also some bit of it is treasury management where we kind of since we have to pay that in dollars, we don't convert necessarily the INR amounts. We keep that as deposits and kind of create a kind of treasury structure. So, some of these borrowings that we have is again backed by fixed deposits as a security. I mean, partly, that's a security that's given. So, it's also some bit of it is treasury management.
Swapnil Potdukhe: And just the last bit on working capital, I know someone asked in the beginning also this question, but an increase of DSOs from roughly around 60 odd days to 73 is decently high number, and so if you can give some explanation around that?
 Gautam Badalia: Yes, so there was one particular large OTT payment, which we received just after the quarter has closed. So, that that led to that bit of a blip.
Swapnil Potdukhe: So, from a normalized basis, what should be the number that we should be expecting?
Gautam Badalia: It should be around that 64, 65 days.
Moderator: Thank you. Next question is from the line of Kaustav Bubna from BMSPL Capital. Please go ahead.
Kaustav Bubna: So, I basically had two questions. The first one is, could you just give me a sense on Route Mobile's presence in the fraud prevention space? How big is this fraud prevention space to Route Mobile right now? And how do you see Route Mobile's presence growing in the space and the offerings in the space that Route Mobile has? That's the first question.
And the second question is, you know, I don't quite understand this deal. I am sure you have got this question before because Proximus was trying to list Telesign before which is public knowledge and that failed, and now they have done this deal through Route where the promoters are infusing money into Telesign. So, I am just trying to understand could you give us some, I don't know if you will be able to answer this, but could you give us some sort of indication as to a few years down the line, do you see Telesign, Route operating under one entity?
Rajdipkumar Gupta: I think it's too early to comment. So, honestly, Gautam, you want to add something to this?
Gautam Badalia: Yes, I think the immediate focus right now is to kind of get the deal consummated. Once the deal is consummated, some of these strategic thought processes, I think, will be dispensed. At this point in time, as Rajdip said, none of these things are kind of there on the radar.
Kaustav Bubna: No, but why was the deal structured this way then?

Gautam Badalia: Because cross-border mergers are not possible in India and hence the deal had to be structured in this way, but if you look at some…
Rajdipkumar Gupta: Gautam, I think I have already explained so many time about the whole deal rational as a, I think you can refer to multiple interviews of mine and in media also. I think I have explained very clearly why I choose Route Mobile and why I wanted to, sorry, Telesign and why I want to reinvest it back to Telesign. So, probably, if you want to know more about it, you can just give a separate call to us, and I am happy to answer all your questions.
Kaustav Bubna: That's fine. Could you answer the second part, which is about the fraud prevention segment and Route Mobile's presence?
 Rajdipkumar Gupta: So, see, the partnership with Telesign, the Telesign is one of the leaders in digital fraud and
digital identity product. They got the most evolved stack as compared to anybody in this current CPaaS ecosystem. We believe that partnering, bringing their entire stack to all the emerging countries where we have our presence. Right now our stack is not evolved as what Telesign's is, and we are definitely going to work with Telesign to use their stack in all the emerging countries where we operate from. And potential wise, I think digital id

entity has a
huge potential. In the next two to three year down the line, you will see that impact on our revenues as well.
Kaustav Bubna: Currently, you would say, it's meaningless, the Route Mobile's exposure to the segment. Is that the right assessment? And it will grow as….
Rajdipkumar Gupta: See, just to understand, there are multiple APIs needs to be opened by operators. For SIM swap APIs operator, we are dependent on operator. In India, only Vodafone and Jio has opened their API for SIM swap. Airtel is still thinking about it. The market itself is not ready in India, but in other market if you go to Europe or US, it is already available, and that's why Telesign has a decent amount of revenue coming from DI business. Now we have made inroads to Jio and Vodafone Idea and got their API access where we are going to use Telesign's stack to sell this product in Indian market or nearing country market, like emerging markets.
Kaustav Bubna: And I will get back to you guys on this because I read everything about the deal, but I still had questions as to, you know, because….
Rajdipkumar Gupta: Happy to answer all your questions and because it is directly to me, you can call me also to understand more then why I have invested. I am happy to answer any further questions.
Moderator: Thank you. Next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead. We will move to our next question from the line of Harsh Chaurasia from Vallum Capital. Please go ahead.
Harsh Chaurasia: So, just there was one doubt, like, recently, there was an event from WhatsApp India where there was a lot of aggression on the business messaging part. So, I just want to know how Route Mobile WhatsApp Business messaging offerings are unique from the business messaging of part of WhatsApp India? And how are they being still relevant in this market, like, when we are seeing offerings from the WhatsApp India part?
Rajdipkumar Gupta: So, I think if you attended that event, we were also part of that event, and we also have been invited by WhatsApp to be part of that event. And just to share about our relevance in this market, that recent deployment with Delhi Metro, they were the first company to have this ticketing system built for Delhi Metro which has a conversational chat along with the conversational commerce integrated within the same app and including our own bot, which is a Roubot.
 So, I think we as a company have built our stack which is now capable enough of handling payment along with the conversation chat as well, along with the bot. So, we are very much bullish, and we have seen the growth in our revenue in last quarter, and we have seen the same growth in this quarter also coming from WhatsApp Business messaging as well.
Moderator: Thank you. Next question is from the line of Parth Patel, a retail investor. Please go ahead.
Parth Patel: I just wanted to follow up on the question which was just asked around WhatsApp. As you see even Amazon today sends WhatsApp instead of SMS. So, just wanted to understand how, what kind of impact will it have on your margins as well as, you know, if and when globally the OTTs also shift to WhatsApp Business messaging instead of SMS? And what kind of efforts are we putting in to grow this side of business as well?
Rajdipkumar Gupta: So, Parth, our new product growth is 64% last quarter, right? And as far as Route Mobile is concerned, we are a platform company. Any customer coming to Route Mobile platform, they have an option to select the channel they want to communicate with, whether it's WhatsApp, RCS, email, voice or SMS, right. So, at the end of the day, we as a platform company going to provide them all the bouquet of services, let the customers select. We spend enough money to build the stack in-house. And now as a one single company which has every single channel of communication available in one platform, p

robably we are the only one in India who has the
entire stack within one platform.

Parth Patel: And the last one, second question which is fairly simple. So, in terms of the EBITDA margin for the firewall deals, you know, with VI or even with other smaller MNOs, so what kind of EBITDA margin can we expect on the VI side which is a larger deal and also on with the smaller MNOs?
Rajdipkumar Gupta: Let the deal start, right. It's too early to comment, and all our firewall deals are always over 20% to 25% range. Some of them are even 30% to 40% also.
Moderator: Thank you. Next question is from the line of Suresh Kumar, an individual investor. Please go ahead.
Suresh Kumar: Quick question on the overall guidance, medium-term guidance. I have seen various interviews of Rajdip, and you spoke about a billion dollar revenues in two to three years. And in some interviews, you are talking about a combined revenue of $2 billion between Telesign and us. So, just want to get an update from you on what is the guidance that we can expect over the medium-term two to three years?
Rajdipkumar Gupta: So, very much whatever guidance I have given during all my interviews, I stick with that guidance. We as an individual company level, we are definitely looking out to hit about a billion revenue in two to three year down the line. So, there is no change in terms of those guidance.
 Suresh Kumar: That's great news. And one last again on the industry specific question. I mean, we are doing great, great momentum across various deals. What are the biggest risks for you as a company as well as an industry? Is there any risk that you foresee? How are we being prepared for it?
Rajdipkumar Gupta: I don't see the risk honestly because as a platform company, we have to innovate every single quarter and the month and as far as our product stack if you see, we are ready with almost all the changes required, market required in coming years down the line. And if the particular channel is getting shift from say SMS to WhatsApp or WhatsApp to RCS, probably, we have all the channels. So, the risk is only if you stop innovating, then there is a risk. We as a company, we keep on innovation, and I think we will keep on doing this on other channels also. For me, I think right now I don't see any immediate risk on overall business.
Moderator: Thank you. Next question is from the line of Ronak Chheda, Awriga Capital. Please go ahead.
Ronak Chheda: Rajdip, just one strategic question for you. When we listen to the commentary of your global CPaaS competition, right, most of these players have been calling out slowdown in the messaging side of the business or the communication, marketing side of the business. Post merger when you control the entire CPaaS business of the group and the targets which we have, just wanted to get your thoughts on how are we thinking to, you know, direct the business because developed market seems to be maturing? Just your thoughts just on a strategy point of view for the next five years.
Rajdipkumar Gupta: Ronak, it's a very good question, but if you see the most of the developed market tech giants based out of US, their market is going to be the emerging market, whether it's Facebook or Google, right. The potential growth for all these large tech giants are in emerging markets, and we as a company are already a champion of this market. We want to make sure that we empower Telesign to go and win more accounts or more destinations with their relationship with those tech giants in that market, and we as a company will support them for delivery and termination in this market. So, that is a synergy we see, and that is where we believe that both the company has their own strength in different market. So, one is champion of developed market, and another one is champion of emerging market. Combined, both the company can create a great value as one group.
Ronak Chheda: So, you do

n't see that as a challenge because we are where the entire business is going to be focused for the next three to five years from global CPaaS business point of view. That is what you are saying.
Rajdipkumar Gupta: Yes.
Moderator: Thank you. Next question is from the line of Sangram Kanadia, an individual investor. Please go ahead.
 Sangram Kanadia: My first question is how will Proximus deal affect the upcoming revenues of earnings in positive or negative way? And the second question is will the shares be delisted after the Proximus deal? And will the key managerial personnel be changed after the signing of the deal?
Rajdipkumar Gupta: There is no plan of delisting the Route Mobile. And as I said, my responsibility for the overall group is going to more and I am going to lead the entire CPaaS business of both the companies.
Moderator: Thank you. Next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.
Nikhil Choudhary: Just one question on gross margin. The gross margin has declined on Q-o-Q basis and, you know, what basically make it more questionable is that happened despite of such a big increase in new product revenue which increased by 53% Q-o-Q. And we generally have much higher gross margin. So, if you can tell us what happened there?
So, our gross margin decreased by 20 basis point on Q-o-Q basis and that happened despite of new product revenue increasing by 53% Q-o-Q which has much higher gross margins.
Rajdipkumar Gupta: That's just a very small amount as compared to the 1,000 crores revenue, right?
Gautam Badalia: Yes. It is a function of various country mix, product mix. And I think the delta is so minuscule that I think the new products, their contribution is so small that it doesn't move the needle by

much.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to Mr. Rajdip Gupta for the closing comments.

Rajdipkumar Gupta: Thank you everyone and have a nice evening. Thanks a lot. Take care.

Moderator: Thank you. On behalf of Route Mobile Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Jan 2024

Ref No: RML/2023-24/ 440

Date: January 30, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 NSE Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended Dec ember 31, 2023
We are enclosing herewith copy of the transcript of the Company's Q3 FY2 4 earnings conference call dated Tues day, January 23, 202 4.

The transcript is also available on the Company's website under the Investors section at:
https://routemobile.com /compliance/2023/Route -Mobile- Ltd-Q3-FY24 -Earnings -Call.pdf
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly ,
For Route Mobile Limited

____
Rathindra Das
Group Head-Legal, Company Secretary & Compliance Officer
M. No. F12663

Encl: as above

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Route Mobile Limited
Q3 & 9M FY24 Earnings Conference Call
January 23, 2024

Management:

1. Mr. Rajdipkumar Gupta – Managing Director & Group CEO

2. Mr. Gautam Badalia – Group Chief Strategy Officer and Chief Investor Relations Officer

3. Mr. Suresh Jankar – Chief Financial Officer

Moderator: Good evening, ladies and gentlemen. I am Dorwin, the moderator for this conference. Welcome to the conference call of Route Mobile Limited arranged by Concept Investor Relations to discuss its Q3 & 9 MFY24 Results.

We have with us today Mr. Rajdipkumar Gupta – Managing Director & Group CEO, Mr. Gautam Badalia – Group Chief Strategy Officer and Chief Investor Relations Officer and Mr. Suresh Jankar – Chief Financial Officer.

At this moment, all participants are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press '*'and '1'on your telephone keypad. Before we begin, I would like to remind you that some of the statements made in today's Earnings Call may be forward-looking in nature and may involve certain risks and uncertainties. Kindly refer to Slide #2 of the Presentation for the detailed disclaimer. Please note, this conference is being recorded.

I now hand the conference over to Mr. Rajdip Kumar Gupta. Thank you, and over to you, sir.

Rajdip Kumar Gupta: Thank you, Dorwin. Good evening, everyone.

In light of the recent global trend of workforce rationalization and cost optimization among large global companies, the broader CPaaS industry has encountered some headwinds especially in the last 2 months of the previous quarter.

I want to take this opportunity to provide you with a transparent overview of the current situation as well as our strategic response to these events. While we have registered our best quarterly revenue during the quarter gone by, it was yet a slightly muted performance, considering Q3 is historically the best quarter. This is due to the industry headwinds and delays in a couple of our large contract going live. In lieu of the above, we revised our FY24 guidance from 20% to 25% revenue growth to 15% to 17% revenue growth. These developments while concerning are not uncommon in the fast-evolving tech landscape. The good thing is that our performance during the month so far is encouraging, and we are putting lots of effort to accelerate to go live for some of the large contracts that we have won and are on the verge of closure.

Some of the notable contracts which should go live during the course of this quarter are:

One of the largest e-commerce customers to go-live for European destination. Vodafone Idea contract integration is ongoing rapidly. However, the full-fledged impact of this contract will start from April 1st onwards. We have recently on-boarded a large e-commerce client from Asia, it should gradually ramp up. We are on the verge of signing a contract with one of the largest private sector banks in India. We are also encouraged by the growing adoption of new communication channels like RCS and WhatsApp messaging. In fact, some of our recent contract wins on these product lines are as big as our monthly revenue on these product lines. The recent shift in the messaging space is opening up new avenues for communication. We expect to onboard a significant number of new customers to our Omni channel platform, leveraging these changes. This evolution in the market while bringing these challenges also present us with unprecedented opportunities for growth and expansion. The evolving messaging landscape is creating an exciting opportunity for us to welcome numerous new clients to our Omni channel platform. This shift, while challenging is opening doors to unprecedented growth and development. We are in the process of implementing innovative technological solutions such as GenAI to enhance our operational efficiency. While I won't delve into specifics, I can assure you that these advancements will significantly contribute to optimizing our processes and reducing dependencies, aligning us with the best ind

ustry
practices.

In terms of the Proximus deal update, we have secured the most important U.S. approval and are in striking distance of deal closure. A couple of regulatory approvals from the Middle East are awaited anytime soon. Further, we have done a lot of groundwork on the integration effort across the group and have clearly identified synergies across various buckets. Upon the deal closure, we should immediately take action on the integration effort and the synergy should start to reflect in our financials immediately thereafter.

In conclusion, while we acknowledge the challenge we face, our outlook remains optimistic. Our strong foundation coupled with our strategic initiative positioned us well to capitalize our future opportunities and deliver on our promises of innovation and excellence. Thank you for your continued faith in our journey. We are committed to keep you informed and engaged as we progress towards our shared goal.

Now I will hand over the call to Gautam who will share more about our financial highlights. Over to you, Gautam.

Gautam Badalia: Thank you, Rajdip. Good evening, everyone. Wishing you all a very Happy New Year 2024. We've already uploaded our quarterly earnings presentation on our website as well as on the Stock Exchange website. Hope you had a chance to go through the presentation.

I'll quickly summarize our financial and operating performance during Q3 FY24 and 9 months FY24 before opening the floor for Q&A. I'll start by highlighting the key developments during the quarter gone by.

As Rajdip highlighted, we have registered our best quarterly revenues during the quarter gone by, yet it was a slightly muted performance due to factors which Rajdip again highlighted as industry headwinds, as most OTTs were in cost-saving mode, which affected the ILD traffic in regions, and delay in certain large contracts going live. With respect to our margins, we have encountered some one-off expenses. I just list out some of those one-off expenses for the quarter gone by. MR Messaging's revenue grew by 40% sequentially, but their performance actually was a drag on our EBITDA margin. Adjusted for MRM's EBITDA, we achieved a 13% EBITDA margin. MRM's performance for 9MFY24 was affected largely by geopolitical issues in Europe and industry consolidation. Hence an exceptional item of Rs. 150.4 million was booked in Q3 FY24, which represents the fair value gain as of December 31, 2023, of the contingent consideration payable towards the acquisition of the 100% equity stake of MR Messaging. There was also a backdate write-off in Masivian to the tune of Rs. 46.6 million in 9 months FY24 and we have already initiated legal actions for recovery. There was a one-time consultancy and retainer fees paid in Q3 FY24 for market expansion in Africa and LATAM, which amounted to Rs. 29.9 million.

In volume terms, we processed 31.2 billion transactions, similar to Q2 FY24. Despite Q3's seasonal step, the muted sentiment across the geographies is reflected in these volumes. India continues to be our largest market by termination, accounting for over 47% of our revenue by termination. The revenues from US headquartered customers declined, owing to reasons highlighted above. You may refer to slide 16 for the same. We are seeing strong momentum in next generation products across multiple geographies. We witnessed a year-on-year growth of 58% and a quarter-on-quarter growth of 40%. You may refer to slide 10 for the same. Our new product, LTM revenue is around US $25 million. The uptake in new products by enterprises, a few large contracts going live shortly, along with the synergy benefits that will accrue to group mobile post the disclosure will pave a very strong growth trajectory for FY25.

With this backdrop, let me walk you through our financial performance:

In Q3FY24, revenue from operations grew by 3.9% from Rs. 9,

857 million in Q3 FY23 to Rs.
10,243 million in Q3 FY24. There was a sequential growth of 1%. Billable transactions increased from 27.7 billion in Q3 FY23 to 31.2 billion in Q3 FY24. Average realization for billable transactions increased to 32.9 paisa in Q3 FY24 from32.4 paisa in Q2 FY24. Gross profit margins

remain flat on a sequential basis. EBITDA declined marginally, owing to certain one-off expenses highlighted earlier.

The effective tax rate for the quarter was around 15.4%. Profit after tax adjusted for exceptional items grew by 15.5%on a Y-o-Y basis and 11.6% on a sequential basis from Rs.854 million in Q3FY23 and Rs.884 million in Q2 FY24 to Rs.986 million in Q3 FY24. PAT margin was at 9.6% in Q3 FY24, as against 8.7% in Q3 FY23 and Q2 FY24. The board has recommended an interim dividend of Rs. 3 per share. For nine months FY24, revenue from operations grew by 17.4% from Rs. 25,606 million in 9 months FY23 to Rs. 30,063 million in 9 months FY24. In terms of certain KPIs, billable transactions increased from 79 billion in 9 months FY23 to 92 billion in 9 months FY24. Average realization per billable transaction was 32.7 paisa in 9 months FY24 as compared to 32.2 paisa in 9 months FY23. We had a net revenue retention of 110%, you may refer to slide 18 for the same. We added over 700 new customers in 9 months FY24 across all products.

Gross profit margin declined from 22.4% in 9 months FY23 to 21.3% in 9 months FY24. EBITDA grew by 15.7%. In terms of operating leverage, EBITDA as a percentage of gross profits stood at 59% in 9 months FY24. EBITDA margin remained flattish. Effective tax rate was 12.3% in 9 months FY23 as against 15.7% in 9 months FY24. Profits after tax adjusted for exceptional items grew by 21.6% from Rs. 2,291 million in 9 months FY23 to Rs. 2,786 million in 9 months FY24. The PAT margin improved from 9% to 9.3% during the same period.

We on boarded 35 new employees and 29 employees left us during the same period. Net cash as on December 31, 2023, was Rs. 4,654 million. Average receivable days was 73 days in 9 months FY24 versus 73 days in H1 FY24. Average payable days reduced marginally to 59 days in 9 months FY24 versus 64 days in H1 FY24. Normalized CFO conversion for9 months FY24 was in the range of 50% to 75% guidance range that we had told out at the beginning of the year.

With these highlights, we open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: First on your growth trends for this particular year, you mentioned there has been a significant decline, I mean there has been a correction in growth of guidance as well. Now my question is, would we be able to recover the lost growth in this particular quarter and the revenues that we have lost in this particular quarter starting Q4. If not, what would be the reason be? That would be the first question.

Rajdipkumar Gupta: Swapnil, let me start with this. As I said, one of the largest e-commerce customers is live on our India platform right now. We were hoping for them to start 9 other countries which got delayed, and we are very much hopeful to get those started by this quarter, and we are in

constant touch with them to start with UK and other countries. So, hopefully that will go live. As far as our Vodafone Idea contract is concerned, I think we were expecting to go live by 1st of December, which is now extended to 1st of April as an exclusive partnership deal with Vodafone Idea. We are almost migrating the different circles on our firewall. And we believe by end of March we will be able to complete the entire shift from other firewall to our firewall. So, the complete growth in terms of revenue on the firewall side w

ill be effective from 1st of April. So, in terms of the last Quarter we said we are seeing significant growth in this month already. Some of the customers who lowered down their volume last quarter we can see them started again. So, we might not give any kind of guidance but in terms of revenue guidance, I think we are very confident that between 15% to 17% is something what we will achieve this financial year.

Swapnil Potdukhe: So, just to extend that point, you mentioned 17% at the upper end of the guidance. So, that effectively tells us that you're guiding for 15% of the sequential growth, QoQ. And historically, 4Q has typically tapered compared to 3Q. So, this time around, it will be the other way around.

Rajdipkumar Gupta: So, if you see our last year also, the Q4 was better than the Q3. So, we believe that this year Q4 will be better than Q3.

Swapnil Potdukhe: And if I were to just extrapolate a few things and ask you about FY25, what would be the incremental revenue potential that you are looking at from all the deals that you just mentioned and things starting, assuming the Vodafone deal also comes in from 1st of April?

Rajdipkumar Gupta: So, apart from Vodafone and other deals, I think the synergy between the TeleSign and BICS as a Proximus deal. So, we are expecting that deal to get closed very soon. If those synergies come along with the Route Mobile, I think we have a very high number to achieve. Right now, we are assessing the whole value. We might not be able to give you the exact growth trajectory for the next year, but very soon we will definitely share that.

Swapnil Potdukhe: And one thing on your gross margins, you just mentioned that your RCS and WhatsApp revenue has been doing well, but that does not seem to be reflected in your gross margins. In fact, if I see from a YoY perspective, you're down significantly Q-on-Q perspective also, you're flattish. When exactly should we start seeing these margins to inch up, get some benefits from the new product line?

Rajdipkumar Gupta: Swapnil, you need to also understand when you talk about, say, 25 million for the yearly basis revenue against the Rs. 4,000 crores revenue. So, it will always be very small. I think, as Gautam mentioned, some of the contracts we have won recently and some of the contracts which we are working on are very large contracts. And as soon as we scale this entire revenue to around Rs. 300 crores to Rs. 400 crores or maybe Rs. 500 crores a year, probably you can see the impact of that in our margins. But we are working very hard to onboard and focus more on

Omnichannel potential, which we see right now. So, that's the current situation. Gautam, if you want to add to this?

Gautam Badalia: Yes, so, I think we mentioned in our remarks also, I think MRM, while they have not had the best nine months, but last quarter, they did exceedingly well in terms of growing the revenue sequentially by 40%, but in terms of gross and EBITDA margin, it was a drag on our overall financials. So, adjusted for the MRM's gross and EBITDA margin, our margins would have expanded significantly. I mean, sure, it would have been closer to last year's gross margin.

Swapnil Potdukhe: And just one last question on your employee expenses. Right now, they are hovering around Rs. 55 crores on a quarterly basis. Is there any impact of any salary hikes or something in this particular quarter or like that come in later? If you can just guide some, how things we should forecast in the quarter?

Gautam Badalia: Some of the subsidiaries also have a January to December kind of cycle. So, there are some bonus payouts and all that happens typically at the end of December. So, some of those things have happened during the course of the last quarter.

Swapnil Potdukhe: So, fair to assume Rs. 55 crores is the run rate in the near term, next one or two quarters.

Gautam Badalia

: Yes, in that vicinity, that's right.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Couple of questions. First, if I look vertical mix which we provide in terms of which segment is driven growth, digital native and aggregator seems to be weak. So, if you can provide some colors, what is playing out? So, CPaaS partner as well as digital native, some weakness is evident. The second question is about some of the comments you made in delaying large contract ramp up. So, if I look your PPT indicated, Vodafone where we are already live and in record time we implemented and stuff like that. So, what leads to delay in conversion to revenue or maybe billing? If you can provide some sense? And the third question is about the gross margin trajectory. I understand new product is not significant, but if I go to, let's say, year-to-year back, and overall consistent narrative about gross margin expansion plan over a period of time, some of it is not evident in the numbers. So, if you can provide what lead to some kind of mix, not for this quarter particularly, but broader, let's say 9 months or something like that. Thanks.

Rajdipkumar Gupta: So, Gautam, I'll start with the second question, and probably you can answer the remaining two. So, Dipesh, if you see Vodafone, we went live on 1st of December with our hub, which is like a record implementation of Vodafone Idea. There is a current partner who has a firewall deployed in all the various circles of Vodafone Idea, which is a very tedious job to transfer the

entire traffic from one firewall to another firewall. And that is why now we have started in January to moving the traffic from one firewall to our firewall. That process has been started. We cannot move all the traffic in one shot because we have to test, we have to make sure everything is working fine from firewall A to firewall B. So, that transition period is longer. That is why it will take another 2 months more. And that is what we expect and that is why we are talking about 1stof April as go live and we will become exclusive also from 1stof April which means that all the traffic from 1stof April onwards will flow through our firewall.

Dipesh Mehta: Just Rajdip on this part, so earlier when we indicated to contribute revenue from Q4 onwards, whether we over-optimistically assume transition will be very short duration kind of transition?

Rajdipkumar Gupta: I think it was a little bit of miscalculation from our side and probably that was one of the reason we were always calculated Vodafone Idea to go live from January 15, but because of the shift it's taking more time and but we already started the process and that's why we are not considering the revenue of that in this quarter, but now the shift has already started, we have already moved three circles to our firewall now and the remaining are going weekly basis And keeping that in mind, I think 1st of April is a tentative date where we will be working exclusively on Vodafone Idea.

Gautam Badalia: So, Dipesh, your first question was on digital native and CPaaS. So, you're absolutely right. I think those two segments have witnessed some headwinds and that's largely an industry-wide phenomena and not specifically to Route Mobile per se. So, some of these CPaaS players, I mean, who are also our partners, they service a lot of large global enterprises and we've seen that trend pretty much play out across most of these large global enterprises during the last two months of the previous quarter. Hopefully, I think things are coming back with some of these enterprises now doing their budgeting and stuff. So, things should come back atleast, and it should steady now. So, from that aspect, I think we are cautiously optimistic about both these segments. And as Rajdip said, once Vodafone goes live, we'll

definitely be able to increase
our wallet share with each of these clients. So, Dipesh, your third query was on new products, right? I mean the ramp up. So, I think we're very, very enthused with the kind of ramp up that we are.
Dipesh Mehta: It was on gross margin.
Gautam Badalia: Yes, on the gross margin. Okay, the expansion that you were saying.
Dipesh Mehta: That's right. So, let's say if I go to your 2-year back narrative about gross margin trajectory, one year back also same narrative, we expect gross margin trajectory to improve over a period of time and it would be consistent steady kind of improvement. Now if I look actual delivery, the trajectory seems to be different. Now we will explain ABC reason why it is not happening, but if I look trajectory perspective, in 2022 we were at 21% gross margin, today we are not different. So, I just want to understand whether one should expect 21 is a reasonable number

to expect for medium term or you think 25 and because at one point of time you indicated it can go as high as 30. So, we are way below those kinds of numbers, so I just want to get sense.
Rajdipkumar Gupta: Dipesh so as I said, our other business and our Omni channel business is growing every single quarter. And I think we are at a run rate of $25 million as of now. And we are expecting this to grow, I think, at least very highly as compared to the SMS piece. But again, as soon as it increases to a Rs. 500 crores revenue run rate; I think that is where you can start looking at the margin increase overall. Gautam, if you want to add to this.
Gautam Badalia: Yes, and just to give you a perspective, I think we've given a 3-year perspective of margin expansion, and that's a fair observation. I think some of that has kind of got a little diluted because of MR messaging's margin was a drag, right? If we adjust for that, I mean, there is some bit of margin expansion that's played out. But notwithstanding that, the important thing is this year, as we said, this would be an inflection year for the new products. I mean, at this point in time, we're working on a few contracts where our monthly run rate of the new product revenue, I mean, some of the contract sizes that we are winning are greater than that. So, some of those validations are happening. I think let these new products works team gather some critical mass at that point in time. I think this should definitely play out from an expansion standpoint.
Dipesh Mehta: And last question from my side. Now if I look at your Q4 guidance rate, I'm looking sequential perspective implies roughly around 7% to 14% as quarter-on-quarter growth. Now Vodafone is likely to ramp up from April, so it should not contribute. So, what we are building because from seasonality perspective, typically volume is not showing any material growth. If I look last few years of our performance, what we are building here, if you can help us understand?
Gautam Badalia: I think some of the segments which are now coming back, essentially the CPaaS that had actually kind of dwindled down quite a bit during last quarter. I think some of those things are now coming back. And I think last year if you look at the trajectory, on a sequential basis we were able to demonstrate growth in Q4 versus Q3. Plus, we are assuming that some of these contracts that we have won, the e-commerce client in Asia that we have already started the throughput and that should meaningfully ramp up. We are also assuming that one of the largest e-commerce clients will start the European traffic in the course of this quarter. So, some of these things are baked in to our assumption.
Dipesh Mehta: Last year growth was partly driven by acquisition. Inter telco was not there in Q3 and that's why some growth happened. If I adjust for it, your growth was not there sequentially, which is the usual pattern. And that's why I tried

to, but you said these 3-4 reasons are sufficient for us
to give that confidence?
Gautam Badalia: No, so, Dipesh I think Interteleco acquisition happened in December 21, not last year.

Moderator: Thank you. The next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: First question is regarding the decline we have seen in the volume number. While the argument you have given that there is cutting spending in ILD by global enterprises, volume clearly is driven by the NLD part, right? ILD is relatively a small portion of overall volume and declined on Q-o-Q basis, more or less showing that even on an NLD side, there is at least some pressure. We heard from your competitors last quarter that there are challenges from other players who are not passing on the increase cost. So, anything to highlight there in terms of volume?
Gautam Badalia: In terms of volume, what has actually transpired is I think there was a significant drop in volume for Masivian and while I think their volumes dropped by 10%, their revenue increased by 15%. So, they were able to kind of do a lot of solution selling which are inherently larger ticket sizes solutions that they were able to sell. So, I think that way, they have done really well in terms of the margin expansion and in terms of the gross margins.
Nikhil Choudhary: We have done margin expansion this quarter and there is a significant jump giving by realization, then Route's organic performance is even inferior right.
Rajdipkumar Gupta: No, that I think we did call out, digital native and CPaaS. Those two segments got impacted during November and December. So, that led to kind of a slightly muted performance for Route Mobile on an organic basis.
Nikhil Choudhary: One-time cost against Masivian?
Rajdipkumar Gupta: Yes, so this actually happened, part of it happened in Q2 and last part of it happened in Q3. So, this was pertaining to one solution that was sold to kind of a Mexican enterprise. But ultimately the Mexican enterprise was not able to realize it. I mean, it's more to do with the industry headwinds than anything else. So, we've kind of already started a litigation proceeding against them. So, we are hopeful that we'll be able to recover this amount that we have written off.
Nikhil Choudhary: Sure. Just last point here. A few questions asked by earlier participants regarding the required growth rate of 7% to 14% in the 4th Quarter. How much will be driven by the increase in volume in more or less our existing business and how much will be driven by incremental revenue coming from our one of the top clients starting in Europe?
Rajdipkumar Gupta: I think honestly, we can't quantify at this point of time, but we believe that knowing the pattern of spending on various 9 to 10 countries, if we get all of them as a part of our platform, we believe that it will add easily $3 to $4 million additional dollars to our revenue.
Nikhil Choudhary: Okay, $3 to $4 million revenues. So, the remaining portion you are saying that's going to come organically? C> routemobile
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Rajdipkumar Gupta: Yes, as I said, I think the volume for this particular month, we have seen a growth whatever the distance we have seen from those large OTT players in the month of November and December. We start seeing the traffic coming back to our platform and we see a decent growth for this particular month, and we presume that the same growth will continue for the next 2 months as well and we will easily reach to our guidance of 15% to 17% year-on-year basis.
Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: So, my first question is on the ILD part of our business, wherein in the past we have seen multiple price hikes on the ILD side. So, is it fair to assum

e that because the ILD revenue is being dominated by 5, 6 large clients, so maybe the higher pricing of ILD is forcing them to shift to some other modes of communication and now with RCS becoming preferred mode. Can we see the shift from ILD to RCS because the pricing differential is very high and so because if I see the sharp drop in the top client revenue for us in this quarter, so this is also indicating to some extent that the top client is not using the ILD channel as it was using say a quarterback?
Rajdipkumar Gupta: Not exactly in that sense. First of all, let me just clarify that RCS is no way allowed to send OTPs for OTT partners. RCS in India is being governed by Vodafone Idea as their hub and it is definitely not allowed to use that channel to send OTPs. I think that some misleading information has been passed in the market, which is not correct. And we have not seen a single drop because of RCS being used for OTP. Okay, it was not only for India, but I think OTT, a player like Google or Facebook or many others have reduced their volume not for India, but multiple destinations in those months. So, it is not just for India and ILD business.
Amit Chandra: No, I agree that, that it's not for OTP messages, but mostly for the promotional part and for the promotional part of the messages?
Rajdipkumar Gupta: Even for the promotional part of the messages, I think we serve one of the largest e-commerce customers right now in India and we have seen in fact this growth in their volume on SMS side and I think there are lots of grey routes available in the market and that will lead to de-grow the traffic, now most of these large brands, they are aware that their people are using grey routes to terminate the message and we in return getting more traffic and more assurance from these brands that they want to work with people who have legitimate route to terminate the traffic. First of all, that is something that we've have got some confirmation for this month and that is why we see growth in our ILD traffic for this month. RCS, you might have referred

to some of the transactions happening on WhatsApp for Amazon which is totally not as a
counted transaction in our revenue model. So, we still see the growth of whatever traffic which
is coming for companies like Amazon, we still see the impact with us.
Amit Chandra: And sir, recently Apple also mentioned that they're going live with RCS globally because RCS is
only on Android right now. So, with Apple going live on RCS and RCS being a cheaper mode of C> routemobile
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communication as compared to ILD which is Rs. 5, obviously it's an opportunity for newer
clients but for existing clients, can this be a risk as the shift to volumes which are lower on
realization?
Rajdipkumar Gupta: Amit, RCS is live in almost 95 to 100 countries as of today. The biggest threat between
WhatsApp and RCS, it is not on SMS side. So, if you talk about the conversational messaging
which is happening on RCS as compared to conversational messaging which is happening on
WhatsApp, WhatsApp is 75 paisa in India and RCS is about 25-20 paisa in India. So, we see lots
of shift is happening from WhatsApp to RCS. That is a real shift and that is something which we
see or we have seen a trend. As a company, we are doing reasonably well on RCS side and
reasonably well on WhatsApp side. As a Omnichannel provider, we are not seeing that trend
of RCS or WhatsApp being used for the SMS channel, but I think there is a biggest gap we see
between WhatsApp business messaging and RCS, and we see people adopting RCS more to
replace WhatsApp business messaging. So, that is a trend we have seen from last few months
and that is happening and because of the cost and because of that is governed by the operator
ecosystem by GSMA and the data residing within the country, RCS preferred two-way
communication channels over WhatsApp. This is a tre

nd we have seen in the last few months.
Amit Chandra: So, sir, you mentioned that most of the ILD, large ILD spenders, have not spent what they
intended to in the last two months. So, the drop in the spending on ILD is because of the higher
pricing that ILD because they are finding alternate challenges, or this is more linked to
macroeconomic conditions?
Rajdipkumar Gupta: It is more linked to macroeconomic condition and India is just a 5-cent market right now but
there are various markets where SMS being charged to 23 -25 cents also. So, it is not just India
as one market which is charging 5 cents. If you go to Bangladesh or Sri Lanka, I think it is as
expensive as about 13 - 20 cents range. So, I think it's overall different for various other
countries by all these OTT channels. Commonly the macroeconomic condition, which will lead
them to withdraw some of the traffic, which they believe is not critical, and they stick from
critical traffic, but again from month of January, we see those traffic coming back.
Amit Chandra: And sir, on the VI deal, you mentioned that it will start from April onwards. So, the revenue
commitment or the revenues that we are building in, remain the same or is there any change
in scope of the project?
Rajdipkumar Gupta: It will remain the same, whatever the guidance we have given before.
Moderator: Thank you. The next question is from the line of Swapnil Potdukhe from JM Financial. Please
go ahead.
Swapnil Potdukhe: I just wanted to confirm one of the questions that I had earlier asked with respect to the gross
margin. So, you mentioned that MRM is something which has impacted the margins over there. C> routemobile
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Now, as we understand, the MRM margins are significantly better than our standalone
margins. And is that understanding correct? And if that is so, then?
Gautam Badalia: So, Swapnil, it was historically, I mean what you're saying is right, but I think last quarter, so if
you remember, the first half for MRM was significantly kind of muted in terms of revenues,
right, while they were doing good in terms of margins. I think this quarter they've chased
revenue growth and compromised the margins a little bit, so that has actually diluted our
margins for the quarter.
Swapnil Potdukhe: And secondly, do these numbers that we have reported for this quarter include any trials that
you were doing with TeleSign? I remember you saying, I think a couple of quarters back that
there were some.
Gautam Badalia: There is nothing that we are doing right now because of the competition commissions and
other aspects, we can't do, so some of these would be tantamounting to Gunjumping . So, I
think we're working independently as two entities right now. Once the deal closes, at that point
in time the throughput would start.
Swapnil Potdukhe: And one more thing, as you consolidate with TeleSign at some point of time, your volume is
consolidated, is it possible that the enterprises may have a challenge because due to higher
concentration coming from just one particular CPaaS player because ultimately TeleSign and
Route would be considered as one by an enterprise and that may lead to some of the enterprise
trying to diversify their exposure to some other CPaaS, basically where is the concentration?

Rajdipkumar Gupta: Swapnil, there are many customers that TeleSign has we don't have, okay. Let's do some of the classic examples like Spotify or Netflix right? So, these customers we don't have, we don't serve them. And there are few large we serve both, we both serve them, its fine. But there are many of them are US based, we don't serve them directly. And that is the opportunity we see in long term where we will get as a one combined team to serve all the customers based out of US as a single entity or a partnership.
Gautam Badalia: And something just to add to what Rajdip said, so I mean as part of the integration

exercise,
we have done exhaustive work on all this along with our global consulting firm. So, at this point in time, we don't believe that we've run any concentration risk per se. I mean if at all, we both complement each other rather than kind of creating any concentration risk per se. So, I think that is again a very positive kind of outcome that we have been able to kind of at least from a hypothesis standpoint, being able to formalize.
Swapnil Potdukhe: Right. But just for clarity sake, would you guys be able to give us what would be the total overlap of revenue between TeleSign and Route today? I do understand you very clearly mentioned that there are a few other clients which you do not serve at all. C> routemobile
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Gautam Badalia: Swapnil, at this point in time, it would be premature for us to kind of divulge some of these information……
Moderator : Thank you. The next question is from the line of Dipesh Mehta from Emkay Global, please go ahead.
Dipesh Mehta : Two questions. First about one, in last quarter we announced large e-commerce client deal and in that you broadly indicated India is roughly half, half is from around 8-9 countries outside of India. So, can you provide some update? I think partly you touch upon, but if you can provide more clarity on it? Second question is now if let's say one look at it, some of the challenges which we face in Q3, Q4, or maybe Q3 particularly. Now it has some implication in Q4, some kind of a quarter kind of delay in one large deal. So, base effect is supportive for FY25 growth trajectory plus some of the extent which you highlighted in terms of new product growth what we are witnessing. Do we expect our FY25 growth trajectory will be much better than what you might have anticipated at the end of Q2, if you can provide qualitative comment around it? Thanks.
Rajdipkumar Gupta : As I said, the Vodafone deal plus all these new, I think we got a new large e-commerce giant based out of Asia. I think that is also a big deal for us right now. There are lots of banks we are working right now. There is definitely this large e-commerce company for 9 countries which will come. Vodafone deal plus the synergy between TeleSign, Route Mobile and the Proximus, we'll definitely add much, much higher revenue potential for the next financial year. Right now, we might not be able to give any kind of guidance. We are still at very early stages, but definitely we see a huge growth and potential of this partnership in the next financial year.
Dipesh Mehta : I understand qualitative 25, just want the update on this deal or you said there is some delay even in the e-commerce kind of client?
Rajdipkumar Gupta : First of all, the entire system was frozen in the month of December, now in January they all are back, and we started the communication to start doing testing and I think the testing is over. Maybe we will start getting traffic very soon. It will start country by country not just all countries together. So, it's a process at their end which may take some time, but even one country adding to our platform, as I said, even 3 to 4 countries we start within this quarter may lead to about $3 to $4 million additional revenue to our portfolio.
Dipesh Mehta : Understood, so broadly this will be fully ramp up somewhere in Q1. That is right understanding?
Rajdipkumar Gupta : Yes, Q1 next year, yes.
Moderator : Thank you. We have the next question from the line of Ronak Chheda from Awriga Capital Advisors. Please go ahead. C> routemobile
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Ronak Chheda : Couple of questions. One is on this global scenario, just going back to this ILDs, what we've seen in the quarter and what we've seen that the fungible volumes have been racked up not just for India, but globally. So, now when you're thinking about, let's say, 2-3 years down the line as a CPaaS business of the entire gro

up entity, how do you see the competitive intensity? And in your view, do we see this as a structural trend where the volumes will keep on coming down on the ILD, it is not just in India, but in all the markets where we operate, where the fungible volumes will shift to other platforms? Just your thoughts on this?
Rajdipkumar Gupta : As a platform company, we have all the channels available between our offering and the

customer is looking out to change from platform A to platform B. Everything is possible from our end, but as far as the messaging trend is concerned, there is a huge adoption in the growth in the SMS side also. From the ILD business, we have not seen that kind of de-growth. It was just one time, I think most of the OTT players, they wanted to reduce the cost for those particular months and that is a threat we have seen . And as far as I know, there are markets where prices are almost 25 cents, and still all the OTT players are using those countries and networks and paying that much amount. So, I don't think there's any change we can see, but there is definitely different channels that may be used by these OTT players to have OTP for one channel and primary promotion for the other channel. That is possible, but it all depends on the regulatory matters also because the various regulatory aspects are linked to this kind of traffic to be terminated within the country.

Ronak Chheda : And just an extension to this question there, for the Vodafone deal, we have certain business assumptions baked in, right? And there is some commitment also. So, just if the channel changes or shifts, the OTT player shifts between the channels. Do you see a risk to the $100 million business annual run rate that we've baked in?

Rajdipkumar Gupta : No, that is the minimum we have baked in, and the potential is much higher. Considering all the parameters, we believe that 100 million minimum we can achieve out of that.

Ronak Chheda : Understood. On the MNO side, we had certain deals in pipeline on the firewall side of the business. And you had mentioned in the call that we were hoping to sign, but we don't see that. So, just an update there. Is this delayed or are we out of the discussion?

Rajdipkumar Gupta : Maybe we will announce something in this quarter that also got delayed because of the network freeze in various countries due to last month. So, we might get some kind of announcement in this quarter for our firewall win.

Ronak Chheda : Understood. And lastly, on this competition globally, how is the pricing right now because we've seen some pressure on the margins as well. So, how is the pricing and how is the competitive scenario which you are seeing today?

Rajdipkumar Gupta : As I said, Route Mobile is a unique company based out of India. We are definitely not offering one country to all the different companies. We offer multiple countries. And there are very few limited numbers of players right now in the market who have this kind of coverage and potential. And I think if you see, there are 5 or 6 companies only who serve the customers for global domination and we are one of them. And if there is a pricing challenge but there isn't, what I see normally is a channel shift and we see lots of use cases for WhatsApp and lots of use cases for RCS. These are all new use cases, and that's the potential we see from CPaaS industry because the growth on RCS and WhatsApp are totally new use cases, which is not somehow killing the SMS volume as such, because the two-way communication, the conversational chat, which is a new thing right now, and we see a growth on that as part of the business and it will be continued. So, most of the companies, most of the enterprises are now looking out to engage their customers with a various mode of communication and RCS and WhatsApp is one of them, including SMS right now. So, we are very bullish about t

he growth of CPaaS and Omni channel coming years down the line.

Moderator : Thank you. The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil : My first question is, is it possible to give volume growth in NLD and ILD for the quarter?

Gautam Badalia: Guys, we don't share that level of details right now. India, the volume growth was around 2%.

Sarang Sanil : My second question is, since there was a guaranteed volume given to Vodafone Idea in the firewall deal, so is that part affected or renegotiated as we are planning to go live with a three-month delay now?

Rajdipkumar Gupta : We cannot share that kind of detail right now. There is definitely an agreement between Vodafone idea. We have a certain element, but we may not be able to share on this call.

Sarang Sanil : What are the margin levers going forward? Since RCS, WhatsApp would take, new products would take time to scale to the Rs. 400 crores – Rs. 500 crores range, what would be the levers in the next couple of years?

Rajdipkumar Gupta : The levers will be just Omnichannel, right? So, e-mail, WhatsApp, RCS, and voice will be the levers for the next coming year. And we are fairly placed well and our platforms are working well. We are one of the top 5 partners with Google and RCS, and I think we're doing fairly well on RCS right now. And on WhatsApp, I think we are now one of the premium partners as well, and I think things are going really well for Route Mobile Omni channel. And things are going good and we believe that in the coming quarters this will keep on going.

Sarang Sanil : And the final question would be, what is the effect of tax rate for this year and the next couple of years?

Gautam Badalia : Yes, 18% to 20%.
Sarang Sanil : 18% to 20%.
Moderator : Thank you. The next question is from the line of Suresh, an individual investor. Please go ahead.
Suresh: Greetings everybody. Just wanted to understand what the revised guidance is for the current year as well as in the past we spoke about a billion-dollar revenue in 2 to 3 years. Has anything changed on the long-term outlook both on the margins as well as revenue and what is the revised guidance for this and next year, if you may?
Gautam Badalia : Yes, so in terms of guidance, we revised this financial year's guidance from 20%-25% back to 15%-17% and that's largely to do with the industry tailwinds. Considering some of these large contracts which should go live during the course of this quarter, we'll see the full year benefit of that play out. And there are, as Rajdip said, some large MNO deals also that we are working on which are firewall deals across multiple operators. So, some of these things, I think, will help us accelerate. And then for next year, I think the way as somebody had kind of highlighted the base effect, I think next year we're looking at a very strong year from a growth standpoint. And on the billion-dollar revenue over 3 to 4 years, I think that stands valid even today and especially with this Proximus deal, we believe it will open a lot of avenues across the developed markets, which will be a catalyst to drive the core business.
Suresh: Thanks for that. In one of the television interviews Rajdip mentioned that combined entities, TeleSign and Route Mobile targeting a $2 billion revenue in next 3-4 years. I know this model is probably evaluated to both organizations, but want to check if that's still going forward?
Rajdipkumar Gupta : That is still intact. I think if you see the combined revenue of both the companies is over $1 billion already. So, we definitely stick to that $2 billion and we believe we can overachieve also.
Moderator : Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. Rajdipkumar Gupta for closing comments. Over to you, sir.
Rajdipkumar Gup

ta : Thank you, everyone. Thank you for joining this call. And we're looking forward to the strong quarter of this one and we are working very hard to get more contracts and at least to work on our existing contract to go live. Thank you for joining this call. Thank you. C> routemobile
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Call: May 2024

Ref No: RML/2024-25/466

Date: May 13, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2024
We are enclosing herewith copy of the transcript of the Company's Q4 FY24 earnings conference call dated Monday, May 6, 2024.

The transcript is also available on the Company's website under the Investors section at below mentioned Link:
https://routemobile.com/compliance/2025/Route-Mobile-Ltd-Q4-FY24-Earnings-Call-Transcript.pdf
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly,
For Route Mobile Limited

Rathindra Das
Group Head-Legal, Company Secretary & Compliance Officer
Membership No: F12663

Encl: as above

Route Mobile Limited
Earning Conference call Q4 & FY 2024
06th May, 2024

Management

1. Mr. Rajdipkumar Gupta -- Managing Director and Group CEO
2. Mr. Gautam Badalia -- Group Chief Strategy Officer and Chief Investor Relations Officer
3. Mr. Suresh Jankar -- Chief Financial Officer

Route Mobile Limited
Earning Conference call Q4 & FY 2024
06th May, 2024

Moderator: Good evening, ladies and gentlemen. I am Michelle, Moderator for this conference. Welcome to the conference call of Route Mobile Limited arranged by Concept Investor Relations to discuss it's Q4 and FY24 results.

We have with us today Mr. Rajdipkumar Gupta -- Managing Director and Group CEO, Mr. Gautam Badalia -- Group Chief Strategy Officer and Chief Investor Relations Officer and Mr. Suresh Jankar -- Chief Financial Officer.

At this moment, all participants are in listen only mode. Later we will conduct a question-and-answer session. At that time, if you have a question, please press “*” and “1” on your telephone keypad. Before we begin, I would like to remind you that some of the statements made in today's earning call may be forward-looking in nature and may involve certain risks and uncertainties. Kindly refer to slide number two of the presentation for the detailed disclaimer. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajdipkumar Gupta, MD and Group CEO. Thank you and over to you Sir.

Rajdipkumar Gupta: Thank you, Michelle. Good evening, everyone. I wish you all good health and prosperity. FY24 has been a remarkable year for Route Mobile. We have been able to post our highest quarterly revenue in Q2 and Q3 and register a good growth in H1.

We continue to acquire some large customers and deliver unique solution across industries. The CPaaS industry is facing headwinds since November 23, including

enterprise cost optimization initiative, particularly from global OTT and shift in communication channels.

While some of this structural change will take time to stabilize, we remain vigilant to leverage emerging opportunities. Route Mobile strategic road map position us to seize this movement and establish our leadership in the CPaaS ecosystem. The imminent closure of the Proximus deal will bolster our portfolio, extend our global footprint and ignite our innovation pipeline creating unparalleled potential for Route mobile in future.

The synergies derived from this partnership will complement our products geographic and customer base while accelerating our journey towards the billion-dollar revenue. We have fallen short of our revised guidance. However, we have secured strategic deals and laid the groundwork for a stronger FY25, ex

pecting significant growth in revenue
and profitability given by the synergies within these Proximus Group.

Some key development of FY24. Some new customer wins. We signed a direct contract with leading e-commerce cloud computing company providing CPaaS services across 10 countries, including India. We secured and exclusive B2C monetization deal with VI India, now active since April 1st, 24. We were appointed as an exclusive partner for A2P monetization with MNO in APAC. We have partnered with Robi Axiata, Bangladesh as a technical enabler’s sales partner for RCS business messaging. We have installed our map server with Robi and we want to replicate the same solution with another operator globally.

In terms of new product achievements, we pioneered the metro ticketing ticket booking across WhatsApp and RCS for select Indian Cities, generating the highest user traffic in just three hours on WhatsApp business messaging.
On the award and recognition, Route Mobile was ranked as Tier 1 vendor in the A2P messaging market impact report by Roku, excelling in both enterprise and MNO categories, Awarded Juniper's Best Mobile Authentication Solution, Platinum Partner award, featured as a major provider in Gartner's Magic Quadrant for CPaaS and C> route mobile
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highlighted in 4 Gartner’s high cycle reports. I'm very proud of my team for having delivered a successful financial year and congratulate them on the great performance. Finally, leveraging a solid FY23-24 performance, the Board of Directors has a proposed final dividend of INR ■2 per share following an interim payout of INR ■9 per share.

Now I will pass it over to Gautam to walk us through the financials in detail. Thank you for your time and let's continue working towards a successful FY25. Over to you Gautam.

Gautam Badalia: Thank you, Rajdip. Good evening, everyone. To start with, we've already uploaded our quarterly earnings presentation on our website as well as Stock Exchange website. Hope you had a chance to go through the presentation. I'll quickly summarize our financial and operating performance during Q4 FY24 and for the full year FY24 before opening the floor for Q&A.

Further to what Rajdip said about the current industry dynamics, there were a few related factors highlighted in slide 14 of the earnings presentation which affected our growth and profitability in FY24. These factors are: the first factor essentially is MRM's Mr. Messaging's financial performance was adversely impacted in FY24. Owing to geopolitical issues in Europe and a particular client of Mr. Messaging undergoing the industry consolidation. So, some of these things affected and Mr. Messaging's revenue and that had a financial impact I mean on the payout as well as on the impairment that has been captured on the financials.

There was a sharp devaluation of Naira and that had impact on the revenue that he earned in the Nigerian market, and there was a provision for an onerous contract, which is already being renegotiated and hopefully I mean if things go fine in terms of the renegotiation of these provisions, we'll get addback into the books.
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In volume terms, moving back to the business KPIs, in volume terms, we processed 34 billion transactions in Q4 FY24 and 126 billion in FY24. India continues to be our largest market by termination accounting for over 48% of our revenue by termination.

India termination revenues grew by 19% in FY24. The revenue contribution from US headquartered clients as a percentage of total operating income reduced from 46% in FY23 to 42% in FY24. Revenues from US headquartered customers grew by only 4% during the same period in absolute terms, you may refer to slide 19 for this. Further, Q4 is generally the weakest quarter for Masivian from a seasonality perspective.

In terms of the cash flow, we witnessed improvement in the normalized ca

sh flow
conversion in FY24 are normalized CFO to EBITDA conversion was 56% as against 45% in FY23. It is referred in Slide 16 of the earnings presentation. We believe there will be marked improvement in the free cash flow generation in FY25.

With this backdrop, let me walk you through our financial performance. In terms of Q4 FY24 performance, Q4 revenue from operations grew by 0.8% YOY and declined 0.7% sequentially to 10,170 million INR. Billable transactions was over 34 billion in Q4 FY24 as compared to 31 billion in Q3 FY24 and 27 billion in Q4 FY23.

Average realization per billable transaction declined to 30 paisa compared to 33 paisa in Q3 FY24 due to significant increase in the domestic volumes in India. Gross profit margin expanded to 21.8% as compared to 21.3% in Q4 FY23 and 21.2% in Q3 FY24. EBITDA for Q4 decreased by 9.4% YOY and 2.9% QOQ to 1,204 million INR due to reasons mentioned above, plus, there were a few expenses related to MWC and few other events conducted by the company during the last quarter.

EBITDA margin contracted from 13.2% in Q4FY23 and 12.1% in Q3FY24 to 11.8%. Profit after tax adjusted for exceptional items declined by 10.3% YOY and 5.3% sequentially to ■934 million in Q4 FY24 with PAT margin declining from 10.3% in Q4 FY23 and 9.6% in Q3 FY23 to 9.2% in Q4 FY24. C> route mobile
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In terms of the full year performance FY24, revenue from operations grew by 12.7% from Rs. 35,692 million in FY23 to Rs. 40,233 million in FY24. In terms of certain KPIs, billable transactions increased from 107 billion in FY23 to 126 billion in FY24. Average realization per billable transaction was 32 paisa as against 33 paisa in FY23. We had a net revenue retention of 106%.

Gross profit margin decreased to 21.4% in FY24 versus 22% in FY23. EBITDA non-GAAP grew by 8.4% to 4,949 million rupees in FY24. EBITDA margins stood at 12.3%. In terms of operating leverage, EBITDA as a percentage of gross profit stood at 58%. Effective tax rate for the year was around 15%.

Profit After Tax adjusted for exceptional items grew by 11.7% YOY to 3,720 million rupees in FY24 and PAT margin was 9.2%. Average receivable days increased to 80 days and payable days increased to 66 days. We onboarded 43 employees during Q4FY24 and 53 employees left during the same period. With these highlights, we open the floor for Q&A.

Moderator: Thank you very much Sir. We will now begin the question-and-answer session. The first question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: Hi, thanks for the opportunity. My first question is on the revenue growth expectations. we have been guiding our remaining growth each year. What stop us from not giving numerical guidance this year or any range band you can highlight for growth expectation in the FY25?

Rajdipkumar Gupta: So, let me just answer this. Maybe Gautam can add. So, Nikhil, I think there is lots of synergies post deal with the Proximus which needs to be planned and I think that is one reason we are not able to give any guidance at this point of time. Gautam, if you want to add to this.
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Gautam Badalia: Yeah.. So absolutely, I think we are expecting the closure to happen anytime now and once the closure is done, I think a lot of these synergies will be quantified and some of these are material and will want shareholders' approval. So once some of these things are kind of approved by the shareholders, I think it will be worthwhile to then give the guidance for FY25 and beyond. So, I will request you to kind of bear with us for maybe some time before we kind of talk about, but as Rajdip highlighted, I think some of the large deals have already gone live like the Vodafone deal has gone live from April 1, so some of those benefits are naturally kind of defined flow through now. But the synergy I mean because these are mate

rial numbers and we'll have a significant bearing on the full year performance in FY25. And hence I think we'll request you to kind of just hold it till we get the share minority shareholders' approval for the same.

Nikhil Choudhary: Can you at least quantify what kind of benefit you are seeing now you know there is almost complete while you might not want to classify it between FY25-26, but after the merger, now you have more clarity, more integrated. Can you please quantify how much could be potential benefit or the synergy?

Gautam Badalia: I think it will be worthwhile for us to kind of validate or give any of guidance once the transaction is closed. So please bear with us for a few days. I think for the transaction closure and then I think we can publicly talk about a lot of these numbers.

Nikhil Choudhary: Sure Gautam. Also, clearly, we are seeing challenges in the ILD revenue side and ILD revenue fund declined in this quarter. Right? Any color and what kind of visibility you have going forward, especially on growth perspective?

Rajdipkumar Gupta: So, Nikhil, I think we went live with Vodafone Idea Firewall on 1st of April and we do see a growth in traffic at our end and I think our firewall is doing fantastic job. There were some leakages which we have identified. I think the Vodafone team is already taking action on it. So, I think as of now, we are just one month, you know, like in terms of our exclusive deal with the Vodafone idea and we have seen a growth on ILD volume. But I'm sure that volume will grow in coming quarters as well. C> route mobile
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Nikhil Choudhary: Sure.

Gautam Badalia: Nikhil, just to add, I think we had from an Indian ILD standpoint, I think there was a growth. I mean while it was a single digit growth, we witnessed growth. So, there was no decline per say from an Indian ILD standpoint. I think the decline was largely more from the rest of the world standpoint, more to do with Mr. Messaging and Masivian. And just to seasonally, I mean it's a weak quarter for Masivian, so some of these things had a little bit of a bearing from a growth in volume standpoint.

Nikhil Choudhary: Got it. Gautam, my last one is on the Rs. 100 crores of line credit facility we have issued for Route UK. Any color what it is for?

Gautam Badalia: Yeah. So, this is essentially for a bank guarantee that we have to give it as part of our contractual arrangement. So, it is essentially backed by fixed deposits. And since Route Mobile UK is kind of doing it and the fixed deposits are being held in India so this was this approval was warranted.

Nikhil Choudhary: So, what we have mentioned improvement in cash flow is including the assumption of 100 crores going perfect deposits, right?

Gautam Badalia: No, it is 100 crores doesn't go out of the balance sheet. So essentially this is cash sitting on the balance sheet. So, this is only a guarantee which is a non-cash, I mean outside balance sheet.

Nikhil Choudhary: Yeah Gautam, understood. Thank you.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Yeah. Couple of questions. First about the onerous contract, if you can provide some detail about this onerous contract, where we made some provision. Second question is

about the EBITDA margin. I think you indicated 60 bps one of in the 24. So, we want to assume that 60 bps so will not recur and your margins would be 60 bps higher in next fiscal. 3rd question is about new product, new product again quarter on quarter seems to be down so more like flattish performance even though industry and some of your peers own good extra lesson. So, if you can provide some color around it? Thanks.

Rajdipkumar Gupta: Dipesh, I will start from question number 3. You know like so I don't know what my peer is doing but as far as our customer onboarding is co

ncerned on RCS or on WhatsApp or
on other channel of communication we are doing fairly well and we have a great pipeline and we are definitely looking out to scale this business in coming months. So as a company I think we are very bullish about this growth potential which we are right now seeing based on the current pipeline. Gautam, over to you.

Gautam Badalia: Yeah. So just adding to that question no. 3, so essentially Masivian has a very good profile of some of these new products that they have been able to cross sell a lot of these new products. Unfortunately, this is a seasonally weak quarter, but for Masivian, I think we have overall I think grown our new products business meaningfully well. But I think Masivian was that because of the seasonality it's a little bit of a drag on the new product's growth. Coming to the onerous's contract, I think the onerous contract I mean because of confidentiality and because of the competition sensitivity is around it, you would not want to kind of call it out, but we can kind of give you a perspective that this is being negotiated and once the negotiations are through, we'll be able to kind of get some benefits back to the as I write back I mean to the books, so at this point in time, we'll want to reserve our comments on this, the onerous contract. But I mean there are active negotiations already happening on this ground. And on the second question, I think on the EBITDA margin, yeah so, I think Q4, typically we have a little bit of one off, I mean in terms of some of the events that we attend in terms of our AOP planning that happens and plus, the drag because of the variable payout as well. So, some of these things I think were a bit of a track, but yeah, some of these things should normalize. We are hopeful, I think MRM I think should bounce back strongly. So, they're kind of C> route mobile
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working very closely now I think across their teams to see whatever synergies they could reach from the group. So yeah, so I think that's where we are.

Dipesh Mehta: Just to get further detail about the EBITDA margin, when I refer, I was not referring for quarter four, I was referring from FY25 because in your presentation you mentioned 60 bps impact in FY24. Because of various factors you highlighted. So, my question is more about next year when you look from margin perspective, do you think that is likely to be fully recovered?

Gautam Badalia: So Dipesh here in again I mean so as I said, I think there will be a lot of material related party transactions, so I'll request that we discuss this once some of these approvals from minority shareholders.

Dipesh Mehta: And just on the onerous contract, whether it is a, because it pertains to domestic market related business or it is outside of India business.

Gautam Badalia: No, it is outside of India.

Dipesh Mehta: OK. Thank you.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah. So, thanks for the opportunity. So, the first question is, you mentioned about the changing landscape in which enterprises were looking for cost optimization and also in terms of alternative channels for communication. So, if you can please elaborate and started from November onwards, so how do you see this situation there? Has it stabilized and how we, see that shaping maybe in the next year because this shift was mostly from the traditional channel to the OTT channel and now with the price hike in the OTT channel also can we see stability in the domestic and the ILD, volumes and also shift in terms of the channel is not reflected in our in our numbers, in terms of the, like

new growth areas like if you see yoy it is there but sequentially we are not seeing that kind of growth. So how to read that?

Rajdipkumar Gupta: So, Amit, let me just start this

. I think if you talk about the large OTT players, they have actually cut down their costs and they are not moved their channel to another channel like if they're sending OTP through SMS, they have not moved that to WhatsApp or other channels. So that so in fact as a company, we are already in talks with large OTT players, if they want to shift their channel for A2P, we as a company we are happy to help them in those areas as well and we are in talks with various other channels OTT players if they to use multiple channels provided by Route Mobile and as far as the volume is concerned, I think we do see stability now. We see that in last few months the numbers are getting better come from OTT players and they do understand the potential of SMS being better way to authenticate than other channels because of lots of data security and other aspect which they also believe in. So, for me, the next few quarters are coming years down the line, ILD business will flourish and the people only place will come to this because for WhatsApp price hike to 2.5 cent makes more sense for them to go for OTP channel. But there are many companies that they're looking out to use WhatsApp channel, we definitely as a company will provide those API's in various parts of the world.

Amit Chandra: OK. And Sir, in terms of the VI deal, you know we're happy to hear that it has gone live. So, you mentioned in earlier calls that in terms of the overall you know revenue potential, so how we can see the ramp up here? So, like from first month only it has picked up or it will take time to ramp up to the fullest potential?

Rajdipkumar Gupta: It has picked up from first month onwards, said very we definitely see a growth coming from large OTT players as well because of our firewall we are able to block lots of leakages which were happening domestically as well as on GT level coming from outside. We were able to mitigate those risks through our firewall and there are lots of new channels being used for grey routes like a flash call. We have identified those leakages and we shared the entire detail with the Vodafone and we tried to put

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mechanism on a firewall to block those. So, we have definitely seen a growth in ILD business in last month.

Amit Chandra: OK, and my last question would be when I mentioned that the weakness is coming

mostly from Mr. Messaging and seasonally weak Masivian and so these two acquired
entities have been facing problem over the last I think 2-3 quarters. So, most of the
challenges you're seeing are in this portfolio and if you can elaborate more what kind of
challenges and if the client exists, or if you can elaborate more or give some more color
what's happening there?

Rajdipkumar Gupta: So as Gautam mentioned, Amit that because of the geopolitical issues, you know like they were serving some customers in Russia and Ukraine kind of thing and those customers got impacted. So, I think there's a reason behind it and we are working very closely with Mr. Messaging; as far as Masivian is concerned, I think they're doing fairly well and Q4 for them, it's always a weak quarter, but as far as the growth is concerned Masivian is doing fantastically well. On a Mr. Messaging side, we as a group company working very closely with them in terms of supporting them to win more contracts in their region. So, I think both the companies are fairly well placed and whatever dip we have seen in the market because of the certain geopolitical issues in past.

Amit Chandra: OK. Thank you.

Moderator: Thank you. The next question is from the line of Swapnil Potdukhe from JM financials. Please go ahead.

Swapnil Potdukhe: Hi Rajdip. Hi Gautam. Thanks for the opportunity. My first question is with respect to the ILD messaging trends right. Now you mentioned that some of the weakness that we are seeing is because of things happening outside of India, esp

ecially MRM and
Masivian. Now the question here is, if that is so, were some of the entities in US which contribute meaningfully to your revenues, in the Americas 42% and Europe, 14%, do they also include someone like a Facebook, Google, Amazon and they were the main C> route mobile
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customers in those particular regions as well and that is why the impact is there already or it is something very, very regional to those particular geographies?

Rajdipkumar Gupta: It's very regional to those geographies.

Swapnil Potdukhe: Ok. And if you could elaborate a bit more Rajdip, I mean, is it like the Ukraine situation is something which is happening affecting you?

Rajdipkumar Gupta: So, Mr. Messaging, we're working with some large customer base out of Russia, you know like they were, they had a large contract with them and because of their operating from Europe, they've been told to stop working with those customers. So, I think there's one impact. There's a I think, Gautam you want to add to this?

Gautam Badalia: Yeah. So, I think on the ILD front in India, I think from some of these US headquartered clients, we've been doing well, but it could much have been much better, I think for some of these clients, I mean, they've been a little cautious about their spends. So, some of that I think is being reflected across the board. It's not only relevant from a route mobile standpoint and across the CpaaS industry, but now I think with this WhatsApp pricing, I think they're talking about 2.8 cents. So, it's pretty much, I mean close to the parity levels of ILD pricing. So, we believe a lot of these things will come back. Some of the issues related to, as Rajiv highlighted, Mr. Messaging and Masivian are more regional and once they start to get the traffics back, I think we should do fairly well, but we're waiting for at least some of these ILD traffic to ramp up, especially now with the VI deal going live.

Swapnil Potdukhe: So, on that Gautam at one point of time you mentioned the VI deal has a potential of around $100 million in revenue terms. Does that figure stay the same or is there any change because that was; I think two or three quarters back.
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Gautam Badalia: We continued to serve VI even in the previous year. So, adjusted for I mean whatever revenue that gets cannibalized, I mean we should do incrementally about 500-600 crores from the VI deal.

Rajdipkumar Gupta: So, I think Swapnil, we need to also understand the synergy between Proximus, Telesign and Route Mobile, you know, like and I think keeping that in mind, I think we need to understand that there is definitely a potential where we have a direct access of some of the large US customers which we don't have as a Route Mobile as of now. So, we will definitely come up with a strategy to how to win more large OTT players sitting in the US and how to serve directly working with directly with Telesign to win more large accounts, so keeping all those in mind, I think we are very fairly very much sure that we will achieve that number of 500-600 crore which we have guided.

Swapnil Potdukhe: No, but is that a change from the earlier assumption that the VI deal will add around 800 crores of incremental revenue to your top line? And now it is just 500 to 600?

Gautam Badalia: No, no. So, Swapnil, we continue to terminate about 200 odd crores of revenue. I mean we doing that as we speak even last year right? So, to that extent I mean that would be revenues that will get cannibalized this year. So that 800 needs to be adjusted for whatever we've been doing last year, right.

Swapnil Potdukhe: OK, OK. And the other thing is with respect to your receivable days going up meaningfully this year. Now, is it entirely related to the firewall deals or is there more to read?

Gautam Badalia: No, we realized a chunky bit of payment, I mean towards the fir

st week of April. So that had a little bit of a bearing in terms of the receivable days going up.

Swapnil Potdukhe: OK, but that jump has been meaningful.
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Gautam Badalia: Yeah, it is meaningful. You're right. So, it was. It was a large OTT payment, a couple of large OTT payments that we received during the first week of April.

Swapnil Potdukhe: OK, OK. And this one off provision, have you already provided for it or and if you have provided where exactly will that reflect?

Gautam Badalia: No, it is part of the exceptional items and you can maybe also refer it as within the cash flow statement.

Swapnil Potdukhe: OK. So, any recovery from over there will not be get reflected in your operating profit. Is that an understanding correct then? it will come in other income or somewhere?

Gautam Badalia: Yeah, it will get. Maybe the get kind of written back in the same head, yes, you're right.

Swapnil Potdukhe: OK. And the last question is with respect to your domestic volumes, how have they moved in the recent past? I mean, is there any incremental thing you know addition in terms of clientele? Earlier you used to disclose that you were winning some BFSI clients and all. Has there been any incremental gains or this?

Gautam Badalia: So, per seen in India, I think we've done fairly well. I think domestic volumes have grown in double digits. For India. So, there I think we are very, very bullish.

Swapnil Potdukhe: And this is despite the fact that there is in a 20 odd percent hike in the NLD pricing last one or two quarter?

Rajdipkumar Gupta: Yes Swapnil. Yes, you’re right. We in fact, we are able to close some large account last quarter and we already have some great pipeline for this quarter as well.

Swapnil Potdukhe: OK. Thanks. Thanks for that. All the best.
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Moderator: Thank you. The next question is from the line of Shivan Rajesh Kabra, an individual investor. Please go ahead.

Shivan Rajesh Kabra: I wanted to ask you about receivables. . So, can we throw some light on that?

Gautam Badalia: I think you are asking about the receivables. I think we've just answered it prior to this. I

think the query I think was on receivables. So, I think we received a large payment from
a few OTTs and clients during the 1st 10 days of April and hence that receivable, the
queue that you see there got impacted.

Shivan Rajesh Kabra: OK. Thank you. Thank you. That's it.

Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital. Please go
ahead.

Gokul Maheshwari : So, my question is that you guys were working on certain firewall deals in LATAM
market. Is there any update on that?

Gautam Badalia: So, I think it is an ongoing and these are these are a little confidential kind of
information to be shared publicly. So, I think some of these things are being kind of
chased by the teams and they're working closely on those opportunities as and when
they fructify, we'll come back to you with an update.

Gokul Maheshwari : Sure. Secondly, just on the receivables front, if you could just quantify the amount
which you would have given as an advance to the telecom operator, I mean given that it
is there in the balance sheet, but the revenue flow is not yet happened for those
investments. Can you exactly quantify that?

Gautam Badalia: Yeah. So, I think on the balance sheet, I think it is called out on the cash flow statement
in the notes. So about 448 odd crores is what was given out and out of which I think we
would have consumed about 70 odd crores during the during the year gone. C> route mobile
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Gokul Maheshwari : Ok. And lastly, just on the international messaging, could you just give an indication of
what is the volume growth for the industry and or volume growth or degrowth in the
industry for FY24 and how would have R

oute fared versus the industry performance?

Rajdipkumar Gupta: So actually, there is no data published as such, but we have seen a domestic growth in
various market wherever we work in the domestic market, whether it's Mid-east, Africa
or India or in other Asian countries where we directly operate and work with
enterprises. We have definitely seen a growth on the domestic front and as a company I
think we are very bullish to focus more on the enterprise side and I think that's what I
can share. But we don't have any number as such about the overall market growth in
last year.

Gokul Maheshwari: OK, great. Thank you so much.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay global.
Please go ahead.

Dipesh Mehta: Yeah, just one performance number for MRM and Masivian if you can give some
revenue and EBITDA kind of thing, even maybe QoQ or YoY comparison, how they
fared? Second question on the receivable, if I look three months above 3 months, it is
18%. It seems to be slightly higher than usual trend. If you can, I understand you said
some of the payment you received, but above 3 months, 18% seems to be on higher
side. If you can give some sense.

Gautam Badalia: So, in terms of, I'll give you the quarterly numbers for Masivian and MR Messaging. So
Masivian did about 514 million in INR terms so there was a 17% QoQ drop there. MR
Messaging, they did a 1,795 million in Q4 FY24, so again they also witnessed about a
17% QoQ decline. For Masivian, as I highlighted earlier, it was more seasonal. Yeah, on
the receivables are large part of our receivables also comes from a lot of these PSU C> route mobile
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clients where there are quarterly settlements. So maybe I think there is a little bit of a
skew because of that.

Dipesh Mehta: So, do you expect it to be that kind of thing above three months also almost 1/5 of your
receivable?

Gautam Badalia: So Dipesh, maybe we can discuss it offline.

Dipesh Mehta: Sure, thanks.

Moderator: Thank you. The next question is from the line of Ronak Chheda from Awriga Capital. Please go ahead.

Ronak Chheda: Yeah. Hi, Gautam. Hi Rajdip. I have couple of questions. First is on the revenue retention, which is coming at 106%. Now I understand you've already spoken on the industry not doing well, but how should one look at this number is this sustainable net retention ratio which should be assuming for the business going forward given the environment we are in, that's the first question.

Gautam Badalia: So, Ronak first I think FY25 looks much better from a growth standpoint and a lot of this growth will be garnered from existing clients. So, I think the NRR should improve materially in FY25. Once I think we will be able to kind of give you more color that some of these synergy approvals are in place with respect to Proximus, I think that that point in time we can also touch upon I mean how we see this and our and our improving during the course of this year.

Ronak Chheda: OK. And the second question is on, we've seen the volume growth on the transactions of around 17-17.5% for the full year versus the revenue growth is around 12-12.5%, right? So, when you tap this, what I'm trying to gauge is how should we look at the volume because you mentioned that now there is some volume has gone and exited the system and some of this has changed the channel. The volumes which have changed, C> route mobile
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the channel should not have should still be part of this number, right? So how should we look at the volume which is exited?

Gautam Badalia: A significant increase of these volumes is attributable to domestic volumes, which is at a much lower realization.

Ronak Chheda: OK, so for a full year basis, qualitatively ILD volumes would have degrown for us?

Gautam Badalia: No ILD quarterly volumes have increased.

Ronak Chheda: For the full

year?

Gautam Badalia: Yeah. For the full year, ILD revenues have gone up because I think there was a price increase also during the course of the year.

Ronak Chheda: No, no, I'm asking on the volume this is.

Gautam Badalia: Yeah, because of the price increase, the volumes have come off.

Ronak Chheda: Yes.

Gautam Badalia: Yeah, there was a decline in the ILD price, you're right. ILD volume, sorry.

Ronak Chheda: So, the ILD volumes on a full year basis have must have degrown and lot of this is domestic and hence this and in Rajdip's opening remarks he mentioned that there are some of these are more structural changes right for the industry itself. How are you thinking now for the industry itself to recover from these structural changes? Do you see a case for industry to do a double-digit volume growth over next three years or that would be farfetched given how the clients are thinking?
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Rajdipkumar Gupta: So, you have to see Ronak in two ways like there will be definitely a volume growth going to happen because of the multi-channel approach by the customer. So, we will see a growth in omnichannel, whether it's the WhatsApp RCS and the e-mail or maybe SMS. So overall transaction growth is definitely going to be there and how much is going to be on SMS and how much is going to be on RCS or Whatsapp probably that is we have to wait and see. But I can just let you know in terms of adoption and transaction growth is happening across the channel and that is exactly one good thing where we believe as an industry. In fact, all the cheapest companies are now very well placed to offer multiple channels to their existing customer as well as to the new customers. So overall transaction is going to increase in coming years down the line.

Ronak Chheda: Understood. And this Proximus deal is supposed to get closed in next couple of weeks that is how we should be reading into your commentary?

Gautam Badalia: Yeah, I think this month is what I think we are anticipating for the closure and it could happen very, very soon.

Ronak Chheda: OK. Thank you.

Moderator: Thank you. We'll take the next question from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni: Yeah, good evening and uh, thank you for the opportunity. So, with respect to this, VI India deal, is there any concern regarding receivables given the financial situation of the company or I mean do they pay upfront as the contract unfolds?

Gautam Badalia: So strictly speaking, we would monetize that revenue from the enterprises, collect the revenue and then pay to VI. So, per se except for whatever is the advance given. I mean there is no delinquency risk so to say. But I mean on a monthly basis also we keep realizing substantial chunk of revenue from those enterprises for which we have to settle with VI. So, per se, I mean the risk associated is very, very miniscule. C> route mobile
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Aniket Kulkarni: Uh, and can you quantify how much advance has been given so far?

Gautam Badalia: So that is again, I mean confidential. So, we would not want to divulge it in any public forum. And we are also bound by the confidentiality in the agreement.

Aniket Kulkarni: OK, OK, no worries.

Gautam Badalia: Part of the number that's already called out in the balance sheet. So, we've given advances to few operators to the extent of those Rs. 448 crores, which is there in the balance sheet.

Aniket Kulkarni: All right. And secondly on the debt front, the debt seemed to have gone up on a year-on-year basis. So, is there anything particular in this or it's just normal business?

Gautam Badalia: Yeah, I mean it is just normal. I mean, so average maturity of this debt would be like kind of a year.

Aniket Kulkarni: OK, so it should return back to because it went from 140 to around 380 odd crores, so…

Ga

utam Badalia: Yeah, that's correct. So, for a lot of these contracts that we have done, we would have part of these in a certain currency and then taken the debt and then some of these are on a monthly basis self-retiring.

Aniket Kulkarni: OK, OK, understood. Alright. Thank you so much.

Moderator: Thank you. The next question is from the line of Devraj Singh, an individual investor. Please go ahead.
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Devraj Singh: Yeah, hi. I actually I had two questions, but one has already been answered. So, I just have a small question I think about, I would say about two or three calls ago you had shared something regarding the intention of Proximus not to take Route private right.

Rajdipkumar Gupta: Sorry, please can you just repeat your question, please?

Devraj Singh: Yeah, sorry. So, I just want to say that a few calls ago you had mentioned the intention of Proximus not to take route to private. So, does that still stand?

Rajdipkumar Gupta: That indeed still stand, and I think there is no plan of taking Route private.

Gautam Badalia: And the intention was captured in the open offer document as well.

Devraj Singh: Right, I know, but considering the amount of equity that has been tendered, I was just wondering if anything has changed? That. Thank you for that. And the second question I wanted to ask is that the one of the consistent themes has been that the synergies with Proximus will help us get to a better margin profile, right? So, considering the deal has been in the works for a long time now, I just want to know what sort of margin profile is all the new products that have been launching. I'm seeing that the new product revenue is approximately 50 or something like that. So, I just want to understand what sort of margin profile are the new products showing?

Gautam Badalia: Yeah. So, the new products, I mean most of the new products entail a much higher margin than the SMS margins, so,

Devraj Singh: Right, and that would be around?

Gautam Badalia: Yeah, it could vary from 30% to 75-80% and in case of emails, right so at a blended level it should be around that 30-35%.

Devraj Singh: 30% also. OK, that's what what's guided earlier as well. C> route mobile
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Moderator: Thank you. The next question is from the line of Ritu Shah from Janak Merchant. Please go ahead.

Ritu Shah: So, I just wanted to ask, so what's the purpose of giving a security deposit to the MNO? As in, is there any risk they have from our side? We're just giving a service. So why a security deposit?

Gautam Badalia: No, it is a contractual negotiation that has happened and it's essentially a quarter. So, they are giving their network exclusively to us to manage it for them. So, for which they take the security deposit.

Ritu Shah: OK. So, if like renew it after four to five years, once we're done, we get back the deposit, right? And then if we renew the contract, we have to give the deposit again every time?

Gautam Badalia: Yeah. So, it depends on the negotiations then. But yeah, I mean this can be rolled over to the subsequent period if the contracts are renewed.

Ritu Shah: OK. OK. Thank you.

Moderator: The next question is from the line of Sangram Kanade, an individual investor. Please go ahead.

Sangram Kanade: Yeah, actually one of my questions that when will be the deal closed with the Proximus is already answered so, thank you with that. Secondly, I wanted to ask the 1 billion targets of the management, actually we missed the profits guidance in the FY24. So, is the target still on? And the second question for today is Will the top management in the Route mobile get changed post the Proximus deal?

Rajdipkumar Gupta: So, to answer your first question, Sangram, I think we are very much intact with our $1 billion revenue target and we are working towards that. If you see

the kind of work we C> route mobile
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are doing on different channels, the kind of synergies we are working with our customers and along with this partnership with Proximus deal also going to add lots of value to Route mobile and I think in terms of management I think we may not able to share any information as of now. Probably you can just wait and watch post the deal happens.

Sangram Kanade: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now hand the conference over to Mr. Rajdipkumar Gupta for closing comments. Over to you Sir.

Rajdipkumar Gupta: Thank you everyone. Thanks for showing your interest and thank you for all your support as an investor. Looking forward to support again and once again thank you once again. Have a nice evening guys. Take care.

Moderator: Thank you very much, Sir. Thank you, members of the management on behalf of Route Mobile Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Jul 2024

Ref No: RML/20 24-25/497

Date: July 26, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter ended June 30 , 2024
We are enclosing herewith copy of the transcript of the Company's Q 1 FY2 5 earnings conference call dated Monday , July 22, 2024 .

The transcript is also available on the Company's website under the Investors section at:
https://routemobile.com/compliance/2025/Route -Mobile -Ltd- Q1-FY25 -Earnings -Call- Transcript.pdf

Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly ,
For Route Mobile Limited

Rathindra Das
Group Head-Legal, Company Secretary & Compliance Officer
M. No. F12663

Encl: as above

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Route Mobile Limited
Q1FY 25 Earnings Conference Call
July 22, 2024

Management

1. Mr. Rajdip kumar Gupta – Managing Director and Group CEO;
2. Mr. Gautam Badalia – Group Chief Strategy Officer and Chief Investor Relations Officer
3. Mr. Suresh Jankar – Chief Financial Officer

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Moderator: Good evening, ladies and gentlemen, I am Sagar, moderator for this conference. Welcome to the conference call of Route Mobile Limited, arranged by Concept Investor Rela tions to discuss its Q1 FY25 Results.
We have with us today Mr. Rajdipk umar Gupta – Managing Director and Group CEO; Mr. Gautam Badalia – Group Chief Strategy Officer and Chief Investor Relations Officer; and Mr. Suresh Jankar – Chief Financial Officer.
At this moment, all participants are in a listen -only mode. Later, we will conduct a question-and- answer session. At that time, if you have a question, please press "*" and "1you're your telephone keypad.
Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward -looking in nature and may involve risks and certain uncertainties. Kin dly refer to the s lide number two of the presentation of the detailed disclaimer. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajdip Kumar Gupta. Thank you, and over to you, sir.
Rajdip kumar Gupta: Thanks, Sagar. Good evening, everyone. Wishing all of you a good health and prosperity. It gives me immense pleasure to highlight that Route Mobile has demonstrated an industry - leading revenue growth of 14% year -on-year basis, and 8.5% on a sequential basi s, despite global headwinds and geopolitical situation.
During the quarter gone by, Proximus Opal completed the acquisition of 83.1% stake in Route Mobile. This acquisition will help Route Mobile in entering mature markets like USA and Europe, expand its product portfolio, and unlock synergies with TeleSign. We are thankful to all our minority shareholders for approving the related party transactions. Some of these related party transactions may take time to ramp up. However, the green shoot of this synergy from the group was further validated recently when Proximus and Microsoft announced a five- year strategic partnership on digital communicati

on services, including CPaaS. As a group, we are working on similar such large strategic deals, and we will update you as and when it materializes. C>

The following are some of the key highlights of our quarter gone by. We welcome the new Board members to the Route Mobile Board, and it will be a privilege to learn and imbibe the best practices at Route Mobile from their vast experience.
We continue to gain significant market share in India and have demonstrated staggering 25% year -on-year growth and 12% sequential growth. Route Mobile's largest firewall deal with Vodafone Idea went live in April '24. There were a few teet hing issues during the month of April, which was resolved during that month. Our new product revenue continues to witness very strong momentum, registering 94% year -on-year growth and 16% sequential growth.
We are India's largest WhatsApp ticketing enabler for metros as a premier partner of Meta.
We have demonstrated similar use cases over RCS , too.
In terms of FY '25 guidance, we expect our revenue growth to be in the 18% to 22% band with approximately 13% EBITDA margin. The free cash generation for the business should improve meaningfully during the year and we expect the cash conversion from EBITDA to be within the 50% to 75% band. Further, in terms of our capital allocation strategy, we have done fairly well in terms of our geographical expansion strategy through organic as well as inorganic initiatives.
At this point of time, our immediate priorities , in terms of our inorganic strategy , is to augment our existing product portfolio with few cutting -edge futuristic technologies. Some of these proposed acquisitions may not warrant significant capital to be deployed, hence shall continue to maintain a similar dividend payout ratio of up to 20% of our consolidated PAT for FY'25. Last but not the least, it gives me immense pleasure to highlight that Route Mobil e Limited is yet again recognized as a niche player in the Gartner's Magic Quadrant for CPaaS '24.
With this, I will now turn it over to Gautam to take us through the financials. Thank you for your time. Over to you, Gautam.
Gautam Badalia: Thank you, Rajd ip. Good evening, everyone. We have already uploaded our quarterly

earnings presentation on our website as well as on the Stock Exchange websites. Hope you had a chance to go through the presentation. I will quickly summarize our financial and operating performance during the quarter gone by, before opening the floor for Q&A.
The key takeaway from our financial performance in Q1 FY '25 has been the strong revenue growth and the direct margin growth momentum. Revenue growth of 14% and direct margin growth of 17.6% on a Y -o-Y basis, coupled with registering double- digit growth in EBITDA, both on a Y -o-Y as well as on a sequential basis. As highlighted previously, Q1 is seasonally not our strongest quarter, and yet we have delivered an industry -leading revenue growth. C>

In volume terms, we processed over 37 billion billable transactions in Q1, which is again the highest quarterly billable volumes processed by us till date. Such exemplary financial performance in Q1 FY '25, a large global deal win by Proximus Group, which is a validation of the group synergy; and the VI Vodafone Idea firewall deal going live gave the strong foundation for a robust FY '25. The normalized cash flow conversion from EBITDA stood at 110%, you may refer to Slide 17 of the earnings presen tation.
In terms of the operating overheads, there were significant increases in workforce cost, that is the employee benefit expenses increased by around 27% on a sequential basis. It includes the annual increments and certain one- off incentives paid to employees for retention, and to reward them for the exhaustive integration work done by the team to reap th

e synergies
from the group. We also stopped capitalizing the digital identity project, TruSense, at Masivian. The employee cost amounting to Rs. 14.5 million with respect to such capitalization was expensed out during the quarter.
In terms of the other operating overheads, there were non -operating non- cash FOREX translation loss of Rs. 119 million and one-time cost of Rs. 8.6 million incurred for seeking expert opinions on transfer pricing for the related-party transactions with the Proximus Group and for the mandatory tender offer.
With this backdrop, let me walk you through our financial performance.
In terms of Q1 FY '25 performance, revenue from operations grew by 14% Y -o-Y and 8.5% sequentially to Rs. 11,034 million in Q1 FY '25. Billable transactions stood at over 37 billion in Q1 FY '25 as compared to 27 billion in Q1 FY '24 and 34 billion in Q4 FY '24. Average realization per billable transaction declined to Rs. 0.30 compared to Rs. 0.33 in Q1 FY '24 due to increase in domestic volumes in India. Sequentially , it remained stable at Rs. 0.30. We had a net revenue retention of 105%, you may refer to Slide 13 of the presentation.
In terms of direct margin, after adjusting for non -cash impact of Rs. 38.8 million related to refundable security deposit provided to an MNO, which has been amortized and booked under purchase account under I ndAS 109, g ross profit margin expanded to 22.1% as
compared to 21.4% in Q1 '24 and 21.8% in Q4 '24.
EBITDA for Q1 increased by 11.5% Y -o-Y and 14.5% Q -o-Q to Rs. 1,379 million. EBITDA margin expanded from 11.8% in Q4 FY '24 to 12.5% in Q1 FY '25. On a Y -o-Y basis, it declined by about 30 basis points, primarily due to reasons mentioned above.
Adjusted for FOREX impact of Rs. 119 million, profit after tax improved by 1.5% Y -o-Y to Rs. 931 million in Q1 FY '25. PAT margin declined from 9.5% in Q1 FY '24 and 9.2% in Q4 FY '24 to 8.4% in Q1 FY '25, primaril y due to increase in the effective tax rate to 21%. This increase was C>

mainly due to increase in profitability in UK, which is today taxed at 25% , and the implementation of tax in UAE.
During the quarter, we on boarded about 61 new employees and about 60 em ployees left during the same period.
With this, we open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question- and- answer session. The first question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: Sir, my question is on the promoter holding side, like post acquisition it is showing 83%. So , how we have done that and what is the planning to reduce it ? because as per norm, this is not --
Gautam B adalia: Yes. Hi, Jyoti. So, pursuant to the open offer, the promoter's shareholding actually increased to 83+% and we have a stipulated timeframe of one year to bring it back to the minimum public shareholding of 75%.
Jyoti Singh: So, sir, I mean, I do not know whether I can ask, like, who will be participating in this? O r anyone will going to buy from the promoter side?

Gautam Badalia: Yes. So , there are various means to kind of get this done either through block deal up to 2% during the year or through an offer for sale. So , we are already kind of working on those avenues to streamline and be compliant with the minimum public shareholding.
Rajdipkumar Gupta: I think Gautam the question was like, is promoter going to buy? I think that was the question.
Gautam Badalia: Okay. No, so promoter will be selling, and it will largely be open to the investors , it could be Institutional, R etail or HNI.
Jyoti Singh: Okay. And sir, but first place, why we go beyond the 70%?
Gautam Badalia: So, in the open offer, I mean, Proximus signed an agreement to acquire about 58% shareholding from the founding family of Route Mobile, founding erstwhile promoters of Route Mobile.

And while they continue to be promoters, but they do not have any shareholding right now in Route Mobile per se, and in the open offer, which was up to 26%, they got a significant chunk in the open offer, which tantamounted to their -- to Proximus shareholding going beyond 75%, close to 83% plus.
Moderator: Thank you. The next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: My first question is regarding, any color management can provide on revenue synergy.
Rajdipkumar Gupta: Hey Nikhil, hi. As I said in my speech also, there is a large deal win by Proximus Group, i t's a five-year deal we signed with Microsoft. A nd CPaaS is definitely one of the key area for growth. And there are some multiple deals we are working on with Proximus, with the large IT companies and other enterprises, which we will announce very soon. At the same time, we are working very closely with TeleSign because TeleSign do work with multiple aggregators in market. And I think probably we would like to work with them very closely to get all the traffic through Route Mobile channel. And I think that's a strategy we are working on. Whenever we are competitive as a company, as Route Mobile, we are working on those kind s of synergy right now, which we will see the impact in coming quarters.
Nikhil Chou dhary: Sure , Rajdip. So, should we assume that in your guidance, you are backing in those revenue synergies?
Rajdipkumar Gupta: I think , yes. Gautam, correct me if I am wrong.
Gautam Badalia: Yes. So, Nikhil, I think as we speak, I think we got the minority's approval I think around the 17th of June. And then to some extent I think some of those post -minority approval synergies are kind of there in the numbers. And we have also been historically working with TeleSign. And there is a certain amount of revenue throughput that already comes, and it has come during the quarter gone by as well. But we definitely believe that the momentum of support will increase in the months to come. And so, today, the guidance that we have kind of rolled out, baked in the existing run rate with TeleSign. And as and when, as Rajdip said, I mean, some of these incremental throughput s that will come, that is today not baked into the numbers, and that could be an upside.
Nikhil Choudhary: Got it, Gautam. Second thing in terms of new product revenue ramp up we have seen, th ere's about Rs. 100 million on quarterly basis, right? But the kind of revenue we have guided for Vodafone Idea is much more higher, right? We, last quarter sai d that it could be Rs. 500 crores in FY '25. So, just wanted to understand why it's such a small number for this quarter?
Gautam Badalia: Sorry, Nikhil, can you just repeat your query? I did not get the connection between Vodafone and the new products.
Nikhil Choudhary: I think we recognized firewall deal within this, right? Or we are just recognizing firewall within --
Gautam Badalia: No, no, no. New products are without the firewall. F irewall is reported separately.

Nikhil Choudhary: So, one thing I want to understand in terms of guidance, sorry for pushing this, is Rs. 500 crores if we account for Vodafone Idea, and plus revenue synergy, material revenue synergy from TeleSign, the core business growth look ed quite conservative, Gautam. So, any color o f what is leading to that, are we still seeing pressure on organic ILD volume s?
Gautam Badalia: No. So, I think the way we are looking at it, maybe I mean it's kind of leading to some amount of double- counting. So, essentially, with Voda fone only we get the rev share, right? I mean, we generate the revenue for enterprises globally, right, which will terminate on Vodafone Idea. And whatever we kind of generate revenues for Vodafone Idea, we get our revenue p

ie out of it, which is the firewall piece of the revenue.
Now , coming to whatever is being terminated onto the Vodafone's network, that includes Vi CPaaS from TeleSign to Vodafone as well. So, to that extent, I mean, I believe there may be some amount of double- counting there. And hence, the numbers, I mea n, at the gross level

may look a little higher, but when you net it off, it may be a little lesser than, I mean, the numbers that we are accounting for. So, in the Rs. 500 crores of incremental revenue for Vodafone that we are talking about, it would bake in some amount of revenues that would come from TeleSign onto the Vodafone network.

Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Sir just the con tinuation on the last question in terms of guidance. So , if you can tell us what was the incremental or the contribution of the VI deal, or we now should consider whatever incremental is there in this quarter is from VI ? And as April was not in like full s wing , so maybe Rs. 100 crores is the quarterly run rate , so maybe whatever you are guiding for the full year, half of that is assumed to be coming from Vodafone ? So, in the base business assuming that the ILD volumes have been recovering, and we are now seeing volumes recovery in the domestic business. So, 10% growth in the base business, is it too conservative or we can see some upsides there also?

Rajdipkumar Gupta: See, let me just start with this question, maybe Gautam you can add to it. So, Amit, we have definitely seen a growth in certain traffic coming from ILD side , but we have also seen a huge growth on domestic volume in India on our platform. At the same time, I t hink the new product growth , we have seen the 94% growth which we already shared with you guys.I think overall growth wise , we are working very strongly on our firewall, because there are multiple issues we have noticed in last quarter that there are many grey routes where like delivering messages to the Vodafone network, we try to mitigate those risks.

And I think now we believe that from this quarter onwards all these leakages which was there, and there are still a few leakages which we try to highlight Vodafone Idea to overcome , C>

and Vodafone Idea is completely supporting us. A nd I think with our current firewall and its capabilities , we believe that the volume may increase. But there are certain brands who have cut down their volumes for sure, and which is like they just do not want to spend that kind of money. But in terms of Route Mobile volume, we have seen a stable volume, plus there is a little growth as well on our ILD volumes. Gautam?

Gautam Badalia: Yes. A nd just to highlight , Amit, I think this wa s not the seasonally best quarter for us, so I think gradually I think the traffic will ramp up further.

Amit Chandra: Okay. And also in terms of the revenue from OTT , we have won some deals there, so obviously that is showing up in the new growth areas. But can this piece grow much faster, because the ramp up that we are seeing on --

Rajdipkumar Gupta: Yes, Amit. Amit, you are right. Definitely yes, because quarter two and three, because of the festivity I think we will definitely going to see some growth on those side as well.

Amit Chandra: So, any quantification you can give there?

Rajdipkumar Gupta: Probably no Amit, we will not quantify . But what I can just share with you right now, yes , we have seen a growth already because there were some large campaign happen in this month, and we have seen some growth. And we believe in this quarter because of certain more such events going to happen, and we will see growth. So, I may not quantify at this point of time, but I can only share that the things are looking good at this point of time for ILD business.

Amit Chandra: Okay. N

ow the only thing is that, that confidence is not being reflected in terms of the guidance or we are being more conservative , or as we move into the year we can see how it progresses, but obviously the traction is --

Rajdipkumar Gupta: Amit, I think see, at least when the entire CPaaS market is growing at lower single -digit, like , we as a company giving 18% to 22% still is one of the best guidance we are giving based on certain clear idea s we have about pipeline. So, I think if we over perform, definitely in past we have done, but we are not trying to be conservative out here, but based on the current market scenario and if you see the entire CPaaS growth globally, we are still giving the best guidance to the market.

Amit Chandra: Okay. And sir, now with the new management fully coming in, and being the first quarter, any changes in the way we used to work or any changes in terms of the sales approach or in terms of how we are seeing the market ? And anything if you want to highlight in te rms of the changes happening there? C>

Rajdipkumar Gupta: Yes, definitely, definitely there are lot of positive things to highlight . Because of Proximus as a group, we got a direct access to large enterprises like Microsoft, and there are m any enterprise access we already received and we are working on certain large contracts because of them. So, I think on overall side, if you see the deal value, the entire partnership with Proximus is going to help us to win more large accounts, which we a re going to announce

very soon. And the entire management at Proximus is very supportive. My role has now
extended not to only just to Route Mobile, but as a bigger group. And I am here to bring more
synergies to Route Mobile. And my idea is to how we can optimize lots of other costs for TeleSign and other groups to make
Route Mobile a bigger story together.
Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.
Dipesh Mehta: A couple of questions. First is ab out, I think you indicated about CPaaS market is growing in
low-single -digit. Seems to be very muted growth compared to where the market used to
grow earlier. So , if you can give just some sense about what factor is affecting growth. This
year, obviously , because of specific large deal, as well as related party pass- through revenue
related thing, we are benefiting. But from structural medium -term perspective, if you can
give some sense what is affecting growth and how you expect it to change ? And I have som e
follow -up, but maybe you can answer it first.
Rajdipkumar Gupta: Yes, let me just answer this question, Dipesh. So, as a group strategy, we know the potential
of domestic market, the kind of success we have seen in India, the kind of success we have
seen in Middle East market , at the same time in LATAM. We want to replicate this success
again to various market s where we are not operating. There are market like Indonesia,
Cambodia, Philippines, Malaysia, and other markets in Africa along with Mexico. These are
the market s where we are going to focus completely on our domestic side of the business
which is a very sticky business and we believe that market is going to grow multi -fold.
And we as a group we already have a mandate to do that, and we are working on those
strategies. So, just if you see the overall growth on the international traffic terminating ,
internationally has seen some kind of a de-growth . But if you see the domestic use cases has
increased multi -fold, and that is the exc iting thing for all the CPaaS players to look at right
now, where we have seen the growth in domestic market, any market you operate from
right, because of digital adoption and various other points.
You can go to the next question, may be Gautam can answer.
Dipesh Mehta: Sure , Rajdip. Just continuing on this question ;

Now , in a way you are indicating same market
unlikely to grow that fast that is how one would interpret. Because your focus was on
expanding into other market s to maintain momentum, rath er than you finding similar growth
is possible which we earlier used to see in the same kind of market. C>
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Rajdipkumar Gupta: It is not like that way, as I said India itself, if you see is a very large market and the digital
adoption in India is increasing multi -fold. So, the market in India is still going to grow multi -
fold and we will definitely get a benefit out of that. And if we talk about the Africa market or
the LATAM market , are also going to adopt more digital channels . And all the CPaaS
companies or companies like Route Mobile who are already based out of those markets will
definitely get advantage of that. So, I think it is not about just international story, that
international OTT players terminating messages to differe nt domestic markets, but it is all
about the domestic enterprises also getting stronger and better use cases they are using right
now. So , I see it's a combined story together, Dipesh.
Dipesh Mehta: Okay. Second question is about, I think, what kind of cha nges let's say we made in sales
process, compared to when Route used to be standalone kind of entity? And similarly on
accounting side, I think some of the things which I think Gautam earlier alluded about, some of the expenses earlier
capitalized, now expensed out, so if you can give just sense first on
business side from sales and delivery what kind of changes we have made?
Rajdipkumar Gupta: So, probably we will not be able to share publicly about our sales and strategy that how, we
are definitely working on multiple lever points and I think we believe that our sales and
strategies are very good right now . And now with the combined team of TeleSign and Route
Mobile working together to gain more access to enterprises domestically and i nternational,
that's the only thing I can share at this point of time. But on your second question, Gautam,
you can answer it.
Gautam Badalia: Yes. So, Dipesh , I think on the capitalization bit, I think, TruSense if you look at it, since
TeleSign has a mor e evolved product on digital identity, and as per the related party
resolutions that were kind of approved by the minority shareholders. We have already shared that we would be licensing, I
mean, their digital entity stack to our customers. So, in a way, I
mean, we are looking at sunsetting the TruSense development and incremental development,
while the product is already kind of being monetized with enterprises. And hence we stopped the capitalization of that product
and started expensing out the employee- related costs and
also amortizing the cost related to TruSense.
Dipesh Mehta: No, question was Gautam more about any other thing, because this TruSense you have called
out, so we are aware, but any other accounting change happened because of, let's say, po st-
merger kind of ?

Gautam Badalia: No, there isn't any accounting change per se, but I think the systems and processes have become more robust, there is more accountability, which is actually good . So, we are able to track, I mean, we have been doing that in the past, but I think now with additional reporting and stuff, I think things have become more robust, which augurs well for us. C>

Dipesh Mehta: Okay. So, post -transaction only changes are on TruSense and then our robust process, no other changes in accounting perspective?

Gautam Badalia: That's correct.

Dipesh Mehta: Understood. And I think, Rajdip, you earlier alluded about some RPT synergies will take some time to materialize, so if you can help us understand . Because if I look at postal ballo t approval, number was fairly large, for next three years number was mention

ed, if I put that into context of the guidance what we gave, guidance is not that strong, if I adjust for Vodafone and then residual kind of thing . So, if you can just help us unde rstand what is likely to realize immediately and how one should understand this synergy benefit playing out?

Rajdipkumar Gupta: So, I think , Dipesh, as I said, like 18% to 20% guidance is still one of the best industry -leading guidance. And how the synergy will pan out, probably I may not be able to share. Gautam, do you want to share anything on that?

Gautam Badalia: Sorry, Dipesh , can you please repeat what is your exact query?

Dipesh Mehta: Sir, exact query was about, I think Rajdip in earlier comment made about some of the RPT benefit is likely to realize in Q1, Q2, Q3 kind of thing and some of it will take some time to materialize. So, I just want to understand what is immediate, what will take time?

Gautam Badalia: Yes. So, I think cost of sales will be immediate, I mean for whichever routes I mean we are more efficient or they are more efficient, that will be immediate. What will take a little bit of time is in terms of cross- selling the new products, where they will be cross- selling our omni channel stack and we will be cross -selling their digital identity stack . So, that will take a little bit of time, because there are some regulatory challenges in terms of data privacy regulations and stuff which needs to be kind of adhered to , locally . The data localization bit has to be done locally for some of the newer geographies. So, some of these things, I think will take a little bit of time, but the cost of sales and to an extent the entire share service which has contemplated out of India, that should start to flow in from this quarter, I mean , the planning would already be, I think this quarter, I think from next quarter you will see some of those cross-charging revenues also come through.

Dipesh Mehta: So, from Q3 or Q2, I missed because your voice was breaking.

Gautam Badalia: From Q3. Cost of sales, as we said, it's already kind of happening, I mean , immediately after we started to get the minority's approval. In terms of the cross -charging on the share services, that will happen from Q3 onwards. C>

Dipesh Mehta: Understand. Two questions last from my side. First is about this Rs. 38.8 million which you called out, refundable security deposit related accounting amortization. Can you help us understand the nature of it? Because it seems to be, we have earlier also signed some firewall deal, but this is something new, first time we are hearing.

Gautam Badalia: This is not a firewall deal. This is essentially, I mean, in advance to a supplier where the supplier has kind of doled out a decent price discount . And our usage with that supplier is almost 3x of that amount. So, per se, I mean, it is part of a regular course of business. A nd I mean, by November -December, this should be off our books as well, I mean, in terms of the usage .

Dipesh Mehta: Okay. And then last question from my side is about tax -rate, this quarter obviously we have seen some uptick, but --

Gautam Badalia: Sorry, Dipesh. Sorry, just wanted to kind of re -clarify, I think your query was on that Rs. 38.8 million impact on the P&L w hich is non-cash. ?

Dipesh Mehta: That's right.

Gautam Badalia: Okay, okay. This is for the security deposit that we have given for our firewall deal, and that security deposit essentially is being treated under I ndAS 109 accounting standards , and hence there is a non -cash charge to the purchase account. And the interest earned on that security deposit is carried to the other income.

Dipesh Mehta: So, the question was, this kind of deal we have signed earlier also, I presume this is for large telco, IL deal, which we start, t hat pertains to it.

Gautam Badalia: Yes, that’s correct.

Dipesh

Mehta: But we have signed in the prior quarter also some of those large deals in different markets, that time we have not seen such accounting adjustment. This is any different than rest?
Gautam Badalia: Yes. So, some of those deals I think are a little different, because those deals allowed for settlement of the invoices from the advances, whereas here it is kind of a security deposit.
Dipesh M ehta: Okay. And I think then you give something telco -related discount. I am not clear let's say --
Gautam Badalia: Okay. That is a different deal altogether which is, I mean, related to one of the short -term loans that we have taken, which we have called out in the cash flow, which is an advance to the telco, which will get consumed by November - December of this financial year, of this calendar year, rather. C>
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Dipesh Mehta:
Gautam Badalia:
Moderator:
Swapnil Potdukhe:
Gautam Badalia :
Swapnil Potdukhe:
Gautam Badali a:
Rajdipkumar Gupta:
Swapnil Potdukhe:
Gautam Badalia: Okay, fair enough. Fair enough. Thank you, Gautam. I think I have a last question on ta x rate, if you can give some sense about what one should model, because you gave reason for UK bus
iness profitability and UAE increase, but not for current year, so obviously we get sense about 20% kind of number, but medium term what one number is reas onable?
Yes, it should be in the vicinity of 1 8% t o 20%, I t hink t hat should be the vicinity o f the tax rate.
Thank y ou. T he next qu estio n is f rom t he line of Swapnil fr om J M Financial. P lease go a head.
My first question is with respect to the advance to the supplier that you called out. Just w
anted to get a sense as to why this sudden change in policy ? Because I do not think we have been doing such kind of deals in the past. Any particular reason we felt that such kind of deals are necessary?
N
o, so it essentially is, I mean, the supplier was willing to offer a discoun t. I mean, our throughput is a different case of value, s o per se, I mean, we would have used this quant um, irrespective of the commitment amount . So, it made all the sense for us to kind of give this a
dvance to the supplier and avail the discount.
Now assuming you are getting a decent discount because of this deal, will it be fair to say that your gross margins, once the deal is over, will it dip a bit, because then the discount will not b
e available to you?
I mean, w e will see i t at tha t point in tim e , Swapnil . But at this p oint i n time, w e are enjoying the b enefit o f, I m e an, t he discount.
Swapnil, we can always negotiate with the same deal, right ? But again, as I said, there are lots of increments on our new product line also. So, it is not about just one deal we are talking about, we have multiple deals right now . And I think most of the deals, we will definitely try to negotiate with the operator to extend this deal in future. But right now, based on our new pr
oduct line growth, I think we believe that whatever gross margin guidance we have, I think we will always maintain that.
The second question is with respect to your employee expenses. Now, you called out a c
ertain increase in this particular quarter. Just wanted a sense like how should we look at your employee expenses going ahead? Will it continue to be in the same run rate of this quarter, or there will be, since it was kind of a one-off, there will be a dip?
Yes. So, Swapnil, a t this po int in time, I think there w ere a f ew o ne-offs, s o I t h ink i t will be worthwhile to k ind of a ssume about a Rs. 20-21 c rores kind of a q uarterly r un rate. C>
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Swapnil Potdukhe: And the next question is with respect to your intangible assets under development --
Gautam Badalia: Sorry Swapnil, Rs. 20 crores, Rs. 21 crores of monthly cost, not quarterly.
Swapnil Pot

dukhe: Got it. With respect to your intangible assets under development, you have called out Rs. 28.7 million in this particular quarter, while in the beginning you mentioned that you are not capitalizing Masivian related expenses anymore. Can you just give a sen se on what is the nature of this particular line item then?

Gautam Badalia: Yes. So, there were two projects that were being kind of developed by Masivian, along with Route Mobile. One of the products, which is TruSense, as we have called out, I mean, we would kind of look at the more evolved stack of TeleSign for cross -selling. So, I mean, that we have stopped capitalizing and we are already monetizing it with a lot of banks and enterprises there. But the other project, I think, which was being capitalized, continues to be capitalized.

Swapnil Potdukhe: Any time period as to how long this will continue ? And what would be the overall capitalization setting today?

Gautam Badalia: So, I think in terms of the value, I think it should be on an average close to a USD 1 million a year, and I think we are towards the fag end of the development of that project, and it should I think be done, I think, in a year, year and a half time.

Swapnil Potdukhe: So, last bit on your top -line, by any chance you can call out what is the value accrual that you expect from because of the Microsoft deal, and starting when can we expect that to come to your P&L? And a related question, like we have been in the past mentioning about the Amazon deal across 10 years, we have no t heard of late any particular mention of that particular revenue, if you can just elaborate on that as well?

Gautam Badalia: So, Swapnil, we cannot call out, I mean, some of these are very, very confidential . But as I said, the Microsoft deal, I think, is a large 5 -year deal and there is a lot of incentive for Microsoft to start using the Proximus CPaaS stack for termination. So, I mean, we will tend to benefit, I mean, from that Microsoft A2B messaging terminat ion. And on Amazon, I think, we have seen good traction, I think, in terms of India, in terms of some other geographies.

Rajdipkumar Gupta: I think I just mentioned, we already started getting some traffic for UK termination from Amazon. And we are already testing for more destination s. I think we have already signed total 10 destinations. And there is already a test process going on which we believe will take another few weeks to start a new destination. But right now, we are serving the m for India and UK. C>

Swapnil Potdukhe: Just a follow -up to that, Rajdip. Since we have been talking about so many different types of deals, and the expectation is that a decent proportion of that revenue should start accruing in FY '25 . 18% to 22% guidance despite so many initiatives, looks a tad conservative.

Rajdipkumar Gupta: Swapnil, as I said I think in the past also, if you see our history, probably the last year is the only year where we guided something, and we failed to achieve that, honestly. But in the past also we have over achieved our numbers. Based on the current market scenario, the current spend by some, I think the spend cut by some of the large OTT players, I think based on the overall scenario, I think 18% to 22% is st ill a very good guidance, I believe. And definitely we have a tendency to overachieve our numbers, we will definitely work towards it.

And you are right , we do have a very strong pipeline, a very strong deal, which is going to come very soon. But some of these deals may take some long time also. Onboarding a customers like, say, large enterprise customers takes three to four months, or sometimes six months also. So, how much time it takes to actually start coming as a revenue to our portfolio, we cannot co mment at this point of time. But based on the current scenario, like current pipeline and

current customer which we have already onboarded that is the kind of guidance we are giving to the market.

Moderator: Thank you. The next question is from the line of Gokul Maheshwari from Awriga Capital Advisors, LLP. Please go ahead.

Gokul Maheshwari: Yes. So, in the recent commentary , even in the press you had this aspiration of wanting to achieve a $1 billion of revenue in two or three year s' timeframe. So, keeping the guidance for FY '25 aside, given the current market condition, is that something which is still in your overall scheme of things? O r is that still an aspiration, or is there a concrete plan to really achieve that particular guidance? B ecause if you were to achieve or what you have envisaged for FY '25, to achieve a $1 billion it's going to be a very steep climb in '26 or '2 7. So, any comments on that would be helpful.

Rajdipkumar Gupta: So, Gokul, if you see the kind of deals which we are working on right now and the kind of support we are getting from the Proximus Group, a nd as I said , large deal wins like this, like Microsoft will definitely get us to that $1 billion revenue . And we are still having our aspiration to achieve that $1 billion, and we are very much sure that we will achieve that number . Because we can clearly see the synergy between both the companies, and how we are going to move forward and we have already laid down a plan to reach $1 billion in next two to three years down the line, and we are working towards that. And there is no change as such in terms of my aspiration or the company's aspiration to generate $1 billion revenue as Route Mobile. We are very much in t act with our vision and our guidance also. C>

Moderator: Thank you. The next question is from the line of Keval Shah from Banyan Tree Advisors. Please go ahead.
Keval Shah: I just wanted to know more about the ILD volumes. So , in the current quarter did we see any growth or the volumes remain impacted as compared to say H2 of FY '24?
Gautam Badalia: So, in terms of ILD, I think we have definitely seen growth in terms of volumes on a Y -o-Y basis.
Keval Shah: And the second question is, so are these players moving the traffic to other channels or they have basically cut down the budget? Because I am seeing that Amazon India started using WhatsApp for the delivery updates.
Rajdipkumar Gupta: So, Keval, if you see, I think there are multiple channels available, and people are exploring the different channels. But again, SMS is one channel which is far better in conversion ratio. All these large OTT players definitely believe in that conversion ratio on SMS is far better than all other channels, based on various reasons. And I think we alwa ys believe that definitely there is maybe a little drop in overall volume for ILD in long term. But as a company , with a firewall at B SNL and with Vodafone, we are very well placed in the current scenario in India - based market, where we believe if we do the right job with our firewall and which we are doing right now, we will definitely see some growth in our overall traffic in ILD.
Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.
Pradeep Rawat : So, my question is regarding the change in parentage of the company. So , would it be probable that domestic banks would be hesitant to give business to Route Mobile now as the parentage is foreign now?
Rajdipkumar Gupta: Why so? Becaus e all our servers, there's no change with Route Mobile , everything is within country. We are serving completely guided by Indian law. I do not see there's any change we have done post this merger or acquisition. I do not think that's a question, right, because there's no change as such , everything remains as it is what we were operating before.
Pradeep Rawat: Yes. And the next question was regarding our realiza

tion. So, over the years, our realization has been falling. So, what could be the reason behind that?
Gautam Badalia: Yes, so this is a function of think the change in geography mix. So, like if the volumes in India are increasing, whereas the realization is so much, the average realization become s the southward impact on the realization. C>

Pradeep Rawat: Yes, okay. And my next question is regarding our promoter. So, why did our promoter sold a controlling stake in Route Mobile, which is present in a growing market for a stake in a company that is present in slow growing markets like U.S., without any controlling stake? So, I just wanted to understand the thinking behind that.
Rajdipkumar Gupta: I think I have explained this multiple times, Pradeep , in various forum s. And as I said, the combined deal which we have won, which is Microsoft and some of the deals which we are working on is only possible because the large partnerships like these. And I think there was a multiple reason to do this. I may not say all the reasons, but as I said, what was best for the company, I have taken that call. That's the only thing I can say right now.
Moderator: Thank you. The next question is from the line of Ronak Chheda from Awriga Capital. Please go ahead.
Ronak C hheda: Yes, Gautam, just wanted to understand on direct margins per se, can you quantify the current guidance in terms of growth rate for direct margins?
Gautam Badalia: On the growth rate for direct margins? So, I think the growth rate on direct margins w ill be little tad better than the revenue margin growth, simply because of the direct margin expansion. Plus, yes, it will grow in line with the revenue growth.
Ronak Chheda: So, for this quarter, you have grown faster. Should we assume a similar this, or it would be in line with revenue?
Gautam Badalia: Yes, I think we should be able to maintain this. And because of the new products, as Rajdip said, we will be able to also expand it. The only thing that , Ronak, I will just call out here is, it also is a function of the related party transactions . Some of these related part y transaction s may be a little dilutive, I mean, from a direct margin and EBITDA standpoint. But it would be, I mean, accretive or at par with the EBIT margin.
Ronak Chheda: Got it. My second question is, almost 45% -47% of our business comes from territories outside of India, right? So, we understand what is happening in Indian markets and the customers choosing to either shift or cut down on their expenses. But can you talk about the volume growth in markets which are ex -of-India , let's say for the current quarter, on a

sequential and a Y -o-Y basis? And in terms of your guidance, what is the outlook for markets
ex-of-India , can you talk about these markets? And what are the trends which we are seeing
there? The existing markets, not the newer ones.
Gautam Badalia: Yes. So, I think we have witnessed some growth, I think, in terms of the rest of the world
volumes as well. But you are absolutely right , I think in geographies where the ILD prices had
gone up very significantly, I mean, some of them were kind of quoting at $0.15, $0.20, there C>

is a natural pushback from the enterprises to use the ILD's OTT messaging route. And that's
where they're lo oking at either grey routes or alternate channels. So , I mean, there is some
degree of headwinds , I mean, in some of those markets. B ut for markets where I think the
pricing is more palatable, I mean , to a lot of these large enterprises, I think we continue to
witness the volume increase.
Ronak Chheda: Got it. And last question is on RCS , what we understand is the pricing for RCS fits between
SMS and WhatsApp. And we have read about Rajdip's comments in the press about how
excited this technology is. So, ju

st wanted to understand, let's say when you are envisaging
the kind of growth rate over the next two, three years, and if these platforms like RCS and WhatsApp were to scale up, your profit growth would kind of not mirror the revenue growth,
right, because the realization per unit will come down significantly. So, just wanted to pick
your thoughts on how you are seeing profit growth in terms of over the next two to three
years.
Rajdipkumar Gupta: I think Gautam, I think you can add to it. Ronak, but I think RCS prices and WhatsApp prices
are better, higher than SMS for sure. And definitely there's a higher margin than SMS in both
the channels.
Ronak Chheda: So, Rajdip, when you are looking at let's say 25% kind of growth rate over the next two to
three years for the current business, and your direct profit grow s in line, direct margin grows
in line or faster, should we assume a similar trend for other profits also when the channel shifts, or below line items as well?
Rajd ipkumar Gupta: Gautam, you can just add to this.
Gautam Badalia: So, Ronak, I think you are absolutely right. I think on the new products we are already
witnessing, I mean, staggering growth rates, I mean, so quarter on quarter 16%, Y -o-Year
94%. So, I think we will be able to kind of have a similar kind of a play on RCS as well. And the
good thing is, I mean, even TeleSign, I mean, for all its customers, there are now
requirements, I mean, that they have for RCS, for WhatsApp. And we are seeing some goo d
conversations, good pipelines, I think, being built on those products as well. So, I think it looks
much brighter, I think, on the new products work stream. And give us maybe a couple of quarters, we should be able to announce some big deals on both these accounts, or both
these platforms.
Moderator: Thank you. The next question is from the line of Pankaj Kumar from PK Shares and Finance.
Please go ahead.
Pankaj Kumar: My question is regarding the gross profit margin, EBITDA margin and PAT margin. We have a
competitor which is listed on Indian securities markets and it has a very good profit margin C>

compared to Route Mobile. I would like to know why is there such a gap between the two
companies' profit margins?
Rajdipkumar Gupta: I do not think I should comment on that, maybe Gautam you can answer the other question.
Gautam Badalia: So, Pankaj, I think we have consistently been kind of trending around this kind of margins.
And I think we can only talk about our numbers. A nd in terms of even our guidance, I think
we believe we should be, I mean, in that vicinity with a little bit of an upward tab in terms of
margin expansion, and that's where I think we are.
Pankaj Kumar: No, I would like to understand from you, like the other player has the same business as yours
and why is it able to earn better margins than yours? I mean, why cannot we achieve the
same margins?
Gautam Badalia: Pankaj, it will be very difficult for us to kind of comment on what others are doing. I mean, we
can comment for our performance. And I think if you look at us, I mean, for the last 8, 10, 12 quarters as well, I mean, we would have been kind of trending in this kind of margin. I mean,
there is definitely room for these margins to improve, as I said , and I think we are working
towards it.
Moderator: Thank you. The next follow -up question is from the line of Jyoti Singh from Arihant Capital
Markets Limited. Please go ahead.
Jyoti Singh: Sir my question, sir, what is our average ILD price versus what our international competitors ’

charge?
Gautam Badalia: Jyoti, the price that operators give us is about $0.05. And due to confidentiality, I mean, this is competition sensitive, we will not be able to comment on what price we offer it.
Rajdipkumar Gupta: We cannot share that, Jyoti, sorry.
Jyoti Singh: Sir, are we at discount or at

a premium to global players?
Rajdip Kumar Gupta : Jyoti, as I said, we cannot share any such information over this call.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Mr. Rajdip kumar Gupta for closing comments.
Rajdipkumar Gupta: Thank you, everyone. Thank you for joining this call, and looking forward next time to answer all your questions. Thank you once again. Thank you and have a nice evening. C>

Moderator: Thank you. On behalf of Route Mobile Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. C>
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Call: Oct 2024

Ref No: RML/20 24-25/526

Date: October 28, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2024
We are enclosing herewith copy of the transcript of the Company's Q 2 FY2 5 earnings conference call dated Tues day, October 22, 2024 .

The transcript is also available on the Company's website under the Investors section at:
www.routemobile.com/compliance/2025/Route -Mobile -Ltd- Q2-FY25 -Earnings -Call- Transcript.pdf

Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly ,
For Route Mobile Limited

Rathindra Das
Group Head-Legal, Company Secretary & Compliance Officer
M. No. F12663

Encl: as above

Route Mobile L imited
Q2 & H1FY25 Earnings Con- call
22nd October 2024

Management:
1. Mr. Rajdip kumar Gupta - Managing D irector and Group CEO,
2. Mr. Gautam Badalia - Group Chief Strategy Officer & Chief Investor Relations Officer
3. Mr. Suresh Jankar - Chief Financial Officer

Route Mobile Limi ted
Q2 & H1 FY25
22nd October , 2024

Moderator: Good evening, ladies and gentlemen . I am Sejal Tripathi, your moderator for this conference.

Welcome to the conference call of Ro ute Mobile Limited arranged by Concept Investor Relations to discuss its Q2 and H1 FY25 results. We have with us today, Mr. Rajdip kumar Gupta - M anaging Director and CEO, Mr. Gautam B adalia - Group Chief Strategy Officer and Chief Investor Relations Officer and Mr. Suresh Jank ar - Chief Financial Officer.

At this moment, all participants are in listen only mode. Later we will conduct a question -and-answer sessio n. At that time, if you have a question, please press '*' and '1' on your touch tone keypad. Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward -looking in nature and may involve certain risks and uncertainties. Kindly refer to slide number two of the presentation for detailed disclaimer. Please note that this conference is being recorded.

I now hand the c onference over to Mr. Rajd ipkumar Gupta. Thank you and over to you Sir.
Rajdip kumar G upta : Thank you. Good evening, everyone. Seasons greetings to all of you and your respective families. I'm pleased to s hare that Route mobile has achieved its highest revenue t ill date even though Q2 is typically a slower period for us. With the months of July and August being holiday seasons in many parts of the world, we usually see a decent activity. However, despite these seasonal challenges and the ongoing geopolitical issues, we have delivered approximately 10% revenue growth and over 20% PAT growth year on year basis.

Looking ahead, with the festive season approaching, we expect to see a strong increase in revenue and expanded margin and we remain confident in meeting our guidance for the year. In terms of business momentum, we had some solid deal wins this past quarter along with continued progress in realizing synergies with Proxim us group.

Here are a few key highlights. We signed a significant deal in September with Global e -commerce Company to cover multiple re gions. Traffic has already starte d and will ramp up over the time. Pro ximus and Infosys formed the long -term Strategic Partnership, which combines Route M obile C PasS solutions, telephone DI services and based offering

with
Infosys Digital services. This partnership following the Microsoft Deal strongly validates our group synergies. We also working on several other long -term partnerships that we believe will drive significant value for Route Mobile . Beyond these group synergies, we have laid out a clear road map. We are already receiving a dditional traffic from Telesign on routes where Route Mobile offers a clear advantage in pricing and quality. Our cross-selling efforts are well underway and we anticipate revenue momentum to follow shortly. We have launched our shared service initiative this past quarter and expect to see rapid progress in this area. We also continue to lead in the metro ticketing space and with a new development for Maharashtra Mumbai Metro. Additionally, we have implemented a WhatsApp based utility communication service for I RCTC . Our new product revenue are showing strong growth up by 32% year on year basis.

A few other highlights since Q1 FY25 ; Route Mobile was named Station partner of the year 2024 at the Meta WhatsApp business Summit in India. Proximus Opal successf ully completed its offer for sale to meet minimum public shareholding criteria. This attracted strong interest from long hol ding funds and we are grateful to our investors for their continued trust. We will remain focused on delivering value for all our stakeholders. Lastly, based on our strong performance in the past half of FY25, I'm pleased to announce that Board of Directors has recommended an interim dividend of Rs. 6 per share.

With that I will hand it over to Gautam to go over the financial highlig hts. Over to you, Gautam.

Gautam Badalia: Thank you. Thank you, Raj dip. Good afternoon, everyone. Seasons greetings to all of you. We have already uploaded our quarterly earnings presentation on our website as well as the stock exchanges websites. Hope y ou had a chance to go through the presentation. I'll quickly summarize our financial and operating performance during Q2 FY25 and H1 FY25 before opening the floor for Q&A.

The quarter gone by has been a good quarter considering the seasonality of our bus iness. It is our best quarterly revenue till date and with festive season ahead of us coupled with incremental synergy benefits, we are reasonably confident of meeting our guidance for the year.

Our revenue growth in Q2 FY25 was impacted marginally, due to two reasons, continued weakness in Mr. Messaging owing to geopolitical issues in continental Europe and our ILD revenue in India was impacted for a few days in August, mainly due to our firewall software upgrade as well as there was an infrastructure issue with the virtual machines at the cloud host. Things have completely normalized since then . For H1 FY 25 versus H1 FY24, w e also had a significant currency impact owing to N aira's devaluation, which is the Nigerian currency.

Now, talking about a few gro wth levers. So, we had a few growth levers that should pave a strong runway for us over the medium term, the one that Raj dip talked about , winning a large e -commerce deal as mentioned by Ra jdip, which should ramp up gradually. Then we are also working with strategic partners like Infosys to accelerate our sales lead cycle. And very recently we've also participated in a very large global RFP as part of the Proximus Group Synergy. So, if that RFP were to fructify , that should add significant layer of growt h for the coming years .

The key highlights for H1 FY25 have been the strong cash conversion from EBIT DA which panned out to be 78%. In terms of key business metrics in volume terms, we processed 40.5 billion billable transactions in Q2 FY25, which is again t he highest quarterly billable volume processed by us till date. Billable transactions increased from 31.3 billion in Q2 FY24 and 37.1 billion in Q1 FY25 to 40.5 billion in Q2 FY25. Average realization per billable transactions marginally

decreased from 29.7 paisa in Q1 FY25 to 27.5 paisa in Q2 FY25 owing to increase in domestic volumes in India and partly due to the I LD revenue impact as stated above.

In terms of geography, India continues to be our largest market by termination accounting for 51% of our rev enue b y termination; you may refer to slide 11 for the same. We continue to witness very strong momentum on the next generation products which grew by 32% on a YoY basis as referred in slide nine of the presentations. With this backdrop, let me walk you through our financial performance in terms of Q2 FY 25 performance, revenue from Operations grew by 9.7% from Rs. 10,146 million in Q2 FY24 to Rs.11,134 million in Q2 FY25, gross profit margin declined marginally from 21.2% to 21.1% due to the related party transactions, which happens at a lower gross margin . Reported EBITDA grew by 5.5% YoY from Rs. 1,281 million in Q2 FY24 to Rs. 1,352 million in Q2 FY25. There was a sequential growth of 9.3% during the same period. EBITDA margin expanded from 11.2% in Q1 FY25 to 12.1% in Q2FY 25. The increase in finance cost was primarily due to the full quarter impact of a loan availed during the month of June 2025. Effective tax rate for the quarter was 23%. Profit after tax grew by 21.1% YoY f rom Rs.884 million in Q2 FY24 to Rs. 1,070 million rupees in Q2 FY25 as compared to Rs. 812 million in Q1 FY25 . PAT for Q2 FY25 includes exceptional item gain of INR Rs.62.8 million which is net of the fair value gain on the contingent consideration and recognition of impairment loss of goodwill pertaining to MRN. That margin was 9.6% in Q2 FY25 as against 7.4% in Q1 FY25.

We onboarded 56 new employees and 45 employees left us during the quarter gone by . For H1FY25, r evenue from operations grew by 11.9% from 19 ,819 million in H1 FY24 to 22,168 million rupees in H1 FY 25. In terms of certain KPIs, billable transactions increased from 60.8 billion in H1 FY24 to 77.6 billion in H1 FY25, we had net revenue retention of 105 %. You may t>

refer to slide 13 of the earnings presentation . We added over 300 pl us new customers in H1 FY25 across all products.

Gross profit margin, increased margin nearly from 21.3% in H1 FY24 to 21.4% in H1 FY25. EBITDA grew by 6.1% on a yo y basis. EBITDA margin contracted marginally from 12.9% H 1 FY24 to 12.2% in H1 FY25. Effec tive tax rate for H1 F Y25 was 22% as against 16% for H1 FY 24. Profit after tax grew by 4.5%. PAT margin declined from 9.1% to 8.5%. Cash and cash equivalent stood, at the end of the quarter, at Rs.11,145 million rupees and net cash was Rs.5,836 million rupees as on September 30, 2024. A verage receivable days stood at 79 days and average payable days today at 69 days. Cash flow conversion in H1 FY25 was very strong at 78%.

With these highlights, we open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Amit Chandra from H DFC Securities. Please go ahead.

Amit Chandra: Yes, Sir. Thanks for the opportunity. So, my first question is on the margin guidance that you

said that you have, you're maintaining the margin guidance, but the ask rate for the second-
half is quite steep. So, considering you know, we have a festive season in Q 3, you know what,
apart from that, what gives her the confidence to achieve more than like 10% sequential growth rate for the next two quarters, is it, you know, the VI deal, which is already in the
base. So apart from that which are the deals will start to contribute? Or is it you're seeing
revival in the base business and also, you know, in terms of the synergies that you mentioned
that you have seen some, you know synergies coming from T elesign . If you can, you know,
like throw some light. Are we on early stages of the synergy or we can see that to be a, you know, to be a major contributor to the growth going forward.

Rajdip kumar Gupta : Hi Amit, Ra jdip here. So, as we I just stated in my statement also like we are very much
confident that we will achieve the guidance which we have given to the market . Looking at
the current run rate for this quarter also, I think we believe that we will ac hieve the numbers
which we have guided because being a fresh decision will definitely add value to our revenue. As far as the synergy is concerned, we are working very closely with the Telesign as we speak
and as Gautam has mentioned, there is large RFP, w hich is now been promoted and we have
been invited to participate in the RFP . There are multiple deals like Infosys as well as the
Microsoft Deal kind of deals are already in pipeline. So, we are very much confident about
our guidance and we are working to wards that and we will definitely try to achieve that and
we believe that we will achieve that. Gautam, want to add anything to thi s?
Gautam Badalia: Yeah. So just adding to what Raj dip said, I think historically, I mean, seasonality has always
played ou t. I mean, typically it's 45 -47%, it's H1 and balance, I mean happens to be H2. So, if
that were to play out, I think we should be, I think in that touching distance of the guidance
that we have given and a lot of these growth that we are talking about should come without
any adjoining overhead cost. I mean, so that is the operating leverage, I mean should play out and that should lead to the margin expansion. So, in the past, I think we have been able to
kind of deliver significant, I mean expansion on EBI TDA margins during H2. So, I think some of
those things as Raj dip mentioned, I think the run rate today, I think for this quarter seems
very, very promising and hence we are reasonably confident that we should be able to kind of
meet the guidance that we h ave committed.

Amit Chandra: OK. S ir, in terms of the you know VI deal, you mentioned that there were some you know
headwinds in terms of you know some of the issues with the like upgradation and with some
of the like you know AWS issues. So, Ex of that what is t he current run rate and also where
we are in the journey in terms of you know hitting the steady state in which we were earlier, the full potential of the deal was $100 million which Rs. 800 crores, but still we are just half of
that in terms of t he full potential so when we expect to hit the full potential in that deal ?
Gautam Badalia : So, so the infrastructure issue was I think for a few days, I mean it's about 7 days impact I
think in t erms of the ILD revenue. But everything is kind of working fine now. I mean, we had
the big the sale with Amazon. I think everything has been worked at scale. I mean from a t>
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platform standpoint. So, there is no, no concern whatsoever on that. That and from a VI Deal
standpoint, I think we are on track in terms of the values that we've committed and we
believe I mean we'll be able to subsume the entire commitment, I mean, during the course of
this year.
Amit Chandra: OK. And in this quarter, we had, you know like volume jump. So, I assume that the I LD
volumes wer e mostly stable to you know on the positive side, but there was a sharp drop in
the realization. So is there a change in mix which has caused that ?

Gautam Badalia : No, so the ILD volume was marginally impacted as I said, I mean because of those seven day s.
So, to that extent, I think there was a little bit of an impact on the ILD volume growth. But the
domestic volumes had ramped up. And it's because of the mix, I mean got skewed more
towards domestic versus I LD and hence I mean the realizations had a kind of a little bit of an
impact.

Amit Chandra: OK. OK, Sir, thank. You I'll be back in the queue. Thanks.
Moderator: Thank you. The next question is from the line of Nikhil Choudhary from N uvama Wealth
Management. Please go ahead.
Nikh

il Choudhary: Yeah. Thanks for the opportunity. My first question is regarding the growth. In last two
quarters, the incremental revenue which we have added i s approximately 100 crore right, in
the first half of FY25. This is broadly in line with what you have guided in terms of revenue

synergy plus Vodafone Idea Deal guide. So, can you help us understand that you know in first half we haven't seen much growth in organic revenue where the two days in first half FY25, what gives you confidence of such a high single digi t kind of growth to achieve lower end of guidance, that too when Mr. Messaging which forms if I'm not wrong 15 -20% of our revenue having its own challenges? Thank you.

Gautam Badalia: So, Nikhil, I think we have registered almost in H1 , you're talking about right ?
Nikhil Choudhary: Yes, yes.
Gautam Badalia: So H1, I think we had almost 11.9% growth, right?
Nikhil Choudhary: So, my point was Gautam a good part of it should be should have come from revenue synergy as well as Vodafone Idea Deal . So, acts of those two deals which both are now in H1 base. How you will be able to drive the growth with when you know?

Gautam Badalia : No, no. So, I think so, let me clarify a few things here. Nikhil, I think what is happening is so Telesign was alread y kind of part of our organic revenue, right? So , whatever incremental revenue that you have got, I think from T elesign during the course of last quarter that could be attributed to the synergy, but a large part of the T elesign revenue for H1 pans out to be part of our organic revenue . Vodafone essentially, I mean the deal is where they are the suppliers. So, we are actually monetizing their infrastructure with the customers. So whatever growth that you're seeing is actually coming from customers where we a re getting the benefit of the pricing and quality because of the commitment that we have with VI and the exclusivity that we have in the network because of the firewall.
Nikhil Choudhary: OK. But just continuing with the thesis of what will happen in the second -half, where at least Vodafone idea will be in there and Mr. Messaging continue to impact our or continue to drag our revenue growth.
Gautam Badalia: Sorry , I didn't get your query.
Nikhil Choudhary: So next two quarter required run rate to achieve lower end of our annual guidance is at least high single digit right. That means we have to grow on Q2 basis despite of Vodafone I dea deal in our base right, so no more benefit from Vodafone Idea deal. So, where you think we will get such a high ki nd of growth ?
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Rajdip kumar Gupta : Nikhil, Rajdip here. I f you see our numbers also our domestic volume is also growing. We have because of the festive season because of the large e -commerce companies using our platform , we have seen a huge amount of growth in this quarter in fact, in this month and because of the festive season, we see lots of other brands also using our platform very aggressively as far as the idea is concerned plus the domestic traffic as well. So, we do see lots of growth will come from the existing c ustomer at the same time we already signed him a few large customers who whose traffic has already started coming to our platform. So based on those, you know like the numbers, we believe that we are at right back and there are definitely so me synergies we are working with the T elesign also as Gautam mentioned, the entire synergy was not there in entire H1. The entire synergy will be there in this H2 for sure where telesign and route will work very closely to get more traffic from Telesign .
Nikhil Choudhary: Can you give me just color on Mr. Messaging? What's update there? What are our plans going ahead?

Gautam Badalia: So, Mr. Messaging I think right now they're kind of grappling with a little bit of issues around some of the mark

ets I mean, which were strong markets for them. But having said that, I think the basis, the clients that they're talking to, some of the dealings that they have, they are already kind of alluding to decent growth I think coming through in Q3 and at th e same time, I think we as a team are now working together in terms of integrating and optimizing a lot of cost. I mean within the Route mobile umbrella. So , some of those I think benefits will start to kind of play out from this quarter. Along with some amount of g rowth also coming back into the M r. Messaging revenue numbers.
Nikhil Choudhary: Sure, Gautam. Thanks again for the opportunity and good luck for coming period.
Moderator: Thank you. The next question is from the line of D ipesh from Emkay Global. Please go ahead.

Dipesh: Yeah. Thanks for your opportunity. Couple of questions - First of all, just want to get sense about new product . Now, WhatsApp has already done some pricing rej ig, utility message and all those stuff so if you can provide that sam e sense in RCS also from monetization perspective. So, if you can give some broad overview about how this new product thing is playing out because it ha s some kind of implication on our base business also and second thing is how we are participating in overall growth opportunity. Second question is about some of the large deal which we announced in partnership with Proximus Group, Microsoft, Infosys and I think one of the large global RFP, I think you know your remark you mentioned. So, if you can provide s ome sense what would be the role of Route and what would be the role of P arent and how one should understand overall dynamics? And last question is about the gross margin. Now I understand because of IL D loss of revenue, it could have implication on revenue, but it ideally should benefit your gross margin. Now if I look gross margin is still down despite some benefit of the exchange in favor of domestic traffic. So, if you can help us understand how one should look gross margin from medium term perspective? Thank you.

Gautam Badalia: Sure. So, I'll answer the gross margin query first, so I mean because of the related party transaction, I mean this full quarter, I mean we recorded the entire through put between Telesign , BICS and Route Mobile as a related party which was kind of indexed at a lower gross margin than the portfolio margin. So, if you adjust for that, I mean there would be a gross margin expansion t hat would play out. Coming to WhatsApp, I think what WhatsApp we have seen almost 20% plus kind of a volume increase on a QoQ ba sis, and on YoY basis you witnessed about 100% kind of your volume increase I mean on a YoY basis so you're right I think WhatsApp has kind of reduced the pricing I mean for some of these utility messaging and stuff. So that had a little bit of a negative kind of an impact on the revenue.

Rajdip kumar Gupta : I think it has just been done I think, but I think the starting of the month, it's not implemented last quarter. I think maybe the beginning of the last month. But I think apart from that, I think there's another question related to. Can you just repeat this second question , Dipesh?

Dipesh: Yeah. So overall about let's say WhatsApp, because of pricing rejig RCS is also where monetizes and it started to pick up. I just want to get broad sense about this new product portfolio. t>

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Rajdip kumar Gupta : So, let's go 1 by 1 Dipes h, It’s better like you ask one question and we answer one question and then you go to the next question , that’s better for our clarity. So, in terms of RCS , you know, like some of the use cases which we have deployed with our customers are completely based on a conversational based. We are not focusing as a company to try to build a traffic which is promotional time traffic. We really want to build used t o so

lve the customer problem whether it's your metro ticketing option, which we have built for various metros in India and I think and we have deployed conversational commerce kind of solution also where people can buy tickets within the WhatsApp bot as well. So we are focused henceforth is completely going to be you want the use cases where we can build the use cases where we can so lve customer problem and typically on the conversational side. We will not get into those p romotional kind of activities throu gh RCS or even for WhatsApp and for I think promotions for RCS and WhatsApp is not the right channel to do a promotional on that and we still prefer SMS is the right channel to do promotional on that side. So that's our strategy as of now and we will continue to follow this because we really want to build a sticky business for long term where we try to solve customer problems through our solutions .

Dipesh: No, understand. So, let's say if I look overall ecosystem perspective, new product for us is somewh ere around Rs. 78 odd crore and as a percentage, if one looks at it, it is still in single digit kind of thing somewhere around 7 o dd percentage. It is inching up, but it pays off that increase is fairly moderate. That is what I try to understand now, partly because of price changes, obviously as implication, despite 100% volume growth for your IT revenue growth might be lower than that number. So, if you can provide some sense apart from these two channels, what other area where you are seeing promising signs of growth in this new product side?

Gautam Badalia: We have kind of indexed ourselves I mean, on the cross- selling synergies with the group is we have kind of mobilizedthe sales teams across the group to start powering the sales of the new products, especially the WhatsApp business messaging and all these IP messaging…

Moderator: Sir, I'll connect you again.

Rajdip kumar Gupta : Just the best to answer your question what Gautam was trying to highlight out here. So, we as one team between Telesign and Route Mobile, now we have started working very closely with sales team presents all different regions, especially Asia. I think it might be aware that there are multiple events we are doing jointly with Telesign in Indonesia , in Singapore , in Malaysia and now in Middle East and Europe also. So, this is also giving lots of traction with the customer s who are actually using Telesign products by either on DI or SMS. And I think we are reaching out to all the customers which has been served by TELESIGN to o ffer our e - mail and WhatsApp and RCS s ervices through our platform. I hope that I'm able to answer your question.

Dipesh: Understand. Last thing, if you can give some sense about progress on some of these large deal . One deal which you said around large E- com 10 destination kind of deal where we are in that because the earlier quarter I think progress was slower whether you are seeing any material optic there and Microsoft Infosys even large global RFP which you highlighted.

Rajdip kumar Gupta : So, I think we have, as I mentioned at the beginning, we are very much integrated with this large e -commerce company. They have started using our platform. The ramp up has already started and we do see the huge potential coming from this customer. In terms of the large RFP, if you see this large is the customer based globally. They're looking out for translation globally and probably Asia, Africa and Middle East is where Route Mobile will provide the interconnectivity to this being part of this large R FP. So, I think whether it's Telesign or Route Mobile, we believe that our connectivity in the emerging countries will pan out as a clear advantage to Route M obile and that is exactly where we are very excited about this RFP.
Dipesh: Understood. Rajdip, a related q uestion about all these put together is about gross margin be

cause of related party transaction gross margin I think even in this quarter it has implication on gross margin considering some of these large partnership deal. Do you think our gross margin likely to remain under pressure in medium term ? t>

Rajdip kumar Gupta : No, not at all. Because these are direct deals and I don't see there's any impact because of that, so that I can assure you .

Dipesh: OK. So broadly, where we are currently operating some where around low 20s is sustainable kind of gross margin.

Rajdip kumar Gupta : Yes indeed.

Dipesh: OK. Thank you.
Moderator: Thank you. The next question is from the line of Saumil Shah from Para s Investments. Please go ahead.

Saumil Shah: Hi, Sir. What is our EBITDA guidance for this financial year? So rry, I missed your opening remarks.

Gautam Badalia : Around 13%.

Saumil Shah: Around 13 % and for the first half I think we are less than 12 %. So, for the remaining half …
Gautam Badalia : W e are around 12.2%, so we've kind of guided at 13 percent.
Saumil Shah: For the first half, we are at 12.2.
Gautam Badalia : Yeah. 12.2 on a reported basis, adjusted basis is 11.9.
Saumil Shah: OK, OK. So, for the remaining half, we need to go a bove 13% EBITDA margin. Is it doable?

Gautam Badalia : Yeah. So, the fact is, I mean if because I mean H2 happens to be very strong, so the incremental throughput that we get, I mean in terms of revenue and gross profit directly flows to E BITDA because t he, I mean the adjoining over it costs, I mean a largely fixed in nature. So, there is a high operating leverage in the business.

Saumil Shah: OK. OK. And so, when we grow our revenues by 18 -20% this year in terms of bottom line, can we grow at a simila r rate weighting 20%?
Gautam Badalia : It should. It should be. I mean, the only caveat is I think tax rates have increased. So , that's the only caveat. I mean to that extent, I mean it maybe a little muted.

Saumil Shah: Because the current tax rate would be about in the range of 20.
Gautam Badalia : Yeah. So, it's around 20 to 23%.
Saumil Shah: OK, OK. And so last question, what is the other income of Rs. 32 crore for this quarter?

Gautam Badalia : Large part of that is, interest income and a lso, I mean there is forex gain. So, these are more largely, I mean emanating from translation. So, there is, I mean these are the two large components there.
Saumil Shah: OK. So, this is not a recurrent income for the remaining quarter s?
Gautam Badal ia: No.
Saumil Shah: OK. Yeah, that's it for my side. Thank you.
Moderator: Thank you. The next question is from the line of Yash De hlani from M aximal Capital. Please go ahead.

Yash Dehlani: Hello, thanks for the opportunity, Sir . Firstly, on the effective tax rate like you alluded earlier as well . So, our tax rate now since the mix will shift towards the. And the list also will be levying tax. So, for full year basis and going ahead, we foresee tax rate to settle between with what rate around ?

Gautam Badalia : Yeah, it should be between 20 to 22 %.
Yash Dehlani: So, current tax rate is something that will stay.

Gautam Badalia : Around 22%, that's correct.
Yash Dehlani: OK. And Sir, one more question. The large RFP which we were d epending on so this our whole guidance of 18 % to 22% growth this year and the future projection of say FY28 $1 billion revenue. Our guidance depends on this particular RFP or it will still stay even if we somehow not.
Rajdip kumar Gupta : So, this RFP does not , I think for H2 we should not consider this RFP because it will take some time to integrate. But for sure for 3 to 4 years down the line, they said any kind of guidance that will definitely going to be part of the guidance.

Yash Dehlani: OK. And Sir, 1 broad question on the growth which we are projecting. CP ass industry is actually not growing the industry per say. So, in this the growth, the higher growth which we are guiding on , part of which will come in will be coming from synergy benefit and part o f which will should be coming from the organic business which we have. So, what is the organic growth, which apart from synergy benefit we are projecting on our you have built it in your internal ?
Gautam Badalia : No. So, we are not trying to kind of brea k that into two buckets essentially. I mean the thought process of this deal, I mean this partnership was to kind of truly global companies access to all the enterprises globally. So, I mean, so from that standpoint, we are looking at this whole bucket of Telesign continues to be an existing kind . So, I mean, all the revenues that we are able to garner from them, I mean happens to be organic revenue. So, from an organic growth standpoint, I think we assure, I mean the guidance that we have given for this and I think over the n ext three years we are working along with the group on a lot of these synergies where we also have a lot of inherent strengths in emerging markets. So, a lot of that will also play out in terms of the organic growth strategy that we hav e planned.

Yash Dehlani: And we are confident on achieving this target because of better half two and stronger half two than half one.

Gautam Badalia : Yeah, it H2 happens to be strong historically, but for last year where because there were a few hea dwinds, I mean historically it has always been like 45 -55 or 47-53 in terms of the split between H1 and H2.
Yash Dehlani: More or less, more or less to achieve lower band of guidance, we will have to grow by 22 to 24% at least.

Gautam Badalia : That' s correct.
Yash Dehlani: Great, great . Thank you so much.
Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Market Limited. Please go ahead.
Jyoti Singh: Yeah. Thank you for the o pportunity. So, my questi on is basically only Gen AI services to start contributing meaningful to the revenue as earlier I saw a few of the posts that we are you know we're talking big move in AI. So, if you can guide us.

Rajdip kumar Gupta: Yes, indeed there are multiple use cases, especially on customer support. Our team especially our bots, which is called the Rou bot and the entire omnichannel stack has Gen AI capabilites t>

– solving some of customer problems through Gen AI. So, we are very much aligned with the progress in thi s space a nd we are using the technology to help our customers to have a better outcome.

Jyoti Singh: And Sir, any meaningful revenue that we are expecting?
Rajdip kumar Gupta : Jyoti, it will be add on solution to the customer right now and we are jus t testing multiple things on Gen AI with our customer right now. We cannot quantify at this point of time probably in next few quarters we may give some kind of you know like numbers to that.

Jyoti Singh: OK. Thank you so much.
Moderator: Thank you. The next question is from the line of Arvind Arora from E nam Capital. Please go ahead.

Arvind Arora: Thank you for the opportunity . Is there any saving in the cost part due to arrangement with Proximus group. I s there any cost sharing part also where w e will get a reduction in per transaction cost due to this arrangement with P roxim us group?

Gautam Badalia : Not yet. S ome of those things I think are being assessed, but nothing of that sort of kind of played out yet.

Arvind Arora: Ok. That's all from my side.
Moderator: Thank you. The next question is from the line of Ashok Shah from Investco. Please go ahead.
Ashok Shah: Thank you for taking my questions . Sir, regarding this Dividend distribution

and further capex
or the money to be deployed i n business, can you throw some light?
Gautam Badalia : So, I think from our guidance standpoint, we have kind of given a guidance of distributing up to 20% of the PAT as dividend and then so the dividend distribution is in line with the guidance that we've given. And from a CapEx standpoint, I mean, but for the research and the product development, I mean we don't have any significant CapEx, I mean w e are largely, I mean more an asset light kind of business model so per say there isn't any significant CapEx required for the business.
Ashok Shah: Sir, you told that there is no CapEx involved. So how is the cash generated be invested in future?
Gautam Badalia : So, I think we have a dividend distribution policy and on top of that, I mean we keep looking at kind of opportunities where we can augment the capabilities of the platform. I mean, so we keep looking for some of those opportunities and when we find an I mean appropriate
kind of fit from our product and our vision standpoint. I mean we would like to kind of do maybe a few tuck -in acquisitions.
Rajdip kumar Gupta : Just to add out here, we already have a decent size R&D team and like we put a team they already been working on new products and new technologies. So, we have already invested
and that you will continue to invest in those areas as well.

Ashok Shah: Ok sir, ok. That’s all from my side.
Moderator: Thank you. The next question is from the line of D ipesh from Emkay Global. Please go ahead.
Dipesh: I think in your remark you said weakness in MRM and I LD revenue I think 7 o dd days because of certain reasons revenue growth was impacted. Can you provide more detail around it and what was the total quantum because of these factors?

Gautam Badalia : Yeah. So, I think on the I LD side, I think the impact was about close to 3 million dollars for about 7 days of revenue impact. And on the Mr. Messaging side, I think we had seen, I mean weakness on a Q oQ basis to the tune of about Rs. 19 odd crores. t>
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Dipesh: OK. Thank you.
Moderator: Thank you. The next question is from the line of Devraj, who is an individual investor. Please go ahead.

Devraj: I had a question or two, but I think the question on the allocation of capital has already been answered, but I just want to understand the f uture trajectory of the debt that the company is taking on because we've really ramped up on the debt, right and I understand some of the compulsions as I have been following this coming for a while. But what's the, what's going to be the future trajectory on the debt that the company plans to take on?

Gautam Badalia : Yeah. So, I think what we are embarking on is leveraging the strengths of the group. So, I mean, just to kind of give you a color, I mean, so BICS has one of the largest infrastructure, I mean in terms of the telecom infrastructure, so they enable a lot of the voice calls -over 50% of world's voice traffic terminates on this BICS platform, so we can use the strength of BICS globally. Then we are going to use the digital identity strength of Telesign - so they have kind of really evolved in terms of rendering more security to every digital transaction. So, and at this point in time as we speak, we are doing few sandbox testing I mean even in India with the regulators and few large banks, so th at would be the wrap around on every digital transaction, so. And on top of that, we would kind of power our C PaaS platform with all the digital transactions for an enterprise. So, we would be a one stop solution provider for the entire digital journey of any enterprise to their consumer in any form and shape. I mean they will be able to kind of power very

secured d igital transaction seamlessly over the
infrastructure layer of the group. So that's the thought process

I think that we are embarking
on.
Rajd ipkumar Gupta : I think just to add to this, I think our entire platform, you know like now have as Telesign and BICS as a company have access of entire platform of ours and they can take this entire platform to European countries and the US based customer that is another big strength we believe in coming quar ters down the line where we can see lots of sales coming from this part of the world to Route Mobile portfolio.

Devraj : Right, right. OK.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Gautam Ba dalia for closing comments.

Gautam Badalia: We thank you all for your participation in case you may have any additional queries or clarifications, p lease feel free to reach out to us. We'll be more than happy to answer any queries . Thank you.

Moderator: On behalf of Ro ute Mobile Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Ref No: RML/202 4-25/557

Date: February 4 , 2025

To,

BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended December 31, 2024
We are enclosing herewith copy of the transcript of the Company's Q 3 FY2 5 earnings conference call dated Tues day, January 28, 202 5.

The transcript is also available on the Company's website under the Investors section at: www.routemobile.com/ compliance/2025/Route -Mobile -Ltd- Q3-FY25 -Earnings -Call- Transcript.pdf .

Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking You
Yours truly,
For Route Mobile Limited

Rathindra Das
Group Head -Legal, Company Secretary & Compliance Officer
M. No. F12663

Encl: as above

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Route Mobile Limited

Q3 & 9M FY25 Earnings Conference Call

28th January, 2025

Management:

1. Mr. Rajdip kumar Gupta, Managing Director

2. Mr. Gautam Badalia, Chief Executive Officer

3. Mr. Raj Gill, Group Chief Financial Officer

4. Mr. Vinay Binyala, Chief Strategy Officer

Moderator: Good evening, ladies and gentlemen. I am Rio, moderator for this Conference. Welcome to the Conference Call of Route Mobile Limited, arranged by Concept Investor Relations , to discuss its Q3 & 9M FY25 Results.
We have with us today Mr. Rajdipkumar Gupta – Managing Director; Mr. Gautam Badalia – Chief Executive Officer; Mr. Raj Gill – Group Chief Financial Officer; and Mr. Vinay Binyala – Chief Strategy Officer.
At this moment, all participants are in listen -only mode. Later, we will conduct a question- and-answer session. At that time if you have a question please press "*" and "1" on your telephone keypad.
Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward -looking in nature and may involve certain risks and uncertainties. Kindly refer to Slide #2 of the presentation for the detailed disclaimer. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajdipkumar Gupta. Thank you, and over to you, sir.
Rajdipkumar Gupta: Thanks, Rio. Good evening, everyone. I hope you are doing well. I would like to share an important update about our evolving organizational structure and what it means for Route Mobile.
As you may have seen in the recent announcement, Proximus Group has c reated Proximus Global, which brings together BICS, Telesign, and Route Mobile under a single umbrella. We believe this marks the beginning of an exciting phase of growth for all of us. For us at Route Mobile, this organization represents both an affirmation to our firm, and significant opportunity to leverage the combined capabilities of our sister organizations on a much larger scale.
Within this new structure, our leadership has evolved to position us for maximum impact. I have now assumed the role of M anaging Director, and I will focus my expertise on accelerating our business across international market and tapping into the remarkable product diversity

across Proximus Global. Gautam Badalia has now taken on the role of Chief Executive Officer of RML an d will guide our day -to-day operations and strategic vision, continuing to build on the momentum you have already seen. Gautam and I will closely collaborate to ensure that our long -term strategic initiatives align seamlessly with all our operational activ ities.
It's essential to note that this expanded group structure will discern how our clients or our partners interact with Route Mobile. In fact, the new set- up promises to enrich our offerings by drawing on BICS' global connectivity footprint, and Teles ign's strong hold in digital identity. All of these blends seamlessly with Route Mobile's strength ening customer engagement solutions. We believe that together, under Proximus Global, we can move more swiftly on innovation and streamline decision -making ac ross the board. That synergy should directly benefit our enterprise customers, OTT clients, mobile network operators, and partners worldwide.
We are also excited about the far -reaching potential of having access to an established footprint in more than 10 0 countries. This type of coverage creates an avenue for faster product rollout, stronger collaborative solutions, and far deeper global support network ultimately. That should translate into tangible advantages to investors, not just in terms of operation al resilience, but also because it gives us the kind of skills needed to solidify our market leadership in the CPaaS space.
As always, our commitment remains to drive sustainable profitable growth. We will keep you updated on how the changes at Proximus G lobal impact Route Mobile, including any new product strategies or regional expansions that result s from this collaboration. I am confident that these steps we are taking now positions us for long -

term success, and I look forward to
sharing more details as we continue on this path.
Now, I hand over the call to Gautam.
Gautam Badalia: Thank you, Rajdip. Good evening, everyone. Wishing all a very happy new year. S o, we have uploaded our quarterly earnings presentation, h ope you have the chance to go through the same.
It gives me immense pleasure in stating that Route Mobile has yet again delivered industry -leading growth, both on revenue and profitability, despite the festive season being not so buoyant. In an environment where most of our regional and global competitors are
demonstrating flattish to single -digit growth, Route Mobile's performance definitely stands out.
Since H2 FY 2024, the CPaaS industry has been going through a structural shift in term s of the overall market dynamics. The industry has been grappling with issues like artificially inflated traffic, overall macro headwinds, and trust deficit issues with large global enterprises, which

has coerced them to evaluate alternate channels for com munication. We believe Route Mobile, along with Proximus Global, is best poised to capitalize on these adversities by virtue of the following three factors.
As a trusted partner to the enterprises globally with 450 + mobile network connects, Route Mobile c ontinues to have the widest reach with the telcos globally. Route Mobile also has been the biggest proponent of curbing gr ey routes by deploying firewalls on the networks. Additionally, Route Mobile has also started deploying anti -spam filters with leading telcos globally.
In terms of the second factor, we today follow the sun approach. So, Route Mobile, along with Proximus Global, has an unparalleled reach across the globe, which definitely helps us render the best quality of service, and plus, be the par tner of choice for all large global enterprises.
In terms of the third factor, we leverage the diversified portfolio across the group to cross- sell, up-sell, and become one of the most integrated and comprehensive service providers across the connect, eng age, and protect layer of the communication value chain. While we continue to leverage these strengths, we have also started our journey to move up the value chain by drawing actionable insights from the first -party data models, using LLMs and machine lear ning tools to render more effective and personalized communication.
In terms of some of the developments for the quarter gone by, we have demonstrated an industry -leading revenue and gross profit growth of over 15% on a Y -o-Y basis. Gross margin continues to be stable. Operating margins were impacted marginally, owing to t he impact of Rs. 57.1 million of long -term incentive plan which pertained to the period July to December 2024. We shall continue to have an impact of Rs. 120 million during CY '25.
However, about Rs. 10 crores of operating cost is non -recurring on a quarterly reported basis. Adjusted for that , reported EBITDA would have been Rs. 40.72 crores in Q3 FY '25, which is 11.9% EBITDA margin. And some of the related party transactions that are happening across the group actually are happening at a lower markup than the portfolio operating margins . And hence adjusted for that, I mean, EBITDA margin for nine months FY '25 would pan out to be 12.33% EBITDA.
Other income during the quarter gone by reduced significantly owing to For ex loss in Q3 FY '25 as against gain o f Rs. 250 million in Q2 FY '25 and gain of Rs. 147 million in Q3 FY '24. This impacted the PAT margins , and hence the PAT margins were slightly lower.
One area where we have done exceedingly well has been the free cash generation capability of the busines s. During the nine months gone by, our CFO to EBITDA conversion was a staggering 102%. Considering the superlative performance, the Board has recommended an interim dividend of Rs. 3 per share.

With these updates,

I also welcome Raj Gill as the G roup CFO and would request him to quickly introduce himself and highlight his key areas of trust. Over to you Raj.
Raj Gill: Yes. Thank you, Gautam, and good day, everybody. So firstly, let me introduce myself. My name is Raj Gill, the newly appointed Group CFO of Route Mobile. A nd I am terribly excited to be here and work with you all.
In terms of kind of focus areas, clearly we are very much focused on driving value. The key pillars of that will be clearly driving synergies and focusing on revenue opportunities t hrough strategic partnerships, but also cross -sell/up -sell, and driving efficiencies across the Proximus Global family. And to that end, I will be working very closely with Proximus Global to unlock key areas of growth for the next phase of our growth jour ney. So , again, looking forward to working with you all and excited to be here.
So, I will now hand over to Vinay for the next phase.
Vinay Binyala: Thank you, Raj. Good afternoon, everyone. It's a pleasure to speak to all of you. Wishing you a very happy new year. We have already uploaded our quarterly earnings presentation on our

website as well as on the stock exchange websites. Hope you had a chance to go through the presentation. Adding to the overview shared by Gautam, I will run you through the highlights of our financial and operating performance during Q3 FY '25 and nine months FY '25.

Despite the industry headwinds, as highlighted by Gautam, we have delivered industry -leading Y-o-Y growth of 13.1% in the nine months FY '25. Revenue from operations grew from Rs. 30,063 million in nine months FY '24 to Rs. 34,006 million in nine months FY '25. We have delivered 150% growth in the new product revenue, 60% growth in revenue excluding new products over the last 11 quarters. EBITDA has grown by 60% over the same period. This translates to a CAGR of 40% in the quarterly new product revenue, 18% in the quarterly revenue excluding new products, and 19% in the quarterly EBITDA. This reflects our consistent business performance over the recent past, despi te evolving industry dynamics. You may refer to Slide 13 of the earnings presentation to see more details on this.

Now, we will discuss some of the key business metrics. In volume terms, we processed 116.6 billion billable transactions in the nine months FY '25. Compared to this, we processed 38.9 billion billable transactions in Q3 FY '25 versus 31.2 billion in Q3 FY '24 and 40.5 billion in Q2 FY '25. Average realization per billable transaction marginally increased from Rs. 0.275 in Q2 FY '25 to Rs. 0.304 in Q3 FY '25. This was driven by a change in the mix of domestic and ILD traffic volumes in India. In nine months FY '25, we had net revenue retention of 105% with 90% recurring revenue. The same is discussed on Slide 11 of the earnings presentation.

Another key aspect is the geographic mix of our business. In terms of geography, India continues to be our largest market by termination, accounting for 51% of our revenue by termination. The details on other geographies which we focus on are available on Slide 9 of the deck. We continue to witness strong momentum on the next -generation products which grew by 21% on a Y -o-Y basis. You can see the details on Slide 7.

Gross profit margin was sustained at 21.1% in Q3 FY '25. EBITDA grew by 9.1% on a Y -o-Y bas is.

EBITDA margin though contracted marginally from 12.5% in nine months FY '24 to 12% in nine months FY '25. Effective tax rate for the nine months FY '25 was 21.2% against 15.1% in nine months FY '24. PAT in nine months FY '25 declined by 4% versus the s ame period in FY '24.

Cash and cash equivalents stood at Rs. 9,303 million and net cash was Rs. 7,457 million as on December 31, 2024. Cash flow conversion, which Gautam highlighted, in the nine months FY '25 was very strong at 102%. We on boarded 60 new employees during the quarter. Unfor

tunately, 57 left us. So, net addition was three employees during the quarter. This is a very quick summary of the quarter and nine months gone by.

Thank you and with that, we will open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question- and- answer session. The first question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

Jyoti Singh: Sir, if you can guide us on the guidance trend going forward?

Gautam Badalia: Yes. Hi, Jyoti . So I think we continue to drive industry -leading growth. I mean, few things, I mean, which are kind of outside our control, I mean, are external factors, macro headwinds, right But despite that, I think we will continue to maintain, I mean , the kind of growth trajectory that we are talking about. And the endeavor will be to do better than what we have done in Q4. And then going forward on a three- year basis, I think we already had kind of indicated about a 15% CAGR growth. So largely, I thi nk we will try to kind of embark on that kind of a trajectory. And in terms of margins, I think as I said, I mean, there were a few one -offs. Adjusted for that, I think we will be in the vicinity of our current operating margins run rate.

Jyoti Singh: Sir, is there another question on the shifting on the messaging side? So like earlier, we were getting through message and now we are getting only WhatsApp message. So, obviously, it is impacting the margin. So if you can guide us, what kind of opportunity we are seeing going forward?

Gautam Badalia: Yes. So I think -- yeah, Rajdip go ahead.

Rajdipkumar Gupta: Yes, let me start and probably you can talk about other areas. Jyoti, if you see, we as a company are probably the first Indian company who have deployed the RCS map server with Robi Axiata

in Bangladesh. And RCS is evolving very big in various markets as we speak right now. So we definitely see I know there is an impact of traffic shifting from SMS to WhatsApp, but there are many use cases which i s still there on SMS. And as a company I think we are not only focusing on one channel of communication, but we are focusing on RCS in a big way and in coming days, we believe that RCS is definitely going to be more impactful, I think more value creation t han SMS, but I think both the products will have their market.

And as far as WhatsApp is concerned, we are also supporting lots of customers where the customers are shifting from SMS to WhatsApp. We are also getting those kinds of customers on board. So I think it's definitely a channel shift from SMS to WhatsApp, but in that case also,

we are fairly well -planned and we already have a platform and technology where we are serving customers for WhatsApp as well. Gautam, if you want to add?
Gautam Badalia: Yes, just adding to what Rajdip is saying, I think a lot of conversational use cases are definitely moving to the OTT platforms and that's where I think differentiated, I mean, and kind of a lot of thought leadership needs to go in and some of the examples t hat we have done in terms of the metro ticketing use cases, we are trying to replicate that for various other industries. And hopefully, I think by the time we do the next quarterly earnings presentation, we will come back to the wider audience with a few unique use- cases that we will be able to coin on the conversational platforms. So, I think we are working and creating more and more such unique use cases across the platforms. And I think seemingly, it seems very, very exciting to kind of drive the SMS le g of the business which continues to be a cash cow and also capture the conversational pie of the business through such unique use cases.
Rajdipkumar Gupta: Just to add, our metro ticketing solution which we have deployed in India, we have deployed the sam e solution in Indonesia for their metro ticketing. And that is a kind of opportunity we believe t

hat is possible due to Proximus global business set up in almost 100 countries, we have a larger market now where we can use all the use cases in those markets and a classic example is of deploying this ticketing solution in Indonesia.
Jyoti Singh: Yes, sure. Thank you so much, sir.
Moderator: Thank you. Next question is from the line of Pritesh from Lucky Securities. Please go ahead.
Pritesh: Yes sir, between y our commentary in H2 and what growth has been come in Q3, can you tell where are those misses if any?
Gautam Badalia: Sorry, Pritesh, can you please repeat that query?
Pritesh: I said between the commentary of your quarter two, if you check your commentary in the quarter two, and the growth that is coming in quarter three now, so you had a clear situation

where H2, you had said that the growth will be far, far higher than H1. So , I am just wondering if there are any areas of slippage that you'd note?
Gautam Badalia: Fair point, Pritesh. So yeah, I mean, that's a very, very fair observation, though we have demonstrated a higher growth than Q2 in Q3, but I think one thing, I think, in terms of the domestic volumes, I think the domestic volumes have come off a little bit. That's largely because I think till Q2, I mean for a particular bank, we were getting their entire share of traffic while there were two CPaaS players em paneled with the bank, because of I think some issues with the platform of the competition.
Unfortunately, in Q3, the platform of the competition started working fine, so we lost that volume, so that actually led to a little bit of an impact in terms of the domestic NLD business, but for that, I think we have witnessed almost close to mid -teen kind of a growth in terms of volume on ILD and rest of the world.
So, from that perspective, I think it was a very strong quarter. It was only on the domestic front, I think where because we were getting that opportunistic traffic, we lost the traffic in Q3, so that was only the slippage if I were to kind of call it out. And a little bit of impact on the new products front, largely driven by the change in pricing strategy, that played out by WhatsApp, but for that, I think it was a pretty strong quarter from our perspective.
Pritesh: And is there any other, say on a nine months basis, where you can tell us how much is the Telesign's revenue?
Gautam Badalia: Yes, so on a nine- month basis, I think with Telesign, we have done close to about Rs. 298 crores -odd of business.
Pritesh: So, let's say Rs. 300 crores of business coming from Telesign, and then you had the Vodafone deal execution this year, right?
Gautam Badalia: That's correct.
Pritesh: So, if you could then tell us, which are the pieces of business whi ch have declined, and how much is the pricing decline?
Gautam Badalia: No. So, this Rs. 300 crores also have, I mean on a like -to-like basis, last year also we had a decent amount of business with Telesign, because they were our existing client. So, not th is entire Rs. 300 crores --
Pritesh: That was just Rs. 100 crores last year , last full year was Rs. 100 crores.
Gautam Badalia: Come again, Pritesh, sorry, I missed your voice there.

Pritesh: Last full year was Rs. 100 crores, right?
Gautam Badalia: No, no, no. Last full year was Rs. 150 crores.
Pritesh: Rs. 150 crores, okay.
Gautam Badalia: Yes.
Pritesh: And Vodafone?
Gautam Badalia: So, Vodafone, again, I am kind of trying to highlight. Vodafone actually is a supplier, so we are

getting the volumes from the enterprises. So, across all enterprises, we have seen growth. I think where the growth has kind of been a little muted has largely been with the aggregator business of ours, where because of issues around AIT , the artificially i nflated traffic, I think that's where I think the business has kind of got a little impacted. But for that, I think on the enterprise side

of things, business continues to be rock solid.
Pritesh: Any areas of pricing decline?
Gautam Badalia: So, this quarter, I think we have on an overall basis, we have seen pricing, I think, pretty much stable and marginally increase. So, there isn't any much significant decline.
Pritesh: On a nine months basis, sir?
Gautam Badalia: On a nine months basis?
Pritesh: And the ILD pricing adjustment would have slowed in this year, right , nine months?
Gautam Badalia: Yes. So, essentially, I think you are right. In the first half, I think there were certain adjustments. So, we have seen, I mean, growth happening bot h on volume as well as on price per transaction . On nine months , so Pritesh, I can come back to you on the nine months . I do not have it off hand, but I can share that perspective.
Moderator: Thank you. Next question is from Yash Darak from RSPN Ventures. Please go ahead.
Yash Darak: Yes. Few book -keeping questions. So, as you rightly said, employee cost has increased by quite a bit while the net additional employees are only three employees. Could you please explain how has the employee cost increased so much?
Gautam Badalia: So, I think in the employee cost base, there is a long- term incentive plan, I think, which is there, which is almost to the tune of about Rs. 5.77 crores, which was not there and that pertains to July to December in 2024. So essential ly, I mean, the entire impact was taken in the quarter gone by. And as I mentioned, I think the total operating overheads, if you were to look at it for

the last quarter, I think that was Rs. 10 crores of the operating overheads is non -recurring. So you ca n pretty much, I mean, on a run rate basis going forward, adjust that Rs. 10 crores into the operating cost run rate.
Yash Darak: So are we expecting the employee cost trajectory to be going on or is it going to be reduced by Rs. 10 crores?
Gautam Badalia: No, no, it would not reduce. So, I think if you add up the employee cost plus the other expenses, which includes exchange loss , so what we are saying is about Rs. 10 crores of that pie is non - recurring. So , going forward about Rs. 110 crores would be the running base.
Yash Darak: Yes, got it. And what about the employee cost? Is it going to run in the same trajectory or is it going to decrease from there since the incentive plan would not be there?
Gautam Badalia: Yes, incentive plan would be there for the calendar year as well. So, as I said, I think last quarter had an impact of two quarters. So, it will reduce to about Rs. 3 crores per quarter, which was about Rs. 5.77 crores for, I mean, which got booked in Q3 FY ' 25. Going forward on a quarterly basis, that run rate will be about Rs. 3 crores till the end of the calendar year.
Yash Darak: And secondly, if you could explain why has the interest cost decreased a bit and effective tax rate guidance for the year?
Gauta m Badalia: Yes, so the interest cost has reduced because we have retired a loan that we had during the month of December, early December. I think we retired a loan that we had. And in terms of the effective tax rate, I think it is fair to assume it to be in the vicinity of 20%.
Yash Darak: And the final question, in the beginning, you said that there is an issue of inflated traffic, artificially inflated traffic. Can you explain what that is and how does it affect your business?
Gautam Badalia: So essentia lly, what has happened is, I think, globally if you remember maybe a year and a half back, I think, when the Twitter deal was happening at that point in time, Elon Musk had called out about a lot of, about 5% to 10% of the traffic coming onto the Twitter's platform was actually fake bot traffic. And this was kind of an issue that I think all large global enterprises were grappling with. And it led to a larger introspection by a lot of large global enterprises. And since then, I think

a lot of these artifici ally generated traffic, which enterprises were paying for, it wasn't yielding them any ROI, per se, that has completely kind of been shaved off from the industry growth. So this is one area I think that I think the overall CPaaS industry kind of grappled w ith over the course of the last one, one and a half years.
Yash Darak: And any guidance for the further full -year FY '26 going forward?
Gautam Badalia: I think let us try and kind of close the next quarter and kind of demonstrate a stronger performance tha n Q3. And I think then, we will reassess and come back to you with the

guidance for the subsequent year. But on a three- year trajectory basis, I think we are talking about a 15% CAGR growth.
Moderator: Thank you. The next question is from Nikhil Choudhary from Nuvama. Please go ahead.
Nikhil Choudhary: Thanks for the opportunity. First, Gautam, just want to understand some bit on guidance part.

How we are thinking the exit run rate for us will be in Q4 FY '25? Earlier, the guidance for 18% to 22%. So how we should think about Q4?
Gautam Badalia: Yes. So, Nikhil, I think the endeavor will definitely be to do better than Q3 that we have performed. I think the run rate also kind of is kind of depicting the same. So, the endeavor will be to kind of really push t he ante in terms of the growth there. So yeah, I think we will endeavor to do better than what we have done in Q3.
Nikhil Choudhary: Sure, Gautam. Second thing, your comment that related party volumes are coming at a lower margin. Why there will be lower m argin on related party volume?
Gautam Badalia: Essentially, the related party approvals and the mechanism that's been kind of validated by a large accounting firm as well, has been at EBIT margin level, most of these transactions are happening close to in and around our EBIT margin levels and hence, which is lower than our operating margins. So, to that extent, it is dilutive at the operating margin level.
Nikhil Choudhary: But any reason for that to happen, let's say, going forward, if volume keeps on incr easing from Telesign, then that should be margin dilutive, is it fair understanding?
Gautam Badalia: So, this is governed by a very detailed exercise done by one of the large big four firms and I think they do this assessment on a periodic basis. So whenev er, there is any material change, we will definitely call it out. But today, some of these related party transactions are happening in and around our EBIT margin level.
Nikhil Choudhary: Sure, Gautam. The last one, just wants some clarity on the contingent liability for one of the contracts we created. Any details and updates there?
Gautam Badalia: Yes. So, I think this is the contract I think where, so this is actually an exclusive firewall contract in Southeast Asia, where what has actually happened is th ere have been challenges in terms of, I think, increased sanction conditions where a lot of social media apps have been banned and there are some structural shifts happening in that market. So, we are in the midst of a renegotiation with the partner, invoking the contractual rights under the signed agreement, where some of these structural shifts or any change in their existing conditions gives us the right to negotiate or renegotiate the terms of the agreement.
So, we have already triggered that. There have been a couple of rounds of negotiation there. So hopefully, we should be able to kind of come to an amicable solution there. Since this is an

ongoing discussion and we have not been able to close that discussion and cons idering the materiality of the contract value, I think the auditors deemed fit. A nd even from a management standpoint, we thought it would be prudent and pertinent to kind of get this captured as an emphasis of matter.
Moderator: Thank you. Next question i s from Sarvesh from Maximal Capital. Please go ah

ead.
Sarvesh : So this is Sarvesh here. So, I have two queries. One is just from my understanding, so now we are moving in terms of channels, moving from SMS to, let's say, WhatsApp and other communication m odes. So, in terms of the pricing, how do they differ? Are we getting a lower price per transaction? And in a sense, then there is a revenue gap that we will have to fill. So that is one.
And second is, you have that edge that you, so from a client's perspective, you will be having tie-ups with all telecom operators, etcetera. So, you can provide that sort of a single solution, which the client would be finding very difficult to do it himself. Now in this mode where basically, things are being done over Internet rather than SMS, so does that edge go the way for you?
Rajdipkumar Gupta: Yes, hi. It's a very good question. Let's just start with this. We need to also understand the opportunity a s a group we bring on table. Let's take an example of Telesign products, which are all computer -assisted security -based products, like this is identity and this is security product. And these products are, we have a direct access of all the product works t hey have built, and we can bring all these products to the markets where we operate, we will create more value Route Mobile.
Along with that, we need to also understand BICS is one of the largest social voice players in the world, and they are providing v oice solutions to the global operator as well. We will also get a direct access to all operators where BICS is supporting them to sell our product as well as a part of our commission. So, it is not just SMS as a one -solution offering or WhatsApp or RCS one- solution offering. We are now talking about Engage, which is a customer engagement program platform, along with that security, which is our Secure products, and then the Connect, which is our connectivity piece. So, all these capabilities we have now in -house as part of one team.
Before when we go to a single operator, we only issue our, like firewalls. Along with that firewall, we have a digital security product; along with that we have SMS, RCS, and other channels. So, our portfolio has grown multifold, and we can actually offer multiple solutions to the same customer or a new customer. I think that is the advantage of being on table as one single group. And I think one need to look at Route Mobile as a company where we have a

solution which is a combined solution of BICS as well as Telesign. Yes, Gautam, you can add to this.

Gautam Badalia: So, yes, I mean, does that answer your query or you want anything, any other additional clarification?
Sarvesh : Just on the reven ue that we realize for a transaction, so I understand now you have a broader suite of products, but now if the transactions were to move from SMS to, let's say, WhatsApp, do you realize similar or lesser, and to what extent lesser, sort of a revenue per tr ansaction?
Rajdipkumar Gupta : It's more than SMS for sure, I can tell you.
Gautam Badalia: And just to highlight, I mean, the use cases are different. So , per se, one is not cannibalizing others. So, there are different use cases, where SMS is being used and conversational messaging is used for a differentiated use case.
Sarvesh Gupta: And given that, where we are seeing some shift also, the new product revenue, which is where we have grown at 20% -odd, which was probably the aspiration for the entire compa ny, isn't it too low a growth number for something which is at a nascent stage and where we are also getting the benefits of synergy from the group as a whole?
Gautam Badalia: No, it has a little bit of an impact because of the WhatsApp pricing . I think ov erall, I think, it got adjusted southwards. So, it also has that effect, I mean, as part of the overall kind of revenue number, growth that we have garnered there.
Rajdipkumar Gupta: But I think, what I want

to add out here is, this whole merger and everyt hing we have announced in the month of January itself or mid- December. But now we have access of all the customers of Telesign and BICS as well. And here we can go and sell RCS, WhatsApp as one solution to all the existing customers of these two companies as well. And that is a big opportunity we see in the coming days for Route Mobile.
Gautam Badalia: Yes, fair point. I think some of those cross- sell synergies, I think; it's more a timing effect. It is a matter of time that we will start to kind of now block those cross -sell synergies. So, I think the entire Proximus Global team is kind of very, very optimistic and very kind of excited about the new product opportunity. And we are creating some big tickets out of this.
Sarvesh : And sir, earlier we had a vision of reaching $1 billion in revenue in three, four years from now. And now I think our guidance is more like 15%, so, more like a 50% growth over three years. So, ha ve we revised down our sort of aspiration to reach in three, four years, meaningfully?
Gautam Badalia: So, I think right now, I think the industry is going through a little bit of a structural shift. Let things stabilize. What we can kind of always definit ely call out is when the industry today is growing at kind of about a 10%, 11% kind of a growth. As I said, most of our competitors are growing, a flattish or single -digit growth. We are definitely outperforming the industry. So,

once there is a little bit of more confidence in the market, the sentiments improve, I think we will definitely increase our growth trajectory.
So, at this point in time, we do not want to be very, very overambitious in terms of calling out a very high number. But that aspiration of $1 billion definitely is an aspiration that we want to achieve sooner than later. But looking at the current market conditions, we want to stick to that 15% kind of a growth guidance for the next three years. 15% CAGR, yeah.
Sarvesh : And finally, on yo ur attrition rate, now, this looks to be much higher than any of the IT services company also. And since there generally, the job profile is a little bit different than what is expected out of a tech -focused company. So, how do we see this, do we see this 20%, 25% attrition rate to be lowering and what are the regret attrition rate in this? How do we see this entire situation?
Gautam Badalia: No, no. So, I think let's look at it holistically right now. Let's look at, because we are talking about Proximus Gl obal as an integrated framework, right? And , where we are looking at drawing kind of generating synergies. And those synergies, will entail a little bit of cost optimization as well, so that we remove redundancies in the system. So, historically, our attrition rates have been kind of at par with the industry. And then for this quarter, a little bit that has happened, it's a function of a wider integration initiative I think across the group.
Moderator: Thank you. The next question is from Kaustav Bubna from BMSPL Capital. Please go ahead.
Kaustav Bubna: Yes, thank you for taking my question. So, you spoke about Proximus Global and Route, BICS, and Telesign is grouped under one umbrella now, but could you speak more about currently, in the current formation, if Route accesses Telesign's client, what is Route paying for? I mean, is there some sort of a transaction? Is Telesign getting a certain percentage of the financial gain from that transaction? That's the first question.
And the second question is, where do we go from here? We've spoken previous calls about, because I think Telesign first had, a few years ago, had tried for an IPO, and then that did not happen, and now Proximus has bought into Route. So, could you give some sort of direction on where do we go from here? Is there a potential of Telesign merging, like getting listed through

Route, or speak a littl

e bit about both these things?
Gautam Badalia: Yes. So, in terms of the first question that you had, yeah, so all the related party transactions that we do, largely they are on a cost plus markup basis. The markup, as I said, it's closer to the EBIT margin levels. So, that's the broad framework of transac tions that we do and it applies both sides of the equation.
In terms of Telesign, with Proximus Global, the broader strategy around there, so Telesign, they've been doing phenomenally well in terms of growth. I think where they were kind of

looking at was a lot of cost offshoring, and that's where India today continues to be one of the key markets from a GCC standpoint. And then considering Route Mobile, we were always functional, where we were able to demonstrate high growth with -- by driving profitabili ty as well.
So, some of that, I think, as part of these integration synergy exercises, which even Raj alluded to, will be the cornerstone to kind of drive going forward. And in terms of merging integrations and all, right now, all the options are open, nothing is kind of -- everything is at the drawing board level. There is nothing concrete that has kind of been kind of discussed, finalized. So, it will be difficult to call out, or very premature to call it out right now.
Kaustav Bubna: When you say how much revenue is Route right now doing in the digital identity business?
Gautam Badalia: So currently, what we are doing, we were already doing this with Masivian, which is our wholly - owned subsidiary. We were doing close to $1 million, already with them. A nd as I think we have highlighted, I think TeleSign has a significantly more evolved digital identity stack. So, we will leverage their strengths of the stack and then take it to customers. But a lot of these digital identity solutions need governance from the data privacy regulations and stuff. So, it requires a little bit of approval process in India, in particularly with the DPDP law, I think recently, I think kind of being involved. So , some of these things are being navigated , discussions are ongoing with regulators , we are doing sandbox testing for some of those solutions with enterprises and telcos. So, I think it's moving in the right direction, but we have not seen any significant revenue from that coming through right now, because it will entail, i t's a little longer sales cycle, but once you are able to demonstrate the value prop to an enterprise in terms of helping them curb the digital fraud, I think we believe it has humongous potential.
Kaustav Bubna: And when you say Telesign is Rs. 300 crores business in nine months, what business is this?
Gautam Badalia: For a destination where we have better cost economics, they are using our routes to terminate their enterprise traffic.
Moderator: Thank you. The next question is from Saumil Shah from Paras Investments. Please go ahead.
Saumil Shah: Hi, thanks for the opportunity. So, we have been always guiding for a 13% EBITDA margin, and I mean, even in the previous call, you were mentioning that a 13% EBITDA margin is our endeavor to reach, but for the ni ne months, we are still at 12%. So, are we facing severe competition, and would you like to revise our guidance?
Gautam Badalia: No, so I will tell you. So, as I said, I think, the nine months gone by had few cost elements, which are one- offs. A large inte gration kind of happened; there were a few incentive schemes that were rolled out. When we were giving that guidance, I think some of those things were not baked into it.

And particularly, I think the most important thing is the related party transaction that's happening, that's happening today, at a margin, which is lesser than the operating margin for the company. So, if you adjust for that, I think we are already at a 12.33% kind of EBITDA margin trajectory. And we still maintain that we w

ill be closer to 12.5%, 13%.
Saumil Shah: For this year?
Gautam Badalia: For this year, yeah, adjusted basis, we will be closer to that 12.5%, 13%. So , non- GAAP basis, yes.
Saumil Shah: And the related party transaction, what you mentioned, so that is the Rs. 300 crores , which we are doing, which we did for nine months.
Gautam Badalia: That's correct.
Saumil Shah: So as the scale increases, then I mean, what do you expect for coming years?
Gautam Badalia: So, I think we are constantly kind of looking at all avenues where we could maximize this. I think now, a decent amount of run rate is already kind of baked into in terms of monthly throughput. And I think the market's also very dynamic. So , this needs to be kind of looked into on a real -time basis regularly. So, at this point in time, I think there are some additional routes that we have been able to identify during the course of this month. We're looking at increasing the throughput there, but it will be a minor kind of an increase. We're not looking at a very major inc rease from the current run rate.

Saumil Shah: So as of now, for three quarters, we are seeing, we had a Rs. 300 crores run rate for three quarters. So, it's Rs. 100 crores per quarter?
Gautam Badalia: A little more than that, because the throughput started from June 18 onwards. And one other thing I think, essentially, what's not played out yet is the cross -selling synergy where, I mean, Proximus Global selling our omni channel solutions, and we are kind of selling solutions around digital identity and some of the pieces that BICS has in terms of their platform capabilities. So, some of those things, I think, we have not seen revenue traction yet, but I think we have already made a few pitches and submitted our proposals. So , as and when we have it, some of these opportunities could be big and these are high in terms of margins.
Moderator: Thank you. Next question is from the line of Meet Rachchh from Equirus Portfolio Management. Please go ahead.
Meet Rachchh: Yes. Thanks for the opportunity. Gautam sir, any update on large deal wins apart from the metro ticketing solution? Any large RFPs, in which we have been participating organically as well as in synergy with the parent company?

Gautam Badalia: Yes. So there are some large deals I think in the off ering. I mean, offhand, we know, we stand very good chance some of them. But till this is kind of officially kind of there in black and white, we will not want to call it out. But I think there is some good momentum there.
Meet Rachchh: And what could be the average size for a large deal win for CPaaS industry?
Gautam Badalia: It depends, but it is difficult to call that number out yet. Let us first sign it. We'll definitely kind of make it public.
Meet Rachchh: Sure, sir. Thanks.
Rajdipkumar Gupta: Yes. But the only thing that we can tell you is it's large in size.
Meet Rachchh: And in terms of tenure, it will be, like, three or five years, seven year -deal or one year and then renewal will happen?
Rajdipkumar Gupta: It will definitely be a long -term deal. Tenure, we can't mention right now, but yeah, it is long -term deal.
Moderator: Thank you. Next question is from Kartik, who is an individual investor. Please go ahead.
Kartik: Thank you for the opportunity. So I have two questions. First is more on the, ma ybe my understanding and based on what participants had spoken. And essentially, when you move from OTP -based authentication to digital identity solution that you are talking about, I was under the impression that every time an OTP gets created, you get so me revenue on that, right? So obviously, you are losing some revenue when you move to digital solution, right? A nd I know you talked about, trying to see how you can tap more revenue based on digital identity solutions. First of all, is my understanding ri ght? And second, how

much revenue loss are we looking at when we move away from OTP -based solutions to non- OTP?
Rajdipkumar Gupta: I think you need to also understand that digital adoption is having also different use cases also, right? There are many use cases of customer support moving out to WhatsApp, which is not the SMS piece of it, right? You need to understand that the entire omni channel feed is an opportunity for the entire ecosystem. It is not just moving from SMS channel to WhatsApp channel. It i s a use case which has been created because of the OTT channel. That is a potential we see in the long term, I mean, years to come.
RCS has its own potential as compared to WhatsApp along with the different products which we have, like, digital identity has a different market itself, right? Because we know the digital adoption is increasing, digital fraud will also increase. But right now, we probably have that unique solution for this market, like, market where we operate. We can definitely get more value out of that. So, I think we should not think that SMS is below then these channels will. No, there are different use cases which are going to remain there. And WhatsApp or even

through RCS, there are different use cases and we will see the growth in those channels because of the new use cases arising right now. Gautam?
Gautam Badalia: Yes, and just adding to what Rajdip is saying, the biggest reason for digital fraud today, is because with OTP, you have something to ph ish, right? And with digital identity solution, you pretty much make it silent. So, if you do not have anything to phi sh and the entire two -factor authentication happens at your backyard with an algorithm that I think we will be able to kind of, that the digital identity solution is able to pr ovide. So, we would make the same money. It would be better in terms of margins. But it would not reduce the TAM from our perspective. The TAM will only increase and it will only increase our stickiness with enterprises.
Kartik: Excellent, that's heartenin g to know. Thank you, sir. So, the next question is more on. I think you talked about using LLMs for better customer service. And I was looking at your presentation. You also mentioned you have about 20 data centers. And with the recent DeepSeek news that is running around, do you foresee using DeepSeek model and potentially that's reducing your cost and something? I assume you used some sort of a NVIDIA GPUs for

these LLM -based solutions. And what are your thoughts on the recent DeepSeek model?
Gautam Bada lia: Yes. So, in terms of the LLM models, I think definitely, there is a lot of disruption around it. And we believe, I think, these LLM models from a communication standpoint could really kind of be a big differentiator for the world of communication. And within that, I think we are already looking at kind of adopting some of these models for internal optimization, in terms of the ticketing systems, in terms of creating intelligent data insights, data models, which we can then kind of, through AI/ML, make it more and more robust. I think some of these things are already kind of happening as we speak. So, we believe with LLM models, I think the opportunity, and essentially, the personalization and effectiveness for any campaign that an enterprise runs can significantly improve. And that is what I think we are already kind of working on internally.
Kartik: Do you use NVIDIA GPUs, or do you use accelerators, or just GPUs? Do you know that?
Gautam Badalia: Sorry, can you please repeat your query?
Kartik: So, for the LLMs, do you use NVIDIA GPUs, or Intel G PUs, do you know that? Can you throw some light on the infrastructure use for LLM inference here, or?
Rajdipkumar Gupta: Probably that could be a different discussion we can have. We can add more technica l people in this call. So, is better to have a one- on-one call with you to know more about

our strategy
on that side.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to Mr. Rajdipkumar Gupt a for closing comments.

Rajdipkumar Gupta: Thank you, everyone. Thank you for joining, and have a nice evening. Take care. Thank you.
Moderator: Thank you very much. On behalf of Route Mobile Limited, that concludes this conference.
Thank you for joining u s. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

Ref No: RML/202 5-26/581

Date: May 14, 2025

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2025
We are enclosing herewith copy of the transcript of the Company's Q4 FY2 5 earnings conference call dated Thurs day, May 8, 202 5.
The transcript is also available on the Company's website under the Investors section a t:
https://routemobile.com/compliance /2025/Route -Mobile -Ltd- Q4-FY25 -Earnings -Call- Transcript .pdf

Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.
You are requested to take the above information on record.

Thanking you,
Yours truly,
For Route Mobile Limited

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Management:

1. Mr. Rajdipkumar Gupta – Managing Director
2. Mr. Gautam Badalia – Chief Executive Officer
3. Mr. Raj Gill – Group Chief Financial Officer
4. Mr. Vinay Binyala – Chief Strategy Officer

Moderator: Good evening , ladies and gentlemen, my name is Yusuf, moderator for this conference.
Welcome to the conference call of Route Mobile Limited arranged by Concept Investor Relations to discuss its Q4 and FY25 Results.
We have with us today, Mr. Rajd ipkumar Gupta – Managing Director, Mr. Gautam Badalia – Chief Executive Officer, Mr. Raj Gill – Group Chief Financial Officer and Mr. Vinay Binyala – Chief

Strategy Officer.
At this moment all participants are in the listen -only mode. L ater we will conduct a question-and- answer session . At that time if you have a question, please press '*' and '0' on your telephone keypad.
Before we begin, I would like to remind you that some of the statement made in today's earnings call may be forward looking in nature and may involve uncertain risks and uncertainties. Kindly refer to Slide # number 2 for the presentation for the detailed disclaimer .
Please note this conference is recorded.
I now hand the conference over to Mr. Gautam Badalia, Chief Executive Officer . Thank you and over to you, sir.
Gautam Badalia: G ood afternoon, everyone and hope all of you are doing fine. I am pleased to report that Route Mobile has delivered exceptional performance this quarter achieving industry leading revenue growth of 15.5% year -on-year despite significant headwinds in the CPaaS sector.
The communications i ndustry is undergoing substantial structural changes primarily driven by trust concerns around artificially generated traffic . These shifts have prompted enterprises and OTTs to explore alternate communication technologies and reconsider their go-to-market approaches. While these changes have presented challenges across the CPaaS ecosystem and eliminated weaker competitors, they create strategic opportunities for established globally diversified players like Route Mobile. As part of the Proximus Global umbrella, we are uniquely positioned to transform this market challenges into growth opportunities.
I will now share some of the key developments in Q4 FY25 . We launched a new AI powered SMS spam and fraud protection solution under 365squared which is called 365squared guard. ,..,.,_ routemobile V communication simplified

We have been awarded as the Platinum winner for Conversational Commerce Solutions innovation at the Telco Innovation Award 2025 by Juniper Research, honored with two prestigious E xchange for Media awards for Demand Generation Vendor /User of the Y ear and Best use of Marte ch in Travel, Hospitality and L eisure.
We anticipate several advances in digital identity and t elco APIs for the upcoming year and we are confident in our ability to lead these trends. Given the global uncertainties surrounding traffic regimes that could substantially impact enterprise and OTT communication spending, we have decided against providing specific guidance for FY25-26. However, I want to assure all stakeholders that Route Mobile remains committed to outperforming industry growth rates while implementing enhanced cost efficiencies to drive stronger profitability in this uncertain environment.
In Q4 FY25, we accelerated our synergy initiatives with the group, while our primary focus was on COGS, the cost of goods sold synergies, which temporarily diluted our direct margins or gross profit. We are confident in our ability to capitalize on high margin cross- sell opportunities in FY26. These strategic initiatives should significantly improve Route Mobile's direct margin profile moving forward.
Our o perating cost increased notably in FY25 due to strategic integrations with Proximus Group includ

ing investments in more robust systems and processes, one- time incentives, and competitive compensation packages to retain top talent. Looking ahead, we are implementing targeted efficiency measures, including AI-powered automation of internal processes, which will drive our cost optimization strategy. Regarding the exceptional item for an MNO c ontract, we have delivered over $100 million in annual value with strong ROI for Route Mobile, even after accounting for the exceptional charge. This charge was triggered in Q4 when a major global technology company began phasing out one of their key platforms while shifting to alternate channels for authenticator and notification service. Despite not meeting our FY25 guidance for revenue growth and EBITDA margin, we have excelled in free cash generation, achieving a remarkable 114% EBITDA to cash conv ersion. This success stems from enhanced working capital management and our strategic decision to pursue only such MNO deals where we have compelling business cases and appropriate contractual protections.
Our new product initiatives have continued to thrive, demonstrating an impressive 38% year -on-year growth in FY25. While WhatsApp business messaging margins were affected by Meta's pricing and incentives adjustments during the year, our product innovation remains strong. In recognition of our solid performance, our board has recommended a final dividend of Rs. 2 per share, bringing the full-year dividend to Rs. 11 per share, which exceeds our guidance that we had doled out previously. From a capital allocation standpoint, we will continue to scout for bolt-on acquisitions to enhance the capabilities of the platform, and we shall continue to maintain our dividend payout ratio of 20% of the annualised PAT. ,.,..,._ routemobi\e V communication simplified

I will now hand over the call to Raj, followed by Vinay, who will walk us through the key financial

highlights and performance indicators. Over to you, Raj.
Raj Gill: Thank you, Gautam, and good evening, everybody. I will quickly summarize our financial performance during Q4 FY25 and for the full year. Before handing over to Vinay.
Starting with Q4:
Our Q4 revenue from operations grew by 15.5% year -on-year, slightly declining 0.7% sequentially to 11,750 million INR. Gross profit margin was 19.3%, as compared to 21.8% in Q4 last year and 21.1% in the previous quarter. EBITDA for Q4 decreased by 2.8% year -on-year and 6.1% sequentially to 1,219 million INR. The EBITDA margin contracted from 12.3% in Q4 prior year and 11% in the previous quarter to 10.4% in the current quarter. Profit after tax was 850 million INR, which is down 8.9% year -on-year, and PAT margin declined from 9.2% in the previous year to 7.2% in Q4, which is in line with the previous quarter.
Now turning to the full year :
Revenue from operations grew 13.7% from 40,233 million INR in the previous year to 45,756 million INR in FY25. Gross profit margin decreased to 20.8% in FY25 versus 21.4% in the previous year. EBITDA grew by 3.3% to 5,278 million INR in FY25, with EBITDA margin at 11.5% versus 12.7% in the prior year. Profit after tax adjusted for exceptional items is lower by 5.3% year -on-year to 3,524 million INR, with a PAT margin of 7.7%.
Cash a nd cash equivalents stood at 13,327 million INR, and net cash was 8,918 million INR as at March 31st, which are both significantly higher than the prior year. Day sales outstanding average over the year was 80 days, in line with the previous year. However, as at March 31st, DSO was 74 compared to 97 in the same period last year, with DPO at 68 days compared to 66 in the prior year, all contributing to a very

strong cash flow conversion of 114% in FY25.
I will now hand over to Vinay, who will provide some more color to our operational performance.
Vinay Binyala: Thank you, Raj. Good evening, everyone. Adding to the updates shared by Gautam and the financial highlights presented by Raj, I will run through the key business performance indicators for Q4 FY25 and full year' 25.
Despite the material shifts and headwinds in the CPaaS market, as referenced by Gautam, we have successfully delivered industry -leading yoy revenue growth of 13.7% in the year FY25.
Revenue from operations, as Raj highlighted, grew from Rs. 40,233 million in FY24 to Rs. 45,756 million in FY25.
In addition, we have delivered 38% growth in new product revenues in FY25, which reflects our platform's expanded capability in terms of addressing communication requirements of enterprises across various channels, not only in A2P SMS, but across IP -based messaging, such as WhatsApp, RCS, etc., and email.
To discuss some of the key business metrics:
In volume terms, we processed 156 billion billable transactions in FY25. We processed 39.3 billion billable transactions in Q4 FY25 versus 38.9 billion in Q3 FY25 and 34 billion in Q4 FY24.
Average realization per billable transaction marginally decreased from 31.9 paise in FY24 to 29.4 paise in FY25, primarily due to the change in traffic mix. In FY25, we reported net revenue retention of 107% with 90% recurring revenue. You may refer Slide # 11 of the earnings presentation for details.
In terms of geography mix:
India continues to be our largest market by termination, accounting for 50% of our revenue by termination. Slide # 9 presents additional details on other geographies.
Revenue contribution from Tier-1 CP aaS partners increased from 10% of total revenue in FY24 to 19% of total revenue in FY25, primarily from low margin COGS synergies resulting from related party transactions. Slide # 9 presents our contribution from other verticals in the investor presentation.
In te rms of human resources, we onboarded 53 new professionals and 29 employees decided to move on during the quarter gone by. This is a quick summary of the quarter and year gone by.
Thank you, and with that, we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and- answer session . The first question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: I just wanted to ask, this year, we are not able to make the guidance. So, what are further stands on that and what the guidance we wanted to give to shareholders and investors? And apart from this volume side, we have seen growth in India in this quarter. But overall, if we see overseas and other regions, still we are in degrowth. So, if you can guide.
Gautam Badalia : Thanks, Jyoti. I will take the second question first. So, I think you are right. I think in the domestic volumes in India, I think we have seen a significant ramp -up. We have witnessed a little bit of a challenge in terms of the ILD volumes. Largely, as I said, I think during the commentary as well, I think some of the customers, I mean one of the large technology

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customers, they phased out one of their core platforms and then they've also kind of moved to alternate channels. So that led to a little bit of an impact in terms of the ILD volumes. And from a rest of the world standpoint, the volumes have been flattish, so to say, on a quarter -on-quarter basis.
Coming to the guidance :
I think considering a lot of uncert

ainties around, we decided, I mean, last year I think was kind of a miss from a revenue and EBITDA margin guidance standpoint. I think we wanted to kind of first focus on some of the integration efforts that we are doing with Proximus and then see to it that the cross-sell synergy starts to fructify before we really call out some of the numbers from a forward -looking standpoint. But as I have highlighted, I think during the commentary as well, we will continue to kind of focus on driving industry -leading growth and also work towards some of the cost efficiencies so that we can drive that growth with some operating leverage as well.
Jyoti Singh: Just wanted to understand how the integration is going on with the Proximus. And also, you know, channel shift is going on overall industry. So, if you can guide us when we are seeing the better visibility in this sector.
Gautam Badalia : You a re absolutely right. The integration efforts with Proximus, I think it is going in full swing. And I think last year what we were able to tap into was largely the cost of goods synergy, I mean, which essentially is the low-hanging fruit. We were able to identify routes which are beneficial and thereby garner the traffic from the group . That, I think, was the easier of the lot. I think we have done adequate enough and more training within the group now on cross -pollinating each other's products, which we can then kind of tap into our respective customers. We are very, very optimistic that we will start to kind of ring the right bells from a cross- selling standpoint in this financial year. And that will really kind of drive some margin, the direct margin kind of improvement for the year.
In terms of some of the structural changes that is happening across the industry right now and which the industry is trying to grapple with . The good thing is it is leading to the wheeling out of a lot of weaker players, so to say. And today, most of the large global enterprises prefer working with large, established players where they can kind of have high reliability and credibility in their relationship. And that is where I think as Proximus Global, as Route M obile, we stand a fair chance.
In t he past, I think we have won a few large deals. Unfortunately, some of them were not kind of contributing meaningfully during the year gone by. But some of those strategic partnerships that we have won , in FY26 you will see some meaningful kind of contribution from some of those strategic partnership deals that we have won. ,.,..,._ routemobi\e V communication simplified

And just a last point on that, I think the world will also gradually kind of move . This AIT is a big, big kind of a nuisance value in the industry and which has really caused a lot of trust issues with large enterprise. T he largest e-commerce companies of the world, they have called it out explicitly in some of their statements as well. So, I think we will have to kind of graduate to some of the more advanced technologies like network APIs. We are already working on the Telco API stack. So, some of these investments into the futuristic technologies, I think, will be very important. And as we speak, I think we are testing some of these things with some of the large enterprises. Once we are able to garner some success on that, we can really have a first mover advantage on that.
Moderator: Next question is from the line of Swapnil Potdukhe from JM Financial Limited. Please go ahead.
Swapnil Potdukhe: Gautam, I would like to understand what kind of revenue contribution currently we have from Telesign or, broadly speaking, cross-sale revenues from Proximus?
Gautam B adalia: For the q

uarter gone by, the revenue contribution from Telesign was close to 14%.
Swapnil Potdukhe: And any incremental cross-sale from Proximus or, like, we are still yet to get?
Gautam Badalia: Not really. The synergies that we have been able to kind of tap into right now largely is around the cost of goods sold. Some of the cross-sale initiatives, we have seen some good progress in terms of pitch to clients, in terms of some advanced level of discussions, but nothing is fructified in terms of numbers yet.
Rajdipkumar Gupta : I t hink you need to also understand that there are certain discussions , let us talk about BICS as a part of Proximus Global. So, Route Mobile and BICS, I think, are jointly working on certain solutions, especially on the 365 Guard and our firewall solution. Being BICS has more reach, especially in the operating ecosystem, and we are definitely going to leverage on that relationship what BICS has, and I think we are already in discussion with multiple operators about our firewall solution as well as the new spam filter which we have built. Apart from that,

I think the world is moving towards RCS also, and we are definitely looking out a platform play in this. And since we have deployed our RCS platform with Robi Axi ata, which is live last one year, and we would love to take this entire stack to the operators all across the globe where BICS has a huge presence, and I think that is exactly where we are looking out the RCS platform play a big way. We are already in talks with multiple operators for this solution, and we believe in this particular year we will have a few good operators w ho are going to be onboarded with our RCS platform as well, plus, the spam filter.
Swapnil P otdukhe: Got it. And in the opening remark, there was a mention of some impact on the gross margin because of the related -party business. I am presuming this is Telesign. I just wanted to get a sense as to what kind of a gross margin are we getting in the Telesign business and ex of Telesign currently?

Gautam Badalia : We have kind of highlighted in the past, it should blend around our EBIT margin levels, but considering some of the cross-sell synergies did not fructify, so effectively the dilution was a little more than the EBIT margin.
Swapnil Potdukhe: But as revenue from our related parties increases going forward, how should we think about your gross margins? Is 19% the new norm?
Rajdipkumar Gupta: Gautam, let me just answer the first part, then maybe we can add the second part. So, I think Swapnil, you need to understand the two parts, which is the pure messaging piece and then the platform play when we talk about the platform play, whether it is a 365-spam filter or RCS platform or a CPaaS in-a-box solution with operators, we are looking definitely at a high margin game over there. And that is the one play which we would love to play along with BICS for the long term. And I think we believe in the coming future these margins are definitely going to be much higher than SOS margins.
Gautam Badalia: Swapnil, just to answer your query, right now what we have been able to tap into is largely the cost of goods sold synergy and which from a maturity standpoint, I think we've kind of fully kind of reached nearly the maximum. I think that we could have reached while we will still be scouting for more there, but we believe at this point in time, we are nearly there in terms of that. As I said, I mean, these are relatively at a lower and lower margin levels. And then as Rajd ip alluded, that most of the other cost of synergies that we are talking about are at a significantly hi

gher margin. So going forward, we should not see the direct margins to kind of get further diluted. And in fact, we believe, I mean, it should meaningfully improve from here and should steady around, I mean, our last few quarters historical levels.
Swapnil P otdukhe: Is that short -term guidance or medium -term guidance, Rajd ip? I mean, I am just trying to understand, like, will there be a few quarters where we will be in this current range and gradually there will be an improvement? Or you are suggesting that 1Q FY26 onwards itself, we will have a recovery on our gross margins?
Gautam Badalia: As the cross-sell synergy starts to ramp up, Swapnil, you will see that improvement coming through. I mean whenever we start to kind of start hitting those cross-sell numbers you will see meaningful improvement coming through. We anticipate in the next few quarters, we will definitely see meaningful improvement there.
Swapnil Potdukhe: There is another question with respect to the write -off that you had in one of the MNOs. I just wanted to get a clarification. Is this related to Vodafone first and secondly can you explain why you had to take a write -off on the receivable side? What were the circumstances because there is also a mention of non- fulfilment of short -term contracts? I mean, there are multiple things mentioned there, but better clarity would be appreciated on this.

Gautam Badalia: I will not call out the name of the party due to confidentiality kind of aspects. But I think we have generated more than $100 million of value, annual value, to that MNO. We had about a 28 crore higher target than what we've kind of delivered . And that largely, that 28 crores shortfall was around a large global technology company . First of all, phasing out one of their platforms. And then the second thing was essentially on they were moving to some of the alternate channels for communication. So that led to a tad bit of an impact on the ILD volumes for Q4, which had an impact in terms of the overall commitment that we had with the MNO. Essentially that gap was kind of captured as part of an exceptional charge to the P&L. But notwithstanding that even if we adjust for that charge, I think from an ROI standpoint, we would have generated more than mid-teen, close to mid-teen kind of $15 odd million plus kind of ROI on that deal.
Swapnil Potdukhe: But Gautam, as I understand this would be airtight contracts, I would presume that you would have with the MNO. It still does not answer why exactly would any established MNO would want to not pay you according to the terms of the contract?
Gautam B adalia: No, no, no. It is, so we had an annual commitment with that MNO and by virtue of which we have exclusivity on the network. We were able to deliver, as I said, over $100 million. We were

short by about Rs. 28 crores there. So as part of the contract, that Rs. 28 crores was kind of an impact that we had to take on our P&L. But as I said, I think from an ROI standpoint, we have generated, we would definitely have loved to kind of fulfil the commitment, had this ILDO impact not kind of fructified in Q4, which unfortunately was kind of out of our control. But having said that, I think overall as part of this deal, I think we have made a decent ROI for the business.

Swapnil Potdukhe: Just a last one on your balance sheet side. We have seen our borrowings almost double from around RS. 200 crores to Rs. 450 crores. Since we are also generating decent FCFF, why exactly are our borrowings rising and that too in a meaningful manner, even if it is, let us say, working capital related borrowing, but still the quan

tum seems to be quite huge now ?

Gautam B adalia: This was taken kind of only for a six-month period. Essentially again, at the backdrop of a contract where we had to kind of make the payment to a supplier. And it would have entailed a lot of cash pooling. So, we have kind of created a security in India. And then through some treasury, we have some positive carry in terms of the cash deposits that we have. So, from that perspective this loan will get retired in the next 2-3 months' time. So, per se, as you rightly said, we have close to over Rs. 850 crores of cash, net cash from the books. So, some of these loans will be retiring over the next few months.

Moderator: Thank you. Next question is from the line of Dipesh from Emkay Global. Please proceed.

Dipesh Mehta: A couple of questions. First about the synergy benefit you indicated. How do you expect this platform or led synergy to play out? My understanding, you indicated about messaging synergy
largely played out, platform is which yet to play out. If you can provide some context, how you expect it to scale up, and what are the markers, let us say, which you try to track in terms of whether progress is up to the mark or not?

Question two is about the cash balance. What would be our net cash balance at the end of FY25? And let us say, when we are generating very healthy cash flow, why we still stick to 20% kind of payout? So, if you can just give some thought process about how you would intend to utilize cash, what we are generating, and what is there on the balance sheet, apart from M&A, and M&A, which would be the focus area, let us say, where we intend to invest in the business.

Rajdipkumar Gupta: Dipesh, I think, is a very good question. In fact, there are many firewall deals which we are working with BICS right now. And BICS is front -ending some of these deals, especially in Africa and Latin America, certain markets. And we believe these deals to be closed very soon, and there are certain deals which we are going to announce very soon as well.

In te rms of platform play, especially on RCS platform, which is definitely a big need for many operators globally, and most of the operators are looking forward to have this platform. And our relationship with operators because of BICS is now, I think, the largest as compared to any CPaaS player in this world right now. And probably we are leveraging each and every single contract, touchpoints of BICS. In fact, we are doing lots of workshops with operators, which we have started from last three months. These workshops are playing really well in our favor because when we go and meet operators, we are not just talking about BICS solution, but we talk about Route Mobile solution, and especially the CPaaS piece which we have and the firewall piece which we have. I think jointly we have got very good feedback from operators, and I think we are definitely going to have multiple workshops with Asian operators also where RCS is still at a very early stage, apart from India, if you say. And the kind of connects we have in Asian market and African market through BICS, I think these things are already in talk, and we probably have a f ew decent discussions which we will announce very soon.

Yes, G autam.

Gautam Badalia: Yes Dipesh, on the cash bit, we have continued to maintain kind of the guidance and of doling out 20% of the annualized PAT. Besides that, we can also look at returning any excess cash to the shareholders through some corporate actions. Besides that, as we speak, we are working on a few small bolt-in, bolt-on kind of opportunities which ca

n really help us have greater capabilities in terms of the platform. I mean, it could be things around CPaaS , powered by AI. Some of those areas we are really kind of looking at a few opportunities at this point in time.

Rajdipkumar Gupta: One more point, Dipesh, just to add, I think travel SIM is a big market right now. We as a group have a brilliant solution through BICS travel SIM and we would love to lead this travel SIM solution for the operators, especially where Route Mobile has a good connect right now. In
fact, we have reached out to a few of operators in our part of the world and I think they have shown a great interest in our travel SIM solution also.

Dipesh Mehta: Understood. Just on the follow -up on those BICS-related firewall, whether the margin profile
of that would be like what we make in related party transaction, or it would be organic route
kind of margin profile?
Rajdipkumar Gupta: I have already shared that the margin on the platform play, and the firewall is much, much
higher than the messaging side of the business.
Dipesh Mehta: So that we will retain, right? It would not be the…
Gautam Badalia: Dipesh, we will have the software margins there.
Dipesh Mehta: So sorry. Okay. So, we will have a higher margin in that side. And I think you have provided net
cash at the end of fiscal 25. If you can give that number, what was the number?
Gautam Badalia: Net cash was 8,918 million INR.
Dipesh Mehta: So that is fairly, let us say, Rs. 800 odd crore s is fairly large number. And considering our CAPEX
requirement is fairly low annually, do you think this kind of cash balance is what we intend to
retain and accrue over a period of time? Because 20% payout seems to be very low considering
the kind of case we generated in fiscal 25.
Gautam B adalia: Well, it is a fair kind of an observation, Dipesh. I think we are in the midst of a review, I mean,
some are review, I mean, at the group level. And as I said, I mean, some of the excess that we
have, we will definitely want to return it back to the shareholders through, I mean, certain
corporate actions. So, we will come back to you at an opportune time. But as I mentioned, I
think some of these things are at a drawing board right now. And we will come back once we
have something more concrete .
Dipesh Mehta: And the last question on related to platform versus messaging. Let us say you indicated the
related party transaction is roughly 14% of revenue in Quarter 4. Considering, I presume, right
now platform play is practically insignificant. If one would want to look at 3-year out, what kind
of mix you expect between messaging and platform play in our related party revenue mix?
Rajdipkumar Gupta: Dipesh, I think the platform play, as I said, you know, like it is a long sale cycle. And definitely
we do not want to give any guidance on that. But I can just assure to the investors that we are
definitely going towards a very different kind of direct margin game right now with BICS right
now. Gautam, if you want to add anything to this?

Gautam Badalia: No, fairly put. And, Dipesh, at this point in time, we do not want to call that out. But I mean,
we would want some successes to kind of come through and then kind of give some contextual
guidance on that.
Dipesh Mehta: Fair point, thank you.
Moderator: Next question is from the line of Prasad Padala from SBI Mutual Fund. Please go ahead.
Prasad Padala: Hi, everyone. Gautam, if I look at your EBITDA margin, so from last quarter Q4 FY24, it was
almost like 12.3. So, this quarter, it has fallen al

most like 200 bps from there. So, one, I
understand maybe at a gross profit level, you might have a lower gross profit for the related
party messages. But at an EBITDA level, conceptually, there should not be any gap, right? So, if
you can actually clarify, first, what is the impact because of the related party messages? So,
that would be helpful.
Gautam Badalia: Essentially, what has actually transpired at the operating overheads level, I think we have been
able to kind of capture some efficiency. So, there was some benefit that we were able to kind
of drive vis-a-vis Q3. But I think the weakness that you see in EBITDA margin largely is flowing
from the DM impact which is, to a large extent, contributed because of the lower margin COGS
synergies with the group.
Prasad P adala: I do not understand. Because , let us see, even if you assume 0% margin from those related
party messages, right, because of 14%, let us say, even if you take 0%, the impact maximum
should be 140 bps. So, there is an impact outside of that also, right? And for example, I see that
your employee expenses have gone up by 17% while your gross profit is almost flattish.
Gautam Badalia: You are talking about the full year, Prasad, you are talking only for the quarter.
Prasad Padala: No, I am just talking about. Then I am also talking about only quarter. So, I think maybe it will
be helpful if you can actually clarify on the related party absolute margins on gross margins and
EBITDA margins. I think that would be very helpful for the investors.
Gautam Bad alia: Yes, sure, Prasad. So, I think what I see on the numbers right on the operating overheads, vis-
a-vis the previous quarter there is a drop. Right in absolute numbers, I think what is kind of
impacting the EBITDA is largely showing from DM and that is largely to a large extent
attributable to the related party transactions which today I mean so for all practical purposes
the cost of goods sold synergies, I mean the essentially the route optimization that we have been able to provide to the group.
That is happening at arm's length, which has been kind of
approved by one of the big four and as I said, I mean it is at a tad lesser than the EBIT margin for the company. So which is
what is causing the impact.

Prasad Padala: Got it. Okay. I mean, if it is just a tad lesser, I am just wondering why there is a 200 Bips drop

in the EBITDA margin you did not hear, that is the only question I am asking.
Gautam Badalia: Year -on-year. You are talking about it year -on-year or Q -on-Q.
Prasad Padala: No, year -on-year I am talking.
Gautam Badalia: Year -on-year, you were right. Okay. So, now I got the context. So, year -on-year, if you were to look at the numbers, I think the cost base for the company has increased. I mean from what it was a year back and there has been a si gnificant increase in the cost base and Prasad I mean that is what I wanted to call out in the commentary as well, I think as management team, we are committed to optimize a lot of those cost. I mean some of these cost base recalibration happened during the course of last year owing to the closure of the M&A deal and then the integration efforts and stuff. So some of them were kind to front loaded as we speak right now. I think the management and that is also been a guidance by the board to work on cost optimization and as management teams we are committed to drive some of those initiatives by kind of focusing on automations powered by AI in the ecosystem and also focusing on kind of removing the redundant layer within the company.
Prasad Padala: Got it. Thanks.
Moderator: The next question is from the line of Anmol Mittal from SMC Private Wealth. Please go ahead.
Anmol Mittal: Sir, as you quoted, there are few large deals which will

contribute in sales of the company in coming future. So what is the margin from there we can expect? And the second question is
there as you mentioned about the 36 5guard - the new digital platform and there are many initiatives the company had taken till now regarding spam and fraud control solution. So as this segment looks very lucrative from the initial view, what is the expected amount of contribution and sales and profits come from here in future it is superior margin business for us.
Rajdipkumar Gupta : I have already mentioned that there are lots of synergies and there are lots of discussion going on right now with the various operators and enterprise along with BICS and we are in a very early stage to give any kind of guidance. But we are very much sure that the direct margin is going to be much higher than what we make on over messaging right now. That is the only thing I can share with you right now.
Anmol Mittal: And what about the fraud and spam control solution?
Rajdipkumar Gupta : So, I think it is a great thing to have this solution in built in house and we as a company have deployed this solution with operator in Asia and we do see this is a very basic requirement is going to be with multiple operators because of the kind of digital fraud happening all across the globe and we do see this as a great opportunity where operators are definitely looking out ,.,..,._ routemobi\e V
communication simplified

to deploy this kind of solution. And I think probably we will give more clarity in our next earnings call that how the things are moving out right now.
Moderator: The next question is from the line of Nirman from Unique PMS. Please go ahead.
Nirman: My question is on the balance sheet. So, we have a few advances and deposits given to suppliers. So by when do we expect these to be adjusted or flowing to the cash flow?
Gautam Badalia: Yes, so the deposits for flow into cash flow, I mean over the next few months. So that I think will get kind of unwound during the course of the next few months in terms of that the
advances we have with certain telcos, these are kind of renewed on a six monthly basis with some of them. So, I mean they are mostly short term in nature and I think for one of the telcos, I mentioned in the notes we have also a legal dispute right. I mean that is now kind of gone into an arbitration. So we will share more light as and when we have more color on that arbitration proceedings.
Nirman: Okay, but we do expect these to start getting cleared by next financial year.
Gautam Badalia: That is correct.
Moderator: The next question is from the line of Dipesh from Emkay Global. Please go ahead.
Dipesh: Yes, just wanted to get Quarter 4 EBITDA margin on Non- GAAP basis, because it appears that it is corrected more than what it appears on reported basis. If you share that number, nine months it was 12%. If I look a full year it is 11.5. So can you say what is the number for Quarter 4. Thank you.
Gautam Badalia: It could be around I guess 10%. I can reconfirm that offline.
Dipesh: Yes, so there is a sizable decline if I look, let us say adjusted margin because that is one better way to look at it, how margin is tracking. Can you help us reconcile that full?
Gautam Badalia: Yes, we can take this up offline, but largely Dipesh it is flowing from the DM impact.
Moderator: The next question is from the line of Siddharth S from VDAI . Please go ahead.
Siddharth S: Sir, recently, I guess around a month ago you said you are going to launch this 365squared app which is powered by AI and one main thing which I wanted to l ook into was R oute as a whole is backed by Proximus Global which is the global CPaaS Company. So, just wanted to understand you facing the current industry, backgrounds as such, will Proximus, will it any way back up growth assets and what kind of potential revenue contribution can this 365squared platform bri

ng to you? ,.,..,._ routemobi\e V communication simplified

Rajdipkumar Gupta : Siddharth as I have already mentioned like some of the in -house products which we have built and especially the RCS platform which we have built by Route Mobile, P roximus Global is already helping Route mobile to take us to the various operator globally where BICS has a direct reach. I think that is the biggest advantage we have as a CPaaS player right now as compared to any other CPaaS player in the market, where w e have advantage of being BICS as a part of Proximus Global. And I think jointly we are working on strategy and as I said we are having multiple workshops with operators which we have started few months back and every single month we are going to have one or two workshop with the operators where we not going to talk only about the Route Mobile messaging solution, but apart from the 365 solution and the BICS solution as a combined solution offering. In terms of revenue potential, I can just tell you it is co mpletely a platform play and you can understand the kind of margin we can generated from the platform play not only should I add anything to this.
Siddharth S: Got it. So, the other thing would be that you know the current industry backlashes that you are facing as well. And I totally understand when the industry was performing on a good scale. What would you give an outlook on the industry going forward and how it will exactly correlate with the Route Limited assets in terms of some guidance if that would be possible.
Rajdipkumar Gupta : So as far as the company is concerned, so there is a shift happening from say, messaging to other OTT channels. We as a company are fairly well placed in that ecosystem as well. We are a premier partner with Meta. We do have lots of solution. If you see overall growth in the Omni channel space, I think we grew almost by 35% year -on-year basis. I think if you see that numbers and we are still onboarding lots of banks, lots of enterprises on these channels especially RCS and Wh atsApp and plus the email solution which we have. With this cross sell and upsell opportunity which we bring together as one group including Telesign and BICS. I think now we have access of multiple customers which are in our captive customers all across globe. And I think now we have a full story and full idea that what to sell and how to sell and which customer to sell? I think probably you will see all these synergies factoring out in our numbers in this particular year.
Siddharth S: Okay, got it. I mean it looks very impressive on the track record that you mentioned with respect to the company. What would you give an outlook with respect to the industry as such?
Vinay Binyala: So, as far as the industry is concerned, if you see Route Mobile performance is definitely industry -leading numbers. Even in terms of growth, in spite of having so many headwinds in the market we are still performing better as compared to some of the competitions if you see right now. So, I think I can only tell you that some of the synergies which we are working right now with as a group I think we do see a great potential in coming quarters. That is the only thing I can share with you right now. ,.,..,._ routemobi\e V communication simplified

Siddharth S: Got it. And just a small clarification to the first question that I asked, the 365squared that would be a potentially high margin, right, Sir?
Rajipkumar Gupta : Yes, indeed.
Moderator: The next question is from the line of Amit Agicha from HG Hawa. Please go ahead.
Amit Agicha: So, my question is like some birds eye view, if you have seen from last 10 years, the sales in March'16 was Rs. 367 crores and now we have Rs. 4,576 cores, we are talking twelve times you can say but the profit has jumped from Rs. 63 crores to Rs. 334 crores which is not even six times. So can you guide us like what is reduc

ing the profits because the expenses have not been in control or, plus another question was connected to the cash which the company is having the balance sheet shows like big cash is available and plus the loan is also available there. That is the question sir.
Gautam Badalia: Sure, so, I think on the cash, we called it out right. I think we are in the midst of kind of our summer review, and I think we will come back. We are looking at a few bolt on acquisition opportunities to called out a 20% kind of analyze dividend payout and besides that any excesses that we believe we have we will definitely look at returning back to the shareholders. In terms of the business, I think you are referring to. So from what period to what period you ment ioned, sorry if you can just repeat that.
Amit Agicha: 2016 to 2025, 10 years
Gautam Badalia: The base of the business was very small at that point in time. The I LD business was less than one cent right and then we were making 30%, 40% kind of direct margin. So as the prices in the ILD ecosystem started to increase and that increased from 10 paisa and it has today, I mean close to 4 to 5 cents. So I mean in absolute terms, we are making definitely a lot more, but I think what has happened is in terms of the percentage margin, it has kind of led to significant dilution and hence what you see as the revenue ramp up does not necessarily kind of rectify into your EBITDA margin expansion.
Amit Agihca: So, what are the company's internal growth targets for EBITDA margin for the coming years?
Gautam Badalia: So, as we mentioned, at this point in time considering some of the integration efforts and the global

uncertainties, we are not calling out a number there. But I think we would definitely
want to kind of do better than the industry both in terms of revenue and drive more cost
efficiencies within the company to drive better profitability.
Amit Agicha: And the last question can you please help me out with, what is the employee strength for the
account current? ,.,..,._ routemobi\e V communication simplified

Gautam Badalia: 841 employees as of March end.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: So, my question is a follow up. In terms of the impact that we have seen on the gross margins.
So, as you said, we have 14% contribution from the related party volumes which had the
impact, but the math's is not matching. But you know in terms of the volume from the third
party or the related party volumes has it peaked at 14% or we see that increasing more from
here. Why I am asking this is because if it increases more from here then can we see further impact on the gross margin
because we have said that the gross margin is expected to improve
from here. So what confidence are we having, Yes.
Gauta m Badalia: Sure, Amit, I think we are more or less close to the peak in terms of the low margin cost of
goods synergies. And then this was easier to crack. Considering, it was just the root route optimization. So we have been able
to tap into that in a big way during the year gone by. If you
were to just kind of slice the direct margin of gross margin between related party and all the other third parties. So, if you
adjust the related party gross margin, we have seen marginal
improvement in the gross margin metric compared to the previous quarter ("corrected "
previous FY) right? So I mean the last part of that was largely because of the arm's length pricing
with the related party which was causing the dilution.
Amit Chandra: Okay. So, you are saying all the impact that we have seen on gross margins in this quarter is because of the
higher related party volumes. So, there is another part of the business, the
margins have improved basically.
Gautam Badalia: So, Amit for the quarter, there would be a marginal dilution here and there. But on an average, I think

it is steady. I think the large impact is because of the related party.
Amit Chandra: Okay, fine. And the second question is you said that we have done 100 million the kind of
revenue for the large, for the VI deal so this 100 million is obviously for the full year and still
we have missed around 2 and a half million which we have made the provisions for. So, for the
next year, the target remains the same or it is a moving target. Here also our previous
understanding was there the minimum revenue commitment was much lower in from the 100 million mark. Then also, despite
doing 100 million. We have to pay or we have to make a
provision of 25 crores that is what we are not able to understand.
Gautam Badalia: So, I think things transpired towards the end of the quarter. I think we were running at kind of
a good average to kind of meet the committed obligations last year. Now, for the next year I
think considering some of these global uncertainties and we have had detailed negotiations,
discussions and I think that the commitment amounts have significantly reduced and
contractually there are now safety nets into agreement that if the headwinds were to go beyond a certain or get impacted
beyond a certain threshold th ere are kind of levers in the ,.,..,._ routemobi\e V communication simplified

contract which can lead to a lower commitment amount from our perspective. So, I think from
a FY'25 -26 commitment standpoint I think we have enough cushion in terms of the obligation
that we have and we have kind of baked in the risk of some of the uncertainties that we could
kind of baked in this point in time. And besides that as I said there are safety nets into the
contract which allow us to downward revise the commitment if things were to go bad beyond
a certain threshold.
Amit Chandra: Okay, and lastly if you can give some number around what percentage of volumes and revenue
is from I LD basically or the international messaging, if you can give that for t he full year.
Gautam Badalia: So, Amit we do not call it out categorically. India happens to be 50% of the revenue and as a
rule of thumb, about 2/3rd of the revenue comes from I LD. I can just give you kind of a ballpark
sense on this.
Moderator: Thank you. Ladies and gentlemen, we will take this as a last question for the day. I would now
like to hand the conference over to Mr. Raj Gill, Group Chief Financial Officer for the closing comments.
Raj Gill: Yes, Thank you everybody for your attention. And with that, we will close the call and I wish you all a good end today
and see you next quarter. Thank you.
Moderator: Thank you, Sir. On behalf of Route Mobile Limited, that concludes this conference. Thank you
all for joining us and you may now disconnect your lines. ,.,..,._ routemobi\e V communication simplified

Call: Jul 2025

Ref No: RML/2025 -26/602

Date: July 25 , 2025
To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE

Sub: Transcript of the earnings conference call for the q uarter ended June 30, 2025

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 1 FY26 earnings conference call dated Friday, July 18, 2025.

The transcript is also available on the Company's website under the Investors section a t:

https://routemobile.com/compliance/2026 /Route -Mobile -Ltd-Q1-FY26 -Earnings -Call-Transcript.pdf

Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking you,
For Route Mobile Limited

Tejas Shah
Company Secretary & Compliance Of ficer
ICSI Membership No.: A34829

Management:

1. Mr. Rajdip kumar Gupta – Managing Director & Chief Executive Officer
2. Mr. Vinay Binyala – Chief Strategy Officer & Investor Relations Officer
3. Mr. Raj Gill – Group Chief Financial Officer

Moderator: Good evening, ladies and gentlemen. I am Alaric , your moderator for this conference. Welcome to the conference call of Ro ute Mobile Limited, arranged by Concept Investor Relations, to discuss its Q1 FY '26 Results.
We have with us today Mr. Rajdi pkumar Gupta – the Managing Director & Chief Executive Officer ; Mr. Vinay Binyala – the Chief Strategy Officer & Investor Relations Officer ; and Mr. Raj Gill – Group Chief Financial Officer.
At this moment, all participant lines are in listen -only mode. Later, we will conduct a question-and- answer session. At that time, if you have a ques tion, please press ‘ *’ and ‘1’ on your telephone keypad.
Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward -looking in nature and may involve certain risks and uncertainties.

Kindly refer to Slide # 2 of the presentation for the detailed disclaimer . Please note that this conference is being recorded.

I now hand t he conference over to Mr. Rajdip kumar Gupta – the Managing Director & Chief Executive Officer. Thank you and over to you, sir.

Rajdipkumar Gupta: Thank you. Good evening, everyone and thank you for joining us today. I am honoured to be speaking with you once again as the CEO of Route Mobile Limited. It is a privilege to step back into the role at such a pivotal moment in our journey.

I want to take a moment to thank our outgoing CEO – Gautam Badalia for his leadership and contribution. As I return to lead the company in the capacity of CEO, my focus is to enhance the core strength of the company and drive the next phase of our growth story. While we faced headwinds in the past quarter, particularly in revenue growth, I am encouraged by the significant improvement we delivered in both gross profit margin and EBITDA margin by focusing more on profitability than volume.

Looking ahead, my priorities are clear. We will double down on our core business and serve our customers with even greater rigor. Our primary focus will be revenue diversification through expansion of our global footprint for our non -SMS product portfolios such as

WhatsApp and RCS voice solution along with AI -driven firewall solutio n for MN O. We will also drive business expansion through cross- sell initiative across Proximus Global. We have identified immediate area of action which we will walk you through over the course of today's discussion. We will put more efforts in our product innovation pipeline to create differentiated solution and stay ahead of market demands. Further, we will sharpen our market focus to drive sustainable growth in targeted segments, ensuring every initiative is aligned with delivering superior performance a nd shareholder value. I am excited for what's ahead and deeply committed to ensuring our company to emerge stronger, more agile and more innovative. With the support of our talented team and trust of our investors, I am confident we will continue to drive profitable growth and long -term value.

Thank you for your ongoing support. I look forward to partnering with all of you on this journey.

I will now hand over this call to Vinay to run through the entire key business highlights of the past quarter and Raj to provide an overview of the financial performance. Over to you, Vinay.

Vinay Binyala: Thank you, Rajdi p. Good evening, everyone and hope all of you are doing fine. We have uploaded our Quarterly Earnings Presentation . Hope you had a chance to go through the same.

Let me start by talking about what shaped our 1st Quarter performance. We are really seeing some significant ongoing changes across the broader CP aaS industry landscape. There has been a structural shift in certain parts of the market, particularly around how enterprises evaluate messaging channels

, pricing models and delivery quality. Against this backdrop, our performance reflects both the impact of these changing dynamics and some deliberate choices we've made to prioritize quality of business over volume. Now, we are operating in what I would call a dynamic and rapidly evolving landscape, one that not only presents challenges but also opens up new opportunities for businesses like ours.

The ongoing softness in A2 P SMS segment combined with shif ting customer preferences has created a unique business environment. As part of our margin- focused approach, we have actually consciously stepped back from certain low -percentage gross profit margin opportunities. In the A2 P SMS business, these opportunities were not essentially aligning with our long -term view of profitable growth. This recalibration, along with regional factors in a few markets, contributed to a decline in our topline this quarter. But here's what I'm really pleased to report despite these revenue headwinds, our gross profit margin performance has actually improved. This really underscores our commitment to sustainable quality -led growth and maintaining a strong focus on our profitability.

Now, while we witnessed certain challen ges around the A2 P SMS business, we have leveraged our omnichannel capabilities to unlock business opportunities by supporting enterprises' requirements across other digital communication channels, which include WhatsApp business

messaging, RCS, email, and voice. We have onboarded several large marquee customers through our omnichannel platform over the past quarter and are actively expanding our pipeline for these solutions.

Let me talk about our partnership model for a moment :

We are actively engaging wit h global system integrators to accelerate our go -to-market approach. We are deeply integrating our omnichannel platform with such global system integrators to reduce the time -to-market for these solutions. For instance, we recently completed the integratio n of our RCS platform with one of the largest players across the globe.

On the product innovation front, we continue to focus on enhancements to our existing platform. For instance, we have integrated WhatsApp voice capabilities into our platform, which enables us to cater to an expanded set of use cases for our enterprise customers. And then there are firewall solutions. We recently onboarded one of the largest mobile network operators in Latin America, and we will be deploying our AI -powered firewall and spam protection solutions across various countries where this operator has presence. We have also witnessed green shoots of cross -sell opportunities where the Proximus Global Group companies have started creating sales pipelines for Route M obile omnichannel communication solutions. And this is currently more towards the APAC market, certain regions within the APAC market.

We are also leveraging the extensive reach of BICS , which is a part of the Proximus Global Group, to strengthen our relationship with tel ecom operators across the globe. We are approaching several global operators to expand the sales footprint of our firewall solutions and MAP solutions.

Finally, let me touch upon something that's really exciting for us. We are shaping our approach to the telecom API opportunity . By participating actively in the broader API ecosystem, we are looking to create new revenue streams for digital service delivery. This will also help future-proof our business for opportunities ahead.

Now let me walk you through s ome key numbers and really tell the story of our performance last quarter :

During the quarter, we processed 39.3 billion billable transactions, which is actually similar to the volumes we processed in the 1st Quarter last year, and marginally higher than w hat we saw last quarter. The average realization per transaction was 27 pais a, and this was largely influenced by a shift in

our traffic composition, particularly a higher share of domestic messaging in India. India continues to be the largest market by te rmination and contributes

46% of our total overall revenue. We have maintained a stable trajectory across our next-

generation product portfolio, and we are continuing to support enterprise use cases across these channels.

We have witnessed growth of 11.4% year -on-year in this segment. We have onboarded several marquee enterprises with evolved customer engagement use cases that we support through the IP -based messaging solutions. On the strategic side, we continue to deepen our analytics-based firewall solut ions integrated with telecom operators globally. On the people front, we added 26 new employees during the quarter and saw 63 exits. Operationally, we maintained continuity and execution strength across our delivery teams, even as we continued internal efforts to improve processes, automate workflows, and strengthen alignment across functions.

We are actively evaluating deployment of AI solutions to automate several processes and enhance efficiency.

Overall, while Q1 reflects the combined effect of industry shifts and our internal choices, the core of our business remains strong, with the right capabilities, partnerships, and relationships in place. We remain committed to disciplined execution and strategic focus as we move forward, while our primary focus i s on revising topline growth and hence drive higher gross profits. With that, I will now hand it over to Raj to take you through the financials in more detail. Over to you, Raj.

Raj Gill: Thank you, Vinay, and good evening, everybody. I'll summarize our financial and operating performance during the quarter ending June ‘ 25 before opening the call to Q&A.

While our year -on-year performance was impacted by industry dynamics, our sequential quarterly results are encouraging as we delivered good gross margin expansion. Our Q1 revenue from operations was INR 10,508 million, which is a reduction of 4.8% year -on-year. This is largely due to the structural SMS market volume impacts in parts of our b usiness. This is partially offset by continued growth in routing synergies and non- SMS products.

Gross profit in Q1 is INR 2,251 million, which is in line with the previous quarter. Gross profit margin is 21.4%, which is sequentially higher than the 19.3% delivered in the previous quarter, but marginally down 0.3% year -on-year. The upward trend on margins reflects our focus on customer mix and new higher margin customers. Operating costs year -on-year, after adjusting for FX impact and non- core items, is con strained to only 4% growth . Value increments and one-off trade receivable write -offs are offset by non -recurrence of prior year incentives. Adjusted EBITDA for Q1 decreased by 16.3% year -on-year to INR 1,154 million and 3.9% versus the previous quarter. The year -on-year decline is primarily due to the revenue impacts described earlier. This all contributes to an adjusted EBITDA margin of 11%, which again is sequentially higher than the 10.2 % seen in the previous quarter.

Profit after adjusting for excepti onal items and FX was 835 million INR, which is down 10.3% year -on-year, mainly due to the flow -through of the impacts of reported EBITDA. With that, I will now hand over to the Q&A section.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question- and- answer session.

The first question comes from the line of Jyoti Singh from Arihant Capital Markets Limited.

Please go ahead.
Jyoti Singh: Thank you for the opportunity. I just wa nted to ask a few questions. What are the reasons for the higher other expenses and the increase in the tax rate? And about Proximus synergy like you mentioned during the management commentary that it is playing out well. So, just wanted a deep down on that side. And another,

when we can expect good growth and a better margin expansion in the future. And also, if you can provide some color on the messaging volume side, which is a continuous decline till earlier quarter. And then I will ask more questions .
Raj Gill: Shoul d I take one on other expenses? Yes. So, other expenses w ere mainly driven by some large foreign exchange losses on remeasurements. So, again, non- cash items primarily from a UK entity. And from a tax perspective, the slightly higher tax r ate is a function of our kind of different profit geographies and some good profit generated in some of the domestic markets, which impact the effective tax rate.
Vinay Binyala : Sure. So, Jyoti, touching on the question regarding synergies. So, as we menti oned in the opening comments, we have seen some initial traction around synergies. On the sales synergies, we have always had the cost as we refer to as the cost of goods sold synergies, which we have realized within the group. So, that has been active for over a year now. But on the sales synergies, we are recently seeing traction, especially in the Asian market. In certain countries within the market, we are seeing one of the group companies within the Proximus global ecosystem, which is able to create a reasonable pipeline for the omni -channel solutions, which Route Mobile offers. So, in terms of monetization, we may see some of these opportunities starting to contribute in terms of revenue. But these are interesting green shoots where we are seeing succe ss of what we had initially planned as part of the acquisition. Besides that, on the other front, on the telecom operator side, we have certain areas where we are collaborating with BICS, which is again part of the Proximus Global Group. And we are leveraging. So, BICS is one of the largest voice operators globally. And they have very deep relationships with telecom operators across the globe. So, the objective there is for our firewall solutions, we are leveraging the reach that BICS has. And it is supporting our sales team in creating opportunities for the firewall solutions that 365squared part of Route Mobile offers.
Further, what we are also doing is there are some innovative solutions which are being developed and offered to operators. For examp le, the MAP system, which is supporting RCS messaging. So, once again, we are leveraging BICS reach to reach out to operators and deploy these kinds of solutions for them. So, these are some of the areas where we are working closely

within the group to unl ock opportunities. And hopefully, we should see revenue momentum coming out of these opportunities in the near term.
I think the next question you had was around growth and margin expansion. So, unfortunately, in terms of revenue, we witnessed a little bit of decline in the last quarter, which was primarily due to certain customer situations which we experienced. However, we were able to sustain or rather improve the gross profit margin that we were making on the business. This was essentially because some of the business that we lost was not really the highest gross profit margin business for us. So, in that sense, the mix changed within the business and we experienced gross profit margin expansion. You had a question on volume decline. Can you please repea t that? I don't think I got that very clearly.
Jyoti Gupta : So, on the messaging volume, which was earlier quarter, it was declining. So, what's the situation now?
Vinay Binyala : So, on the volume, I think we are flat. We are at slightly higher level than last quarter and we are at the level where we were last year. So, I think in terms of volume, we are not seeing a hit.
The issue we are experiencing is that some of the international volumes have been impacted, which has been replaced by domestic volumes. So, the average pricing has moved, which has resulted in the revenue decline. So, we don't really hav

e a significant issue on the volume side.
The challenge rather is in terms of the realization and the revenue.
Jyoti Gupta : Okay. And one last question, si r. It was mentioned in the PPT that this time 26 new employees have joined compared to 63 employees left. So, just want your comment on that side, why so much, a higher number of employees leaving comparatively joining. So, is there the synergy , which is not playing out very well with the Proximus and what is the issue exactly?
Vinay Binyala : No, rather, this is acquisitions that Route Mobile had affected over the past several years. So, we have been rationalizing some of the teams across the companies that we have acquired. And we have identified roles or responsibilities, which can be centralized within India or any other region where we have operational presence. So, for example, finance and accounting can be supported from one region. And we have done some rationalization on that front. Plus, there were certain businesses, which did not deliver the level of performance that was expect ed. And, it's basically what we would like to assert is the team, which we have today, as we also mentioned in the commentary, is able to support all the business processes and is

driving the business at the scale and level that we are expecting today. So, we are not
experiencing any challenges in terms of business continuity or operations. It's more of
rationalization or natural attrition that we are facing.
Jyoti Gupta : Okay. Thank you, sir.

Moderator: Thank you. The next question comes from the line of N ikhil Choudhary from Nuvama . Please
go ahead.
Nikhil Choudhary: Yes. Thanks for the opportunity. My first question is on revenue decline. In your presentation,
you have mentioned that you lost one large digital native enterprise, which started direct ly
sourcing from MN O. So, Rajdip , we haven't seen cli ents directly partnering with MN O in the
past, especially the large clients. Is it a new trend which is starting? And can you quantify the
impact in this quarter?
Rajdipkumar Gupta: So, hi, Nikhil. I think this is a customer which you are talking about has it now trend t here are
a few customers who would love to work with the operators. Not everyone. One of them. And
I think the reason they wanted to move to operators directly is beca use they have a new
ecosystem within their company, which believes that having direct partnership with
operators… They are not just talking about SMS as one option with operators. They are talking
about data. They are talking about other services of operat ors to be used as a bundle deal with
them. So, SMS is a part of the entire bundle deal when they directly go to the operators. So, I
think they want to just get more leverage on their relationship with the operators so that they can buy and sell more product
offering with those operators. So, that's a new trend. But it's
not with almost all the customers. It's one of the customers only.
Nikhil Choudhary: I'm sure , Rajdip . I mean, let's say if one large customer can do it , what stops other customers
from fol lowing the same channel? I mean, it will impact our business model.
Rajdipkumar Gupta: No, not at all. I think you need to also understand, Nikhil. I think I have already mentioned this
in the past. When there's a large customer who's using our platform fo r Route Mobile, they're
not using it for one destination, right? And they use it for 20, 30 destinations for various reasons. And plus, they don't want to
go and do a tie- up with all the operators globally to get
into those legal frameworks, understand the legal regularity issues over there. So, I think most
of the customers, they prefer to work with aggregators, and that is a trend. And I think this one customer who has definitely
changed their mindset because of the multiple services which
they're using f rom the operator right now. But there's no tre

nd from any other such customers.
Nikhil Choudhary: Got it. Rajdip, you are seeing similar things happening with our peers. What we understood is
there is some level of compensation or refund we get when there is a transfer of such large
customer to telecom operator. Did we get certain amount for this transition? Is there any
benefit?
Rajdipkumar Gupta: Yes. No, there is a benefit because our firewall is there with an operator. And that particular
customer moves to the operator directly. Indirectly, we also make margin because of our
firewall plays within that operator. And there is a revenue share understanding we already

have with the operator. So, we will definitely get a little higher DM, direct margin with that
customer indirectly.
Nikhil Choudhary: Got it. And Rajdip, can you quantify the impact both on revenue as well as margin from this
customer's change in structure of contract?
Rajdipkumar Gupta: Vinay, do you want to quantify that?
Vinay Binyala: Yes. Sorry, Nikhil. So, we don't want to call out specific customer level information. So, that will
be difficult to share publicly, you know, because it becomes a new competitive intelligence. So,
we want to refrain from sha ring customer specific details.
Nikh il Choudhary: Got it. The last one is on new product revenue. New product growth has been simply coming
down. It reached a low double digit now. One of the lowest since COVID. So, I mean, what's
happening? It actually declined Q -on-Q this quarter. So, what's the pipeline and what's the
outlook in that particular segment?
Vinay Binyala : So, Nikhil, that's a fair question. Now, the thing to understand there is, WhatsApp is a significant
component of the new product revenue segment. And WhatsApp, a lot of that business we do
within India. Now, WhatsApp has revised their pricing for the market, which also results in us
revising the selling price to remain competitive. So, on the volume front, we have definitely
seen growth. But on the pricing front, there's been dilution of almost 12- 13% on the pricing.
So, that is where, despite volume growth, you will not see commensurate revenue growth. But
once the pricing stabilizes, we will again see higher percentage revenue growth as well on that segment of the busine ss.
Nikhil Choudhary: Yes, I understand that , Vinay, but I think the pricing revision happened about 2- 3 quarters back,
if I'm not wrong. So, what justified decline on Q -on-Q basis? Why it is not picking u p when the
volume is improving?
Vinay Binyala: So, there's a little bit of timing effect as to when we need to pass on the changes to the

customers. So, we have been kind of managing with the pricing and gradually passing on the benefit to the clients. And that is where to stay competitive and retain the business, we had to take that hit in this quarter.
Nikhil Choudhary: So, last one, Rajdi p. Just on yearly guidance, I mean, we started with a relatively weak note. Can you give us some color about the growth outlook in margin in FY '26? Thank you.
Rajdipkum ar Gupta: So, Nikhil, I think we are not sharing any guidance as you've seen even last quarter. But I think one thing I can assure you about me coming back as a CEO of Route Mobile, and I think there are three areas which I really want to focus now. One is growth, cost optimization, and

synergies. So, I think we definitely have these three stories which I'm leading now myself, and I want to make sure there is definitely a synergy between Proximus Global and Route Mobile to create more value at Route Mobile. Cost synergy is definitely yes, because we are a platform play company, and we really need to understand how many people, plus the AI implementation within our ecosystem needs to be done. And growth is something which I'm working on with a special focus o n the new logos and new customer, especially on Telco product and RCS. So, I think th

ese three things I can assure to you all, but in terms of guidance, probably I might not give the guidance.
Nikhil Choudhary: Got it, Rajdip. Thanks a lot for taking my qu estion, and congratulations, Rajdi p, and best of luck for your new journey at Route.
Rajdipkumar Gupta: Thanks.
Moderator: Thank you. The next question comes from the line of Nihar Mehta from Bay Capital. Please go ahead.
Nihar Mehta: Hi. I just wanted one question on the slide on customer cohort, right? The TOFU, the top -of-the-funnel of large DB size 15 million and 10 million, there has been a significant decline from 8 customers to 5 and from 9 to 7. So, is there a specific churn that has happened there, or what are the causes of such a decline?
Vinay Binyala : Sure. So, one of the largest customers is, as we mentioned, one of the digital native customers which we had, where they are going direct to the operator, and unfortunately, we lost that revenue. It 's become a significantly smaller customer now. Another one was one of the large financial service s clients that we had in India where we had repricing. So, this is typically done through a bid process, and in terms of the competitive landscape, the pricin g was revised, and accordingly, our revenues were impacted because of the revised pricing. These are two large ones that we had, and other than this, there were certain aggregators where we had a revenue decline. So, M .R Messaging, which is one of our portfolio companies, caters largely to aggregators, and some of those aggregators are contributing significant revenue, and their revenues got impacted with their end customers probably transmitting lower volumes to those aggregators. So, these were primar ily the reasons. The one which is difficult to recover is the large digital native which has gone direct, but on the others, we have an opportunity. I mean, it's a difficult market, but we can create opportunities where we can have a plan to create a recov ery plan around that lost r evenue and gross profit margin.
Nihar Mehta: Okay, understood. Thank you.
Moderator: Thank you. The next question comes from the line of Pritesh from Lucky Investments. Please go ahead.

Pritesh: I didn't understand one comment of yours about the GP improvement with giving away certain business which were low margin. When you see your EBITDA on a Y -o-Y basis, GP number, the GP has declined more than the volume decline. So, I was wondering how should I understand this part of the…
Vinay Binyala : Are you referring to message volume or the revenue volume? Sorry.
Pritesh: You guys have given a billable volume number.
Vinay Binyala : Yes, it's a billable… Correct. So basically, the way to look at it is the billable volume does not directly translate into revenue or GP because the volume in every country comes at a different selling price and the cost price in every region and country will be different. So, the mix of the volume which country is contributing, how much volume will dri ve the revenue and how much margin or how much markup we are able to do in that specific country and that volume will send the GP. So, directly linking the volume growth to GP…
Pritesh : So, in this answer of yours, there has been a significant change in the volume between Q1 and Q2, Q1 this year and Q1 last year. Then in this answer that you posted, then there has to be a significant shift in the volume mix between Q1 and Q2, country volume mix. Is that the case?
Vinay Binyala : So, within country, it is a little bit more complicated, Pritesh because within the country also, there are two price points. Some of the countries like India, we have a different price point for international , different for domestic.
Pritesh: See, why I am highlighting, there is a plus 5% Y -o-Y volume growth, but there is a minus 10%

GP, decline in absolute term. So, I am posting the question from that angle.
Vinay

Binyala : You are saying YoY, right?
Pritesh: Yes, YoY.
Vinay Binyala : YoY, one big impact is the digital native client which was an international client. Plus, we also had a contract which we signed with Vodafone Idea in India where we had a discounted pricing which was not available in Q1. So, we went live only in July or around August and that is where we got the benefit in FY '25 which was not there in the previous year. So, if you compare Y -on-Y, we did not have the Vodafone Idea benefit in that quarter. So, that again contributed to the direct margin expansion.
Moderator: Thank you. A reminder to all participants, pleas e press * and 1 to ask a question. The next question comes from the line of Sidd harth from Vitta e Money . Please go ahead.

Sidd harth: Hello, sir. Good evening. Thanks a lot for the opportunity. So, my thing would be, as you have stressed and highlighted on multiple previous con calls that I have been a part of is that the global CP aaS industry is going through a downturn and when the industry was doing well, you were the one who was outperforming. And since the broader industry is not doing that well, it has not been that competitive. So, I just want to understand how the industry would play around going forward and how the trajectory would be for Route Mobile and a potential rebound or could you j ust give us some awareness and enlightenment about it?
Rajdipkumar Gupta: Yes, I think it is a good question, Sidd harth. Let me just talk about Route Mobile and probably I will not talk about the competition about the industry. As a Proximus Global, if you see the kind of combination we have between Telesign and Route Mobile and BICS and we definitely talk about new product line, platform play as a company where we are talking about RCS as one solution along with a MapS erver. We are talking about omni -channel solution along with our firewall solution. I think probably we are now reaching out to multiple customer operators where we are not looking at the center price as one segment for our growth, but definitely looking our telecom operator also as a growth a rea for us.
Sidd harth: Okay, and if that works for you or if you are fine -shining, can you just give us an outlook of how it could be going forward?
Rajdipkumar Gupta: I will say, Vinay has already mentioned there was a large firewall deal we won in Latin America, I think, and probably there are many more discussion we are having with multiple operators towards RCS and MapServer. These deals are going to be finalized in coming quarters and you will see the impact of these in terms of revenue margin as well.
Sidd harth: Okay. And I will just end my call with further follow -up of two questions. So, the last quarter you mentioned that the 365squared has rolled out and it is expected to do well since it has a lot of synergy from P roxim us Global set of customers. I just want to understand how it is going and how specifically it will be going forward and the revenue contribution potentially ?
Rajdipkumar Gupta: So, this firewall d eal which we have won is a combination of BICS and 365squared. So, it is a relationship of BI CS which has helped us to win this contract and I think 365 is doing fantastically with the great pipeline they have right now and I think they are also closing so me large accounts very soon.
Sidd harth: Okay. And what is the percentage of revenue that potentially contributes the topline?
Rajdipkumar Gupta: Do we have that number right now?
Vinay Binyala: So, we have not disclosed in the past in public domain, but just hold on for a second.

Rajdipkumar Gupta: No. I think we would still prefer not to disclose, but as I mentioned there are certain large contracts which we have already won and there is certain pipeline which we have will definitely contribute in overal l growth of Route Mobile. So, that is what I can share

with you right now.
Sidd harth: Okay. And then my question, the last question that I have. So, the recent management changes are something that I have a query on where we want to understand how the pers on who has currently relieved, how has Route's management performed on an overall under his governance and how the recent changes in the corporate management could signal the future of Route Mobile, I suppose?
Rajdipkumar Gupta: Sidd harth, I think I am back as a CEO and I think I know this ecosystem from the last 21 years and Gautam has done a fantastic job in the last 7 years with Route Mobile in various roles and I think whatever he has delivered as an individual capacity is fantasti c for the group and I think I am very thankful to Gautam and what his role and responsibility which he has delivered in the last 7 years with us. As far as the new management is concerned, I think the new management is very much capable, smart and they all have a simple approach of growth and they believe that the company which we have as a Route Mobile has a huge potential in the current scenario where the markets, there is a headwind but in spite of this headwind we believe that the kind of product line w hich we have, we will definitely emerge as a winner but it may take some time

because it may take some time but definitely we have a vision to achieve new heights.
Sidd harth: Okay. Thanks a lot for the answer.
Moderator: Thank you. The next question comes from the line of Dipesh Mehta from Emkay Global Financial Services. Please go ahead.
Dipesh Mehta: Thanks for the opportunity. A couple of questions. First about the ILD business. Can you provide some sense how ILD business is playing out? It remains weak but if you can give some more details around it on ILD business. Second question is about sequential , are we confident with the sequential revenue growth returning in the business because now we are in YOY down, QOQ down. So just to get sense about some of the factor's headwind, which you said. From sequential perspective , I think some of the factors unlike with any incremental headwind particularly with the large account where you said it is moving to direct to telco . So unlikely to have incremental impact . So, if you can give some sense on sequential growth trajectory? Third question is about cash generation. If you can give some sense about operating cash flow or operating cash generated during this quarter ?
Vinay Binyala: Sure, Dipesh. So, on ILD , I'll start off and then Rajdi p, please add in. So ILD as we discussed, Dipesh, there was one key customer where we were impacted, bu t other than that, we've not seen real challenges with the other large ILD customers that we have. We've onboarded a few new clie nts as well where we are seeing revenue trickling in now. But these are large clients

who can contribute significant volumes moving forward. So , although there has been an impact in the last quarter, we believe it is not like it is end of the story, but gi ven it to replace it with other customers who still are sending communication into the Indian market through traditional channels and also, we are opening up the other channels as well for some of these clients. So, although we've had impact on certain sel ect customers, there is still potential and we are tapping into new customer s to cover up those gaps. Rajdi p, you want to add to that?
Rajdipkumar Gupta: No, I think it's well covered.
Vinay Binyala: On the operating cash flow, which is the easier one, on a normalized basis we would have done around 120 % odd of CFO to EBITDA in the last quarter. That is where we are. And in terms of the return of revenue growth, we believe we have had significant impact in the current quarter sequentially. And as Rajdi p already highlighted and we covered in some of the opening comments, we are working on a pipeline. We have several initiatives which

are in progress, for example the firewall initiatives, the M apServer and other initiatives around the telecom solution. The benefit we get from the telecom solution is that there is also potential to generate on the back of it A2P SMS revenue because we can position to be a preferred partner or an exclusive partner when we deploy these solutions. So, we have certain levers that we are pressing for reviving revenue growth in whatever shape and form it comes. But we hopefully should not have further decline from where we are, we should see revival there. But what we are fairly confident about or what we believe should hold up is t hat there are lots of margin percentage that we have. We do not have any one times or any items which will reverse or which will fall out in the future. So , we believe this should hopefully be sustainable as we move forward. Does that answer your question?
Dipesh Mehta: Just on the revenue part , I think I require some more let's say this year we might have a more flattish performance considering where we are in Q1. But if one looks at the next 2 -3 year perspective growth trajectory in the business, can you come in and give some sense ? Are we confident we are returning back to let's say mid- 10 kind of growth profile in this business or considering some of the structural changes which are playing out, even next 3 -year possibility, this seems to be more optimistic assumption?
Rajdipkumar Gupta: Definitely yes, Dipesh. I think there is definitely a plan and I think I joined back as a CEO , I do have some synergies and plans now to execute. You will definitely see some growth coming up in coming quarters that I can assure you. And there is a larger synergy we are working with Proximus Global as a group . Being in partnership with Salesforce or larger companies like Infosys or Tech M , I think these companies are also going to contribute big way in terms of our revenue growth and I think we are working very closely with companies like these where we believe that we can be the partners for digital communication and we can serve their customers. I think these alignments are very much there and I think we are now at the final stage of integration which we are already doing with them. I think we are definitely looking

forward with growth and I think some of the customers , some of the pipeline and some of the synergies which we have definitely going to drive our growth stor y.
Dipesh Mehta: Understood. And last is about the new product. Now partly you answered one of the earlier questions but the way I look let's say what app pricing correction and volume typically when some of these channels which are relatively new even volu me pricing increases and changes underlying growth should not have any material challenge, right? It might be let's say slower

than earlier. So just want to get since R CS let's say which we indicated even 2 years there whether we are able to monetize it we ll across countries?

Rajdipkumar Gupta: So, we are indeed , Dipesh. I think that is exactly where we as a company when we talk about the platform agnostic company and any customer coming to me has option to choose channel which they want to communicate with, right? And if the customer is willing to use R CS to experience instead of SMS , I think we as a platform we already have the option for him. And at the same time, we have a WhatsApp, email and other solutions also. There is some kind of a trend which is happening right now in the market where customers are trying to elevate different channels and probably, they are finding more outcomes with new channels where they say more customer engagement through these channels. And I think we are at a very early stage still on these new channels adoption and probably I think this awareness in the market about RCS and WhatsApp is growing fairly well and that is exactly where we look at in coming quarters h

ow we entire ecosystem is going to drive the volume and the revenue growth.

Moderator: Thank you. A reminder to all participants, please press * and 1 to ask a question. The next question comes from the line of Kaustav Bubna from Boundless Management Solutions. Please go ahead.

Kaustav Bubna: Yes. So , in the previous call the management spoke about two plays in this business really the messaging piece and the pla tform play. And they spoke about how the platform play is a future high margin driver. So, could you explain really in detail to a layman understanding this platform play exactly what it is and how it will become a high margin player in detail as much deta il as you can ?

Rajdipkumar Gupta: Okay. I will try to explain this. So , when I talk about say f irewall solution Kaustav , firewall solution we deploy with operator and where we charge based on managed services along with per transaction where operator pays us per transaction basis plus managed services charges which is complete DM to us which is a complete SaaS model. At the same time when we talk about RCS platform , that's again managed services and plus SaaS model for us. So , when we talk about CPaaS in a box kind of solution where single operator looking out to enable their customers to offer WhatsApp for business or other channels , we can deploy the entire solution on frame within the operator so that operator can enable their customers to start using the se channels under their white label platform. So , these are the certain solution which is

completely 100% margin kind of game where we believe that more deployment of this solution will definitely help Route Mobile to increase our margins.

Kaustav Bubna: Okay. So , you're talking like the platform plays mainly of firewall solutions, RCS, WhatsApp, CPaaS in a box, all of these things. And I mean just a general question, I know you all are for some reason refraining from talking about what's happening in the CPaaS industry because I guess we've already spoken about it in the past and there's no point in wasting time on that. I just wanted to understand for this core business, the business for the CPaaS SMS business which saw I guess was also mentioned in earlie r calls unrealistic realizations in the past due to whatever issues that were going on in the industry. Right now, with that leveling out and coming back to realistic levels, I mean your new business would have to grow meaningfully for you to show incremental growth. So, I understand you're not giving numbers but in this new business these firewall deals, what else is there? I mean could you give some sort of more clarity in terms of how this shift in business will actually end up leading to overall growth in the business?

Rajdipkumar Gupta: Kaustav, y ou need to understand one thing, the digital landscape itself, digit al payment landscape, digital platform landscape, I think digital adoption is growing multifold, every single country right now, but there are multiple channels being used to serve the digital requirement for the customer, whether it's WhatsApp, RCS, or SM S. So there is no more SMS as just one single channel anymore, there is WhatsApp and RCS, because people prefer conversational based channel more than SMS, but SMS still has lots of relevance where people still believe that SMS can be used for their use ca ses, but there are many use cases which are getting immersed on WhatsApp and RCS, so that is the entire growth story, and I still believe that we are very early stage on RCS, as well as on WhatsApp, and these channels will definitely see every single custo mer require one mode of channels for better communication with their end users, so that is where I think the adoption issues are growing, and that is where we believe that more use of these channels will help Route Mobile to grow. In terms of f irewall solu tion, in terms of our other solution, I think

as I already mentioned the synergies with BICS , where they are one of the second largest in terms of roaming business in the global market, where they have relationships with almost 400 operators globally, I th ink we want to leverage those partnerships and connections with them, so that we can reach out to all these operators directly as one of the partners with them, so that we can sell our products directly to these

customers, and I think one of the firewalls which we won recently is because of this synergy, and that is exactly where we are trying to build overall GTM for Route Mobile right now.
Kaustav Bubna: Okay, and this digital identity piece, which is for digital fraud etc., which basically Tele sign has got the big portfolio there, correct?
Rajdipkumar Gupta: We do, I think as Vinay has already mentioned about the telecom API play, right, and that's a very big initiative we have in -house now at Route Mobile as well as Proximus Global, I think the

telco API is one initiative for digital fraud. I think we are already working with Tele sign to get those API in Indian market. We really need to understand the current market scenario, how the customers are looking out this API to be used. We are definitely in touc h with various customers. We are doing some pilot testing. There are some sand box installation is already being done in India with a few customers. Those testing are getting done, but it's a longer process because there are lots of security aspects we hav e to clear and close the customer. Sometimes it takes 6 months or maybe 9 months. So , there are certain things we are already working on right now. We really don't want to call it out the revenue and the potential, but yes, as a requirement is concerned, a s a company, we are very much focused on digital identity product, which Teles ign has a suite.
Kaustav Bubna: Okay, great. Thank you.
Moderator: The next question comes from the line of Jayshree Bajaj from Trinetra A sset Managers. Please go ahead.
Jayshree Bajaj: Thank you for the opportunity. My question is with growing diversification, especially i n America and Europe, how are you managing the regulatory and compliance and localization data sensitive segments like BFSI and all? And is this adding to the cost structure materially?
Rajdipkumar Gupta: Jayshree , Route Mobile is GDPR compliant company and our server installation to every single aspect as far as the customers are concerned, I think we are 100% GDPR compliant company from the last so many years. So, I don't think there's any challenge and I don't think there's a cost involved anything on that.
Vinay Binyala: To add to what Rajdip is saying, Jayshree, we have been operating in various geographies with customers across different industry verticals. We cater to banks in Middle East, banks in Latin America, banks in India, which are the most rigorous in terms of compliance requirements. And the fact that we are able to serve these customers over the years, we are able to comply with regulatory require ments in these different countries where we are operating. So, I think we understand that part of the business and we have been able to operate in complete compliance with all these multi -geography jurisdictions.
Jayshree Bajaj: Okay. Thank you. And my second question is the revenue generated from the retail and travel and hospitality is approximate to 2%. So, are there any specific efforts to diversify the industry mix or we are just focusing on BFSI, Digital Native and CP aaS partner ecosystems?
Vinay B inyala: So, our product is fairly industry agnostic. The split that you see there is more in terms of which industries are really using that communication more aggressively or the ones who are using our platform more aggressively. So, we do have a few solu tions which are verticalized. So, for example, banking , we have developed certain plugins and layer

s which can be used by banks.

But largely it's not like our solution or platform cannot be used by a particular industry or would require a lot of customization or specialization for a particular industry. But rightly pointed out internally also we are looking at designing these vertical components which then make the product more compelling for those industry verticals. But other than that , within the retail space as well we have some of the largest global brands who are using our platform. And even within travel and hospitality , we have some really reputed brands who are using the platform. So, it's more about where we have had success but it does not really hold us out of any vertical in terms of deploying the platform.
Jayshree Bajaj: Thank you and all the best for the future.
Moderator: Thank you. Ladies and gentlemen that was the last questi on for today. I would now like to hand the conference over to Mr. Raj Gill, Group Chief Financial Officer for the closing remarks.
Raj Gill: That's great. Thank you, operator . So firstly, thank you for all your questions. So, we appreciate your continued s upport and we look forward to engaging with you again. Have a good weekend everybody and bye for now.
Moderator: Thank you, gentleman . Ladies and gentlemen on behalf of Route Mobile Limited and Concept Investor Relations that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Ref No: RML/2025- 26/634
Dat
e: November 10, 2025
To,
B
SE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE
Sub: T ranscript of t he e arnings c onference c all for the q uarter ended September 30, 2025
Dear Sir/Madam,
We are enclosing herewith copy of the transcript of the Company's Q2 and H1 FY26 earnings conference call dated Tuesday, November 4, 2025.
The transcript i s also a vailable o n the C ompany's website u nder t he Investor s section a t:
https://routemobile.com/compliance/2026/Route- Mobile-Ltd -Q2-FY26 -Earnings -Call-Transcript.pdf
Further, pl ease note that n o unpublished pr ice sensitiv e information was shared/discussed b y the Company during the s aid e arnings c all.
You ar e requested t o take the a bove i nformation on r ecord.
Thanking you,
For Route M obile L imited
Tejas Sh ah
Compan y Secretar y & Compliance Of ficer
ICSI M embership N o.: A 34829

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anagement:
1.Mr. Rajdipkumar Gupta – Managing Director and Chief Executive Officer
2.Mr. Vinay Binyala, Chief Strategy Officer and Investor Relations Officer
3.Mr. Raj Gill – Group Chief Financial Officer.

Moderator: Good evening, ladies and gentlemen. I am Bhumika, moderator for this conference. Welco me to the conference call of Route Mobile Limited, arranged by Concept Investor Relations, to discuss its Q2 and H1 FY ’26 Results.
We have with us today Mr. Rajdipkumar Gupta – Managing Director and Chief Execu tive Officer – Mr. Vinay Binyala, Chief Strategy Officer and Investor Relations Officer, and Mr. Raj Gill – Group Chief Financial Officer.
At this moment, all participants are in listen -only mode. Later, we will conduct a question- and-answer session. At that time, if you have a question, please press “*” and “1” on your telephone keypad. Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward -looking in nature and may involve certain risks and uncertainties. Kindly refer to Slide # 2 of the presentation for the detailed disclaimer. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajdip Gupta. Thank you and over to you, sir.
Rajdipkumar Gupta: Thank you. Good evening, everyone, and thank you for joining us today. I am delighted to share our results for the Second Quarter.
This quarter truly validates the strategic direction we outlined at the beginning of the year, and it demonstrates the power of disciplined execution. When we began this fiscal year, we made a deliberate choice to privatize profitable growth over volume. We are committed to enhancing our core business while simultaneously building new revenue streams. Q2 reflects the benefit of that discipli ne. We are seeing strong recovery across our businesses, expanded margins, and meaningful progress on the strategic initiative we have been building over the past several months. What excites me t he most about this quarter is not just the financial perform ance, though I am pleased with our progress on margin and profitability, is that we are seeing our strategies translate into real -world traction. Our new product portfolio is gaining genuine market momentum. We are entering new verticals, sec tors where we previously had not focused, and we are winning with customers that validate the strength of our omnichannel platform. Our partnerships are opening doors into geographies and customer segments we
could not reach on our own. And critically, we are building c apabilities and relationships in areas like Network API that represent structural opportunities f or the industry. This is not just

about execution against t he plan we laid out in Q1. It is about seeing that plan work in the real world. In concrete customer wins, in new customer entries, in partnerships that genuinely expand what we can do and where we can compete. The strength we are seeing in this quarter comes from progress across several dimensions. Our core business remains solid. We have maintained dis ciplined pricing and customer quality while growing. Our platform is finding traction with new customer segments and use cases. Our partnership ecosystem is delivering results, and we are seeing this reflect in meaningful ways across different geographies. Equally important, we are investing in future- focused capabilities. The partnerships we are building, the products we are entering, are all positioning us for a different scale and scop e of opportunity ahead. What I am most confident about is that we are only at the beginning of this journey. The foundation we have built in our core business, in our new products, and our strategic partnership position us well for sustained profitable growth. The discipline we have demonstrated, the market opportunities we are capturing, and execution we are delivering give me a real confidence in where we are headed as a company. We remain focused on what we do the best, delivering

sustainable, profitable growth while expanding our addressable market. That balance, I believ e, will create superior long- term value for all our stakeholders.
With that, I will hand over to Vinay to walk you through the key business developments for the quarter, and then Raj will take you through the detailed financial performance. Over to you, Vinay.
Vinay Binyala: Thank you, Rajdi p. Goo d evening, everyone. I hope you a re all doing well. Thank you all for joining us today. We uploaded our quarterly earnings presentation last night, and I hope you had a chance to take a look at it.
Let me start by walking you through the highlights of our 2nd Quarter performance:
We are really pleased with the momentum we are seeing acro ss the business right now. What is particularly encouraging is that we are demonstrating revived growth trajectory after strategica lly recalibrating our business over the first quarter. On the financial front, I am delighted to report that revenue from operations has expanded sequentially by 6.5%, demonstrating renewed momentum across our core business. More importantly, this growth has been achieved while maintaining strong unit economics.
Our gross profit percentage has also expanded sequentially to 22.1%, which is 70 basis points over the previous quarter. This reflects our continued focus on profitable growth. This dual expansion i n both revenue and gross profit margin is exactly what we envisioned when we shifted our business model towards sustainable quality -led growth. Beyond the top line, EBITDA has also demonstrated strong growth of 16% sequentially. We grew from INR 115 crore in Q1 to INR 133 crore in Q2 in terms of EBITDA. Revenue and gross profit margin growth has slowed down to drive EBITDA margin expansio n for us over the past quarter.

Now, I want to address an important point regarding our profitability metrics in the past quarter :
While profit before tax and before exceptional items has shown solid growth from INR 77 crore to INR 138 crore in Q2, I want to highlight that the reported profit after tax was impacted by one- time exceptional items during the quarter. This was r elated largely to advances to certain vendors, which were written off during the quarter. These exceptional items are detailed in the financial statements. However, they do not impact the underlying operational performance and strength of the business movi ng forward. Our core profitability trajectory remains strong and is a better reflection of the sustainable earnings power in our business.
Now, moving to the product and market :
On the product and market front, we made significant strides. Our new product revenue has shown solid growth of 13.1% sequentially, which is significantly higher than the growth in our consolidated revenue from operations, which was 6.5% for the quarter sequentially. This growth in new product revenues is driven by expanding adoptio n of our omni channel and integrated solutions platform.
Let me highlight a few exciting developments in this space :
We have expanded our reach into the mobility and transportation sector. We recently secured a new customer in the train and metro segment, w here we are providing our communication platform to enhance passenger information and engagement. Building on this momentum, we have also entered the bus booking segment at Bangladesh, a market with significant growth potential for digital ticketing and cu stomer communication solutions. These wins demonstrate the versatility of our platform across different transportation use cases. Our partnership model continues to yield strong results. We are actively engaging with global system integrators and our integ rations across the RCS platform, WhatsApp capabilities and omni channel solutions continue to expand the addressable market and accelerate our time to market for these solutions. Additionally, we ha ve added a significan

t customer through our strategic partn ership
with Tech Mahindra, which has opened doors into new segments and enterprises that we
previously had limited access to. This partnership model is proving to be an effective channel
for accelerating our go -to-market approach and reaching new customer segments.
Building on the commentary we shared in the last quarter about the exciting opportunity in
the telecom API ecosystem, we are deepening our focus in this area. Although the development
is post -completion of Q2, we are excited to share the progress we have made with our network
API capabilities, particularly through the Konera initiative of Proximus Global. This positions us
at the intersection of enterprise communication needs and telecom infrastructure services and also highlights the combined
business initiatives across the three entities defining Proximus
Global. Network API solutions will enable enterprises to leverage telecom operator capabilities

to provide value- added services to enterprises. This ties directly to our vision of future -proofing
the business by participating actively in the broader API ecosystem and creating new revenue
streams for digital service delivery. The network API space is still nascent but growing rapidly,
and we believe our pla tform and partnership position us well to capitalize on this opportunity.
On the firewall and security front, we are continuing to expand our deployments with major
MNOs - Mobile Network Operators, driving meaningful revenue streams from our AI -powered
spam protection and network security solutions.
Further as to the announcement regarding our deal with Claro, a leading Latin American-
focused telecom operator, we have integrated our firewall platform with three networks
managed by the operator and expect significant revenue ramp- ups w ith this client moving
forward.
Overall, Q2 FY ’26 reflects a strong recovery in momentum across the business. Our strategic
decisions in Q1 combined with new product launches, market expansion, and deepening of strategic partnerships are
delivering tangible results. We remain focused on sustainable,
profitable growth with a keen eye on expanding our margin profile while growing our revenue
base. The combination of our core CPaaS business strengths, emerging opportunities and
network APIs, expanding product portfolio, and growing partnership ecosystem position us well for the quarters ahead.
With tha t, I will now hand it over to Raj to walk you through the detailed financial performance.
Over to you, Raj.
Raj Gill: Thank you, Vinay, an d good evening, everybody. I will summarize our financial and operating
performance duri ng the quarter ending September’ 25 before opening the cal l to Q&A. As
described by Rajdi p and Vinay, the combination of focused execution and unlocking growth
from our advantaged products has translated into strong year -on-year and sequential
performance.
Our Q2 revenue from op erations was INR 11 ,194 million , which is higher by 0.5% year -on-year
and plus 6.5% sequentially. This is largely due to growth in routing synergies, non- SMS
products, and particu larly strong growth in Masivian , partly offset by structural SMS market
impacts in parts of our business. In Q2, we reported a gross profit of INR 2 ,471 million ,
representing a 5.2% increase year -over -year and a 9.8% growth compared to the previous
quarter due to the flow -through of reve nue described earlier and gro ss margin expansion,
which I will come on to next. Gross profit margin for the quarter stood at 22.1%, a 100 basis
point improvement over last year and sequentially higher than the 21.4% achieved in the
previous quarter. This upward trend reflects our strategic focus on optimizing customer mix
and onboarding higher margin accounts, reinforcing our commitment to profitable growth and
long -term value creation. We constrained operating costs growth to 11.5% year

-on-year as
salary i nflation, a one- off severance cost and trade receivable write -offs, partially offset by cost

savings from lower headcount and discretionary spend. Adjusted EBITDA for Q2 increased by
0.7% year -on-year to INR 1333 million and increased by 15.5% versus the previous quarter due
to the gross margin performance of the business. This all contributes to an adjusted EBITDA
margin of 11.9%, which is consistent with the prior year and sequentially higher than the 11% seen in the previous quarter.
On a reported basis, profit before tax and exceptional items was
1379 million, which is up 80% sequentially and higher by plus 5.2% year -on-year, driven by
EBITDA and favorable foreign exchange movements in the current quarter. The effective tax
rate was impacted mainly by exceptional items and to a much lesser extent the mix of profit in
various geogra phies.
I will now hand over to the Q&A section.
Moderator: Thank you very much. The first question comes from the line of Rupesh Tatia from Long Equity
Partners. Please go ahead.
Rupesh Tatia: Hello, sir. Thank you for the opportunity and congratulations on a good set of numbers. I am
new to the industry, so I have a few questions and some of them might be basic. So, the first
question i s on SMS. Out of whatever Rs. 1100 crore revenue, what is the revenue from SMS? If

you can give that number and further, if you can split that between promotional SMS and regulatory SMS. If you can give some color around that. The reason to ask that questi on is for the promotional category. It seems like there is a terminal risk to the SMS. So, if you can address the terminal risk in the SMS business on the promotional side.

Rajdipkumar Gupta: So Rupesh, Rajdi p here. So, probably we will not be able to give you the bifurcation , but I will answer your question. Promotional -wise, there are multiple channels that have been now used, including RCS and WhatsApp. So, we do see there is a growth on the promotional side of traffic on WhatsApp and RCS nowadays. So, a s a digital platform, we are offering our solution to our customers where we have all the three options available, including email as a fourth option for promotional services. So, even if you say there is a decline on SMS side, but there is a surge on What sApp and other channels. So, probably for us, I think one decline does not make any sense, but we make more revenue on other channels. In terms of promotional and transactio nal traffic bifurcation, I do not think we can share that. Vinay, if you want to ad d anything to this.

Vinay Binyala: Yes Rajdi p, I agree that we have never shared the split of the regulatory and promotional business, but if you look at some of the slides in the presentation, we do share some details, Rupesh, around the non- SMS portfolio , the new products as we call them. So, new products are roughly around 8% to 9% of the revenue and we are seeing good growth traction around that part of the business. So, that should give you some indication of where we are heading with that product port folio. And as Rajdi p mentioned, email and WhatsApp and all of those non- SMS portfolios form part of that segment.

Rupesh Tatia: So, that is the worry. 90% of the business is SMS and I do not know, if let us say 50% of that is promotional, then that is a bi g risk. So, I do not know if there is a way you can address this question.

Rajdipkumar Gupta: Let me just answer. So, our portfolio is 85% is transactional, about 15% is promotional. We serve large banks and customers. Most of the transactions which we go through our platform is transactional type. So, we are not the most of promotio nal traffic. So, you can say 85%: 15% combination.

Rupesh Tatia: That is very helpful. The second question, sir, is I wanted to understand how do these telecom operator firewall deals work? Is there like you get some one -ti

me revenue?

Rajdipkumar Gupta: Rupesh, I suggest you can have a separate call with our investor team to understand the whole process. Because that would be good because you need one- hour time to get the full clarity on the deal. I am happy to share all this information one- on-one with you. I think because we have a limited time for this call and there are multiple questions, you know. So, can we just do offline that discussion?

Rupesh Tat ia: Okay. So, maybe let me ask you another question. Another question i s, I mean, when I look at Gupshup or when I look at Twilio or some of the global companies, WhatsApp, I think, is a big part of their revenue. So, maybe can you give some color around w here are we in terms of our capabilities? Where are we in terms of our business development? What are we going to, you know, become, let us say, a WhatsApp first company, if I may put it like that. Maybe you can addre ss this and then I will come back in th e queue.

Rajdipkumar Gupta: So, we are a channel agnostic company, you know, like if you see some of the use cases which we have highlighted in our presentation, it talks about WhatsApp and RCS deployment. As a company, we have all the platform capabilitie s which is required for any company to use a digital platform. And when you talk about this concept abroad or even for India, I think we are fairly well placed in the right on top where we can probably say that all our platforms are working fine. And I thi nk we have the capabilities to serve any customer who requires a digital platform from our side.

Rupesh Tatia: So, can WhatsApp, let us say, b ecome 25% of our business in three, four years?

Moderator: Mr. Rupesh, I a m sorry to interrupt you, but please rejoin the queue for further questions.

Rupesh Tatia: Yes, sure.

Moderator: Thank you. The next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead, Ms. Jyoti.

Jyoti Singh: Yes. Thank you for the opportunity. S ir, my question is on basically on the Proximus side. Just wanted to understand what kind of revenue and margin from there with the R oute. Basically, when we are having the deal wins so how we are doing the sharing as per the revenue and margin? If you can talk about more in detail.

Vinay Binyala : Sure. So, Jyoti, in terms of business within the Proximus Global Group, it is not really a r evenue - sharing kind of deal. It i s more of a related party transaction. So, the way it works is, you know, Telesign and BICS and o ther components of the Proximus group, they ha ve certain, let us say, for example, SMS traffic or WhatsApp customers where they want to leverage their Route

Mobile platform. So, for example, when we are dealing w ith an enterprise client, let us s ay, in the US, for whom they want to deliver messages into geographies where Route Mobile is strong, for example, Ind ia or the Middle East. So, Telesign will, instead of purchasing those SMS from a third pa rty, they will leverage the Route Mobile platform and purchase the services from us. So, we will have a cost for terminating those messages on which we would charge a markup, which is agreed as per our related party transaction doc uments, and we will charge Telesign that cost. And Teles ign will then reali ze revenue from their end customers. And that is the way we are working with BICS and other parts within the Proximus ecosystem. Raj, do you want to add to that?
Raj Gill: Yes, again hi everybody, the synergies which is of the material when w e hav e had a good year - on-year growth there. And a lot of this business comes at no incremental sales or marketing costs. So, at the EBITDA level, it is good, good healthy margins.
Jyoti Singh : So, yes , thank you so much, sir. So, just wanted to understand what kind of EBITDA we are getting from those kind of groups?
Vinay Binyala: So, you know, it will be at EBIT le

vel, it is non -dilutive. So, we make around 10% to 11% EBIT margin on that business.
Jyoti Singh: That Route received it?
Vinay Binyala: Yes, that is what R oute is realizing. That is how the entire transfer pricing or, you know, the related party documents are structured, so that it does not dilute our EBIT or EBITDA margins significantly or, you know, does not dilute those margins for us.
Jyoti Singh: And what Proximus get into this?
Vinay Binyala: Sorry, I did not ge t that. What does Proximus get into this?
Jyoti Singh: Basically, if a Proximus is winning any deal and t hen those deals transfer to Route Mobile. So, just want ed to understand what Proximus ch arge on those deals.

Vinay Binyala: So, again, you know, there is no consulting or any additional cost that we incur , which we need to pay Proximus or any other group company . It is more of providing a, so , let us say, for example, you know, one of the large deals which was announced by Proximus was the Microsoft deal. So, there were certain CPaaS business which we were expect ing out of that deal, where Route Mobile would service Microsoft. And there again, you know, we would make our margins and revenue. There would be no additional consulting or, you know, any kind of fee that would lead to or partnership fee that would lead to go to Proximus or any other group companies. So, that is how the deals are structured.
Jyoti Singh: Okay, sure. Thank you so mu ch.
Vinay Binyala: Sure.
Moderator: Thank you. The next question comes from the line of Nikhil Chaudhary from Nuvama. Please go ahead.
Nikhil Chaudhary: Yes, thanks for the opportunity. My first question is on overall growth. This part of the growth was cl early driven by the billable transaction, while ARPU declined further. So, is it fair to say that, you know, the growth was driven by NLD, while ILD makes it continue to decline? We also saw a dec line in contributions from top five, top 10 clients. Just want to understand, are we still seeing pressure in ILD side, and when do you expect that to settle in?
Rajdipkumar Gupta: Let me just start with and then probably Vinay can add to this. So, as I already mentioned in my commentary, we are definitely workin g with customers where we see higher profitability as one aspect of our business and so on. And looking at a few customers, I think the customers win in the last quarter and probably the customer potential, we have some customers coming from Proximus as a partnership model. I think we do see a huge potential from thes e customer s in coming quarters also. So, I think our focus is now going to be more on customer where we can make more margin rather than just volume game, rather than I will play with customer who has a quality requirement and we are solving their actual problems. So, I think our focus has completely changed from last few quarters and we have seen a drastic change in terms of our GP, gross profit as well as the margin also. Vinay, if you want to add to this.
Vinay Binyala: Sure, to add to what Rajdip i s saying and again Nikhil, if we look at the numbers and if we compare to last quarter sequentially, we have seen growth in the top five customers and also if we look at the termination in India and across both ILD and domestic, we have seen an expansion in the volumes that we are terminating in India. So, if you compare sequentially, we have seen growth across these metrics. I think if you are looking at the chart in the presentation, it is comparin g it to the previous fiscal year. So, that might be where you are seeing the numbers. So, because if w e look at sequentially, we do not see any nega tive trend on these parameters.

Nikh il Chaudhary: Got it. So, this focus on profitable clients, does that mean th e reduction in volume from let us say less profitable clients should continue going forward and where we are in this jo

urney?
Vinay Binyala: So, we have not seen, we did announce certain moves that we made in the previous quarter
but in the current quarter, we have not had any requirement to shuffle our customer base or
take any drastic decisions. So, what we are also doing is on the routing front, we are doing
some optimization. So, we are driving better cost for ourselves and delivering margin expa nsion
but we have not made any drastic decisions on customer base or any of those parameters.
Nikhil Chaudhary: Then what led to lower revenue per bil lable transaction sequentially? Why?
Vinay Binyala: So, that is the mix where the Indian domestic business and certain other market domestic
business has grown a bit faster than the ILD piece . So, the mix of the business has changed
slightly where the average has come down a bit and plus, we had certain growth in email as
well but that is not a significant contributor. The unit pricing on email is much lower than SMS
or any other product.
Nikhil Chaudhary: Got it. The next one on the impairments, I think there was one on subsidiary. I am hoping it is
one of the subsidiary shares. Second, the impairment may be related to Myanmar and third is
related to Vodafone -idea. Correct me if I am wrong. And if there is any more impairment to be
made or left field on current estimate?
Vinay Bi nyala: So, this is just to correct it and then Raj can, s o, the impairment is more of a write -off. We have
not had any impairment in any of the entities. The write- off that we are referring to one was
for an operator and the other is for a vendor which is not really Russian. It is a Middle East
based vendor. So, Raj, you want to talk about this?
Raj Gill: Yes, I will go into more detail in the published account. So, there was one an aggregator and an
MNO. So, both related to advances which we have taken a prudent view and written off based
on information received in the quarter. So, I hope that clarifies.
Nikhil Chaudhary: Got it. Do you expect any more or you have taken most of the impairment from this particular MNO or any
other receivables are still pend ing?
Vinay Binyala: So, again Nikhil, on these two fronts as well although we have been conservative and we have
taken the write -off but we continue to be in discussion with these vendors. So, technically both
are vendors. One is an aggregator and the other is an operator. And we are trying to work out
a structure or a deal where we can have some mechanism of recovery or generate some other business where some of these
losses or write -offs can be let off through other business
initiatives. So, we are still in discussion and the legal course of action has not closed out with a
large operator either. So, that is still an ongoing

Rajdipkumar Gupta: Yes, I think there is a question, Vinay, about any further impairment or write- off. Nikhil, to
answer your questio n, I think all other deals are on line and I think there is no further write- off
we see in the coming quarters.
Nikhil Chaudhary: Got it. Last one on margin. The margin s are back to 12% plus territory, almost there. So, do you
think this is a sustainable margin goi ng ahead as well or maybe this is one time thing to go
straight in there?
Rajdipkumar Gupta: No, I think if you see our overall last two quarters strategy, Nikhil, I think we are very much
focused on the margin portfolio and we would love to maintain this or in fact, if possible, we can grow this.
Nikh il Chaudhary: Got it. This was very helpful, Rajdip . Thanks, a lot, and good luck for coming years. Thanks.
Moderator: Thank you. The next question comes from the line of Dipesh Mehta from Emkay Global. Please
go ahead.
Dipesh Mehta: Yes, thanks for the opportunity. Congrats on, I think, the overall operating performance. A couple of questions.
First about revenue growth. Now, typically for Q2, we have seen good
recovery in growth. Q3 is usu

ally seasonally strong quarter. So, do you expect our growth
momentum to sustain? This quarter, we return to Y -O-Y positive growth. Do you expect it to
be a sustainable kind of trend entering into H2 from overall growth? And from a slightly
medium -term perspect ive, how one should look at this business to deliver from a growth
perspective, whether this business, considering all the pluses and minuses, considering omnichannel as well as changing
channels and all those things, double- digit growth is doable
from a medium -term perspective? That is question one. Second question is about capital
allocation. Now, we have over Rs. 1,000 crore cash on balance sheet. Considering where the
price is and valuation is, do you think it makes more sense to invest in the company r ather than
doing M&A? If you can provide your overall thought process about capital allocation. And last
thing is about RPT, related party transactions . Can you give us some number? What is the
percentage of revenue is RPT related revenue? Thank you.
Rajdipkumar Gupta: So, Dipesh , if you see, new product growth, you know, like, sequentially also we grew by 13%
on new product. And I think our entire focus now is on new product sales, along with our new
customer, when especially the large customers like Microsoft or Tech Mahindra or Infosys, I
think we are working very closely with these customers to help their customer to start using the digital platform provided by
Route Mobile. And we are getting also lots of support from the
group companies, especiall y Proximus, for a larger introduction with large enterprises where
we believe we go along with them and we sell our product portfolio to large enterprises like Microsoft, as I mentioned. So, we

do see the H2 will definitely going to be better and we will
do our best to maintain the momentum which we have received in last quarter. And because
of the seasonality also, I think H2, we have been now certain events like Christmas and other

activities which is going to be there. And, yes, our pipeline also looks v ery strong and we are
working very hard to maintain the momentum towards that. On c apital allocation, Vinay, you
want to add on our RPTs?
Vinay Binyala: Yes, so on RPT, you know, the biggest transact ions are with Teles ign and that contributes to
around 15% of the total reve nue. On capital allocation, Raj , you want to take that?
Raj Gill: Yes, I mean, we are, It 's a good question. Yes, we have got a very strong net cash position on
the balance sheet. From a capital allocation persp ective, we have generally a CAPEX light
business, but we are looking at, particularly, for example, our BPO business, which is showing
good growth. So, we will always look to inve st in capability there. But we ar e also working with
Proximus on some platform improvement -type deals, whic h may require some initial CAPEX
investment, but will likely be very positive returns and we will see some good benefits from that coming through. So, we loo k
at it all the time and we will l ook at it on a quarter- by-quarter
basis.
Rajdipkumar Gupta: And I think, Dipesh, just to let you know that probably we definitely want t o get into some kind
of a tuck -in investment for some of the AI -based companies or maybe some companies where
we believe can add more product portfolio offering to our product portfolio. So, yes , I think we
are definitely in talks with some companies and we believe there are some good product
companies right now, especi ally on AI. So right now , I cannot share much, but definitely, yes,
we are working towards that. Some thing in voice as well. So, yes, maybe we can share more
details in the coming quarters.
Dipesh Mehta: Understand. I think I just want to go further on two things. I think Raj mentioned investment in
BPO capability and second, he said some deal with Pro ximus. I am not very clear if you can
provide some fur

ther detail on these two investment areas. I think AI and other things, maybe
over the next couple of quarters you can provide more detail, but on these two, if you can give
some sense.
Rajdipkumar Gupt a: So, let me just answer that question. So , our BPO capability right now, we have about 2,500
seat capabilities and there are lots of customers, ha ppy customers we have, and they a re
looking out to offer more seats to us and we would love to build some of the new centers
where we can add 500 to 1,000 more seats. Looking at the demand which we have in the
market, current market and the custo mer satisfaction, I think that is where we believe we need
to invest, not a big amount, but just for rent al spaces and office. And there are already
customers who are willing to give us more business and that i s exactly where Raj is trying to
highlight about the BPO.
Dipesh Mehta: And what about the Proximus group?

Raj Gill: Yes, I mean, we are working with P roximus on delivering the synergies and some of these are
technical synergies related to simplification and improvements in capabilit y which will come at
some CAPEX investment. So , there are opportunities looking at these. S o, in the coming
quarters, we wi ll update on these initiatives as and when we see them coming in. But that
would be a good use of capital as we see because there are some low -hanging fruit s that can
deliver some of the synergies that we expect to deliver from the Proximus tie -up.
Rajdipk umar Gupta: So just a correction, it is not Proximus, it is Proximus Global, by the way.
Dipesh Mehta: Okay. And last question from my side is, now we have a healthy OCF to EBITDA in H1, 80% plus
kind of number. Do we think this, because earlier we always used to maintain 50 plus, now 80
is a good number. How one should look this OCF to EBITDA conversion on a sus tainable basis?
Thank you.
Vinay Binyala: So, I think we should be able to sustain this Dipesh because we do not see any negative trend
on the receivables and also on the payables. We are pretty much in control the way the
payables are working. So, and tha t is the biggest, you know, working capital movement for us.
So, we have that pret ty much in control. So , we do not believe there I any reason for this metric
to go south.
Dipesh Mehta: Okay. And effective tax rate, last, sorry. If you can give some sense, how one should look your
effective tax rate? Thank you.
Raj Gill: Yes, as I mentioned in my opening remarks, the effective tax rate was significantly impacted by
the exceptional item. So , if you normalize for that, there has only been a slight increase in the
effective tax rate. And that is largely due to the geography mix of where we are generating
profits. But we expect over the coming quarters for it to normalize at historic levels.
Dipesh Mehta: Thank you.
Moderator: Thank you. The next question comes from the line of Amit Chandra from HDFC Securities.
Please go ahead.

Amit Chandra: Yes, thanks for the opportunity. My first question is on the exposure that we have to, you know, the gaming compani es. So, suddenly after the banning of these real money gam ing companies, what is the exposure that we have to these companies? And al ready the impact of the downfall from the volumes there is already i n the base. I f you can provide some numbers from that. And the second question is, obviously, we have seen some recovery in terms of growth in this quarter. Maybe next quarter also, because being a seasonally strong quarter, there can be a growth. But from a full year perspective, despite seeing growth in two quarters, we are still on the negative side for the full year. So how do we see the normalized growth panning out?
Maybe what takes us to hit the double- digit number maybe ne xt year? And if you can give a

simple number that what part of the portfolio is seeing a volume increase an

d what part of the portfolio is seeing a volume decline? Thank you.
Rajdipkumar Gupta: Amit, just to let you know that we are not very much impacted by these gaming companies because one of the companies we on boarded in last quarter, and I think this moment we on boarded and this whole thing happened. So, we are technically not impacted by any of these regulations because we are not serving these companies as a por tfolio customer. So that is my answer. What was the next question?
Amit Chandra: The next question was on th e overall growth and the recovery with double digits. What i s the requirement in terms of the portfolio and make sure the portfolio in terms of what part of the portfolio is seeing a volume growth and what part of the portfolio there is a volume decline?
Rajdipkumar Gupta: Yes. So, Amit, as I think we have already shared that we won Claro deal and I think there is a synergy between BICS and 365 Square d right now. We built this AI -powered spam filter platform which is definitely one area where we want to work very aggressive ly with the operators where BICS has a good connect. Along with that, I think the RCS map server is a big opportunity for us. I am n ot talking about RCS, but just enabling the operator to serve their customer with RCS. Like we have a classic deployment with Robi Axiata . We are in talks with another operator in Banglades h and probably very soon we will a nnounce that deal as well. And I think we are going very closely with BICS to reach out to all these large MNOs globally and we would love to focus on CPaaS in a box and RCS map server as a one solution along with our spam filter and the firewall sol utions. We do believe that it is a big market and still there is a huge opportunity we have right now and we are working towards that on product side basis.
In terms of volume growth, I think as you must have seen 13% sequential growth on our new products especially on WhatsApp, RCS, and email. And most of the customers now we are trying to create a bundle deal with our customer not just SMS as one offering. And I t hink most of the customers they a re liking our options where we are coming up with a solution where we are not talking about just SM S but we are talking about four dif ferent channels and then there is a blended price options which makes more sense for them to use one platform, one API for all the four channels. I think that is where we see growt h on all the channels and that is what we believe in coming quarters also we will see this growth as well. And what was your last question? Vinay, do you want to add to this?
Vinay Binyala: Yes, so Amit to add to what Rajdi p just explained if you break down the portfolio into segments across so you can look at ILD, domestic SMS that is for India and SMS is in rest of the world and then the non- SMS portfolio. So , in the last quarter we have driven growth across all the components of the portfolio. And looking at the momentum that we are bui lding and given that some of the customer case studies that we highlighted earlier in the discussion we believe we should be able to sustain this for the foreseeable few quarters as well. So, it looks like the traction that we have built will contribute to certain volume expansions moving forward as well just to add to what Rajdi p already explained.

Amit Chandra: And sir, in terms of the portfolio rationalization that you mentioned obviously that is showing up in the margins but is it the strategy is more c lient specific rationalization or is it more from an overall portfolio specific or the horizontal kind of rationalization where we are changing the way we are approaching the business or in terms of the strategy if you can give some more color is it more c lient specific geography specific or i s it more at a portfolio level?
Vina y Binyala: So, Amit you are aware that the business is transactional .
Rajdi

pkumar Gupta: Vina y, so Amit , Last quarter I think from last few quarters we have just defined two strategies one is telco and one is enterprise side of the business. So, now we have a telco focused team and then we have an enterprise focused team. When I say telco so our product like CPaaS in a box or map server or firewall is complete telco side of th e business and we believe BICS is helping us on that side and then we have o mnichannel stack which is like enterprise along with SMS. So that is a two different view we have now in company and we definitely want to , we

already have a team whose one team is completely focusing on telco side of the sales and then the other one is enterprise. So, I think previously we were doing all together now we just made two different division where people from telco will not sell SMS and the people from SMS will not sell the telco product and I think that is really doing well for us. Yes, Vinay you can continue.
Vinay Binyala: Yes, Rajdip thanks. So and again you know Amit what we are also absolutely focused on is because of the industry and the business is fairly dynamic where you know the prices can also move at times and that is where we are taking an absolute conscious call that you kn ow either if the cost prices in a certain market are moving we need to still sustain our percentage profitability on those accounts and if you are not able to then you know we try to find alternate routing or worst case you know if we are still not able to get a price increase with the customer and if it is significantly impacting our margins then we you know tak e certain drastic calls. So, it is a mix of various initiatives that we are following to make sure that the portfolio margin is sustained or expanding.
Amit Chandra: Okay and so l ast question is on the write -off that we had a lot of exceptional items that we had. So, you said that you are confident that we will not see any such kind of exceptional write- off in the coming quarters. So, what actually g ives y ou that confidence and what percentage of customers or in terms of our top 10 customers or top 20 customers how many customers we are working with advance like advance model in which we have given advances in terms of the minimum revenue guarantee. So, what are the total advances that are there like sitting on the balance sheet and what is ho w do you assess the risk there?
Rajdipkumar Gupta: So, we work with operators only where we give this commitment in advances and I think we have very few right now and we have already consumed almost the commitment which we are given and there are certain commitments which is left for next three to four I thi nk four to five months . I think we are very much confident that we will use those consume those numbers. So apart from I think one or two I do not think there is any more but we are very much confident

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that we will consume the commitment which we have given to them and there is no challenge for us and apart from that we are not giving any further such commitment to any international operator and I think we are very conscious about this call and I think it really lets out certain deals go where we believe th at the market maybe the volume operators are expecting high numbers but we know the numbers exactly how much traffic the operator has. B ased on our assessment I think we are taking some conscious call to just say no to such businesses and that is the strat egy we are going to follow henc eforth and yes Vinay if you want to add to this.
Vinay Binyala: No, I think you addressed it so not much from my end.
Amit Chandra: Okay Rajdip Sir. Thank you and all the best .
Rajdipkumar Gupta: Thank you
Moderator: Thank you. The next question comes from the line of Nilesh Sharma from Anantnath Skycon Limited Please go ahead .
Nilesh Sharma: Hello sir . Congratulations Good set of numbers . My question is upon ma r

ket outlook and cost
structure. While the company continues to deliver the steady revenue growth . Could you please comment on the sustainability of the gross and EBITDA margin in the light of ong oing price pressure on CPaaS industry rising cost of connectivity ?
Rajdipkumar Gupta: Nilesh , as I mentioned I think now we have a very clear focus on Telco and the enterprise segment of the business. Telco business is completely very high margin and if you see the new product portfolio which is growing 13% sequentially I think we would love to focus on that area where the margins are high and we are confident that we will able to maintain the numbers which we have achieved last quarter and that is where I have already mentioned before also that we have a higher aspiration as a company but we would love to maintain what we have achieved .
Nilesh Sharma: Okay and one more question upon, c ould you also elaborate on the key sector or geography that will be the driving factor for our revenue growth and EBITDA margin growth ?
Rajdipkumar Gupta: So, Route Mobile is a global company . We serve customers all across the globe . We are based out of L ATAM , Middle East India and Africa. So , our growth is coming I think from all the different markets but India could be the highest in terms of volume growth and the ILD business but overall if you see I think we are well spread out all across the globe and serving large customers from outside India.
Nilesh Sharma: Okay and sir could you also briefly outline the revenue growth that is expecte d and that we can expect in H2 of financial year 2026 ?

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Rajdipkumar Gupta: So, I think we are not giving any guidance right now and what I can tell you right now is yes we are very much confident that the growth is something which we really want to work on and we do have a good pipeline we have now clear strategies of telco and enterprise side of the business and looking at how the things is moving right now we believe the future is good and we all as a team working very hard to achieve new heights.

Nilesh Sharma: Okay. Sir, one last question in terms of r evenue bifurcation can you bifurcate which industry contribute how much percentage of revenue?
Rajdipkumar Gupta: It is already mentioned in the presentation. I think if you just referred the presentation, it is already mentioned .
Vinay Binyala: So, slide number 9 has that data in the presentation.
Nilesh Sharma: Okay. In this presentation only, the geography is mentioned America India and all but not industry .
Vinay Binyala: On the left -hand side you see those tables with the industry since they have finserv, digital native Tier-1 CPaaS. T hose are the industry .
Nilesh Sharma: Yes, it is mentioned but percentage. Okay. Thank you, sir . Sir, how much percentage that we are targeting for telecom, t hat is our new focus area ?
Rajdipkumar Gupta: It is not new focus area for sure I think we are already serving. W e already have this product from very long time we were already deploy ing our telco services with multiple operators but now what we have a dedicated focus approach towards both the bus inesses and that is what. But how much if you talk about to quantify that probably I will not able to but as I mentioned since we have closed one large deal in last quarter we are looking out for such deals to be closed in coming quarters as well .
Nilesh Sharma: Okay sir. Thank you so much and all the best for future.
Rajdipkumar Gupta: Thank you.
Moderator: Thank you. The next question comes from the line of Diya Jain from Sapphire Capital. Please go ahead .
Diya J ain: Hello sir . Thank you for taking my question. I just wanted to understand with the new deals with Claro and Tech Mahindra . Do we see the 15 % growth guidance for the next three years sustainable or we can expect a little better than that ?

Rajdipkumar Gupta: Diya, as I men

tioned already , we will not gi ve any guidance but we are working towards to achieve new heights as a company that is something which I can tell you right now but in terms of quantifying and giving a number probably I might not be able to give right now .
Diya Jain: Okay sir . Understood. Thank you.
Moderator: Thank you. The next question comes from the line of Anant Jai n who is an individual investor. Please go ahead
Anant Jain: Thanks for the opportunity, sir. My f irst question is on the CPaaS , if you can give the market share of SMS versus WhatsApp and the growth rate of each segment ?
Rajdipkumar Gupta: So, there is no data available right now technically anywhere. A s we speak WhatsApp is still very early sta ge of adoption SMS is almost 20 - 25 years old ecosystem . So honestly Anant there is no data available which I can share with you like as of now .
Anant Jain: But our own experience should give us some information around that . I will just give one more question here which is you know what we realize on the WhatsApp side is that you know Gupshup and Twili o seems to be the market leader. W here are we when we compare in ter ms of capabilities with Gupshup or Twilio ?
Rajdipkumar Gupta: See, I really do not want to comment about any company as such but if you talk about some of the product deployment which we have done in past and like ticketing system on WhatsApp is like we are the largest enabler for lots of metro in India and now taking the solution t o Jakarta as well as Bangladesh. So, I think in terms of capabilities if you talk about , we are as good as any company present in the market today and who is leader and who is not leader probably I am not the person to answer that question but we as a company do understand what value these channels can bring and we really need to invest heavily on this and we have invested in past we are still investing and enhancing our platform every single day to make sure our customers are getting the solution which they ne ed fro m the market and I think that is where we are today and that is exactly where we are focusing on .
Vinay Binyala: So, to add to what Rajdip is saying Anant, our WhatsApp platform supports native payments it supports interactive UI , for example while t icket booking you can choose a seat within the WhatsApp interface so it is fairly advanced . It supports any feature, I mean most of the features that any enterprise asks us we are able to support through our platform . Plus, it is not only WhatsApp we have the same capabilities across RCS we have a very strong email platform. So, in terms of capabilities I think our plat form is fairly evolved as Rajdip was saying .
Anant Jain: Thanks for that . One last question if I may squeeze in I mean I have many more questions on this but I think it will take a lot of time but one question on something else is like on CPaaS

what we are also seeing is that the telcos are going downstream , so for example Airtel is getting into CPaaS and how do you see that as competition now for us?
Rajdipkumar Gupta: So, I think Anant for me it is very critical that what product offering we have and how stable our business platforms are. So, whether we get competition from Airtel or any other company

we treat them as competition . Even you see our numbers are growing every single quarter on the new product . So, if my numbers are de -growing probably, I have something to think about but I think we are onboarding multiple custom ers on this channel and we do not see that as a challenge. W e treat them as one single another single competition . That ’s it.
Anant Jain: Okay . Great. One last question on WhatsApp side how do you see our WhatsApp and you know the newer forms of communication being as a share of our total revenue. Let us say three years from now if you can give some color around that . Do you think there can be 25% of our revenu

es in three years?
Rajdipkumar Gupta: It can be, it can be more also it can be less as well it all dep ends how RCS and the WhatsApp pan out adoption, how the enterprises are going to adopt these channels based on their requirement because we being a channel agnostic company it is more important for us to make sure we keep on innovating our product in a way that the current customer requirements are fulfilled and that is the company ’s main role and it can be 25% - 30% also you never know. But we are onboarding customer every single month and qua rter. So, that is what we can do and you never know it can b e mo re than 30% or 25% as well.
Anant Jain: Great. All the best thanks .
Rajdipkumar Gupta: Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today's call. I would now like to hand the conference over to Mr. Raj Gill for closing comments.
Raj Gill: Thank you, moderator . As usual firstly thank you all for your questions and cont inued support and I hope you will all ag ree this is a quarter that we are showing some genuine momentum that is creating so me good excitement here at Route Mobile. Now we look forward to engaging with you again and see you see you in the next quarter and best wishes you all. Have a good rest of the day and we will talk again soon. Thank you.
Moderator: On behalf of Conc ept Investor Relations and Route Mobile Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

Ref No: RML/2025 -26/654

Date: February 17, 2026

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE

Sub : Transcript of the earnings conference call for the quarter and nine months ended Dec ember 31, 2025.
Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 3 FY2 6 earnings conference call dated Tuesday, February 10, 2026 .

The transcript is also available on the Company's website under the Investors section a t:
https://routemobile.com/compliance/2026/Route -Mobile -Ltd-Q3-FY26 -Earnings -Call -Transcript.pdf
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

You are requested to take the above information on record.

Thanking you,
For Route Mobile Limited

Tejas Shah
Company Secretary & Compliance Of ficer
ICSI Membership No.: A34829
Encl: a/a
Page 1 of 19 Route Mobile Limited
Q3 & 9MFY’26 Earnings Conference Call
February 10th, 2026
Management:
1.Mr. Rajdipkumar Gupta - Managing Director
2.Mr. Tushar Agnihotri - Chief Executive Officer
3.Mr. Vinay Binyala - Chief Strategy Officer and Investor Relations Officer
4.Mr. Raj Gill - Group Chief Financial Officer.

Moderator: Good evening, ladies and gentlemen, I am Mike, the moderator for this conference. Welcome to the conference call of Route Mobile Limited arranged by Concept Investor Relations to discuss its Q3 & 9M FY’26 results.
We have with us today Mr. Rajdipkumar Gupta - Managing Director, Mr. Tushar Agnihotri - Chief Executive Officer, Mr. Vinay Binyala - Chief Strategy Officer and Investor Relations Officer and Mr. Raj Gill - Group Chief Financial Officer.
At this moment, all participants are in the listen-only mode, later we will conduct a question-and-answer session. At that time, if you have any question, please press “*” and “1” on your telephone keypad.
Before we begin, I would like to remind you that some of the statements made in today's earnings call may be forward-looking in nature and may involve certain risks and uncertainties. Kindly refer to slide number 2 of the presentation for the detailed disclaimer. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajdipkumar Gupta. Thank you and over to you.
Rajdipkumar Gupta: Thank you, Mike. Good evening, everyone and thank you for joining us today. At the outset, I am pleased to announce an important leadership evolution at Route Mobile that will strengthen our management team and sharpen our execution as we enter the next phase of sustainable profitable growth. After successfully steering the company through its growth journey as MD and CEO, I will be transitioning from a CEO role with Tushar Agnihotri

taking up the CEO position at Route Mobile. Tushar brings extensive CPaaS industry expertise complemented by the strong track record in sales and operations leadership. Tushar will drive overall company operations and accelerate our strategic initiatives for growth and profitability. While I continue to lead the strategic direction of the business, working closely together, we will translate Route Mobile and Proximus Group vision into tangible, enduring outcomes for Route Mobile, bringing greater focus and depth to our leadership team.

Coming to the performance of Q3 2025-26, the past quarter has been about resilience and disciplined execution amid our business mix transformation. While reported revenues faced pressure due to slight decline in certain low-margin international messaging flows, our core

franchise remains robust, with clear benefits emerging from our strategic focus on higher-quality, higher-margin revenue streams. What gives me particular confidence is how our strategy is materializing through concrete customer deployment in Q3. We successfully deployed WhatsApp based last-mile logistic solutions for two of the world's largest retail chains, enabling sophisticated delivery orchestration and real-time customer communication at massive scale. We also launched an automated admission process chatbot on WhatsApp for one of India's leading educational institutions, streamlining enrollment for thousands of prospective students. Additionally, we implemented a comprehensive digital ticketing and customer notification system for a major state-owned waterways company in India. These market deployments underscore the versatility and enterprise-grade scalability of our WhatsApp and omni-channel platform capabilities.

On the operator solution front, we are making tangible progress. Our firewall deployment with Claro in Latin America has now advanced to the final testing and acceptance phase, positioning us for a similar large-scale deployment with other MNO groups with operations across multiple geographies.

Overall, the business trajectory continues to be positive, superior unit economics, deepening enterprise relationships across diverse verticals, and a significantly strengthened pipeline spanning multiple geographies and use cases. We are continuously investing

in the platform

capabilities, strategic partnerships, and talent that will power Route Mobile's next growth phase. While upholding our commitment to profitable, sustainable value creation for all our stakeholders.

With that, I will hand it over to Tushar to introduce himself and then to Vinay to walk you through the key business developments for the quarter, followed by Raj's detailed financial review. Over to you Tushar.

Tushar Agnihotri: Thank you so much, Rajdip. Hi everyone, this is Tushar Agnihotri. As most of you are aware, I have assumed the position of CEO of Route Mobile from February 09th. Quickly, a few words about myself. I joined Route Mobile in 2016. I completed nine and a half years at Route Mobile and largely in sales. I was initially responsible for building the domestic market for India, which we did successfully and took the same success to multiple other markets like Bangladesh, Sri Lanka, Indonesia, and others. I continue to perform my sales duties alongside the position which has been assigned to me of CEO. Before joining Route Mobile, I have worked with three telcos. I used to work with Reliance Jio before joining Route Mobile. I have worked with Tata Teleservices and Reliance Communications. Overall, I bring 30 plus years of sales and operations experience to the table, and I continue to contribute the way I have been over the years. Thank you so much. This is all from me and I hand it over to Vinay.

Vinay Binyala: Thank you, Tushar. Good evening, everyone, and I hope you are all doing well. Thank you all for joining us today. We uploaded our quarterly earnings presentation last night and I hope you had a chance to look at it.

Let me start by walking you through the highlights of our third quarter performance. Q3 has been a quarter of strategic transformation for Route Mobile and I want to be transparent about the shifts that we are seeing in our business composition and what they mean for our future trajectory.

On the financial front, let me address the top-line performance directly. Revenue from operations has remained broadly flat sequentially or quarter-on-quarter. While on a year-on-year basis, we witnessed a decline. However, this headline number tells only part of our story and I want to provide you with the complete context behind these movements. The primary driver of the year-over-year revenue decline has been lower volumes in certain low-margin international long-distance business, the ILD business. While these revenue streams contributed to top-line volumes, we have seen some enterprises progressively reduce their A2P SMS usage as they experiment with alternative digital communication channels and in a few cases competitive pricing dynamics have made parts of this business less value accretive for us. What is particularly encouraging is that this decline in ILD revenue has been partially offset by growth in higher-margin domestic business in India and also in other key regions. We are seeing robust traction in our core domestic markets where our platform capabilities, enterprise-customer relationships and regulatory positioning provide us with sustainable competitive advantages. This shift represents exactly the kind of business mix transformation we have been working towards, moving away from volume-driven low-margin revenue towards value-driven high-margin revenue streams.

Now let me turn to what I believe is the most significant positive development for this quarter, our gross profit margin expansion. Despite the flat revenue, our gross profit margin expanded significantly this quarter. Importantly, this margin expansion has translated into absolute gross profit growth both quarter-on-quarter and year-on-year. This is a direct result of the change in business mix I just described, the replacement of some low-margin business with higher-margin domestic and regional business. It demonstrates that our focus on quality of revenue

over

quantity of revenue is delivering tangible results. Another factor contributing to part of the margin expansion is the seasonal expansion of gross profit margins in some regional markets such as Colombia. Q3 is typically the best quarter in terms of gross profit margins for us in this region.

From an operational standpoint, volumes have remained relatively flat quarter-on-quarter. This stability in volumes combined with margin expansion reinforces the fact that we are extracting better value from each transaction and each customer relationship. We are working towards optimizing for unit economics.

I want to be transparent about our cost structure evolution this quarter as well. The entire expansion in gross profit in absolute terms has not flown down to EBITDA. This is primarily due to two factors. First, an increase in the operating expenses that support our product development and go-to-market initiatives. And second, salary increments that have led to incremental workforce operating expenses year-on-year. These workforce investments reflect our commitment to retaining top talent in an increasingly competitive market for technology and sales professionals. Our people continue to be the most valuable asset of the organization and the investments in the workforce are necessary to maintain the quality and stability of our team as we execute our transformation strategy. While they impact EBITDA in the near term, we view these as essential investments in our long-term capability building. Also, shared management services between Route Mobile and Proximus Global have marginally impacted EBITDA negatively. Raj will run through the details on the same as he talks about the numbers in more detail.

I am pleased to report that our profit after tax margins have remained steady. This demonstrates our ability to maintain bottom line profitability even as we make necessary investments in the business and navigate significant changes in our revenue composition.

Beyond the financial metrics, we continue to make strong progress on our strategic initiatives that we have discussed over the past few quarters. Our new product portfolio continues to gain traction in the market. Rajdip highlighted a few key customers that we have onboarded in the past quarter. We are seeing increasing adoption of our omni-channel communication solutions, RCS messaging capabilities and WhatsApp business API integration. These products command premium pricing as compared to our traditional SMS-based services and they represent the future growth drivers of our business. We have tracked 14.5% Y-o-Y growth in revenue from new products in the nine months ended December 31, 2025 versus nine months ended December 31, 2024.

Despite the slight decline in revenue from new products in Q3 versus Q2, 2025-26, which is largely attributable to a situation with specific large customers, we continue to build a strong pipeline to grow this business segment significantly. Our partnership ecosystem continues to deepen. The relationships we have built with global system integrators and technology partners open doors to enterprise customers who require sophisticated integrated communication solutions. These partnerships allow us to participate in larger, more strategic deals with better margin profiles. In Q3, we have expanded our customer pipeline in partnership with Infosys and Tech Mahindra.

On the network API front, our engagement with the Konera initiative within Proximus Global continues to evolve. We are positioning ourselves at the forefront of the emerging telecom API ecosystem, which we believe will be a significant growth area as enterprises increasingly seek to leverage telecom-driven data solutions to secure, simplify and enhance customer engagement and experience. We are aligning with major MNOs, with whom we have long-

standing relationships in India and other emerging markets, to drive

the network API
development and go-to-market initiatives.
To summarize Q3 25-26, we have executed a strategic business mix transformation, replacing certain low-margin international businesses with higher-margin domestic and regional businesses. We have delivered significant gross margin expansion and maintained steady PAT margins despite increasing operating investments. And we have continued to advance our strategic initiatives across new products, partnerships and emerging technology platforms.
With that, I will now hand it over to Raj to walk you through the detailed financial performance.
Over to you, Raj.
Raj Gill: Thank you, Vinay, and good evening, everybody. I will summarize our financial and operating performance during the quarter ending December 2025, before opening the call to Q&A.
As described by Rajdip and Vinay, the standout metric has been our gross profit and margin performance, which has grown in absolute and on a percentage basis. This is testament to our advantaged mix of markets and customer base, along with a keen focus on routing strategy.
Our Q3 revenue from operations was 1071 million INR, which is lower by 6.5% year-on-year and 1.1% sequentially. This is largely due to the volumes in certain low-margin international long-distance business and structural SMS market impacts. But this is partially offset by growth in non-SMS products and particularly strong growth in the Masivian. In Q3, we reported a gross profit of 2712 million INR, representing an 8.6% increase year-over-year and a 9.8% growth compared to the previous quarter. This is due to gross margin expansion, which I will come on to next. Gross profit margin for the quarter stood at 24.5%, a 340-basis point improvement over last year and sequentially higher than the 22.1% achieved in the previous quarter. This is one of our highest quarterly margins performances. This upward trend reflects our strategic focus on optimizing customer mix and onboarding high-margin accounts, enhanced routing strategies, reinforcing our commitment to profitable growth and long-term value creation. On a reported basis, we constrained OPEX growth to plus 4% year-on-year mainly due to non-recurrence of prior year long-term incentive plans and foreign exchange movements. However, on a like-for-like adjusted basis, OPEX is up 10% due to trade receivables write-offs and salary increments, but again partially offset by cost savings from lower headcount. Adjusted EBITDA for Q3 increased by 3.5% to 1429 million and increased by 7.2% versus the previous quarter due to gross margin performance described earlier. This all contributes to an adjusted EBITDA margin of 12.9%, which is higher by 120 basis points versus prior year and sequentially higher than the 11.9% seen in the previous quarter. Adjusted profit after tax was 1026 million, which is up 2.2% sequentially and higher by plus 20% year-on-year proven by EBITDA flow-through, stable foreign exchange movements and lower finance costs as a result of prior external debt that has been paid off.

I will now hand over to the moderator for the Q&A section.
Moderator: Thank you. We will now begin the question-and-answer session. We have the first question from the line of Jyoti Singh from Arihant Capital. Please go ahead.
Jyoti Singh: Yes. Hi. Thank you for the opportunity. I wanted to understand a few things. Given Q3 revenue that was largely soft, but the margin recovery that we have seen, should we expect, we are targeting for the margin or more of a growth-led recovery? And another on the transaction side, so our billable around 129.5 billion as per nine months, which is 11% up, but revenue only up 3.6%. So, how should we think about pricing per transaction going forward? And third, what level of net new client addition and wallet share expansion is required to return to maintain revenue growth? These three points I wanted to understand. Thank you.
Vinay B

inyala: Sure. So, Jyoti, let me take that. So, first, let me address the easy one on the volume versus revenue growth. So, as we mentioned during the commentary and even the last quarter, we have seen certain shift of business from ILD to domestic. And the price points for India ILD versus India domestic is significant. So, to replace a certain value of ILD business, the volumes required on domestic are significantly higher. So, you will see larger volumes coming in at a lower price point. But in a lot of cases, because that is a domestic enterprise business, we typically gain higher margins on that business as well. So, that kind of explains the volume-revenue ratio. In terms of how would this be sustainable and what is our focus? So, obviously our essential goal is to keep growing the margins in absolute terms. And because it generates ROI for the company, that is the main objective and generates significant cash flows. So, that has always been the focus of the company. And plus, if we are able to maintain the OPEX at the levels where we are and expand the gross profit margin in absolute terms, we will see EBITDA expansion. So, the idea is moving forward, if ILD business starts reviving and even if we get a larger customer which is marginally lower gross profit as compared to the portfolio, if it makes strategic sense, if it is a sustainable business, we would not shy away from taking it unless it is absolutely impossible to service that customer without, so to put it briefly, if it tends to be a loss-making account, obviously we would want to stay away from it but if it makes reasonable profit and if it is sustainable at a certain level, we would definitely want to onboard

that business for the operating leverage that we can generate out of it.
In terms of the net new client addition, we are witnessing customer-onboarding. We are adding new customers. As we mentioned, even on the new products, we have added a few reputed brands in the past quarter. And even in certain areas like transport and ticketing, we have deployed our solutions in multiple geographies now. So, we are witnessing customer-onboarding. In terms of reviving to double-digit growth rates, it is a little early to give guidance on that. But we will certainly come back to the investors very soon on that point. So, we have certain strategic sessions planned out over this month and early part of March. So, we will soon be able to come back with specific, defined guidance in terms of how the business will scale up from here. I hope that addresses your queries.

Jyoti Singh: Yes sir.
Rajdipkumar Gupta: Jyoti, just to add to Vinay's answer, I think probably in coming quarters, we will always be able to focus on growth for sure. Along with that, it is also very important to focus more on quality customers than the quantity customers because for us, it is very critical to maintain our EBIT margin along with the GP. So, we are working towards adding new customers domestically and internationally as well. So, when you say ILD business, but apart from ILD, I think our global international business is also growing. So, we are focusing more on our customers who are looking out for a solution and they believe in our product. And I think that is the kind of story which we want to build. And I think quantity against quality is what we want to focus on quality customers now.
Jyoti Singh: Sure. And sir, if we can guide on the margin expansion side and revenue growth side?
Rajdipkumar Gupta: As far as the guidance is concerned, as Vinay has mentioned, we will come up with some numbers soon. But right now, we may not be able to give any guidance. But what you can understand from the last two quarters, if you see, are some of the changes we have made in our customer mix. And we let go certain customers deliberately to make sure they are not hitting our gross profit and EBIT margin. And probably in coming quarters, we may c

ome up
with the guidance. But right now, I might not be able to give you the guidance.
Jyoti Singh: Okay. Thank you, sir. And just a last question. Like I am getting a lot of buzz around the delisting of Route Mobile. So, just wanted to confirm nothing from our side.
Rajdipkumar Gupta: See, that is a totally complete rumor. And there is no, as a Proximus Global, we have no intention to delist Route Mobile. Route Mobile will continue as a listed company. And we are very much committed to our minority shareholders. And, what I can tell you right now is there is no intention of delisting Route Mobile in future as well.
Jyoti Singh: Thank you so much, sir, for the clarification.
Moderator: Thank you. We have the next question from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Yes, sir. Thanks for the opportunity. So, my first question is in terms of the focus that we are having for the margin expansion and not focusing on the lower margin business. So, where we are in that journey? So, what proportion of our business still is lower margin? And where we are in that journey in the sense that how many more quarters we will take to restructure? And this restructuring in terms of the mix is largely technology-led, geography-led or client-led? So, that is the first question. Maybe I can ask the second one after this.

Vinay Binyala: Sure. So, Amit, I can start and then Rajdip can probably add in. So, you know, the change in margin that we are seeing is primarily two factors. One is in India we are seeing some ILD business, slight decline in the ILD business in India, which is getting replaced to some extent with domestic India business. And also, in the rest of the world domestic customers in the UAE and Colombia where margins are relatively higher. We have ongoing customers in those markets as well. So, it is a mix of both. In a specific market, it is a mix of inbound traffic, whether it is domestic or international. And also, in terms of geographic mix, we are seeing domestic customer growth in other markets as well. In terms of your question regarding how long will this continue? So, I mean, in the last few months, we have not seen significant trends. It is a mix of certain aggregators who are bringing in certain international volumes into our platform where we have seen some dip. In terms of enterprise customers, we are not aggressively taking off enterprise customers on the ILD piece because there we are still retaining some of our customers. And we believe at these levels; the margin is fairly healthy. And as I mentioned earlier, if you are able to get large customers, reputed customers with sustainable business, we would still consider the business even if it is marginally below the portfolio gross profit level. So, it is a mix of how do we want to build a sustainable, scalable business versus do we want to purely focus on margin expansion. Okay.
Rajdipkumar Gupta: Amit, Hi.
Amit Chandra: Yes, sir.

Rajdipkumar Gupta: Amit, I think I have already, I think in last earning calls also I have mentioned there are two verticals we really want to focus, like telco and enterprise segment. So, we are also putting lots of effort and energy towards the telco business where we really believe that firewall business along with the map server, CPaaS in a Box which is more of a product-oriented solution for operators, is something what we are really focusing on. And with the Claro deal which we have already closed, going live in March, you will see the growth in our revenue because of that as well. And there are many, a few more larger deals we are closing in coming months down the line where the firewall deals are very lucrative in terms of margin as well. So, I think enterprise and telco are two separate businesses, like and this is exactly how we are trying to focus on our product roadmap as well, like we have separated our teams. So, one team focusing

completely on telco side of the business, one team focusing on enterprise side of the business. And in coming quarters, I think revenue growth is definitely we will work on along with the higher margin. As Vinay mentioned, the current margins are also healthy, and we will try to improve more on that as well what we have achieved in previous quarter.

Amit Chandra: Okay sir. Thanks for the clarification. And secondly, more a broader question on the ILD piece. Obviously, we are having a higher proportion of revenues from the ILD stream. And as you mentioned in the last calls also that this stream has almost stabilized. But how do you see the terminal risk to this business wherein most of the larger enterprise customers globally are shifting to alternate channels because of the higher ILD prices. And like most of the larger ones,

they have already shifted. And now the existing volumes which are there, what is the relevance in terms of the stickiness of these volumes? Maybe from a more long-term perspective or we want to totally pivot from ILD to……

Rajdipkumar Gupta: Amit, so, there is no impact completely on the ILD business. We also let go certain ILD business which are very low margin. Okay. So, it is something also you need to understand. We really focus on our margin and GP right now. And we also let go certain smaller customers who are aggregator, who are too demanding and they were looking for the lower margin for ILD traffic which we said no. And we let go that kind of traffic as well. What Vinay trying to highlight is there is a direct enterprise coming and then even not little lower than or total actual GP, we will entertain them. But I think those aggregators who are sending traffic to us for ILD traffic, we let those traffic go from our portfolio so that we are not entertaining those guys especially on ILD as well. So, as far as the enterprise traffic is concerned, it is very much there in our platform right now. There is a little bit declined by certain customers that they are moving from channel A to channel B, but definitely we are also in talks with those customers to use our channel, other channel like RCS and WhatsApp in terms they are trying to explore this channel.

Amit Chandra: Sir, obviously the question is in sync with what you are saying. So, the next growth driver is obviously the OTT channel which is WhatsApp, RCS and the platform that you talked about. So, where we are in that journey, obviously the segment that we report in terms of new growth area, there we are not seeing that kind of growth which is getting reflected there. So, how is your adoption there, where we are in that journey, what kind of growth we can expect from the platform right now?

Rajdipkumar Gupta: So, if you see the nine-month growth, it is a 14% growth, nine month year-on-year comparison if you see on the new product growth. There is certain traffic we have seen in the previous quarter. It was just the starting of the festive season that has also let certain volume increase by certain customers on OTT channel. But as a company, platform-wise, I think we are very much there with all the capabilities required to serve any large enterprise customer whether it is email, SMS, WhatsApp or RCS. So, I do not think there is any challenge in that type with the current pipeline which we have on the new product line. Now, Tushar coming and taking over as a CEO, he has definitely lots of inroads and insight about the Indian market and some of the neighboring markets like Bangladesh and Sri Lanka and Philippines. And we believe market like Bangladesh and Philippines are also going to contribute a lot on this new channel for us.

Amit Chandra: Okay. And the last question, where we are in terms of the Vodafone deal that we signed, what is the revenue contribution and are we above the MRC or the Minimum Revenue Commitment that we had with Vodafone? So, if you can give some light on that. So

, at the time we
onboarded, we had very aggressive targets in terms of the revenue from that deal. So, what changed and where we are currently?

Rajdipkumar Gupta: So, Amit as I mentioned, we are always going to now focus more on EBIT margin growth and GP growth and we will probably try to avoid such deals in future. Our Vodafone deal is going to, I think, consumed by the end of March. And if there is any deal with Vodafone in future, we will have two separate deals, one for the firewall, one for the SMS. So, it is not going to be merged as one combined deal. That is what I can tell you. But if we do a firewall deal, it will be separate. Then it is going to be 100% margin option for a firewall. And SMS will be a different deal if we do with Vodafone. But I can assure you one thing in future, if we do any deal with VI, it will be two separate deals, one for firewall, one for SMS. But we will keep in mind that we are not going to dilute our gross profit margin because of that deal.

Vinay Binyala: And Amit, just to add to what Rajdip said, on the previous deal, we do not have any delay. We are covered on that deal in terms of the commitment that we had; we are covered.

Amit Chandra: Okay sir. Thank you and all the best.

Rajdipkumar Gupta: Thank you.

Moderator: Thank you. We have the next question on the line of Kevin Gandhi from CapGrow Capital. Please go ahead.

Kevin Gandhi: Hello. Thanks for taking my question. I hope my voice is audible.

Vinay Binyala: Yes, you can continue.

Kevin Gandhi: Just wanted to know that even though the volumes are increasing, the revenue is quite on the decline on the ILD side. Just wanted to know what is the industry growth rate across the globe? Is that we are losing any market share or the total industry size of ILD is declining? And also, just a second question about the VI deal. So, what is the total revenue potential of this total deal? Yes, thank you.

Rajdipkumar Gupta: Kevin, as we speak, there is no new deal has been signed between VI and Route Mobile as of now. That is the only thing I can share with you. As far as the revenue potential is concerned, since there is no deal, we have no clarity about any revenue potential. Vinay, do you want to take the first question?

Vinay Binyala: Yes, sure. So, Kevin, just on VI, so it is more of a supplier deal where we pay VI for using SMS on their network. So, revenue comes from the enterprises which we service. And with VI, we have a deal where we have made certain commitments in terms of how much volume we will use on their network. So, there is no revenue from VI as such. It is more of usage of the VI network. In terms of your question regarding the ILD market size and our market share, so as we mentioned earlier, we continue to hold on to enterprises that we are servicing. We have lost certain aggregator business, which was either a decline in the aggregator's own volumes

or in some cases, in a very few cases, there was some competitive dynamics. So, what we believe and what we are seeing is it is not really a decline in market share. It is a situation where there is a slight shift in channels of communication and enterprises are experimenting with various things. And whenever they are deciding on a particular way in which they want to work, so for example, there is a very large global tech firm which decided to move from SMS to RCS and we are servicing them on RCS now. So, those kinds of trends are happening where we are seeing certain shifts in volume which could be temporary. There might be some volumes which might be lost, but it is not that we are losing market share and somebody is taking away those customers from us. It is more of a dynamic market situation right now.

Kevin Gandhi: Okay, understood. Okay, so just a follow-up question on your answer. So, basically since ILD is such a big component of our revenue, even though the new product revenue trajectory i

s not
taking over the ILD business, can we expect the ILD realization to actually improve over time? Like we have seen some stability, but do we expect the realization to again quite improve over time?

Vinay Binyala: So, I think Kevin Rajdip also touched upon this point earlier. And also, I mentioned that some of these enterprises are coming back to us when they decide on a particular channel. So, the way it works is if you need a partner who can support you on let us say for example RCS. Now for whatever reason, if a subscriber is not able to receive an RCS message because of the nature of handset or is not able to receive a WhatsApp message because of non-availability of data connection, then you need a CPaaS partner who can trigger a fallback on SMS. So, you need a partner who can provide all channels of communication, who can support you in multiple geographies. And that is where we score a strong point with such kind of large global enterprises. So, whenever there is an ILD business, we are able to still garner it. On the back of it, the VI deals which we refer to makes us fairly competitive in the market on such deals. So, that is where we are able to play a very strong hand when it comes to ILD.

Kevin Gandhi: Okay. Got it. Thank you.

Moderator: Thank you. We have the next question on the line of Jimit from Emkay. Please go ahead.

Jimit: Just a couple of questions. First is, can you shed some light in terms of how the CPaaS market size in India and across channels has evolved? Like how it is today versus how it was three years back? Just a broad color in terms of how it has evolved over the years. That is the first part. The second part that I wanted to understand is what could be our new product's revenue split between India and say outside India? So, if you can share some details on that. And third is with respect to new products itself. So, new products or even what we see in OTT, our revenue has grown by around 11% in Q3 and that is around 8% of revenue, total revenue. And one of our peers we see has reported around 31% of revenue from OTT channels and that is over 50% growth in Q3 itself. So, are we losing some sort of share? So, is that reading correct or if you

can help us correct the reading that we can have from the data? Thanks. That is the three questions that I wanted to understand.

Rajdipkumar Gupta: Let me start with market and adoption. The digital adoption in various emerging countries is growing every single day as we speak. And we believe that Tier-3, Tier-4 cities will contribute more in coming days down the line for the growth of digital channel adoption. And that is what the whole trend we can see right now. Digital communication, the digital transactions are growing every single day in domestic market. So, as we speak, we are not just focused on India as one market. Along with that, we have a market like Bangladesh, Sri Lanka, we have Philippines, we have UAE, Saudi Arabia, Colombia and Nigeria where we see the domestic market growth. And I think that is definitely a high margin profile which we are maintaining. Overall, if you see the CPaaS market, the volume growth, it is happening all across the globe right now. And that is the trend we see right now. There is a little bit drop in our ILD business because this larger hyperscale's, sometimes they want to try different channels. And at the end of the day, they are using Route Mobile channel only to shift that traffic from SMS to RPS or WhatsApp. Vinay if you want to answer second one?

Vinay Binyala: Yes. So, I think when the geography mix, Jimit, we do not publish it publicly but at this point in time, largely, there are three geographies where we are generating non-SMS or new product revenue as we call it. It is largely in India. We have a small proportion in Colombia. But if you compare it to the revenue in Colombia, it is a reasonable size of business there. And we have onboarded cer

tain customers in the Middle East. So, unfortunately, I am not able to give you exact split of revenue by the region. But in terms of growth, except for the sequential dip, we are seeing growth across all these markets. And the platform itself is fairly comparable to the competitors that you would be referring to in India and other markets as well. So, that is overall. I mean, unfortunately, I cannot give you an exact split of the revenue by country. We will figure out a way of how to share some insight on that. But at this point in time, we need to just check how sensitive it would be from a competitive point of view. And then we can take a call on how we can share the first details with you and the investors.

Jimit: Thank you. And if you can just elaborate more on the third aspect, which is the revenue split in terms of OTT and how it has grown for peers that we are looking at. So, is it some sort of market share shift that is happening? Or are we losing some market share? Any read through from your end?

Vinay Binyala: Sorry, I could not hear you well. But I think you are asking how is the OTT market share. I mean, the OTT growth versus SMS growth and how are we playing in that market? Is that the question?

Rajdipkumar Gupta: Yes, I think that is the question, Vinay. Just to let you know Jimit, our market share on ILD business is the largest in India as we speak. I think if I am not wrong, it is over 50% and we maintain that. There is a definitely drop from the hyperscalers. And they are using different

channels. And in that case, also, we are supporting those hyperscalers to use those new channels from our platform only.

Jimit: Great. Thank you for your responses. Just if I could squeeze in two more questions. One is in terms of the gross margin expansion. So, can we expect 24.5%, which is the current quarter level, to sustain for the next quarter or coming quarters as well? Or are we aspiring a specific level to look at in terms of the margin play? And second is, I just want to understand that what specifically led to this leadership decision. And even the position of Rajdip at Proximus level intact or what is the status there? Thanks. Those are the two final questions.

Rajdipkumar Gupta: Let me answer on the leadership. And I think it is a very, very good decision made by the board. Tushar has been in the system for the last 10 years. He is one of the top performance salespersons in the entire Route Mobile story. And he understands business very well. He understands domestic as well as global business. His knowledge about business is very critical for us. And I think he will definitely drive this growth story forward as we speak. As far as my role is concerned, it is definitely going to add value to Route Mobile if I am working very closely with the Proximus Global team, where I will make sure that we get more revenue coming to Route Mobile platform from TeleSign and the BICS. So, this is definitely going to add advantage to Route Mobile in coming quarters, if you see. And as far as Tushar is concerned, it is the best choice from our side because we believe he has all ability to drive this business to the next growth.

Vinay Binyala: So, Jimit, coming to your question on the gross profit margin sustainability, so I think we also referred to it earlier on this call. So, this quarter, there were certain drivers which could be a little seasonal in nature. So, for example, Colombia gets the highest gross profit margin in the

December quarter. So, that had a marginal contribution to the gross profit margin expansion. Now to look at it, the way we look at the future is this margin obviously is driven by mix of business. If ILD contribution is to increase, and typically ILD business is large ticket. So, single customers could add up to almost 1% to 2% or even in the best case, even higher than that of the total revenue if they are able to onboard them successfully. Th

e idea there is the
percentage margin with such customers might be below the portfolio average. But the absolute gross profit that they generate helps us get a lot of ROI on the business. So, that is how we look at it. If we are able to get some large customers which may dilute the percentage margin, but you will still see absolute gross profit expansion despite the margin dilution. So, that is how we look at the business. We would not let go large sustainable opportunities even if the percentage margin is different from the portfolio. So, it could be a little dynamic to put it very briefly, but it would not be at the expense or we would not want to see a gross profit absolute degrowth in the business.
Jimit: Perfect. That helps. Thank you so much. And best wishes to Tushar for the new venture.

Moderator: Thank you. We have the next question from Venkatesh S. an individual investor. Please go ahead.
Venkatesh S.: First of all, I would like to congratulate Mr. Tushar for being appointed as the new CEO of the company. Wishing you the best of luck. So, I wanted to know, so during our acquisition by the Belgium-based telecom operator BICS, so we were saying that TeleSign generates Rs. 3,000 crores of ILD traffic in India. And so currently I wanted to know how much of their pie is captured by Route Mobile post the acquisition.
Vinay Binyala: So, we can, I mean, TeleSign, so I will just give you a little background on how we started working with TeleSign. So, after the transaction, there was an analysis of how much traffic can TeleSign send to Route Mobile, where obviously we could offer them the best cost price. And India was definitely one market where we are drawing almost all the traffic that TeleSign sends into the country. And I think we have been disclosing this every quarter. So, till last, I think this quarter, around 12% to 13% of our total revenue, sorry, 14% of our total revenue is from TeleSign. So, that is the quantum of business we do with them, and it has been in that range over the past several quarters. And that pretty much accounts for what they would be sending into this market. So, the idea is, you know, and that is not only India, we also service them in a few other markets wherever Route Mobile is able to get the best priced routes, TeleSign sends all of that traffic into Route Mobile to capture that margin within the Proximus Global system.
Venkatesh S.: Correct. And on the current scenario which you are facing on ILD traffic, so when do you expect the situation to settle down? Because currently the differential between RCS and SMS through ILD is very huge. So, if at all RCS needs to match the price of SMS ILD, when do you think this will happen? And at that time, do you expect any stability in our business?
Vinay Binyala: Sure, so Venkatesh, that is a very fair point. And that is something that, in fact, the telecom operators in India also probably are thinking about. Because if you look at the way the industry evolved, you know, A2P pricing in India also evolved and increased. The SMS pricing in India also increased and the operators saw that as a significant revenue stream. And that entire process took longer than the operators would have liked. So, in my opinion, the RCS pricing should start getting normalized. I am sure the operators also are putting thought behind it. There are certain operational differences between RCS. I mean, the dynamics of pricing and the way money moves between operators for RCS is slightly different as compared to SMS. So, I think all of those things are getting formalized because even now it is still at a nascent stage if you look at it in terms of adoption. But operators obviously do not want to miss out on the ways. And they are evaluating what should be the right way to price it. And once that happens, we will automatically start passing through those increases with our margin on top of it to the enterprises. So,

that transition will happen. And as you rightly pointed out, that will also impact the way ILD traffic is flowing into the country. We might see some traffic going back to SMS depending on how the prices play out and certain use cases coming to RCS. So, that development will happen moving forward.

Venkatesh S.: Got it. And so I just have this question on the Indian CPaaS market. So, if you look at the partner ecosystem of WhatsApp or let it be Meta, so there are a lot of partners within India and many of the enterprises or the emerging MSMEs. So, they do not require the traditional communication through SMS. So, in that case, do you see the incremental growth coming from these small enterprises going towards individual partners within the WhatsApp ecosystem?
Vinay Binyala: If I get your question right, You are trying to understand whether the smaller enterprises will work with partners for WhatsApp business messaging. Is that the question?

Venkatesh S.: Yes, because still they require a single point of communication through WhatsApp.
Vinay Binyala: Yes. So, even the larger enterprises today, except for a few largely, they are working through partners. So, the idea is, as I referred earlier, so even if you are using WhatsApp, certain use cases where you want interactive communication will want to be over WhatsApp, but traditional notifications or things like OTP, you might still want to use SMS. So, the point is, every enterprise might have a requirement for multiple channels and you as an enterprise, it is not your core business to set up communication channels and integrate with various communication channels. So, to the extent possible, you might want to have a partner who can do all of these services for you and you can avail of multiple channels through a single partner. Plus, what we also look at is partners like Route Mobile, we also offer self-serve platform where smaller enterprises can log in, they can register, they can start using the platform by just doing a simple API integration if they do not want too much customization. So, there are multiple models that we operate. Plus, what we also do is, we also partner with other marketing automation or marketing agencies because a lot of marketing communication for large and small enterprises flows through such agencies or systems. So, we become the de facto partner for these marketing or marketing automation companies and enterprises start using our channels in the backend.
Venkatesh S.: Got it. And finally, can you quantify your market share on the NLD segment within India?
Rajdipkumar Gupta: Sorry, on the which segment? Sorry?
Venkatesh S.: NLD.
Rajdipkumar Gupta: NLD segment. Yes. NLD or ILD?
Venkatesh S.: NLD segment. NLD.
Rajdipkumar Gupta: So, I think we are definitely, I can tell you as far as the volume is concerned, in the Indian market, we are part of top two guys in the country right now. Whether we are number one or number two, that we do not know, but even if we say top two, probably Route Mobile is one of them.

Venkatesh S.: Got it. And one of your listed peers as well, they are continuously mentioning that they are gaining wallet share from some of the peers. So, I wanted to know whether, are they mentioning us or
Rajdipkumar Gupta: We are not losing our market share. So, maybe they are gaining from the other competition in India. India has multiple aggregators, but as far as we are concerned, we are not losing any customer as such. And as far as the domestic market is concerned, we are maintaining our customers and we are getting volume from them.
Venkatesh S.: Got it. And from a competition perspective, in the other emerging markets like Middle East, so do you see the same competition as we are witnessing in India and other markets? Or do you think you have a better edge?
Rajdipkumar Gupta: No. Competition is everywhere, Venkatesh. Competition is everywhere.
Venkatesh S

.: I mean the ability for you to win those customers. Do you think you have a better
Rajdipkumar Gupta: Indeed, yes. There are many customers we onboarded in UAE, Saudi Arabia and Kuwait, in Colombia, in Bangladesh, some of the deployment which I have already discussed at the beginning of my call. I think these all are when which we are winning because of our product superiority and there are competition everywhere as we speak, but there are certain products and the routing and the connectivity advantage we have where we create more value to the customers and probably that is why we win more customers as well in the various other markets.
Venkatesh S.: Got it. Thank you, I wish you best of luck.
Rajdipkumar Gupta: Thank you.
Moderator: Thank you. We have the next question from the line of Manish, an individual investor. Please go ahead.
Manish: Yes. I have a few queries. So, my first query is, the partnership with Proximus has been one and a half years. So, you have still not seen the synergy that has led to the revenue growth or the profit growth. So, how long will it take?
Rajdipkumar Gupta: As we speak, I think because of this partnership, there are 14% of the total revenue is coming from that partnership only and we are exploring, as I said, the Claro deal which we won in Latin America is because of BICS. BICS is taking us to the various other operators where we are showcasing our product portfolio, especially on a firewall side. That is all happening because of BICS relationship with operators. Along with that, we are now working very closely with BICS on network API initiative, which is Konera initiative, which is definitely going to be the next big thing in CPaaS ecosystem. And I think these all are happening as one Proximus Global initiative.

And there are many things we are working towards self-serve and other models where I think there are lots of synergies. But if you see how we are getting that in terms of our numbers, you

will see those numbers in coming quarters. But we are definitely working very closely with BICS
to take advantage of their operator relationship.
Manish: Rajdip, why I had that query because if I go to the June 2024 revenues, we had Rs. 1,107 crore
revenue. The same revenue is there. If the synergy is working very well, the revenue should
have gone up. Right? So, I think we are still at the same point where we were one and a half
years ago.
Rajdipkumar Gupta: So, certain large integration and collaboration take time. Our introduction with Tech Mahindra
and Infosys has all happened because of Proximus. We are working very closely with Infosys
and Tech Mahindra. And there are certain deployment takes time. We want one large
international customer because of Proximus and we work very closely with Tech Mahindra on
that for international termination. So, I think these things are happening as we speak. Even
with larger customers, partners like Infosys and TechM to integrate within their ecosystem or
of Salesforce, it takes time. You will see the advantage in coming quarters as we speak. And we
are working very, very closely with the team at Proximus Global to take the best advantage of
their relationships.
Vinay Binyala: Between June 2024 and December 2025 also, there have been some trends in the market,
Manish, where there is certain artificially generated traffic which we have referred to in some
of our earnings calls. There was traffic in the market which was eliminated by the enterprises.
So, there have been certain trends which have led to this situation. But as Rajdip pointed out,
we have certain initiatives that we are working on which should deliver positive momentum
moving forward.
Rajdipkumar Gupta: And I think in the last few quarters back, Manish, few quarters back, we already announced
that we lost one large OTT player for India traffic. I think two quarters back. And that customer
is almost Rs. 100 crores revenue per year fo

r Route Mobile. In spite of that, we did some kind
of synergy. We worked very hard to get more customers on our portfolio to maintain this
revenue. So, I think we lost some customers also because that customer directly went to the
operator and they did a direct deal with the operator. In spite of that, we gained new
customers. We got new customers. We worked very closely with our existing customers to get
more traffic from them. All these things, synergies, all these strategies are working very well
for us. And I think we are doing fairly well as far as the relationship with Proximus Global is
concerned.
Manish: Thanks for that. My second query is regarding the telecom part and the enterprise part. So, I
am in the telecom industry for the past 20 years. So, I would like to understand what are you
working on that?

Rajdipkumar Gupta: Our firewall solution, which is deployed with various operators globally, plus the Konera
initiative of network API is all solutions, plus the map server for RCS, which we have deployed
with Robi Axiata in Bangladesh. I think most of the operators globally; to enable their platform
for the customer to have RCS capabilities, I think they need a third-party platform like what we
already have. So, I think these are some of the telecom solutions which we are talking about.
And I think map server is a classic example where we will go along with BICS through various
African operators along with Latin American operators where we will try to deploy this map
server. And we are in talks with multiple operators to get this deployed.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I will now hand the conference
over to Mr. Raj Gill for closing comments.
Raj Gill: Thank you, moderator. So, with that, we will close the call. We appreciate your continued
support and we look forward to engaging with you again. Please all have a very good day and
we look forward to talking to you on the next call. Thank you.
Rajdipkumar Gupta: Thank you all.
Moderator: Thank you. On behalf of Route Mobile Limited, that concludes this conference. Thank you for
joining us and you may now disconnect your lines.

Call: May 2026

Ref No: RML/2026 -27/677

Date: May 15, 202 6

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE

Sub : Transcript of the earnings conference call for the q uarter and year ended March 31, 202 6.
Dear Sir/Madam,
We are enclosing herewith copy of the transcript of the Company's Q 4 FY2 6 earnings conference call on strategy update and Audited Financial Results dated Friday , May 08, 2026 .
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.
The same is also available on the Company’s website at www.routemobile.com
You are requested to take the above information on record.
Thanking you,
For Route Mobile Limited
Tejas Shah
Company Secretary & Compliance Of ficer
ICSI Membership No.: A34829
Encl: a/a
Route Mobile L imited
Q4 & FY’26 Earnings Conference Call
May 8, 2026
M
anagement:
1.M
r. Seckin Arikan: Chairman of the Board
2.Mr. Rajdipkumar Gupta - Managing Director
3.Mr. Tushar Agnihotri - Chief Executive Officer
4.Mr. Vinay Binyala - Chief Strategy Officer and Investor Relations Officer
5.Mr. Raj Gill - Group Chief Financial Officer.

Route Mobile Q4 & FY26 Earnings Call
Moderator: Good evening, ladies and gentlemen. Welcome to the conference call of Route Mobile Limited to discuss its Q4 and FY26 results. At this moment, all participants are in listen only mode. Later, we will conduct a question- and -answer session. At that time, if you have any questions, please raise your hand and we will unmute you r line to . Please lower your hand after you have completed your question.
Before we begin, please note that some statements made in today's earnings call may be forward -looking in nature and may involve certain risks and uncertainties. Kindly refer to s lide 2 of the presentation for a detailed disclaimer. Please note that t his conference is being recorded.
I will now hand the conference over to Mr. Vinay Binyala. Thank you, and over to you.
Vinay Binyala: Good evening, everyone, and welcome to Route Mobile’s Q4 and full year FY25 - 26 earnings call. I am Vinay Binyala, Chief Strategy Officer and Investor Relations Officer at Route Mobile. Thank you for joining us. We have a full house today, and we appreciate the continued engagement. I would ■rst like to introduce my colleagues at Route Mobile who are joining us on this call today :
Seckin Arikan, Chairman of the Board, Route Mobile, and CEO of Proximus Global
Rajdip Gupta, Managing Director, Route Mobile
Tushar Agnihotri, C hief Executive Officer , Route Mobile
Raj Gill, Group C hief Financial Officer , Route Mobile.
Before we begin, a brief note on the format. We are running this quarter’s call slightly differently. In addition to the usual ■nancial results and business highlights, we are dedicating a signi■cant portion of today’s session to a strategy update. Given the evolution of our business over the past year, shaped by broader market trends and sharpened internal strategic focus, we felt this was the right time to share that thinking with the shareholders and the analyst community in some depth. We believe it p rovides important context for the numbers also.
The structure for today’s discussion will be as follows. Tushar Agnihotri, our CEO, will open with a business overview and the strategic direction we are pursuing. Seckin Arikan, our Chairman and CEO of Proximus Global, will cover Route Mobile's role withi n Proximus Global and the larger Proximus Group. I will follow that up with a walkthrough of the growth strategy and business metrics, with Tushar adding color and context where relevant. Raj Gill, our Group CFO, will then

take us through the ■nancial results and outlook. We will have time for Q&A at the end. Over to you, Tushar.
Tushar Agnihotri : Good evening, everyone. Thank you for your time today. We have structured this session around four themes. I will cover the business fundamentals, what Route Mobile is, how it is built, and where our differentiation lies. Seckin will provide the Proximus Global context, which is central to understanding the broader strategic picture. Vinay will then walk through the growth strategy in detail, and we will run through the business metrics together. Raj closes out with the ■nancial results a nd guidance. Let’s begin.

I want to use this slide to establish the framework for the details that follow s. The straightforward messages is the reset is largely behind us, and the business that has emerged from it is structurally healthier. We say that with con■dence, and the numbers also re■ect the same clearly . Gross pro■t margins expanded in FY26 as relatively lower margin ILD volume has exited the mix. What remains is a more resilient and more defensible revenue base and, to put a number s to that, FY26 was the ■rst time that our annual gross pro■t crossed INR 1,000 crore s. That translated to a 22.9% gross pro■t margin for the year. The d river was exactly what I have described the exit of low margin ILD business, partially offset by the growth of higher margin domestic revenue

s. It is a
milestone that re■ects quality of earnings, not just scale.
Two growth engines are gaining real traction. One, o n the product side, RCS, WhatsApp, and AI enabled messaging have grown at a 43% compounded annual growth rate over the period FY22 to FY26. That trajectory points towards where the channel mix is heading. On the MNO Solutions side, our ■rewall and network API products are building into a high margin, recurring revenue stream that sits alongside the enterprise business. We have created a solid pipeline for the AI - driven A2P SMS and voice ■rewall solutions that we offer to MNOs, and this will re■ect in revenue expansion from this line of business in the coming quarters.
Two structural advantages underpin the whole approach.
First, India as our global innovation hub. What we incubate and what we prove in India, we deploy worldwide. The Aakash Education network API deployment is the tangible proof point of that
model. We developed and deployed a Network API -driven silent veri■cation solution for the client, which helps them address requirements such as tracking student s dropouts during the online registration process. Such solutions can now be extended to customers across the globe.
Second, Proximus Global. Being part of the group provides Route Mobile cross- sell access to 900 + MNO relationships and a global enterprise base that no standalone CPaaS company can access. We are being deliberate about capital allocation, targeted bolt on acquisitions to deepen platform capabilities, and meaningful returns of excess capital to shareho lders. We have also de■ned robust frameworks to support build versus buy decisions when evaluating product expansion or entry into new geographic markets. The reset was a difficult one . I believe it has made us more focused, more defensible business , and one that is well positioned for the next phase.
For those newer to the Route Mobile story, a quick look at the business fundamentals. 3,100 + enterprise clients , 175 billion messages processed annually , 280 + direct MNO connections across the globe , INR 4,400 + crores in revenue for FY26. What distinguishes us as a preferred A2P SMS solution provider for global enterprises is our direct connect with MNOs globally. These connects are not routed through intermediaries and are direct agreements and platform
integrat ions built over two decades of partnership wi th such MNOs. That depth of operator partnership is a genuine competitive barrier, and it’s our customers delivery rates and pricing that aggregate only players cannot replicate. This positions us strongly as a partner for traditional A2P SMS solutions. We have been pro■table since year one of operations, and that discipline continues.

In FY26, our cash ■ow from operations to EBITDA ratio was above 100% + re■ecting a healthy, cash generative business. I would also want to talk about our platform evolution story, as it provides important context for where we are taking the business. Route Mobile was built on A2P SMS. That remains a signi■cant part of the business today. But the platform has evolved meaningfully, and we now offer a uni■ed full stack platform that encompasses all channels of communication that an enterprise could require across RCS, WhatsApp, Viber, email, and more recently, Network API products that sit at the MNO s backend, silent authentication, SIM swa p detection, and device veri■cation, amongst others capabilities that very few messaging platforms offer. This enables us to deliver cutting edge, secure customer experience solutions to enterprises. The direction is clear from connectivity infrastructure and toward s AI-powered intelligence at the enterprise engagement layer. As we move up this value chain, the margin pro■le improves and customer relationships become structurally stickier. This evolution from
pure connectivity to an AI -powered engagement platform is exactly what the growth st

rategy is
designed to accelerate.
Three things that differentiate Route Mobile in the market.
First, global connectivity. Being part of Proximus Global immediately expands our direct MNO access to 450 + carriers, 280 + direct connects from Route Mobile and an additional 170 + direct
connects that BICS adds to the ecosystem. This is not replicable in a short time horizon, and it
translates into delivery , reliability , and pricing that aggregators cannot match.
Second, a full stack CPaaS platform , SMS, voice, email, RCS, WhatsApp, omnichannel, one
single platform one integration, with AI -ready capabilities embedded natively across the
channels.
Third, Proximus Global being part of a multibillion -euro telecom group gives Route Mobile access
to distribution and technology partnership that a company of our scale simply could not access
independently. Seckin will elaborate on this, but I want to ■ag it here as a genuine structural
advantage, not a ■nanc ial characterization.
A brief walkthrough of the Route Mobile journey, because I think the discipline of how we have built this business is relevant context for assessing the credibility of the plan ahead. We started with two thousand dollars. We built direct carrier relationsh ips systematically, country by
country. We listed ourselves on BSE and NSE. We made targeted acquisitions to add capability and enter new geographic markets. We transitioned from an aggregator model to a direct
enterprise platform model. The acquisition of Route Mobile by Proximus was the pivotal moment
in that journey. It moved Route Mobile from being a well run regional CPaaS company to being the
enterprise connectivity and AI platform of a global B2B telecom group. The strategic and
commercial implications of that are still playing out, and they are very much in our favor. The
current chapter, which Vinay will take you through in detail, is about the next evolution of that journey. With that, let me hand over to Seckin.
Seckin Arikan: Thank you, Tushar. Good evening, everyone. I am Seckin Arikan, Chairman of
Route Mobile's Board and CEO of Proximus Global. I want to spend a few minutes on the Proximus
Global context because I believe it is important for understanding the full Route Mobi le story.

Proximus Global brings together three businesses focused on delivering communications and
customer engagement services to global enterprises.
We operate across three core businesses. BICS, our global connectivity platform , Telesign , our
digital identity and communications API business and Route Mobile our enterprise CPaaS and
omnichannel engagement platform. Each ■lls a distinct role in the enterprise connectivity value
chain. Route Mobile ■lls the one that is most difficult to build, direct at scale enterprise
relationships across a p latform that spans messaging, voice, AI, and N etwork APIs.
None of the other entities in the Proximus Global group do that at the scale and efficiency that Route Mobile does, which makes it, in my view, strategically very important.
Let me be speci■c about what Proximus Group membership means for Route Mobile in practice,
because I believe it is sometimes underestimated. BICS has direct relationships with most of the
mobile network operators globally. For Route Mobile, that is a commercial distribution channel. As we seek to expand our RCS delivery reach, we can leverage this mobile network operator
access to accelerate our initiatives. When we develop a new network API product, a s ilent
veri■cation solution, a fraud detection capability, we have an immediate path to those operators
at global scale. That is an extraordinary advantage for a company of our size. BICS is also enabling
a rapid pipeline development for the A2P SMS and Voice Firewall solutions that Route Mobile offers to mobile network operators globally.
Telesign has a deep and established enterprise customer base in the US and European markets.
Many of th

ose customers have requirements that Route Mobile's omnichannel CPaaS platform is well -positioned to address. The cross -sell pipeline is active and building gradually. Route Mobile
is not executing this plan alone and the distinction matters signi■cantly for how you assess
execution risk.
This slide illustrates the scale and the global reach that Proximus Global has as a group. Trusted
by several Fortune 500 enterprise clients across the globe. Ability to connect with 5 + billion
individuals worldwide , 200 + billion messages processed annually , a truly omnichannel CPaaS
platform. Ability to offer enhanced digital identity solutions that are aim ed at fraud prevention.
What I would ask you to note is the two -directional nature of this relationship. Route Mobile brings
enterprise relationships and CPaaS platform capability to the group. The group, through BICS and
Telesign, brings distribution reach, operator relationships, and a customer base that ampli■es
what Route Mobile can achieve independently. As the platform continues to evolve, GenAI,
Firewall, Network APIs, those capabilities enhance the value proposition of the entire Proximus
Global group for enterprises and operators alike. It is a cycle and it is one we are investing in with
conviction.
To close, let me bring together the key reasons why Route Mobile within Proximus Global is a compelling opportunity.
Three reasons this is compelling.

First, absolute operational strategic backing. Joint commercial programs are running with BICS and Telesign . This is active execution, not a future opportunity .

Second, the cross -sell opportunity is near term and measurable. BICS customers who have never been offered CPaaS, Telesign enterprise accounts who have yet not been introduced to Route Mobile's omnichannel suite. These are real conversations underway.

Third, Route Mobile is building an AI -native CPaaS platform at precisely the moment enterprises are accelerating AI adoption in their customer engagement strategies. The demand is clear. The platform is being built to meet it. With that, I will hand it over to Vinay for the strategy detail.

Vinay Binyala : I want to address this directly, because the credibility of our recovery plan depends on a clear -eyed account of what we experienced. Certain headwinds converged in the past 18 to 24 months.

The most significant was structural: ILD A2P SMS – historically a significant revenue driver for us is in secular decline. Certain large enterprises migrated to WhatsApp, RCS, and other OTT channels. This shift has affected every CPaaS business with material ILD exposure.

The second was AIT – Artificially Inflated Traffic. An industry wide clean up triggered a significant decline in A2P SMS volumes globally. As an aggregator, Route Mobile was exposed to that contraction.

Third – Macro. Enterprise CPaaS budgets were cut as part of cost optimization cycles over the past few years in response to high A2P SMS costs in certain geographies. Discretionary communication spend was among the first categories to be reduced.

Fourth – Our new products grew at 11% year -on-year, but from a small base. At approximately 8% of total revenue, they are not yet large enough to offset the ILD revenue decline.

And fifth – post- acquisition integration complexity added a layer of operational challenges that were not purely market driven. We have spent the past 12 months understanding each of these precisely. The strategy I am about to walk through is a direct response to every one of them.

Tushar Agnihotri : If I can add something here when we looked at what happened, the honest conclusion was that some of these headwinds were genuinely outside our control – the AIT clean - up and the macro spending cycle. But some of them, particularly the pace of product mix transition and the integration complexities those were things we could have moved faster on. We have been direct with ourselves abo

ut that. The strategy Vinay is about to walk you through reflects th e candor. It is a specific plan, not a g eneric recovery narrative.

Vinay Binyala: This is the playbook, and before I walk through it, I want to highlight an essential fact execution is already underway across every element of this . This is not a forward -looking plan; it is a live program. Route Mobile is making a deliberate shift to platform defensibility.

The architecture has three layers.

At the top – platform strengthening – two pillars.

ELEVATE is about the omnichannel platform scaling RCS, WhatsApp, and OCEAN, moving up the value chain, improving margin quality, and deepening customer lock -in.

INNOVATE is the AI and India innovation hub – GenAI -ready CPaaS, internal AI deployment, and India as the product incubation center for the Proximus Global group.

The middle layer is near term growth execution.

DEEPEN refers to core market penetration. We have 3,100 + clients, the majority using our solutions for a single communication channel. The wallet share opportunity within that base is substantial and requires no customer acquisition spend.

EXPAND drives geographic growth, backed by Proximus infrastructure and Telesign enterprise relationships.

The foundation layer is ACCELERATE – M&A and partnerships. AI -led acquisitions to compress the capability build timeline, ISV and partner ecosystem to expand sales reach and the Proximus cross -sell which I would describe as the most structurally distinctive and underappreciated element of the entire plan.

The five pillars reinforce one another deepening the core strengthens positioning and validates the platform differentiation; platform differentiation, in turn, enables geographic expansion. M&A could help accelerate all other initiatives. It is a compounding engine. That said, M&A will be driven basis a well -defined evaluation framework which helps determi ne whether build or buy towards the various initiatives such as developing or acquiring specific platform capabilities or entering new markets through or ganic setup versus local acquisition.

Tushar Agnihotri : I want to add one thing here. When you look at the architecture of this strategy, what gives me personal conviction is that each of these pillars has a clear line of ownership internally and a set of active programs behind it. This is not just a slide buil t for this discussion.

The M&A pipeline is already live and evolving. Piloting products in the India market and then taking them to a global customer base is already underway. The omnichannel platform is actively being

sold.
Vinay Binyala : Three focus areas under the ■rst pillar: omnichannel scale – RCS, WhatsApp, and OCEAN. This is our direct commercial response to A2P SMS decline. As enterprise clients migrate off SMS, we need to be the platform they migrate to. RCS and WhatsApp are growi ng. OCEAN ties the channels together and creates the platform stickiness that mak es customer relationships more durable.
We are also witnessing that enterprises are leveraging different channels for different use cases for instance, plain noti■cations are still transmitted through SMS, whereas interactive customer support use cases are supported over WhatsApp and RCS.
Our OCEAN platform addresses exactly this requirement by enabling all channels through a single platform offering a one -stop shop to enterprises for all their customer engagement requirements .
Next, GenAI -enabled CPaaS enterprises increasingly want to deploy AI -powered customer engagement intelligent chatbots, voice agents, and personalized messaging work■ows. We are actively enhancing the platform to be the trusted CPaaS delivery layer for that.

CRM, ERP and CDP connectivity , AI-accelerated deployment pipelines the development work is already underway.
We support ready integrations between our platform and several commonly used CRM, ERP ,

and
CDP platforms.
Firewall and Network APIs is an extremely exciting component of our business offerings.
Regarding A2P SMS and Voice Firewall for mobile operators, our AI -powered fraud detection and revenue optimization solutions create recurring managed service s revenue streams for mobile network operators and we are witnessing strong operator demand and pipeline build -up for these solutions.
We are also leveraging the Proximus Network API initiative ‘Konera ’ to offer differentiated innovative solutions around Silent Veri■cation, SIM swap, and device location, to enterprises.
These solutions create high barriers to entry as they require integrations with mobile network operators.
We are actively pitching these Network API -based solutions to enterprises. These are capabilities that make Route Mobile genuinely difficult to displace.
I would like to highlight three active programs around this theme which we are referring to as Innovate . The Internal AI. We have a live AI program running across organizational functions including customer support, engineering, and deployment. We are driving measurably lower cycle times, better support resolution rates, and faster product delivery. We're scaling this mandate aggressively across every function.
GenAI chat and voice solutions. We're building AI -native conversational agents for both chat and voice channels , not basic FAQ bots. Multi -turn, contextual AI interactions that meet the growing enterprise demand for intelligent customer engagement across chat, voice, and messaging.
Route Mobile is positioning as the CPaaS delivery layer for that demand.
Network API deployment : the Aakash Education proof point. We deployed a N etwork API - powered Silent Veri■cation solution to Aakash Education, one of India's leading largest ed -tech platforms. We are now ready to commercialize this solution across the Proximus footprint globally.
Tushar Agnihotri : I'll add a thought on India speci■cally, because I think it's worth understanding the philosophy behind the “India as innovation hub” framing. India gives us world -class engineering talent at a cost structure that allows us to take product risks that a We stern development center simply can't. We can build, test, prove, and iterate faster. The Aakash deployment took just a few months from concept to live. That velocity is a competitive advantage, and the Proximus Global relationship means that once something is proven in India, we have the distribution to take it global immediately. The combination is genuinely unusual.
Vinay Binyala : Next let’s look at c ore market penetration our highest ROI near -term opportunity, and it sits entirely within the existing client base. We serve 3,100 + enterprise clients, the majority on a single channel today. There is limited to no customer acquisition cost required to capture this opportunity. We visualize three speci■c plays.

Key Account Management for account deepening , focus on moving clients from transactional, single -product relationships to multi -year, multi -channel platform engagements. The value uplift when clients go multi -channel is signi■cant.
Cross -sell and upsell to drive migration of SMS only clients to RCS, WhatsApp, Voice delivering meaningful revenue uplift with minimal incremental sales cost. In most cases, this will lead to expansion of use cases that we support for the same client.
Solutions led selling - Shifting from API connectivity to platform solution engagements. Larger

deals, longer relationships and better margin s to be driven . The base is there. The task is to deepen it systematically.

Let’s look at our geographic expansion plans with a structural advantage that fundamentally changes the economics of entering new markets. We enter new markets which present higher -than- industry -average growth opportunities. This changes both the risk profile and the return on investments related to such expansion. We have identified certain priority emerging markets, including Mexico and Philippines. These are high- growth, under -penetrated CPaaS markets with strong enterprise demand in BPO, financial services, and e -commerce verticals. These ar e also large markets for the OTT messaging solutions such as WhatsApp and Viber. In the US, Telesign's infrastructure gives us a lane into the world's largest enterprise messaging market one Route Mobile has had limited direct exposure to historically. In Europe, GDPR are compliant messaging for financial services and logistics, where our compliance credentials carry real weight with enterprise buyers. And overarching all of this the Proximus Network Effect. Every BICS customer is a potential Route Mobile engagement. We are actively converting that opportunity today, especially on the mobile network operator solutions side of the business.

The fifth pillar and the one that compounds the returns on all the others. Organic growth alone will not close the AI capability gap within the timeframe the market requires. Our M&A strategy targets conversational AI and CPaaS -adjacent capabilities – com pressing a two -to-three -year organic build cycle into 12-18 months. Our acquisition criteria are clear: AI -native capability, a complementary customer base and a credible path to accretion within two years of closing. These will be small- to-mid -sized acqui sitions, primarily for capability, and not necessarily for scale of the target business. We are also evaluating new geographic market entry through potential acquisitions. These will, however, be slightly longer -drawn processes, as the target evaluation wi ll need to be more thorough in terms of immediate value add through the acquisition.

Partner and reseller G o to Market : We look at expand ing the ISV and system integrator ecosystem we also expand telco white -label distribution. Scalable and capital efficient approach towards this initiative We have onboarded certain large clients over the past year through our partner ecosystem, and we believe this could be a significant revenue driver if we leverage it in the appropriate fashion.

And the Proximus cross -sell joint go-to-market programs into BICS and Telesign enterprise bases this will deliver high ROI and structurally unique solutions which Route Mobile can bring to the market. No standalone CPaaS company has access to this leve l.

Tushar Agnihotri : On M& A I’d be clear about our philosophy here, because I think it's worth articulating for the record. We are not looking to make large, transformational acquisitions. We are looking for targeted, capability -led transactions where the technology accelerates the roadmap and the customer base is complementary. The integration risk need to be manageable. The time to accretion need to be defined. We've been through the complexity of a large integration the experience shapes how we approach this. Disciplined, specific, a nd capital efficient .

Vinay Binyala : Let me now run through the business metrics. The next four slides provide the quantitative picture that sits behind the strategy we've just covered. They cover the new product revenue trajectory, geographic mix, industry vertical breakdown, and the custome r cohort s. These are worth looking at carefully, as they explain both the headwinds and the early evidence of recovery.

New products revenue is the most important forward -looking metric in these results, so I'd draw your attention to it. FY25 –26 new products revenue came in at approximately ■3,500+ million. The four -year CAGR since FY22 is 43%. Growth moderated to 11% year on year in FY26 the tougher comparative period and macro environment are reflected in that. As RCS, WhatsApp, and AI -enabled products continue to scale as a proportion of revenue, two things follow structurally greater revenue resilience and rapid growth. FY26 is a base we are building on, not a ceiling.

On the geographic revenue mix , two key observations here India remains the largest termination geography partially a function of ILD domestic shift as international enterprise clients reduced spent, we have grown the domestic business new large domestic customers added and the revenue growth from existing clients. Two observations on the geographic mix. India remains the largest termination geography, ILD volumes declined but were partially offset by domestic volume growth. We added new large domestic customers and witnessed revenue growth from existing clients. The reduction in US -headquartered customers’ contribution also reflects the loss of ILD revenue the same structural dynamic we've been discussing throughout. The geographic expansion strategy we've just covered is designed to accelerate the diversification of this mix over the coming years.

Vertical breakdown useful for understanding where the headwinds were concentrated. Financial services remain our largest vertical, and we've seen good growth from domestic Indian FinTech and BFS clients high -frequency, high -stickiness usage patterns, which is exactly the client profile we want to deepen. Digital native declined due to a specific US -headquartered client migrating to alternate channels. E -commerce fell, reflecting the loss of ILD traffic from a global major. The common thread is the ILD and g lobal enterprise exposure we've discussed. Domestic recovery is partially offsetting this, and the product mix shift we're executing is designed to accelerate that recovery.

This slide probably best explains the revenue dynamic for FY26, so it's worth a moment. Two things drove revenue decline despite relatively stable transaction volumes.

First – customer mix shift. ILD revenue was concentrated in a small number of high- value accounts. That revenue was partially replaced by domestic customers, but domestic average revenue per account is significantly lower than ILD. The silver lining: domes tic clients carry relatively higher gross margins, so the profit mix is actually healthier even as the headline revenue compressed.

Second – pricing compression. ILD transactions command a structural pricing premium over domestic routes. The same transaction volume processed domestically generates materially less revenue. This is a pricing dynamic, not a volume problem and it underscor es why the product and channel mix transition is central to the revenue recovery story.

Tushar Agnihotri : I'll close this section with a broader reflection. The metrics Vinay has just walked through tell a consistent story the challenges of the past two years were real and specific, and the recovery is real and building. Gross margins are moving in the right direction. New product revenue is on a clear upward trajectory. The domestic customer base is growing. None of those things happened by accident they reflect the se strategic choices we've made about where to invest and where to hold the li ne on quality. The base we're building from is sounder than the one we started this reset from. I'm confident in the direction. With that, I will hand it over to Raj.

Raj Gill : Thank you Vinay, and good evening, everybody. I'll quickly summarize our financial and operating performance during Q4 FY26 and for the full year; then I will look to the future with our financial guidance and capital allocation plans.

Starting with Q4 revenue and gross profit, our Q4 revenue from operations declined by 3.8% year -on-year, driven by the structural SMS market volume declines in ILD O as described earlier. This is partially offset by encouraging growth in our domestic business and non- SMS products. However, looking at the current quarterly trend, revenue grew by 2.2% sequentially to 11,309 million, supported by 45.1 billion transaction s during the quarter.

From a gross profit perspective, absolute margin grew 16.6% year -on-year at

2,639 million, while the percentage margin increased to 23.3% as compared to 19.3% in Q4 last year, mainly driven by a shift from lower -margin ILD O volumes, delivery of routing and cost initiatives, along with focus on retention and growth of our higher -margin existing customers.

Turning to EBITDA and profit after tax, adjusted EBITDA for Q4 increased by 11.9% year -on-year to 1,343 million, while being lower in absolute terms than the previous quarter due to seasonality. This represents a ten -quarter record in terms of adjusted EBI TDA growth, demonstrating the ability to land gross margin flow -through benefits, as OPEX is constrained mainly to wage indexation and receivables provisions. This all contributes to an EBITDA margin of 11.9%, which is higher than the 10.2% seen in the pri or year.

Adjusted profit after tax was 1,144 million, which is up 34.6% year -on-year and 11.6% on a sequential quarter basis. The PAT margin has also increased to 10.1% compared to 9.3% last quarter and 7.2% last year. The strong PAT trajectory is mainly driven by higher gross margin, foreign exchange movements, lower financing costs, and a lower effective tax rate.

I will briefly touch on the full year results before moving on to the final section. Revenue from operations declined by 3.7% year -on-year to 44,082 million. At the same time, gross profit increased by 5.9% year -on-year at 10,073 million, and the margin increased to 22.9% versus 20.8% in the previous year. Adjusted EBITDA grew by 0.4% year -on-year to 5,259 million, and EBITDA margin expanded to 11.9% compared to 11.5% last year. Profit after tax, adjusted for exceptional items, is higher by 6.7% year -on-year to 3,761 million, with a PAT margin at 8.5%. Our cash position stood at around 1,400 crores as at March 31.

This is our usual adjusted EBITDA and PAT walk, which we produce every quarter.

So now, looking ahead to future ambitions, the team took us through the strategy, growth opportunities, and positioning of Route Mobile. So, let’s dive into what this means for the coming financial year.

Revenue is expected to grow by mid to high single digits, driven by the exciting growth playbook and the tangible competitive advantage we see. Our laser focus on moderating cost of sales and driving AI -led OPEX efficiencies will continue to deliver stable margin performance. Therefore, we will deliver the expected increase in revenue while achieving an EBITDA margin of around 12%. It is worth noting that we deliver strong EBITDA -to-cash conversion, and this will continue in the

coming year.
Moving on to how this translates to our capital allocation strategy, we will adjust our dividend policy to return a higher portion of our available free cash ■ow, while leaving room for value - accretive initiatives going forward. Our regular dividend will meaningfully increase from INR 11 per share to a sustainable level of INR 16.5 per share, which represents a 50% increase. This will be payable each quarter as usual.
Thank you all for your kind attention during the prepared section of this call. I will now hand over to the moderator for Q&A.
Moderator : Thank you. We will now begin the question- and -answer session. If you have any questions, please raise your hand and we will unmute your line to ask questions. We have the ■rst question from the line of Kunal Ochiramani. Please go ahead.
Vinay - There is some background noise .
Moderator: We have a question from the line of Amit Chandra. Please go ahead.
Amit Chandra : Hello, can you hear me?
Vinay Binyala : Yes, Amit, we can hear you. Please go ahead.
Amit Chandra : Hello. Thanks for the opportunity, and thanks for the elaborate update on the strategy, which was actually missing. Firstly, we have laid down the plan for growth and terms of recovery for the next year. But if I see the shift that is happening in the industry where most of the traffic has moved from traditional channe

ls to the new channels, and the new revenue stream
has been created over the last one year, I see the competition that they have scaled up that WhatsApp, OTT, or that segment of the revenue pretty fast and that has now become 30–35% of the revenue but f or us, it has been only 8% of the revenue from the new products. Where we have missed in terms of cross- sell and identifying new opportunities? Is it only related to the transition challenges or is there something lacking in terms of offering s to the clients because that was a big shift and from here on how do we see the new products revenue contributing to growth , from

here on because till we are at a very small part in terms of the overall like revenue mix so that is the ■rst question .
Secondly, obviously in the existing base, we have seen a decline of the ILD portion which was earlier a major like part of the total revenue? So how this shi ft has been over the next two years, and currently what portion of th e revenue is from ILD? I also see the termination and the India portion have been coming down because of the drop in the ILD revenue or is something else to it?
Vinay Binyala : Sure, Amit. Let’s take these questions one by on e at a time. So, I think the easiest one is on product differentiation. So, I think when you look at the non -SMS product portfolio that we have, in terms of channels, our platform supports all the communication channels that an enterprise could look at, whether it is What sApp, RCS, in fact, Viber in certain Asian markets, and email.
So, I would not really say that the platform is in falling short in terms of capability. In terms of scalability also, we have serviced customers where we have supported signi■cantly large transaction volumes on a daily basis for some of our customers on these channels. So, I believe,
in terms of technolo gy and platform capability, we are pretty much there in terms of what the market needs.
Also, in terms of what we are doing around the product, we are creating another layer on top of this, where we will be able to address a lot of Gen AI and AI intelligence -related requirements that enterprises are now adopting aggressively. So, Tushar, woul d you like to add something there?
Tushar Agnihotri : Thank you for the question. Alongside, we are getting some new offerings in the market, something we call Konera, which we launched a few months back in India. That is an intelligent platform we are bringing into the country, which is a part of a generic ca tegory of Network APIs, where we leverage our association with telecom operators and give solutions that will be novel to the market. We are testing these solutions along with telcos in the market, and we are pretty hopeful that this wil l bring in a new customer base and give impetus to our new product focus in the country.
Rajdip Gupta : I think in my last call I also highlighted telecom products, including telco and the enterprise segment. As I mentioned before, the F irewall piece of our business is growing very fast. In fact, I’m proud to say that last month we have achieved the highest amount of revenue ever in our Firewall business. Some of the contracts which we are winning with the help of BICS are going to play a very critical role in the overall growth of our numbers as well. I know the sales cycle for the Firewall dea ls are longer, but recently we have closed one large deal with Claro, which is now
live. We believe that the telco focus of our business, with the help of BICS, is de■nitely going to play a very critical role in the coming years down the line . So, that is one area where we all need to focus.
AI-native CPaaS solutions is something that we are very serious about, and AI -native Firewall solutions, especially for telecom fraud and digital fraud is the biggest piece where most of the

telcos are looking out for a solution . As a company 365 Square d is especially

focusing more on
these AI -native solutions for the operat ed solutions.

We have successfully implemented certain solutions in some of the operators, and we are very much in talks with various operators. With the great support of BICS, we do see that business is going to grow multifold in the coming years down the line.
Vinay Binyala : To address some of the other questions you had, Amit, regarding ILD and India termination: ILD, as you rightly pointed out, over the last year we did witness decline. But if you look at the last quarter, we have kind o f seen that stabili zing now. So I think whatever decline we were expecting is now in the base. Even in the run rates, I don’t th ink we are not seeing any further threat to that segment of the business. In terms of total contribution to the revenue, I’m not 100% sure if we have disc ussed this in the public domain in the past, but it is around one -fourth to one -third of our revenue somewhere in that range.
So that’s where ILD in terms of our overall business ti mes. India termination, I think you highlighted yourself ILD given the price point that it attracts per transaction. If there is a decline in ILD, it results in a decline in India termination. But that said, we have also offset some of this ILD loss with domestic business wins, which we also spoke about during the presentation.
We are seeing growth in domestic customers not only in India but in other parts of the world as well. That is a big push. As Tushar also mentioned, either with the new products in some of the markets we are still seeing the SMS business grow and some of the emerging markets we are still seeing good growth around SMS and obviously we are pushing hard for the non -SMS components within our portfolio.
Rajdip Gupta : Yeah, and just to add one more point, Amit, I know most of these OTT players are trying out different channel of communication such as WhatsApp or RCS. We are de■nitely reaching out to them and giving them options to use our channels either on WhatsApp or RCS . We have onboarded a few large OTT customers who are testing our platform to move traffic from SMS to RCS. The discussion is going on we are at a very early stage, but yes we started generating revenue from these OTT players, RCS especially and some of the WhatsApp use cases.
Amit Chandra : Okay, so just to follow up, in the presentation, of strategy of growth and pillar one , the platform and innovation. So obviously you said that Firewall and Network APIs as focus areas, and we have been growing fast there. So where is that growth getting re■ected? Does the 8% revenue from new products also include s Network API revenue, or is it separate?
Vinay Binyala : The next -gen products do not include that revenue, because it is largely still related to SMS. There is a little bit of voice Firewall component to it , but largely it is A2P SMS Firewall solutions that we are deploying for operators. So that revenue is still being ac counted under the SMS segment of the business. The next gen you see mainly includes channels like WhatsApp, RCS, email, and other OTT channels.
Amit Chandra : Okay, so any like number what would be the contribution in terms of percentage mix from Network APIs or Firewall? Also, if you can breakup of the current revenue in terms of the old age kind of services versus the new age services and in terms of the strategies that you have laid out ■rstly SMS, ILD and the AI n ative services and the ■rewall network and API solutions and

the current revenue mix in terms of if you can give us some ide a it will be better for us to understand how the mix will change maybe in the next one year.
Vinay Binyala : Sure, Amit, so unfortunately, we don't disclose that in the public domain. We will still, you know, evaluate internally and we can come back with communication to the analysts and shareholders around this. But in th

e past, this has not been public information. So we'll ■gure
out what's the best way to provide some guidance around this. But in terms of, you know, the non -SMS portfolio, as you see in the presentation, it's around 8% and we are identifying ways in which we can grow that business signi■cantly. And on the AI, it is still kind of a new solution that we are bringing in. So in terms of revenue contribution, it will take some time, but what it will also do in parallel is it will drive adoption of the non- SMS platform itself.
Because the solution becomes more attractive for an enterprise, we will see the channel adoption and revenue around the WhatsApp and RCS channel also pick up when we deploy these AI capabilities .
Rajdip Gupta : I think, Amit , the more focus on AI coming forward at Route Mobile is more mainly how we can enable customer faster onboarding. And I think through AI we are going to make certain changes in our platform very soon and you will de■nitely see the outcome of those changes in the coming quarters . Because as far as the platform is concerned, as Vinay has mentioned, we have everything what market needs, but there are certain AI capabilities required with the current platform. I think we are de■nit ely already have a plan to do that and we already

have some kind of engagement on that. And very soon you will see that impact of AI on our revenue as well.
Amit Chandra : Okay, one last question on guidance. You are guiding mid -to-high single -digit so obviously we are guiding from mid to high single digit. So is it, so this appears to be a bit lower in terms of the kind of initiatives that you're taking. So in terms of the, you know, in terms of growth.
What segments will drive this, and secondly, on the margins, you know, obviously we are targeting around 12% and we are seeing a mix towards the higher margin, you know, revenue streams, so if you know, once the mix changes, we, you know, the margin shoul d have been higher, so why we are, you know, sti cking around to the current levels, are we also...
Rajdip Gupta : Amit, I think last one year we have not given any kind of a guidance, if you remember, you know, like, and market was always expecting some kind of a guidance. And we would love to be a little conservative in giving the guidance, but at least we are coming up with a guidance this year. And you are right; this mix will de■nitely add value to our overall growth and plus EBITDA margin as well. We are con■dent about growth driven by product mix, new markets, and domestic expansion. These give us con■dence to provide guidance this year, and we will strive to overachieve. But yes, we are con■dent this year that there is a growth and there is a product mix. There is a market, new market where we are focusing on. We're talking about the domestic market setup as well. And I think all these things really give that kind of a c on■dence to the management that we need to give some kind of a guidance to the market, which we were not giving in past, at least we have started. And we will de■nitely try to o verachieve our number.

But on record, I will say the guidance which we have given, at least we are positive that there is a growth. And that's exactly how we need to look at.
Amit Chandra : Thank you.
Moderator : Next question is from the line of Shweta Sharma.
Shweta Sharma : Hello, am I audible?
Vinay Binyala : Yes, please go ahead.
Shweta Sharma : Thank you so much sir , could you provide a volume -wise breakup for domestic and overseas?
Vinay Binyala : Just give us a moment. I mean, we can do this. I mean, can we take this offline. We can share the data. I mean, but it we need to ■gure out. I'm sorry, but I just need to check if this has been discussed in the public domain in the past. I'm not 100% sure if this has been a metric which we disclosed with only for, you know, competitive reasons. I mean, we would not want to hold back infor

mation, but for it opens up a bit of our competitive advantage in the market. So let me just ■gure out w hat's the best way to address this. We can take this offline with you.
Shweta Sharma : Okay, okay, sure, sir. Also, my second question is, could you quantify the difference in gross margin between your traditional A2P SMS business and these new AI driven solution? Also, what percentage of your 175 billion transaction are now solution based rather than just delivery based?
Vinay Binyala : Yeah. Sure, so the margin difference depends upon the solutioning that we do around the channel as well. So, you know, typically if you look at the portfolio margin today, large part of that is obviously coming from the SMS business that we do. On the ■r ewall, the margins are higher because that is more product oriented business and we have customers where it is being used on a license basis plus the value add for the customer is signi■cantly higher there. So the ■rewall generates addition al revenue for the operator where they are okay to share a larger part of the bene■ts with us. So the margins there could be anywhere in the range of, you know, depending on the type of engagement, it could range from 30% to all the way up to 60, 70%. So that is on the ■rewall. On the channel side of the business, I mean, the portfolio gives you a good guidance of where we stand. But as we talk about AI and other solutioning around the channel, that could generate additional margin because some of those p latform capabilities could easily generate signi■cantly higher margin as compared to the portfolio margin. So unfortunately, I'm not able to give you an exact breakdown of product- wise margin at this point. Once again, you know, because you understand the market is highly competitive and you would not want to open up all of our cards in the public domain on product wise, geography wise, margins that we generate.
Shweta Sharma : Okay, sure, sir. No issues. Sir, if you're not able to provide the exact number, can you provide a breakup of growth like domestic and overseas in terms of volume growth ?

Vinay Binyala : We have seen volume growth in India domestic business, and we have seen volume growth in rest- of-world domestic business. The only segment where we saw a decline last year was ILD and the international traffic coming into India . We see similar kind of g rowth rates in India and non- India domestic clients. The only where segment challenges which again, as I

mentioned earlier, which have bottomed out and we believe is in the base now is the ILD business
where last quarter we've seen no further drop in that business either. So we believe that is also in
the base. So, moving forward, I think as we provided the guidance as well, we should start
witnessing recovery in the business.
Shweta Sharma : Okay, so if my understanding is correct, so domestically and overseas, when
we see volume growth, it's the same as the last quarter, right? Growth in terms of percentage, like
it's the same and in quarter or it's the same as YOY . What the?
Vinay Binyala : Sorry, I don't think we've disclosed in the previous year as well, but I mean we have
seen consistent in the previous year. If you look at FY25, we still had a slight decline, I mean a
slight growth in the domestic side of the business, slight decline in I LD. So, the trend is similar,
but what we are saying is by the end of Q4, we are not expecting any further drop in the I LD
business, either at least from the run rates that we are seeing and what we are hearing from the clients, I think we b ottomed out there. And on domestic over the last two years, we've seen growth
coming in. So, the trend kind of remains where it is. Only moving forward, we should now see
recovery in the business.
Shweta Sharma : Okay, okay. Thank you so much, sir. That's all from my side .
Moderator : Thank you, Shweta. Next question is from the line of Dipesh Ku

mar Mehta. Please go
ahead.
Dipesh Kumar Mehta : Yeah, thanks for the opportunity. I have 4 questions, so I start with one by
one. First, I just want to understand what we were organic capex plan and M&A investment plan in next two to three years. If you can give some sense about how we are looking some of this investment.
Vinay Binyala : Sure, the organic CapEx is not signi■cant, as you've seen in the past also. So, I
think our internal budgets are around Raj, you want to highlight that number on the organic
CapEx?
Raj Gill: Yeah, I mean, it's we do have some organic initiatives, but it's not a meaningful number.
So, and pretty much a ■at year on year, but we are we are looking at some internal.
development to support platform growth and move to omni -channel products.
Tushar Agnihotri : On M&A, we are evaluating a couple of targets, and of course, we'll build at the
right time, we will share the opportunities.
Rajdip Gupta : Yeah, but just to add Dipesh , just to add Dipesh , the any M&A, I think probably will
do something in AI based.

Dipesh Kumar Mehta : I know. I think in those couple of areas which you highlighted, the reason
for asking this is about the cash which we have on balance sheet, what we generate every year
and what is our payout. So, if I look, our payout is roughly around 30%. Our cash is roughly 40%
of market ca p. Yield on cash is less than 4 percentage for us. Now, if I combine all these number
CapEx, which we is roughly around 30 -40 per annum dividend, we declare 140 crore . Or random
kind of number last two year I'm combining. So roughly around 200 to 250 crores we spend on
organic capex, we spend on dividend in this two year, we tried some point FCF which we
generated is more than 1000 crore. Now , if we don't do envisaging any, let's say, very large
acquisitions . Then why we are accruing cash on balance sheet? That is what I try to understand,
even though payout which you indicated.
Rajdip Gupta : So Dipesh, let’s go one -by-one. To answer your question, as I said, we are de■nitely
evaluating certain targets for acquisition. We want to make sure that any acquisition we do should
adds value to our current existing portfolio, especially in AI, because AI is a need for the market
today, and we believe AI will add a lot of value add to our offering.
We are evaluating some targets in this space and will announce them soon. As far as the cash is
concerned, the management and board are very much aware of this. We are de■nitely looking at
various other options to deploy the cash and we will de■nitely share updates in the coming
quarters what are we doing in cash . For now, we believe this cash will mainly be used for
acquisitions we are planning soon.
Dipesh Kumar Mehta : So, are we envisaging our M&A investment will be higher than our FCF and
cash on balance sheet in the next three years?
Vinay Binyala : So, it depends. The M&A acquisition sizes are not very large. These are more
capability add -ons. We are not acquiring for scale. There are a few geography expansion targets,
but as I think we mentioned in the presentation as well, the evaluation cycle around those will be
more complex. But in terms of the product capability, there are a few ideas and areas which we are evaluating ve ry closely.
And those are not very large acquisitions.
Raj Gill : Yeah, look, Dipesh, if you are focusing on the cash balance at the end of the year, a
couple of points. We utilize a meaningful amount of cash on vendor prepayments, which is a
usual practice and gives good commercial bene■ts. That is always a good use of cash.
We also ended the year strongly in terms of cash collections, with a lot of internal focus, which drove the cash balance at year
-end.
Dipesh Kumar Mehta : I understand. What would be the reason for the low yield on cash? The

yield is meaningfully lower than the market rate. Can you provide some sense of th

e cash breakup
and why it is low?
Raj Gill : Yeah, overall interest income is up year -on-year, but we are looking at moving all our funds into higher interest- bearing ■xed deposits. However, focus remains on other uses of cash. We will review our cash balances and optimize them in the coming quarters.

Dipesh Kumar Mehta : So, on cash we have 1,400 crores cash , and excluding forex gains, it is not yielding even 3% if I look at quarterly numbers. That’s why I’m trying to understand the composition of the cash deployment.
Vinay Binyala : So, Dipesh, we can get back to you offline on this, but I think what Raj is also saying here is that, you know, we can relook at the treasury policy and identify what would be the ideal way to, I mean, the idle cash or, you know, the temporarily unutilized cash, what could be the best return on it? It will be a bit of a treasury decision which we need to relook at. So, is that the way to put it?
Dipesh Kumar Mehta : Sure. Coming back to the new product side, I think if I look, let's say, our growth versus some of the peers which are listed in reporting number. Now we have capability. We have platform ready, but numbers are lacking in terms of last couple of years. Can you provide what kind of changes we are making in now with whatever, because from technical capability you said we are there from. Platform perspe ctive, we are there. We have more than 3000 enterprise clients with us. Still, the traction is not visible. And I am referring to ours to three years where WhatsApp become very sizable portion of some of our peers number. Can you provide, let's say, what changes you are making and now we can participate effectively?
Rajdip Gupta : So, Dipesh, just to add to your question, you know, like Raj dip here, so we also want to make sure some of the deals on this O TT channels are pro■table to the organization. It is not just I want to follow the same SMS fundamentals on these deals. It is very critical for us if w e want to sell a solution and we want to really solve the customer problem and customer is paying for that solutioning part. And we really want to focus on these kinds of customers who are paying higher margin to our po rtfolio. It is not just a game of bulk messaging where I can just go and lower the price and win the price use case. If that is the case, I could have grown multi -fold in last few years down the line. We have taken a collective call as a group. We really want to sell our solution as a solution company, and we will solve the customer problem and customers should value the solution which we are building for them.
That is where I see is value. It's a long, sticky business model we want to create out of OTT channels like RCS or WhatsApp or email and we will stick to that and we will make sure and one of the reason if you see a growth in our gross margin is because of that we let many other small businesses to go where we were either bleeding or we are do ing lots of small low margin games.
If you onboard a customer at very large scale, trust me, you really need to spend lots of capex in terms of serving that customer. So, there are certain calls is very, very important. Some of the use cases of metro is a very classic use case. Like we are deeply integrated with that entire platform of metro ticketing, and which where are hardly getting replaced by anyone, but our margins are very high on those solutions so I think at the end of the day you need to see what are you trying to build for the long term and how will you create value to your customers it is not about winning more volume or increasing your revenue and so it what kind of customer you are winning and what kind of margin you are making is very critical for us.

Tushar Agnihotri : Dipesh, as Rajdip said, you know, we are very carefully choosing our customers. We actually trying to ensure that the platform we provide to our enterprises, that fe

tches of money, then pure margin play and getting into a game of margins and dropping of prices. So, a choice of customers purely basis, you know, what kind of bottom lines we can draw from them. And our focus is more forward looking. So we're building those solutions which will fetch us returns over a long period. And then we are not going to get into complete volume game here of creating margins by pure volumes here. So one is that, you know, of course, we are creating value add on a pl atform to fetch us more monies. And alongside we're focusing on new age products, you know, which perhaps is available only with a couple of partners in the country. So the network API, which we touched upon, the ‘Konera’ is something which we have unique, and we don't have much competition around that. And we're fairly hopeful the investments we're making there, along with the AI capabilities, which we are partnering with and building on a platform, is going to fetch us good returns in the quarters to come.
Dipesh Kumar Mehta: What will be the market growth in alternate channels? Can help us understand and let's say whether you expect in next couple of years we will reaching to market growth rate based on the strategy which we have laid out for us.
Tushar Agnihotri: So if you look at market expansion by OTT channels, if you actually look at today, roughly 60% market is dominated by SMS. And we clearly see a shift happening towards

RCS and WhatsApp. And all will depend how I am able to orchestrate a customer journey on these channels. from the pure play giving them options which are available with the brand to concluding the sales over there. Now, this is evolving. You know, earlier it was pure play a menu based, you know, workflows which were there on the WhatsApp or RC S channel, which is clearly moving towards AI. And those are the capabilities which we need to work on and build on a platform so that we are future ready. And that's where our focus is we're keeping a focus and eyes there to ensure that we're ready and we scale at the right time. And we're keeping, as I said, keeping margins coming from a platform and not purely from the OTT unit pricing margins in.

Dipesh Kumar Mehta: Fair point, I think we all are trying to understand, let's say market is at 60 percentage, we are at 92 percentage dependency on SMS. The segment, which is growing, we are limited share, and that's why our growth rate compared to Mark.

Rajdip Gupta: No, no, I think Dipesh, there is a firewall revenue also, which is also calculated as a part of messaging, which is different, so your assumptions might be different, but again, I'm telling you as a growth trigger point, it is firewall, network API, OTT channels along with email is going to also you need to understand we were in a from last two years doing this integration with BICS and Telesign which is now completely over and we do see a value in terms of how we can create a cross -sell upsel l opportunity within the group and that will also going to play a big role in upcoming quarters.

Dipesh Kumar Mehta: I have last two questions, just I give it right now and then maybe you can answer. First is about the network API opportunity. You mentioned a couple of times. Just want to understand, let's go to the size and scale of this opportunity in our next three -year perspective. India and then outside India and how you are looking across this market.

And second question is about some of the financial data related. I think we indicated some kind of trade receivable written off in the notes. Can you quantify the number? What was the number in quarter four and what led to it in terms of the written off trade receiv able and what would be the OCF EBITA expected for the year .

Rajdip Gupta: So, I think the idea of network API, if you see, is a very early stage. You know, a network API is a layer which is within the operator ecosystem lying from a very long time. Because of th e digital fraud increase in multiple reason, I think network API is going to play a very critical role in terms of mitigating the risk of digital fraud. And I think that is where people started believing, most of the financial institution, they started believing that OTP -less authentication could be the one r ight way to use network API, SIM swap. I think there are many other KYC use cases can be used directly with the operator infrastructure.

It's a very early stage to quantify, but what we can see the value out of it is going to be phenomenal. In coming quarters, you will start seeing some of the more use cases as what Aakash education we have deployed recently. We are in talks with multiple customers as an initiative of ‘Konera’ product. Launched by Proximus Global, so we may not quantify at this point of time, but I, as far as the potential is concerned, our network API is huge. That's what I can tell you, and on the other side, other question, Vinay or Tushar, if you can just add.

Vinay Binyala: Yeah, so on the financial receivables, Raj, you want to take that?

Raj Gill: Yeah, look, I mean, in terms of receivables, there was, I mean, the total quantum is less than less than 5 crore, but it's a range of smaller customers, so no one big individual customer, but more of a cleanup exercise. I mean, some of the, I think an aver age is probably that 10 or 15 lakhs per customer. So, a bit of a cleanup exercise there. So no big one item.

Vinay Binayla - Yeah, it stands, I think 0.4% of revenues, yeah, not significant.

Moderator -Thank you, D ipesh. Next question is from the line of Shubham Jain. Please go ahead

Shubham Jain: Hello.

Vinay Binyala: Yes, Shubham, we can hear you. Yes, go ahead.

Shubham Jain: Sir, I believe my questions are answered, but I just had a few small queries. Sir, I believe my questions are answered, but I just had a few small queries. So firstly, you mentioned that the worst is behind us, but I don't see any sign of growth in your re venue. I mean, if we see Tanla as a peer, it has grown relatively better than us. And what is the cause for that? And secondly, when we enter into partnerships with our global partners, what type of arrangements are we getting into? And so third is network .

Rajdip Gupta: Are you talking about revenue or what comparison are you making?

Shubham Jain: Yeah. So, from a revenue as well as a margin point of view, I believe they are similar.

Rajdip Gupta: But first, you should correct your understanding on the revenue side, because we are not here to talk about any other company. We can talk about Route Mobile. In terms of overall revenue, I think we are the largest right now in India.

We cannot comment on how others are growing. We can only talk about Route Mobile on this call. So, I request everyone to stick to Route Mobile. Any questions related to Route Mobile and our growth; we are happy to answer.

Shubham Jain: Sure, sir. So, second would be that you have mentioned the worst is behind us,
But the guidance that you have provided for FY27 doesn't really indicate any sign of recovery. I
mean, from 11.9 to 12, I don't think that's even a growth or any. Please help me understand. I mean, what's happening inside the company or what sort of expect ations do you actually have?
Sorry, I'm just new to the business, so I'm trying to understand what's happening.
Vinay Binyala: Sure, Shubham, I will take that and then Tushar or Raj dip can add. But if you look
at the numbers, you know, what we have been saying is that what has been, what has gone out of
the system was ILD revenue, which comes at signi■cantly higher realization rates, which is being
replaced by a domestic business in va rious markets. And in most of the markets, domestic rates
are signi■cantly lower than what ILD rates would be. So that means replacing a single ILD
message is a signi■cantly larger volume of domestic traffic. So that is where the growth rates will
take

some time to start looking like bigger numbers because the base effect will creep in. I mean,
the base effect will start creeping in now. So that is where, you know, that the growth rates for the
next year are where we are looking at. And as Rajdip pointed out earlier, the internal initiatives are designed towards ideally, you know, achieving something above those growth rates. So that is where we are targeting. But essentially what we are saying is in the most likely scenario is what
we've indicated in the guidance and that is where we are driving aggressively towards.
Shubham Jain: Sir, could you give us an overview of what was the product mix before all those
headwinds arrived and what has been the product mix currently and what is your expectation of
it changing going ahead?
Vinay Binyala: So Shubham, on the product mix, there is one more point which I need to clarify,
which probably missed out in some of the other responses earlier. So on the product mix on WhatsApp, particularly if you look at it in India, we have seen volume increase happening for us .
So in terms of volume, it has gone higher in terms of contribution, but the pricing on WhatsApp
itself was revised during the year. So that is where the realizations went low. So the revenue
growth is not really re■ective of the kind of business that we are winning on WhatsApp. So that is
1 challenge in terms of that 8% of revenue coming from non -SMS products. Ideally, it should have
been higher if the pricing had remained steady. And moving forward, I think we are not giving a
product wise guidance, but we are looking at good growth around those products, the non -SMS
product portfolio.

Shubham Jain: Okay, sir. Lastly, what is our ILD exposure currently in the revenue mix?
Vinay Binyala: As mentioned earlier, it is around quarter to one -third of revenue and somewhere
in that range.
Shubham Jain: So is it bound to eventually reduce more?
Vinay Binyala: So ideally, you know, we would want the contribution of other products to increase
and that would automatically take ILD lower, but it will not be a one year or a two year outcome
because the volumes are large, it will take time for that contribution to go down signi■cantly. But
because we are driving growth through other channels, you would expect that to gradually, you
know, keep shrinking.
Shubham Jain: Okay, and so lastly, I believe I asked a question earlier on the type of
arrangements that we have with our global partners. Could you elaborate on that? As in, from a, I
mean, from a, how do we share our revenues? How do we pay them if you could help us understand?
Vinay Binyala: Are you referring to go -to-market partnerships with system integrators and ISVs,
or something else?
Shubham Jain: I mean Proximus and similar partners.
Vinay Binyala: Okay, so those are clearly related party transactions which are de■ned through agreements at arm's length basis. So the way it works is I'll give you an example of what we do with Telesign. So Telesign needs to send a lot of SMS traffic into India and oth er markets where
Route Mobile is able to provide them the best cost. So we have our cost and we have agreements
which de■ne how much we can markup those costs. And we charge Telesign and BICS when they
send us that traffic. So it's well de■ ned in the related party agreements where and it's all
transaction oriented per transaction we charge them and we charge a margin on top of our cost.
Shubham Jain: Okay, sir, that's it from my end. If I have anything else, I'll get back to the group. Thank you, sir.
Moderator: Thank you, Shubham. Next question is from the line of Kunal Ochiramani. Please go
ahead.
Kunal Ochiramani: Am I audible?
Vinay Binyala: Yes, Kunal, we can hear you. Please go ahead.
Kunal Ochiramani: So , sir, revenue per billable transaction fell from twenty -nine paisa to twenty -
■ve paisa, which is 14% decline in a single year, and domestic SMS In

dian pricing has come to 10 paisa per message, and operators are capturing 70 to 80% of messaging economics as source.
So, RCS is being priced below SMS for some players to gain share.
Which are which you also agree that is distorted pricing? So, my question is, what exactly is the pricing ■oor for A2P SMS in

India, and do you believe that R CS will reprice upwards once operators

set up ■oor, or will it simply commoditize at SMS level and compromise your blended realization further? And also, just wanted to understand, when you say that you have an assumption that our revenue will grow at mid to higher single digit, what kind of p ricing revenue per transaction we are taking for FY27 versus FY26? This is my ■rst question.
Tushar Agnihotri: So, Kunal, the RCS pricing you just touched upon is largely because there's no interconnect arrangement among the telcos. For the ■rst year when Google launched the service, there was some understanding, but they still among the telcos, when they terminat e messages on the other network, there are absolutely no charges. For those reasons, there was some degree of ■exibility on coding and the pricing to the markets. But I guess that's changing now. There is what we hear that there is some discussion which is happening among telcos, which will de■nitely take the prices upwards. So, we're hopeful that this will help the market and this will not cannibalize, as you correctly mentioned, the A2P SMS market. On overall, Vinay would you like to add.
Vinay Binyala: Sure, so in terms of the pricing that you mentioned, how have we taken it in the guidance that we provided? So, Kunal, it is a little bit more complicated at our end because India is one part of the business, but then we also have business in some of the other geographies. So, the way we really do our planning is, you know, we have individual business teams that look at various markets, different categories of customers. And we do a bottom -up build -out when we look at a plan for the subsequent year. And that is how we have approached it. So it's a mix of various parameters, you know, insert. So, it's basically looking at customer additions in certain markets. Mix is also changing, so there are various moving parts there, but the basic way we've done it is, you know, certain customer volume assumptions and pricing for those customers. That's how we really arrived at the guidance.
Tushar Agnihotri - And lastly, because the volume basis growing with domestic markets where Vinay earlier mentioned the pricing is much lesser compared to the ILD. So we do not expect a dramatic shift upwards in the unit pricing or unit realizations on the revenue side.
Kunal Ochiramani: My second question is, our growth implies that we will again grow at mid to higher single digit, while Indian CPAS S market is essentially volume saturated domestically, like every large enterprise is already using it. OTP growth is slowing as app based , Authentication expands for non -■nancial use cases, and new volume is only coming from geographic expansion or market share shifts. So, given this, how do we see genuine long -term CAGR assumption for next ■ve years? What percentage of grow th will come from India and international?
Rajdip Gupta: Kunal, as we have already laid down in our presentation, we are opening up new geographies. We are setting up a new office in the different locations. Different domestic market is going to be our new focus. Some of the product line which we just shared whether it's OTT or SMS or email. I think we do have a plan in the ■rewall solution along with network API. All this, see, even if you see that there is a drop in SMS volume, but the digital use cases are increasing day by day in almost all the emerging countries . And we as a company already well position

ourselves in most of the emerging countries, including the Lata m as well. Right. So I think we do see potential in terms of overal

l growth, the way we are working on our strategy right now. There are certain markets in Latin America, like Mexico, Brazil is a big market where we're de■nitely trying to do something over there. Philippines is another market for us. Australia is going to de■nitely a different market for us. So, I think all these things will de■nitely add overall growth story. So, for us, it's like Route Mobile is not a India -centric company. We always se rve customers globally, including Middle East, Africa. And we do see believe that digital adoption in these markets are going to increase multifold, especially in Latin and Africa and we will de■nitely get advantage of that growth in coming years.
Kunal Ochiramani: So and lastly, these questions have been pressed a lot of times by investors in previous calls also. Since half of our enterprise value is still in cash and we are generating some 600 crores operating cash annually. And if we are at the same run rate in ne xt three to ■ve years, Our cash balance will signi■cantly exceed our enterprise value. So, can you tell us speci■cally, in order of priority, what would you intend to do with this capital if M&A pipeline, what geographies, and if no M& A materializ ation in the next 18 to twenty -four months, will bo ard consider this?
Special dividend or buyback, or, and critically, is this capital allocation decision made is made by Route Mobile Board independently, or does it require Proximus Group sign off given their seventy - ■ve percent ownership and their they have a huge debt burden also?
Rajdip Gupta: No, no, not at all. Every decision is made by Route Mobile board. And there is a representative of Proximus Global as a part of the Route Mobile board. The Route mobile board is capable enough to take call on behalf of Route Mobile. We have a very smart bo ard member. They do understand business. They contribute To our day -to-day growth, and as far as the ca sh is concerned, as we already mentioned, and there are multiple discussions we are having on various many times in a year that how to use this ca sh acquisition could be the ■rst choice, but

there could be all other discussion which you have shared as and when we come to some conclusion, we will de■nitely come back to you. But if you read our update, I think from this ■nancial year, we have increased our dividend to 16 rupees, 16.5 rupees from 11 rupees. So, we are de■nitely trying to create value to our shareholders. And that is one of the priorities for us in coming years down the line as well.

Kunal Ochiramani: Understood, sir, even after we are generating 600 crores of cash and as committed dividend will be 104 crores, we will still have some 4 00, 500 crores operating cash ■ow or free cash ■ow every year after dividends and this pie will eventually increase. So I hope that the board considers it and.

Rajdip Gupta: Yes, sure.

Kunal Ochiramani: Thank you, this was helpful.

Moderator: Thank you, ladies and gentlemen. That was the last question.

This concludes our conference. Please feel free to share unanswered questions at

investors@routemobile.com.

Thank you for joining us, and you may disconnect your lines.

Call: Jul 2026

Ref No: RML/2026 -27/698

Date: July 29, 2026

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 543228 Symbol: ROUTE

Sub : Transcript of the earnings conference call for the q uarter ended June 30, 2026 .
Dear Sir/Madam,
We are enclosing herewith copy of the transcript of the Company's Q 1 FY2 7 earnings conference call for Unaudited Financial Results for the quarter ended June 30, 2026 held on Friday , July 24, 2026 .
Further, please note that no unpublished price sensitive information was shared/discussed by the Company during the said earnings call.

The same is also available on the Company's website at www.routemobile.com .

You are requested to take the above information on record.
Thanking you,
For Route Mobile Limited

Tejas Shah
Company Secretary & Compliance Of ficer
ICSI Membership No.: A34829
Encl: a/a

Route Mobile Limited
Q1 FY27 Earnings Conference Call
July 24, 2026

MANAGEMENT : MR. TUSHAR AGNIHOTRI – CHIEF EXECUTIVE OFFICER – ROUTE MOBILE LIMITED
MR. VINAY BINYALA – CHIEF STRATEGY OFFICER & INVESTOR RELATIONS OFFICER – ROUTE MOBILE LIMITED
MR. RAJ GILL – GROUP CHIEF FINANCIAL OFFICER – ROUTE MOBILE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Route Mobile Limited Q1 FY 27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Tushar Agnihotri, Chief Executive Officer. Thank you, and over to you, sir.
Tushar Agnihotri: Good evening, everyone, and thank you for joining us for Route Mobile's Earnings Call for the first quarter of fiscal year 2027. I'm Tushar, and it's my pleasure to welcome you all. Joining me today are Vinay Binyala, who will take you through the operational and strategic highlights of the quarter; and Raj, who will walk you through the de tailed financial performance. Following our prepared remarks, we will open the floor for questions.
Before we begin, a quick note that our quarterly earnings presentation was uploaded yesterday,

and I hope you've had a chance to review it. Some of the statements we make today may be forward -looking in nature. These are subject to risks and uncertainties, and I request you to refer
to the disclaimers in our presentation.
Let me set the context for the quarter before handing over. This was a quarter of important progress on the strategic priorities we laid out earlier this year. We returned to year -on-year revenue growth. And just as importantly, the quality and mix of that growth continued to shift in the direction we have committed to, with the new product portfolio growing meaningfully faster than the business as a whole.
We are clear eyed about the margin softness this quarter. As Vinay will explain, several of the items that weighed on margins are specific in nature and largely transient, and we are actively working through each of them. Our conviction in the medium -term trajector y of the business is
unchanged.
At the same time, we took a decisive strategic step with Heltar acquisition, a precise expression of the build versus buy philosophy we articulated at our strategy update in May. And one that accelerates our move up the value chain, from messaging into full stack, AI-native customer
engagement.
We also saw strong external validation of our execution and of the shared global vision with Proximus Global. Taken together, this was a quarter of steady operational delivery, disciplined

strategic action and continued strengthening of our positioning for the years ahead. We remain focused on execution and on delivering long-term value for our stakeholders.
With that, let me hand over to Vinay to take you through the quarter in more detail. Over to you, Vinay.
Vinay Binyala: Thank you, Tushar. Good evening, everyone, and I hope you are all doing well. As Tushar mentioned, we uploaded our quarterly earnings presentation last evening, and I hope you had a chance to go through it. I will st ructure my comments in 4 parts.
First, the shape of our revenue growth this quarter; second, a discussion around the margin performance and specific items that affected it; third, the key business and product developments
for the quarter; and finally, a few minutes on the Heltar acquisit ion, which we believe is an important strategic milestone for the company.
First, on revenue. In Q1 FY 27, revenue from operations grew approximately 10% year -on-year and 2% quarter -on-quarter. I would highlight the quality of this growth. The drivers are the ones we have been highlighting for the past several quarters, continued strength in growth in our new products portfolio and customer additions to our AI/ML -driven firewall solutions business portfoli

o.
I want to draw your attention to the new products portfolio, RCS, WhatsApp and other IP -based messaging solutions. New product revenue grew 14% year -on-year and 11% quarter -on-quarter, growing meaningfully fast er than the company as a whole.
This is the engine of the business mix transformation we have been committed to, and the sequential acceleration demonstrates that we are aggressively driving momentum around the non-SMS solution portfolio. The ILD business, which was the principal source of revenue decline through FY 26, continues to be a challenge in terms of growth for the near term.
Second, let me address gross margins and provide additional context around the reported numbers. Gross profit margin for the quarter was 20.9%, which is lower than the levels we exited FY26 at. There are 2 key drivers for this margin deterioration. The primary driver is certain developments in specific customer accounts. We witnessed temporary disruption in traffic from select existing large high -margin customers as we are deploying new so lution capabilities to address evolving business requirements of these customers.
This is not revenue or gross margin that we have lost, but just a temporary disruption, which will be restored in the coming quarter as we continue to offer the new solution capabilities to these customers. These are account -specific situations rather than broad- based deterioration in pricing or margin, and we are actively working through each of them. The second smaller factor impacting gross profit margins in the past quarter is the security incident at our Colombian subsidiary.

The gross margin performance translated into an EBITDA into an adjusted EBITDA margin of 9.5% for the quarter. We recognize this is below the trajectory we have guided to. I want to be specific here. We view several of the items that impacted this quarter as largely transient.
Third, let me spend a moment on the key business developments of the quarter because they

reinforce the strategic direction I have just described. We are seeing strong external validation of our execution capabilities and of the global vision we share with Proximus Global. And practically, it strengthens our right to win in large enterprise engagements worldwide.
Konera, Proximus Global's network API and enterprise connectivity platform won the Best Application Service Provider Award at the Carrier Community Global Awards in 2026. This is a recognition of the continued innovation coming out of the Proximus Global e cosystem in network APIs, a category we believe will be an important grow th factor for the industry over the coming years.
On the product and platform side, we continue to strengthen our global RCS footprint, expanding direct operator integrations and advancing towards broader direct coverage access across markets. New partnerships and platform enhancements further reinforce o ur ability to drive scalable, rich business messaging experiences worldwide.
We also further enhanced OCEAN, our omnichannel engagement platform with new campaign management, reporting, audience management and white label capabilities, while expanding deployments across international markets and progressing strategic use cases. Tog ether with Heltar, which I will come to next, OCEAN sits at the core of our ambition to move up the value chain from messaging into full stack customer engagement.
Finally, let me spend a few minutes on Heltar, because this transaction is a precise expression of the M&A philosophy we have articulated at our strategy update in May. On July 13, we signed a business transfer agreement to acquire the identified business undertaking of Heltar Technologies Private Limited on a slump sale basis. Heltar is an AI -driven omnichannel customer engagement platform. At its core, it turns communication workflows into fully automated, self -running programs from a single pro

mpt to a l ive customer journey.
Its chatbot and automation capabilities span WhatsApp, RCS and voice. And the voice capabilities are being extended upon. It carries AI -driven analytics that helps enterprises measure and optimize communication performance. The platform is low -code and prompt driven, which means enterprises can configure and launch new use cases in days rather than months. Several large enterprise customers already run high -value sales and marketing programs on the Heltar platform with measurable improvements in conversion rates and ROI.
Why does this matter for Route Mobile? Three main reasons. First, capability acceleration. We have consistently said that organic development alone will not close the conversational AI
capability gap within the time frame the market demands. Heltar compres ses what would have

been a multiyear internal build into an immediate deployable platform, consistent with our build versus buy framework.
Second, distribution leverage. We serve several global enterprise clients, the majority of whom use us for a single channel today. Heltar gives our key account and cross -sell teams an AI -native engagement layer to take into that base. There is limited incr emental customer acquisition cost attached to this opportunity.
And third, it directly accelerates our non -SMS revenue, which has compounded at over 40% annually over the past 4 years, and is central to our medium -term revenue mix ambitions. In terms of structure, the transaction is a slump sale of the identified business undertaking as a going concern.
This includes the Heltar brand, the intellectual property, the technology platform, the team who will transition to Route Mobile. Heltar's founding team, alumni of IIT Kharagpur will continue
to lead the platform within Route Mobile.
The transaction is expected to close in the coming weeks, subject to customary closing conditions. The transaction is being fully funded through our internal accruals and is not material in the context of our balance sheet. To summarize the quarter, we hav e returned to year -on-year revenue growth with new product revenues growing 14% year -on-year and 11% sequentially, ahead of the company average.
The margin softness this quarter was driven by specific and largely transient items. Our strategic positioning continues to strengthen as reflected in the industry recognition that we have received.
And we have taken a strategic decision with the acquisiti on of Heltar.
With that, I will hand it over to Raj to walk you through the detailed financial performance. Over to you, Raj.
Raj Gill: Thank you, Vinay, and good evening, everybody. I'll summarize our financial and operating performance during the quarter ending June '26 before opening the call to Q&A. As described by Tushar and Vinay, the top line revenue grew sequentially and year -on-ye ar, while EBITDA margins were impacted by in -quarter specific items.
Our Q1 revenue from operations was INR .11,515 million, representing an increase of 9.6% year -on-year and 1.8% sequentially. This demonstrates the resilience of our business with strong demand for our solutions, heavy healthy traffic growth and continued customer engagement.

In Q1, we reported a gross profit of INR .2,404 million, which is higher by 6.8% year -on-year and lower by 8.9% sequentially. Gross profit was affected by a combination of market dynamics and specific account -related factors, which we are actively addressing.

Gross profit margin for the quarter stood at 20.9% versus 21.4% in the same quarter last year and 23.3% in the previous quarter. Gross profit margin is primarily affected by the specific factors explained earlier. However, we are focused on onboarding higher -margin accounts, pushing our new product portfolio and optimizing routine, which will support margin expansion over the coming quarters, reinforcing ou

r commitment to profitable growth and long-term value creation.

On a reported basis, we constrained opex growth to 2.9% year -on-year, mainly due to salary inflation, higher expenditure on consulting fees and a provision for an advance. Adjusted EBITDA for Q1 was INR .1,089 million, which is lower by 5.6% year -on-year and 18.9% as compared to the previous quarter due to the aforementi oned in-quarter margin impacts.

This all contributes to an adjusted EBITDA margin of 9.5%. Adjusted profit after tax was INR.686 million, which is up 16.6% year -on-year and lower by 40.1% sequentially, driven by EBITDA flow -through.

I will now hand over to the moderator for the Q&A section.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Divyansh Jaju from Trinetra Asset Managers.

Divyansh Jaju: Hello , Good evening, sir, thank you for the opportunity, so could you elaborate m ore on the customer retention and how has the annual revenue retention improved over the last few years, particularly among main enterprise clients?

Vinay Binyala: So, the customer retention -- the net revenue retention stands at 98% for the year. We had slight impact in just one of the key customers, which we are also working on recovering over the future period. But overall, we are not seeing significant risk on the e xisting customer portfolio. As I mentioned, there was one high -margin customer where we are trying to do a product upgrade, new feature rollout. So that revenue again should come back to us, but rest of the portfolio seems quite stable at this point in time.

Divyansh Jaju: Okay. And as the huge cash is seen on our balance sheet, so how we are thinking to allocate over the next few years? Like any particular investments are there or like any shareholder return would be a possibility? How the company is seeing?

Vinay Binyala: So that's a fair point, Divyansh. So, we hold around INR 1,300-plus crores of cash on the balance sheet, cash and cash equivalents. And as we have demonstrated, we have a well laid out strategy for evaluating potential acquisitions to fill capability gaps. That is one area in which we are looking at utilizing ca sh. Besides that, there are certain organic initiatives as well where we plan to deploy optimization solutions internally as well as we might do some headcount increases depending upon the business requirements.

So -- but that is on the organic side, we'll still be limited by the growth of the business in a way. But inorganically, we are fairly selective. There are 2 different approaches towards acquisition that we are following. One is the capability acquisition, which is reflected in the Heltar deal as well, which is not very large in terms of deal size, but it fills a significant capability gap for us.

On the other side, we are actively looking at potential acquisitions where we can scale up business, but those will be fairly more involved decisions where the decision-making process will be slightly longer given the cash outlay could be larger in terms of value. So that -- those are the ways in which we plan to utilize cash.

And again, we have a dividend program in place where a certain portion of the cash is returned to the shareholders as well. So that is the way we are looking at the cash utilization. We have a big focus on growth initiatives where we find useful deployment for the capital.

Divyansh Jaju: Thank you sir.

Moderator: Thank you. The next question is from the line of Bharat Gulati from Dalal & Broacha.

Bharat Gulati: Thank you for the opportunity. Congrats on a good set of numbers. Just trying to understand on the top line, our volumes have seen a good growth on a Y -o-Y basis. But on a quarter -on-quarter basis, they've largely been flattish for the past 4 quarters -- past 3 quarters on a growth -- from a growth standpoint. So h

ow do we see that going forward? Is this largely seasonal? Do we see a pickup in this? And do we expect to maintain similar sort of volume growth that we have done

historically?
Tushar Agnihotri: The volume growth we expect with the season setting in, in the next couple of quarters, we see an upswing coming away. We had some losses, but we could compensate with some good wins in the last few quarters. That helped us maintain the volumes levels -- steady volumes level. But as we see the season setting in, we were expecting the volumes to grow by 10% to 15% in the next couple of quarters.
Bharat Gulati: Got it. Fair enough. And on the -- just trying to understand on the opex front, right, we've taken the wage hike from this quarter. So, what would the employee costs look like going forward? How do we see operating leverage playing out? Would it be more broad- based than it was in this quarter?
Vinay Binyala: Sure. So, Bharat, that's an interesting question. Raj, do you want to take that?
Raj Gill: Yes, yes, you're perfectly right. The wage hikes are behind us. So now we're at a run rate. And we don't materially expect the salary cost to go up. It's pretty flat in the coming quarters.
Bharat Gulati: So, we shouldn't even see any sort of employee additions or are we investing into talent or is that also broadly done with and we should sort of see inflation like year -on-year growth on that front?

Raj Gill: Yes, we would typically hover around the kind of the 800 count mark. It's not going to materially change, but we are backfilling where we need to and then recruiting to support our product and sales growth in the coming quarters. So, we will -- it's not going to be material, but we are looking at that talent pipeline.
Bharat Gulati: Got that. That's helpful. Just trying to -- once again to touch upon the top line growth. I understand the ILD business would be a drag on our top line. Considering if we normalize that, let's say, for ex of ILD, what would our new product portfolio volume growth and our existing domestic SMS volume growth be at?
I understand some of the industry is also seeing strong volume growth in the business from India headquartered businesses getting terminated outside India, which is, again, not -- which is a non-ILD business. So how are we seeing growth from that standpoint?
Vinay Binyala: So, Bharat, we don't break down the volume into components, but I can give you a high-level flavor. So, on ILD, what we are trying to indicate is that growth on that base is where it's not matching up the company average, but it's not like we are seeing a degrowth or dilution of business there. I mean, we are still chasing customers and it's sustaining for us at the levels we are.
In terms of domestic, as you rightly mentioned, we have good traction going for the domestic business, which we demonstrated in the previous quarter as well, except for the specific situations which I referenced. So, I think volume, again, for us is a mix of ILD plus domestic, and that's -- it might be slightly different from competition as well.
And on the new product, as I said, we witnessed significant growth in the last quarter. We had 14% year -on-year growth on that segment of the product -- of the business. And obviously, it was driven by higher volumes.
Bharat Gulati: Got it. Got it. And just a couple of more questions on how are we seeing growth because I understand you spoke about a net retention revenue of about 98%. So, is this majorly growth driven by new customer additions? And just how do we see wallet share going forward? You spoke about cross -sell of products. So how strong is the cross -sell already in terms of shifting them to the OTT products?
Vinay Binyala: Sure. So, I mean, selectively, wherever we are seeing customers having processes where we can enter with the new or the non-SMS product portfolio, the sales teams are act

ively pitching to the existing key customers. So, the way we look at our portfolio, there's a set of the top 50 customers, which generate significant revenue for us. And the idea is to target those customers and identify opportunities.
And obviously, a lot of these customers would have vendors taking care of certain business processes for them. So, it's either replacing an incumbent, which is not a very straightforward

sales cycle, but we are also looking at new business processes where we can fit in our non -SMS product portfolio. So that is the way we are attacking the cross -sell approach in the business.
With Heltar coming in, I think we have a strong proposition for the customer base where we add a significant layer on top of just the communication channel. And that will be a big push once we close the transaction, hopefully, in the coming few weeks, that should really create additional traction around the non- SMS volumes and business for us.

Bharat Gulati: And should that have a good impact on Q2 numbers, or will that take some time to ramp up and sort of really come up in the numbers?
Tushar Agnihotri: It should take some more time to ramp up. Most of the companies when they're setting up their comms budget, it doesn't scale up in the same fiscal year. So right now, the play is happening between channels. So, a loss of SMS is gain of WhatsApp, a gain of WhatsApp is reflecting in loss of RCS perhaps.
So, while we see -- we are present and ensuring the wallet share stays with us of any enterprise customer, we see the scaling up happening gradually -- and gradually quarter -over -quarter. We see that setting in by last week of -- last quarter of, sorry, this financial year and continue growing as we go into the next fiscal year.
Bharat Gulati: Got it. Got it. And just lastly on -- we've been seeing some impairment last year. It's good to see there's been none of that in this quarter. So, do we largely believe that it's out of the books and no more debtors should sort of turn into bad debt?
Raj Gill: Yes, that's a fair reflection of the position. So, we're not expecting any future issues like that. They're all in the past.
Bharat Gulati: That’s really helpful .
Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global.
Dipesh Mehta: Thank you for the opportunity. I have a few questions. So maybe I start one by one. First want to get update on FY27 guidance. Last time we indicated revenue margin, dividend kind of guidance. Can you provide update to that?
Raj Gill: Yes, I'll take that. I guess we're 1 quarter into our fiscal year. So, we will hold that for now, and we will look at how we progress through the quarter. But as you can see in the financials, revenue was definitely strong. We are on track with the dividend and the EBITDA margins; we are working to actually address those in- quarter specific items with a range of options. So, a bit early, but we'll come back in future quarters.
Dipesh Mehta: So broadly, the adjusted EBITDA is there, I wanted your input. Do you think 12% is which we broadly indicated, considering the business trajectory you expect in the next 3 quarters as well

as certain one-off costs which you have this quarter. Considering both factors, 12% is still possible to achieve kind of thing in the remaining period?
Vinay Binyala: So Dipesh, like we mentioned in the opening comments, there are certain factors which are transient, which we believe will reverse over the coming quarters. Some of them might be slightly stickier. So, by the end of this quarter, we'll have a clear view of where we should be landing the year. But ideally, we should not materially deviate from what we had guided. Exact indication -- sorry, are you able to hear me, sorry?
Dipesh Mehta: Yes, understood. Second question is about the update on the security incident, which

we faced at Masivian. Can you provide update, let's say, where we are in terms of the traffic, in terms of the remedial action which we have taken, and how to expect Masiv ian growth trajectory in coming quarters?
Tushar Agnihotri: So, the investigation remains ongoing with the support of our cybersecurity specialist. And the platform continues to operate under enhanced controls and monitoring. Masiv is keeping the affected customers informed and the regulators informed, as the investig ation is progressing.
And we will continue to provide updates as the first further information is available.
But we are hopeful of an attestation to come away very soon, which will actually encourage us to go back and get back the business from the enterprises which are impacted at this point of time. So yes, so hopefully, we should be back on track very soon and back with our -- whatever business was affected temporarily should be back with us very s oon.
Dipesh Mehta: Do you expect any further costs incurred on the remedial action at Masivian or quarter 1 provision is sufficient for us to cover up?
Tushar Agnihotri: We have -- as you mentioned, we have made provisions already. There can be very minor increase in the cost, very, very minor. But yes, nothing major is expected. Whatever we have provisioned for should actually address all the expenses towards security age ncies and partners.
Dipesh Mehta: Understand. Third question is on the sales and marketing headcount. If I look at it, it has declined double digit sequentially as well as on Y -o-Y basis. Can you help us understand what -- any, let's say, change in the growth strategy, which led to sales a nd marketing headcount decline?
And can you provide broad thought process around how to look at numbers?
Vinay Binyala : Just give us a moment, he's trying to look it up.
Dipesh Mehta: Hello, can you hear me?
Vinay Binyala: Yes, I got your question. You are trying to understand what happened on the sales and marketing headcount front, right?

Dipesh Mehta: No issue , so maybe you can revert later. Another question which I have on the cash conversion. Can you provide, let's say, some sense about how you expect cash conversion in first on quarter 1 and for the full year? Last year was very strong. Can you give some sense how you expect this year to play out?
Vinay Binyala: So Dipesh, Q1, the closing balance is what we had reported. We had some delayed collections with some of the key customers in the first quarter. I mean it's not a collection issue as such. It's just a timing issue. The reconciliations that the customers ne ed to do took a little longer than ideally, we would have expected.
And March was a significantly strong collection. So, if you look at it quarter -on-quarter, the cash flow has been weak in this quarter just because of the delay in collections. I would not say there are any defaulters in that list, but these are like large customers who typically reconcile the data in their systems as well.
So that collection should flow in during the quarter and the collection -- the cash position for the rest of the year should go back to the typical 75% to 100% conversion from EBITDA, which we have, the EBITDA to cash flow from operations conversion.
Q1, I would just want to caveat, was slightly challenging because of the delayed collections from some large clients. And these are in specific geographies, largely India and UAE. And it's not a one-off. I mean we've had it in the past in instances, and those customers have been long - standing customers from us. So we do not see a risk around it. It's just a timing problem which we are encountering.
Dipesh Mehta: I understand. But for the full year, you are comfortable at around 75 percentage conversion?
Vinay Binyala: Yes, yes. We will revert to that collection -- I mean, to that cash conversion level for the year.
Dipesh Mehta: Understand. A

nd the last question which I have is about the non -SMS business. Now we're seeing some, let's say, progress and acceleration in growth. How to understand that business margin profile compared to our traditional SMS business? So as mix change, do you expect what kind of implication on margin on blended business?
Tushar Agnihotri: So Dipesh, with the Heltar's acquisition, we would try to bring Heltar to geographies where the competition is not relatively as intense as you see in India. So we're trying to bring it to Lata m. We're trying to bring to European market and U.S. as well. And we see that we can make decent upfront revenues and from revenue with high margin, with acquisition of enterprise customers in those geographies.
The initial feedback after we demonstrated the capabilities of the platform were very encouraging. We're fairly hopeful that when we bring this platform to those geographies, we'll see upswing in our D M levels.

Dipesh Mehta: So broadly, I'm not very clear. So you are indicating a non-SMS margin profile is likely to be better than SMS?
Tushar Agnihotri: Okay. That's right. I'm saying the improvement of the margins will be better on the new non-SMS products from the geographies, which is apart from India, using the Heltar platform, which brings in some interesting capabilities. As I said, the reflection is fairly good and fairly positive from the enterprises and from the initial demonstration of capabilities. Does that answer your question?
Dipesh Mehta: Yes. So broadly, just to be very clear, let's say, currently, it is there below double -digit percentage revenue share. As we scale it and it, let's say, approaches 20%, 30 percentage of revenue, you expect it to be margin accretive rather than margin dilutive. That is the right way to understand?
Vinay Binyala: So Dipesh, honestly, if you look at different markets, the margin profile varies even for the non-SMS portfolio. And honestly, currently, if you look at our non- SMS mix, it's in certain specific regions at this point in time. So when we bring in the Heltar platform also, it's going to be a bit of experimentation for us.
So for this year, we would not want to commit to any margin expansion or dilution because of these product solutions or the non-SMS product solutions. We'll have to play it out. We have different pricing models around those products. And it will take a littl e bit of time before we can formally indicate what kind of expansion we can expect from deployment of these solutions.
Dipesh Mehta: Maybe you can later revert on the sales and marketing headcount question. Thank you.
Vinay Binyala: Sure.
Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Thank for the opportunity. Sir, my first question is on the revenue from the new product stream. Obviously, we are seeing good healthy growth there, and that is 9% of the revenue. So -- but if I see more from an industry perspective, the portfolio seems to be very small and also the overall growth in the portfolio is also actually lower versus what the competition or the industry is growing at.
And if you can indicate what is the market share maybe in WhatsApp, RCS, that we are having

because the growth is lower. So are we also having a lower market share or we are losing market
share there in the WhatsApp and the RCS space?
Tushar Agnihotri: So, hi Amit, at this point of time, there's no published report to state exactly what is the market
share of any participant aggregator. We have rough indication though of the volumes of
WhatsApp and RCS, and that's also not published. I mean that's our basis ma rket intelligence ,
we arrive to certain numbers.

But we see we have a decent share, not that we can't improve on that. But having said that, I
mean, I'm unable to comment at this point of time exactly how is the

competitors place vis -a-vis
ours because largely due to nonavailability of the consolidated market report on WhatsApp and
RCS.
Amit Chandra: Yes. I'm just saying that because in terms of what base we have and the base of what the
competition is almost 3x of the base of WhatsApp and RCS that we have, and they're growing
much faster versus what we are clocking. So that's why just an indication that are we losing
market share there or is it that we are trying to do something different there?
Tushar Agnihotri: So Amit, our attempts have been to grow the market without compromising on direct margins.
There has been some aggression in the marketplace on the pricing of WhatsApp and RCS, and
we don't really want to participate around that. We would intend to keep our margins intact and
healthy in a manner that we can continue sustaining these offerings over a period. So for those
reasons, as I said, it may -- one, as I said, I can't accurately comment. But having said that, our
strategy is very clear to keep our D Ms intact and strong.
Amit Chandra: And secondly, on the impact that -- sharp impact that we had on the gross margin. You
mentioned that there is one specific client, specific event where there is a traffic reduction due
to some solution deployment. And this happened after we have given the guidance in the last
quarter in terms of strategy for the longer term. So is it something that was not planned or what
actually caused this to happen?
Because I think the gross margins for this would have been much higher. That's why the impact is so sharp. So if you can
throw some more light in what actually happened and what makes us
confident that we are going to see a reversal there? And in terms of the incident that happened,
at what time frame during the quarter this happened? At the start of the quarter, mid of the quarter
at the end of the quarter? So that...
Tushar Agnihotri: So you're talking about the customer where we are reflecting some loss of D M and revenue is
largely because of development which needed to be done, which they had specifically come up
with. And that led for us to -- and this was last minute, and that's why we had to go back and
then to our drawing boards and prepare work on this development.
It took us some time, but we are in the testing stage with that bank. And we're fairly hopeful that
it's going to be back with us in no time. So you will see the reflection in this quarter. We're
hopeful that those revenues and margins will be back with us.
Amit Chandra: Okay. So what I'm trying to understand is that we had a full quarter impact for this or we had
only a partial impact in this quarter?
Tushar Agnihotri: We will see partial impact in the quarter. We should be able to recover. We should have recovery
soon and the balance quarter should be on track.

Amit Chandra: Okay. And also , it would be helpful if you can quantify or give the bridge in terms of the gross
margin impact that what has actually caused in terms of quantification, what was the impact
from this incident? And also in terms of the security incident that happened in l ike Masivian, as
far as my reading, this happened at the back end of the quarter, maybe i n the last week of the
quarter.
And that's why I don't know if it had a very big impact on the margins. So the margin impact is
largely driven by the one specific client event. So is it such a big impact as the gross margins
went down so sharply?
Tushar Agnihotri: So as I stated earlier, the investigation remains ongoing with the support of cybersecurity
specialists. The platform continues to operate, and there is continuous monitoring. We are
making a good assessment of the impact, and we should be in position soon to exactly reflect
upon the impact.
But yes, we're making assessment of the exact impact -- the entire -- we're keeping the effective
customers and the regulator all informed about the i

nvestigation process. And we'll continue to
provide updates as we get more information about this event. B ut as I said, as far as the impact is concerned, we are making a good assessment, and we should be in position to give you more information soon.
Amit Chandra: Okay , So Vinay, if you can provide the bridge in terms of the margin impact, if you can it would be helpful?
Vinay Binyala: Sure. So Amit, in terms of exact breakdown, I need to just double check internally. But what I can tell you is at a high level, the key items were the customer -specific situation, which we've been discussing. We had some impact on aggregators, multiple aggregator accounts where we have a way to recover those margins as well. I mean we have some routing optimizations and ways to get back that margin.
But these are the main issues where we believe these are transient. These have happened in the past, and we've come out of these situations. So it is nothing out of the ordinary in the business. Just that the impact in this quarter has been a significant o ne, but there are ways to get back from these impacts in the business.
Amit Chandra: Okay. And also in the segmental breakup that we gave, the India -specific segment profit has been negative in this quarter, and this has not happened in the previous so many quarters. So any specific readthrough there?
Vinay Binyala: Yes. So the large Indian -- sorry, the large customer, which we are discussing where we had the impact was an Indian customer. That is where you see the impact on the India entity in the breakup.

Amit Chandra: Okay. Thank you.
Moderator: The next question is from the line of Kevin Gandhi from CapGrow Capital.
Kevin Gandhi: Hello, thanks for taking my question and hope my voice is audible . Sir, my question was on the Truecaller partnership, which we have just done, right? So just wanted to know how much of the potential are we actually seeing from that deal because we have close to 50 crore u sers, as you mentioned in the BSE notification. How we are pursuing that? Because I think that might seem to be great order for Route Mobile? Jus t wanted your views on the same?
Tushar Agnihotri: So Kevin, thank you for the question. We are testing the Truecaller as a platform with certain customers. I mean too early for us to identify exactly what kind of margins we can bring in, but it certainly opens up more markets for us. Truecaller has very d ecent share of market in multiple continents.
And we're fairly hopeful that once this testing and -- this testing is of the platform and the integration of this platform with certain enterprise customers, once they go successful and we make an assessment of how much we can monetize that, we perhaps wo uld be able to give you more stronger views here.
So too early to state anything because we just signed off a deal with them, and we are taking it to multiple markets and enterprises. But too early for us to give you an accurate assessment of what we can bring in.
Kevin Gandhi: Okay. So like would that give the access to all the 50 crore consumers which Truecaller has? Like would we be able to actually set up the platform for the entire user base of Truecaller across the world? Is that the assessment?
Tushar Agnihotri: Okay. So that is a reach which is provided by Truecaller to any of the partner. How to monetize this, we can use rich media on their platform. We can do multiple other things, but that's something, I just said, this is something once we actually have a live case, only then we'll be in a strong position to comment on. We are -- as I said, again, as I mentioned earlier, we are testing this with multiple enterprises in multiple geographies. And we're hopeful that this once works, we can give you more accurate assessment.
Kevin Gandhi: Okay. Sir, my second question was on the Claro deal. So I just wanted to know where are we actually in the pro

cess of getting the platform established with Claro. And also just wanted to know how much potential are you seeing for like Claro as well because as far as I understand, in FY23, we had signed a deal with the Sri Lankan MNO.
And Claro seems to be almost 20x, like the subscriber count of Claro seems to be 20x the deal which we have done in the past. So that was, I guess, a INR 200 crore s deal for 2 years. So as far as Claro goes, I know it's in a partnership with, I guess, Proximus. So just wanted to know like

what's the share of Route Mobile in the Claro deal? And how are you pursuing this deal? What's the potential? So yes, that's the second question.
Tushar Agnihotri: Claro is a multi-country firewall deal for us, which means that we have to deploy a certain

platform, with all of these telecom operators. Now we understand we are behind time. We were supposed to be done with the deployment and should have gone live by now. But due to certain reasons which are beyond our control, there have been delay in the deployment, but we're fa irly hopeful that this quarter, we shou ld be up and running with them.

And we will have some tangible revenues coming the way very soon. But the deal stands. The deal is on. It's only that deployment has taken a bit more time. And for those reasons, we have not seen trickling -- the revenue trickling in as yet.

Vinay Binyala: And Kevin, just to add to what Tushar said and relevant to your question is, in terms of Claro, I think we have, as Tushar was saying, multiple geographies. And we don't have a blanket contract where we can deploy in all Claro networks. So there are select networks which they have signed up with us and some big ones like Colombi a are not part of the contract.

So in terms of the population that you are referring to, it is a fraction of what Claro services globally, and we have those select networks where we are working with them. Just to put things in perspective here.

Kevin Gandhi: Okay. Okay. So in terms of Claro, like what might be the share of Route Mobile versus 365squared, like share of like revenue agreement?

Tushar Agnihotri: The Claro deal is more of a firewall deal, which is fixed plus variable. So I mean, there is no share as such. It's basically the more the platform is able to identify gate traffic flowing in, more we are able to monetize. There's some fixed components and there's some variables. So there's nothing -- I mean, there's nothing like a share -share kind of a thing because the exclusively entire network belongs to us for terminating any international traffic in that geography.

Kevin Gandhi: Okay. Sir, my last question was I just wanted to understand the revenue composition of ILD versus NLD. I know the NLD is worth 8% to 9% now. So what's the broad state of the revenue as far as the ILD and the NLD goes?

Vinay Binyala: So Kevin, we don't break it up as public information, but ILD still continues to be significant for us because we still service very large global customers. Unfortunately, we don't disclose the exact percentage breakup. So I will not be able to spell out the exact proportion here. But what I can tell you is that it's still a very relevant part of our business with very good customers in the portfolio. I'm sorry, I'm not able to spell out exact details here.

Kevin Gandhi: Okay. Okay. But as far as my understanding goes, the margins are quite lower for the ILD, right, versus the NLD?

Tushar Agnihotri: Sorry, say it again please.

Kevin Gandhi: Okay. So as far as my understanding goes, I believe that the margins of ILD are much lower than the NLD, if I' m not wrong?

Tushar Agnihotri: In absolute value, no. In percentage value, maybe yes.

Kevin Gandhi : Okay, Thank you

Moderator: The next question is from the line of Bharat Gulati from Dalal & Broacha.

Bharat Gulati: Hi, thank you for the follow up, Just wanted to

understand on the gross margin front, when we talk about this transitionary in nature, I completely get that. But do we expect these margins to revert back to the levels of Q3, Q4 of FY 26 or do we expect them to revert to what we used to historically do at the 22%, 22.5% levels? Just trying to understand that, have we structurally changed our business margins towards that higher 24% to 25% mark o r do we eventually believe that in the medium to long term, we'll revert back to the 22% area?

Vinay Binyala: So Bharat, as we pointed out, there are multiple moving parts to that. And as I said, some of them are reversing automatically once we deploy the product and the customer comes back.

Some of them will take a little bit of more effort from the business point of view in terms of identifying better routes, identifying better margins, which is feasible, but the timeline to that could be slightly different from what we can do on the lone cases of specific customers.

So that is where -- at this point in time, if you ask me at the end of July, whether I can accurately guide whether we'll be at a 22% or 21.5% for this quarter or whether we revert all the way back to 23%, it's a little difficult estimate to make right now because a lot of these pieces are moving as we speak. But as we mentioned earlier, depending upon how much of this correction we are able to do, we can land up in that range of 21.5% to 23%, which we've been operating over the last 5 or 6 quarters.

Bharat Gulati: Fair enough. That's really helpful. So just trying to -- so maybe directionally, if you can help me, I see that we are planning to enter the new -- planning to enter new markets for RCS. And I typically understand RCS is slightly better margin than WhatsAp p and the SMS business as well given that Google wants to take up the market share from Meta.

So do we expect that to sort of drive gross margins? Again, I understand that you can't put a number to it. But directionally, if that business grows and it's growing for us at 14% this quarter, do we directionally see those margins going up structurally?

Tushar Agnihotri: RCS definitely, Bharat, provides a better margin option for aggregators. So our focus and our efforts will be more to take and promote that as a channel. There are certain geographies where we have deployed a platform and we have some exclusive arrangements also. Given that our

focus definitely will be towards RCS and we're fairly confident that, that can certainly blend and improve our margins a little better.
Bharat Gulati: Got it. Got it. And just lastly, I'm trying to understand that the level at which we are growing that, even if I understand that we are seeing good growth in the non -ILD business, basically our domestic SMS business and our new product business. As long as that continues to grow at this pace, when can we -- like what share of the business would ILD be, let's say, 2 years down the line?
And then where do we see the new product business as a share of the overall business? Right now, as of this quarter, it's at 8%. So just if you can give some sense of what would the business mix look like a year or 2 years from now, given the same sort of growth continues?
Tushar Agnihotri: So Bharat, we continue to focus on all the businesses. There -- our attention towards all the 3 units, which is ILD, domestic and new product is same. And we -- our efforts are to ensure that all the 3 segments continue growing at the same pace. So it's very difficult for us to say which will have what share of the overall revenues. But we just hope that the one which is giving us highest margin has the highest share and the energy will be towards that.
Vinay Binyala: So just to add to what Tushar is saying, Bharat, even though we are saying that ILD is facing challenges in terms of growth, it is not that we stopped pursuing opportunities there. There are some large op

portunities that we are looking at. Just the convers ion and timelines are a little bit out of our control. So the idea is -- and the reason why ILD continues to be important is it is large scale, from each single customer, the ticket sizes are large.
Although the percentage margin is low, it gives very good ROI to the business. So that is where Tushar is trying to indicate that we are not leaving out any of the levers in the business. If it is a large enough opportunity, we will pursue it and try to cl ose it.
Bharat Gulati: Fair enough. That's helpful. And just -- so if you can give some sense of what could cause growth to come back in ILD? I understand spends are sort of compressed right now from the customer standpoint because there are other means to -- other cheaper means to execute the same thing.
So what could bring back the growth in that segment? And then how would that impact the remaining WhatsApp and sort of the OTT vertical?
Tushar Agnihotri: So this will largely -- it can come back definitely, and I can get back to the growth path, Bharat. It will be -- remain to be seen that how telecom operators are looking at and what is their strategy in the times to come. When I say strategy, I largely mean pricing strategy. I mean they've been fairly ambitious on the pricing side over the last past -- the last few years.
And if they finally decide to rationalize the pricing, I'm quite hopeful that we can bring back the same growth, which we have observed over the last few years in ILD. So it remains to be seen how telecom operators see this business and how do they intend to grow this.

Vinay Binyala: And also , we are seeing a slight bifurcation of business as well. Certain use cases are still relying heavily on the telecom -oriented messaging solutions like SMS, RCS. And certain interactive use cases are now preferentially moving to WhatsApp and RCS. So we are seeing that transition happen.
And that is where some of the solutions which we are bringing in should ideally drive the non-SMS portfolio and our core platform, the SMS and RCS platform still focuses on onboarding customers who need the telecom infrastructure. So from our point of view , we are more driven by what the enterprise needs as a solution point, and we offer all of those channels to the solution -- to the enterprise, sorry.
Bharat Gulati: Got it. And sir, lastly, on -- I understand that from October 1, Meta has certain new rules regarding using its own models to deliver the conversational AI or chatbots onto Meta, onto WhatsApp. So that gives certain benefits to customers such as free messaging and so on. So is the recent acquisition largely to leverage that opportunity and to sort of get that application capability to leverage Meta's LLMs?
Tushar Agnihotri: So we've made those observations, Bharat. I mean we're trying to interpret it accurately, exactly what it reflects and how it adds to the acquisition we've made. How does it bring more benefits to us? We're still evaluating it. It's better for good reasons, have been fairly -- they've been shifting their policies, pric ing policies fairly frequently.
So one is, of course, it's important to interpret it well and also see exactly what is their long -term game like? How would they want the entire bot framework, which they are now exposing to enterprises will pan out and how do we fit in and how do we make most of it. So -- but it's very

early for us to comment. As I said , we've made a good observation of that, and we're making
interpretations and how -- and of course, drawing a plan, how do we grow and benefit the most
from it.
Bharat Gulati: From today's standpoint, do we have the capabilities to explore that opportunity that Meta has brought to the customers? Are we already capable to integrate with the Meta LLMs?
Vinay Binyala: Yes. So the platform which we have in Heltar, that is extremely flexible. They offer

different LLMs to the enterprise. They have if it is Anthropic or Meta or whichever AI the enterprise
wants to use, including voice AI. So it's fairly flexible. It's a choice of the enterprise on how they
want to run their solutions. So it opens it up for the enterprise. And it can also leverage the entire Meta infrastructure that you're referring to. So it's fairly open the way the enterprise wants to
use it.
Bharat Gulati: Got it, that’s really helpful .
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr.
Raj Gill for closing comments. Over to you, sir.

Raj Gill: Good. So thank you all for your very engaging questions. So with that, we will close the call. So
we appreciate your continued support, and we look forward to engaging with you again. Have a
great weekend. Thank you.
Tushar Agnihotri: Thank you.
Moderator: Thank you, On behalf of Route Mobile Limited, that concludes this conference. Thank you for
joining us, and you may now disconnect your lines.